



**GREEN
CLIMATE
FUND**

Meeting of the Board

4 – 7 October 2021

Virtual meeting

Provisional agenda item 15

GCF/B.30/02/Add.01

14 September 2021

Consideration of funding proposals - Addendum I

Funding proposal package for FP169

Summary

This addendum contains the following seven parts:

- a) A funding proposal titled "Climate change adaptation solutions for Local Authorities in the Federated States of Micronesia";
- b) No-objection letter issued by the national designated authority(ies) or focal point(s);
- c) Environmental and social report(s) disclosure;
- d) Secretariat's assessment;
- e) Independent Technical Advisory Panel's assessment;
- f) Response from the accredited entity to the independent Technical Advisory Panel's assessment; and
- g) Gender documentation.

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Funding Proposal

Project/Programme title:	Climate change adaptation solutions for Local Authorities in the Federated States of Micronesia
Country:	Federated States of Micronesia
Accredited Entity:	Pacific Community (SPC)
Date of first submission:	<u>2021/03/25</u>
Date of current submission	<u>2021/08/09</u>
Version number	<u>V.6</u>



Section A	PROJECT / PROGRAMME SUMMARY
Section B	PROJECT / PROGRAMME INFORMATION
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Section H	ANNEXES

NOTE TO ACCREDITED ENTITIES ON THE USE OF THE FUNDING PROPOSAL TEMPLATE

- Accredited Entities should provide summary information in the proposal with cross-reference to annexes such as feasibility studies, gender action plan, term sheet, etc.
- Accredited Entities should ensure that annexes provided are consistent with the details provided in the funding proposal. Updates to the funding proposal and/or annexes must be reflected in all relevant documents.
- The total number of pages for the funding proposal (excluding annexes) **should not exceed 60**. Proposals exceeding the prescribed length will not be assessed within the usual service standard time.
- The recommended font is Arial, size 11.
- Under the [GCF Information Disclosure Policy](#), project and Programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Accredited Entities are asked to fill out information on disclosure in section G.4.

Please submit the completed proposal to:

fundingproposal@gcfund.org

Please use the following name convention for the file name:

"FP-[Accredited Entity Short Name]-[Country/Region]-[YYYY/MM/DD]"



A. PROJECT/PROGRAMME SUMMARY															
A.1. Project or Programme	Programme	A.2. Public or private sector	Public A												
A.3. Request for Proposals (RFP)	Enhancing Direct Access (EDA)Enhancing Direct Access (EDA)														
A.4. Result area(s)	Check the applicable GCF result area(s) that the <i>overall</i> proposed project/Programme targets. For each checked result area(s), indicate the estimated percentage of <u>GCF budget</u> devoted to it. The total of the percentages when summed should be 100%. <table border="0"> <tr> <td> Mitigation: Reduced emissions from: ☐ Energy access and power generation: ☐ Low-emission transport: ☐ Buildings, cities, industries and appliances: ☐ Forestry and land use: </td> <td> GCF contribution: Enter number% Enter number% Enter number% Enter number% </td> </tr> <tr> <td> Adaptation: Increased resilience of: ☒ Most vulnerable people, communities and regions: ☒ Health and well-being, and food and water security: ☒ Infrastructure and built environment: ☒ Ecosystem and ecosystem services: </td> <td> 25% 25% 25% 25% </td> </tr> </table>			Mitigation: Reduced emissions from: ☐ Energy access and power generation: ☐ Low-emission transport: ☐ Buildings, cities, industries and appliances: ☐ Forestry and land use:	GCF contribution: Enter number% Enter number% Enter number% Enter number%	Adaptation: Increased resilience of: ☒ Most vulnerable people, communities and regions: ☒ Health and well-being, and food and water security: ☒ Infrastructure and built environment: ☒ Ecosystem and ecosystem services:	25% 25% 25% 25%								
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Adaptation: Increased resilience of: ☒ Most vulnerable people, communities and regions: ☒ Health and well-being, and food and water security: ☒ Infrastructure and built environment: ☒ Ecosystem and ecosystem services:	25% 25% 25% 25%														
A.5. Expected mitigation impact	Indicate t CO2eq over lifespan	A.6. Expected adaptation impact	Direct = 54,301 (47.2% of FSM's population) Indirect = 92,016 (80% of FSM's population)												
A.7. Total financing (GCF + co-finance)	19,710,637 USD	A.9. Project size	Small (Upto USD 50 million)												
A.8. Total GCF funding requested	16,591,556 USD														
A.10. Financial instrument(s) requested for the GCF funding	Mark all that apply and provide total amounts. The sum of all total amounts should be consistent with A.8. <table border="0"> <tr> <td>☒ Grant</td> <td>16,591,556</td> <td>☐ Equity</td> <td>Enter number</td> </tr> <tr> <td>☐ Loan</td> <td>Enter number</td> <td>☐ Results-based payment</td> <td>Enter number</td> </tr> <tr> <td>☐ Guarantee</td> <td>Enter number</td> <td></td> <td></td> </tr> </table>			☒ Grant	16,591,556	☐ Equity	Enter number	☐ Loan	Enter number	☐ Results-based payment	Enter number	☐ Guarantee	Enter number		
☒ Grant	16,591,556	☐ Equity	Enter number												
☐ Loan	Enter number	☐ Results-based payment	Enter number												
☐ Guarantee	Enter number														
A.11. Implementation period	7 years	A.12. Total lifespan	20 years												
A.13. Expected date of AE internal approval	11/10/2019	A.14. ESS category	I-2												
A.15. Has this FP been submitted as a CN before?	Yes ☒ No ☐	A.16. Has Readiness or PPF support been used to prepare this FP?	Yes ☐ No ☒												
A.17. Is this FP included in the entity work Programme?	Yes ☒ No ☐	A.18. Is this FP included in the country Programme?	Yes ☒ No ☐												
A.19. Complementarity and coherence	Yes ☒ No ☐														
A.20. Executing Entity information	SPC will be the Accredited Entity and the sole Executing Entity for this Programme.														
A.21. Executive summary (max. 750 words, approximately 1.5 pages)															
The aim of the proposed Enhanced Direct Access (EDA) Programme “Climate change adaptation solutions for Local Authorities in the Federated States of Micronesia” is to shift the status quo from a pathway of climate vulnerability, elevated health risks and limited socioeconomic development for vulnerable communities in the Federated States of Micronesia (FSM) to one of improved food and water security, enhanced disaster risk reduction (DRR) and recovery, and improved socioeconomic development by building the adaptive capacity of Local Authorities (LAs) to respond to climate change. Climate change is expected to severely threaten FSM across all sectors of its economy, particularly through increased: sea level rise; variability of rainfall; severe weather events and king tides; and temperature. Past inundation, surge and storm events have caused significant losses and damages to communities’ assets and livelihoods, including lasting															



impacts to community infrastructure, coastal resources, and agriculture and water systems. Further, the frequency and magnitude of these extreme climate events could potentially increase due to El Niño conditions coupled with increased sea surface and atmospheric temperatures. Currently, approximately 60% of households in FSM live within 180 m of the shoreline with millions of dollars' worth of agriculture, buildings, etc. exposed to climate threats. Further, the vast majority of FSM is reliant on underdeveloped agriculture, livestock, and fisheries value streams both for subsistence consumption as well as for primary income streams, and climate change is expected to limit these systems further constraining livelihoods and threatening community food security. Water security is likewise constrained due to insufficient technology like catchment systems and mismanaged watershed resources both of which are made more difficult due to future climate change.

As of 2020, FSM's estimated population is 115,021, with a GDP of USD 408 million and a GDP per capita of almost USD 3,550. The majority of the country's population live in the coastal regions of the high islands, with more than half the population living in rural areas. According to the Household Income and Expenditure Survey (HIES), one requires an average of USD 1.84 per adult per day to meet basic caloric needs in FSM and USD 4.34 per adult per day to meet all basic needs. Across FSM, approximately 10% of the population falls below the food poverty line and approximately 41% of the population falls below the nationally determined 'total basic needs poverty line'.

According to the Notre Dame Global Adaptation Initiative (ND-GAIN), FSM is the 4th most vulnerable country to climate change and the 78th in terms of climate change readiness in the world (FSM scored 0.640 on the vulnerability scale and 0.360 on the readiness scale). The FSM GCF Country Programme concluded that at present, none of the FSM States have a 'high' level of adaptive capacity required to ensure adaptation to the effects of climate change.

This EDA Programme will overcome critical barriers to strengthen the resilience of vulnerable communities to the impacts of extreme climatic events as well as long term water and food insecurity as a result of predicted climate change. GCF resources will be critical in strengthening the adaptive capacity of local authorities and communities to improve DRR and coastal management as well as food and water security for FSM's most vulnerable populations located in the main islands and outer atolls.

The EDA Programme will establish a dedicated Grant Facility to strengthen the capacity of local authorities (LAs) in FSM to adapt to climate change and to address urgent, top priority vulnerability issues. The facility will empower participating LAs by providing them with organizational and individual capacity-building in resilience and priority adaptation project development. The Programme has two components:

- **Component 1: Local authorities empowered to deliver climate change adaptation services to their populations**
- **Component 2: Priority project implementation-EDA Facility for strengthening local community resilience**

The Programme, through the implementation of sub-projects, will directly contribute to increasing the adaptive capacity of local communities and will deliver on a number of economic, social, environmental and gender co-benefits. The EDA Grant Facility is anticipated to directly benefit 54,301 people, accounting for 47.2% of the total FSM population. Indirect beneficiaries of the proposed Programme will represent 80% of the population.¹

GCF funding is required because of the limited availability of public and private funding to support transformation in FSM's DRR capacity and agricultural and water sectors. GCF funds will be used specifically to address critical information and capacity gaps of LAs as well as cover the additional cost of climate change adaptation. Indeed, the current costs estimates for climate change adaptation solutions far exceed allocated budgets for national, State and municipal governments. This highlights the necessity of the proposed GCF grant structure and concessional support to directly support local communities.

The total Programme cost is USD 19,710,637 comprising USD 16,591,556 of GCF funding in the form of grants and USD 3,199,081 co-finance from the Government of FSM and SPC. As the Accredited Entity, SPC's Climate Finance Unit (CFU) within its Climate Change and Environmental Sustainability (CCES) Division (also SPC's GCF focal point) will be responsible for overall project management. A dedicated EDA Programme Coordination Unit (ECU) will be hosted within SPC's Regional Office for Micronesia, located in FSM. The EDA Programme Board (EPB) will be a national body chaired by FSM's National Designated Authority (NDA) and responsible for taking corrective action as needed to ensure the EDA Programme achieves the desired results.

¹ The numbers provided represent conservative estimates, to be understood as the minimum number of the sum of the potential number of direct beneficiaries across all three thematic areas. This methodological choice was made to prevent the possibility of double counting as beneficiaries of projects in each state will likely overlap. See Annex 2, Section 14.

B. PROJECT/PROGRAMME INFORMATION

B.1. Climate context (max. 1000 words, approximately 2 pages)

Adaptive context of the Programme area

1. The Federated States of Micronesia (hereafter “FSM”) is a widely dispersed archipelago located in the North Pacific Ocean. FSM is formed by four states (Chuuk, Yap, Pohnpei, and Kosrae) and comprised of 607 islands, of which 74 are inhabited. The distance between the eastern-most State (Kosrae) and the western-most State (Yap) is 2,700 km. Under the 1979 Constitution, FSM has three levels of government: national, state, and municipal. The four State governments of Chuuk, Kosrae, Pohnpei, and Yap are relatively autonomous. Each State has its own governor, judiciary and legislative bodies, along with relevant government departments.
2. As of 2019, FSM’s estimated population is 115,021², with a GDP of USD 408 million and a GDP per capita of almost USD 3,550. The majority of the country’s population live in the coastal regions of the high islands, with more than half the population living in rural areas. According to the HIES, one requires an average of USD 1.84 per adult per day to meet basic caloric needs in FSM and USD 4.34 per adult per day to meet all basic needs³. Across FSM, approximately 10% of the population falls below the food poverty line and approximately 41% of the population falls below the total basic needs poverty line.
3. The ongoing COVID-19 pandemic is projected to further impact the FSM economy in coming years⁴. Construction, transportation and communications and the tourism sectors are estimated to shrink for at least the next fiscal year. Overall GDP is expected to have declined by approximately 5% over fiscal year 2020 and to decline 2% over fiscal year 2021. The private sector is expected to be the hardest hit, with an estimated private sector GDP reduction of 18.7% between 2019 and 2021.
4. There is a strong correlation between the extreme climate vulnerability of FSM and the livelihoods of communities, as a large share of the population heavily relies on natural resources. Rising oceans, changing precipitation patterns, increase in the intensity of extreme climate events and extended drought periods are expected to have a dramatic impact on the food and water security of local populations, while posing a serious disaster risk to assets and people.

Climate analysis

5. The climate of FSM displays considerable year-on-year **variability** due to the El Niño-Southern Oscillation (ENSO)⁵. The country has two seasons – a dry season from November to April and a wet season from May to October. Rainfall in throughout the country and region is affected by the movement of the Intertropical Convergence Zone⁶.
6. **Due to the diversity of environmental conditions between States and their respective islands and atolls, climate trends tend to differ from one island state to another, and between island states and atolls.**
 - Climatically, **Yap** lies in an area that generally experiences a monsoon climatic pattern, with more frequent periods of drought than in other States.
 - The climate of **Chuuk** is hot and humid with an average temperature of 27°C, and little variation throughout the year. Average annual precipitation is 3,100 mm, with the months of January to March being drier.
 - **Pohnpei** is generally hot and humid, also with a mean temperature of 27°C. Temperatures vary little from month to month. The mean annual rainfall is 4,826 mm, with January and February being slightly drier than average.
 - **Kosrae**’s climate is characterized by high temperatures, heavy rainfall and high humidity. The average annual rainfall measured at the weather station in coastal Lelu is 5,000 mm. In the mountainous interior rainfall is estimated to be as high as 7,500 mm annually with average temperature 27°C at sea level. Average monthly temperatures vary from the annual average by no more than 1°C and the difference between the average minimum and maximum temperatures is less than 8°C.

Historical trends

² World Bank Data, World Development Indicators 2020.

³ FSM Statistics – Poverty Profile of the Federated States of Micronesia. Last Accessed 22 August 2020; Available [here](#)

⁴ Assessing the Impact of COVID-19 on the Federated States of Micronesia Economy; Available [here](#).

⁵ McGree et al. 2016. Trends and variability in droughts in the Pacific islands and Northeast Australia. Journal of Climate 29: 8377-8397.

⁶ FSM. Second National Communication to the United Nations Framework Convention on Climate Change; Available [here](#).

7. **Temperature:** With less than 1.5°C between its hottest and coldest months, FSM experiences very little seasonal variation in mean air temperatures. Mean annual temperature (1901–2016) is 27.1°C. Annual maximum and minimum temperatures in FSM have increased since records began in 1952, with annual maximum temperatures having increased at a rate of 0.18°C per decade in Pohnpei (eastern FSM) and 0.23°C per decade in Yap (western FSM)⁷. Extreme temperatures such as warm days and warm nights have been increasing in Pohnpei consistent with global warming trends. Temperatures are expected to continue to increase throughout FSM under all emissions scenarios⁸.
 - Annual maximum air temperatures at three sites across FSM (Pohnpei, Yap and Chuuk) have risen between 0.10–0.14°C per decade since the 1950s⁹.
 - There is variation in air temperature trends within FSM. For the state of Pohnpei, the greatest trends involve minimum air temperature, whereas for Yap, the greater trends are observed in maximum air temperature¹⁰.
8. **Precipitation:** There is variability between States in changing precipitation patterns. Mean annual precipitation (1901–2016) stands at 3,810.4mm. The wet season takes place between May and September, with the West Pacific Monsoon affecting rainfall in the western islands by contributing additional rain¹¹.
 - Generally, there has been a decreasing trend for rainfall in Pohnpei (an eastern State) since records began in 1950. There has also been a decreasing trend in Very Wet Day rainfall in Pohnpei. However, Consecutive Dry Days in Yap (a western State) have decreased since 1952¹².

⁷ Pacific-Australia Climate Change Science and Adaptation Planning Program. 2014. Current and future climate of the Federated States of Micronesia. Available [here](#).

⁸ Pacific-Australia Climate Change Science and Adaptation Planning Program; Available [here](#).

⁹ Pacific-Australia Climate Change Science and Adaptation Planning Program; Available [here](#).

¹⁰ Pacific-Australia Climate Change Science and Adaptation Planning Program; Available [here](#).

¹¹ World Bank Climate Change Knowledge Portal. Federated States of Micronesia profile; Available [here](#).

¹² Pacific-Australia Climate Change Science and Adaptation Planning Program; Available [here](#).

- Although the frequency of droughts is projected to decrease in FSM, drier conditions and droughts are linked to ENSO events, with an increased intensity of events occurring under El Niño conditions. The driest year on record for Micronesia was 1998 and was a direct consequence of an El Niño phenomenon the same year. Figure 2 below illustrates the variability of precipitation patterns and the intensity of drought periods in Pohnpei and Yap¹³.

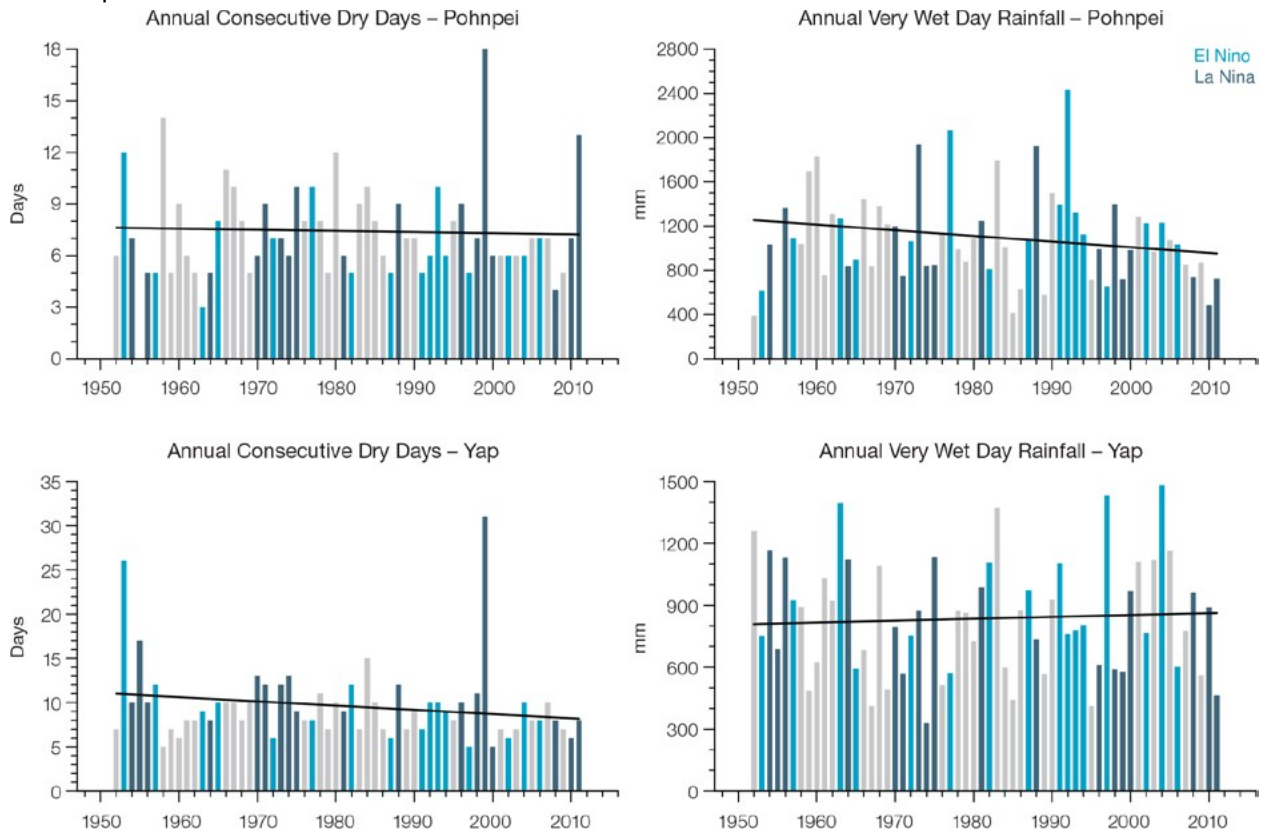


Figure 1. Observed Time Series of Annual Consecutive Dry Days and Annual Very Wet Day Rainfall in Pohnpei and Yap

- Sea level rise:** Between 1993 and 2010, FSM has experienced a disproportionate amount of sea level rise, ranging from 8 to 12 mm per year, compared to other areas in the Western Pacific (see Figure 2 below)¹⁴. Since 2000, FSM has been occasionally experiencing a periodic rise of sea level in the low-lying coastal areas of both high and low islands. Additionally, **ENSO variations** amplify¹⁵ the mean sea level across FSM which exacerbates the impacts of tidal surges, rainfall, and extreme events like typhoons. Climate variability due to seasonal changes and large-scale climate features such as ENSO can lead to overall changes in trade wind patterns and temperature, which in turn may affect sea level at timescales of months to years. For instance, ENSO can cause sea-level changes up to 30 cm in the western tropical Pacific, depending on time of year and location. Naturally occurring sea-level changes due to tides, weather and climate variability can be quite large at any one time compared to sea-level rise through climate change alone. **A small amount of overall, long-term sea-level rise due to climate change will compound the effects of natural variability and cause an increase in extreme sea levels to happen more often**¹⁶.
- Overall, the effect that climate change will have on ENSO incidence and severity remains uncertain, but it is clear that ENSO events result in a direct increase of large-scale sea level anomalies (SLAs) in the Western Tropical

¹³ Pacific-Australia Climate Change Science and Adaptation Planning Program; Available [here](#).

¹⁴ Pacific-Australia Climate Change Science and Adaptation Planning Program; Available [here](#).

¹⁵ Fletcher et al. 2010. Climate Change in the Federated States of Micronesia, Food and Water Security, Climate Risk Management, and Adaptive Strategies. University of Hawaii Sea Grant College Programme.

¹⁶ Pacific-Australia Climate Change Science and Adaptation Planning Program. 2014. Sea-level rise in the western tropical Pacific. Available [here](#).

Pacific region¹⁷. Furthermore, the anomalous ocean-atmosphere conditions during ENSO can induce changes in the intensity, frequency, and tracks of storms, thereby affecting the generation of extremes such as tides and storm surges¹⁸. These events cause marine inundation that damages groundwater resources, taro beds, soil, and agro-forestry resources in coastal settings, especially on low atoll islets. On high islands, coastal communities that experience both intensifying storm runoff and rising ocean waters are experiencing increased flooding and other drainage problems¹⁹.

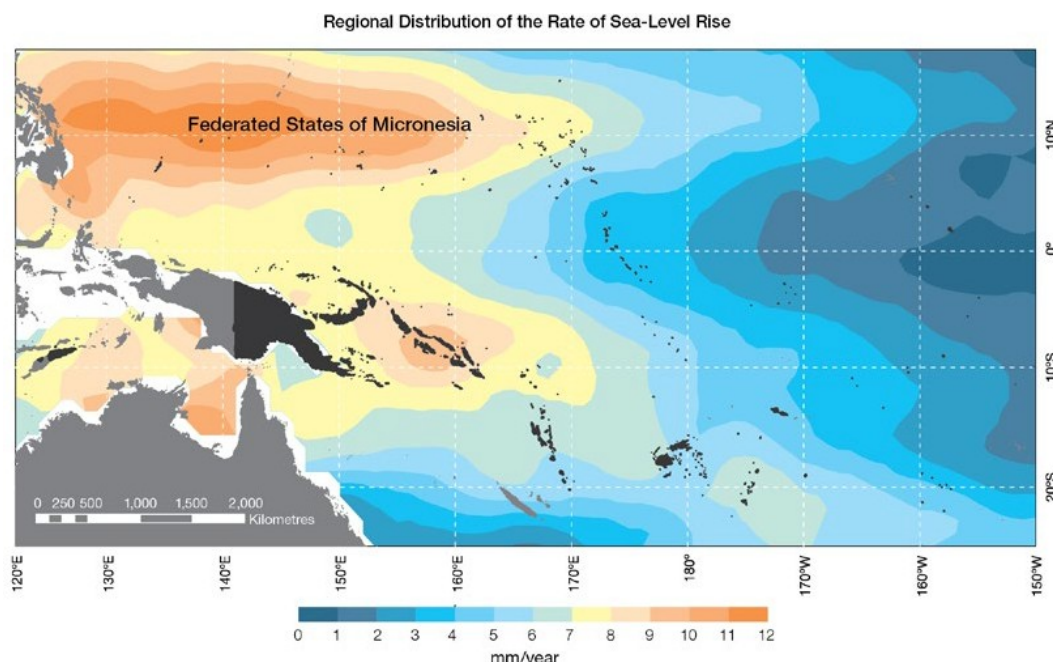


Figure 2. Regional distribution of the rate of sea level rise (1993-2010) in the Western Pacific

11. **Extreme climate events:** FSM is highly susceptible to extreme weather events such as tropical storms and typhoons²⁰. For example:
 - In 2002 Typhoon Mitag caused a storm surge that inundated up to 500 m inland and destroyed nearly all the food crops in low-lying areas in the north, northeast, and southern parts of the main island of Yap (please see Annex 2 of the Feasibility Study for a list of past climate damaging events).
 - In March 2015, Typhoon Maysak devastated the country, killing four people, wiping out 90% of key agricultural crops (banana, breadfruit and taro) in two of its states (Chuuk and Yap), affecting 29,000 people and causing USD 8.5 million in damages (more information on climate change impacts on agriculture below).
 - Sea salt deposition caused from tropical cyclones can devastate agriculture and cause significant corrosion affecting electricity infrastructure.
12. The **ENSO phenomenon** has a profound effect on the distribution of tropical cyclones in the FSM. During La Nina events, above average numbers of tropical storms occur in the FSM region. The formation region of cyclones is also impacted. During El Nino, typhoon formation extends eastward resulting in an increased risk of a typhoon for Pohnpei during El Nino years, and a decreased risk during the year following El Nino and during La Nina years. On Pohnpei, the risk of having typhoon force winds of 65 kt (33.4ms⁻¹) or greater is one year in 10 for El Nino years, and approximately one year in 50 for non-El Nino years.

¹⁷ Ren et al. 2020. Asymmetry of interannual sea level variability in the western tropical Pacific: Responses to El Niño and La Niña. *Journal of Geophysical Research: Oceans*, 125, e2020JC016616. Available [here](#).

¹⁸ Muis et al. 2018. Influence of El Niño-Southern Oscillation on global coastal flooding. *Earth's Future*, 6, 1311– 1322. Available [here](#).

¹⁹ Ibid.

²⁰ Pacific-Australia Climate Change Science and Adaptation Planning Program; Available [here](#).

Climate change projections²¹

13. **Temperature:** Climate projections under all emissions scenarios suggest that the frequency and occurrence of higher maximum daily temperatures will dramatically increase for Pohnpei and FSM more broadly²². By 2030, under a very high emissions scenario, this increase in air temperature is projected to be in the range of 0.6–1.1°C²³. Table 1 below shows the projected changes in annual average surface air temperature in FSM²⁴.

Table 1. Projected changes in average surface air temperature in FSM

Geography	2030	2050	2070	2090
FSM East	Projected °C increase			
Very low (RCP 2.6)	0.4–0.9	0.6–1.2	0.5–1.2	0.5–1.2
Low (RCP 4.5)	0.5–1.0	0.7–1.4	1.0–1.9	1.0–2.1
Medium (RCP 6)	0.4–0.9	0.7–1.4	1.0–2.0	1.3–2.6
High (RCP 8.5)	0.6–1.1	1.0–1.9	1.6–3.1	2.1–4.1
FSM West	Projected °C increase			
Very low (RCP 2.6)	0.5–0.9	0.6–1.1	0.5–1.2	0.4–1.2
Low (RCP 4.5)	0.5–1.0	0.8–1.4	1.0–1.8	1.0–2.1
Medium (RCP 6)	0.4–0.9	0.7–1.4	1.1–1.9	1.4–2.6
High (RCP 8.5)	0.6–1.1	1.1–1.9	1.6–3.1	2.1–4.0

14. **Precipitation:** In general, FSM is expected to experience an increase in precipitation over the next century, with a decrease in the frequency of drought events but an increase in their intensity.
- FSM's Second National Communication explain how CMIP3 models predict little change in rainfall by 2030 but with a majority of simulations estimating an increase of rainfall of greater than 5% by 2090 under a high emissions scenario.
 - Under a high emissions scenario, an increase in mean annual precipitation of up to 8% ± 11% in eastern FSM and up to 12% ± 15% in western FSM is expected by 2090.
 - Interannual rainfall variability is also projected to increase.
15. **Sea level rise:** By 2030, under a very high emissions scenario, the rise in sea level is projected to be in the range of 8–18 cm. The frequency of extreme high sea level (tidal surges) for FSM are projected to increase dramatically as a result of climate change²⁵. Sea level rise is projected to continue to increase under all climate scenarios (see Table 2 below). **The sea level rise combined with natural year-to-year changes and phenomena such as ENSO will amplify the impact of storm surges and coastal flooding.** For example, ENSO variations already significantly impact mean sea level across FSM, with knock-on effects during tidal surges, heavy rainfall and storm events. Consequently, during La Niña periods, the above-average number of tropical storms that will occur combined with higher sea levels because of climate change would result in coastal inundation during such storms being higher than in the absence of climate change-induced sea level rise.

Table 2. Sea Level Rise Under Various Emissions Scenarios

Emissions Scenario	2030	2050	2070	2090
Very low (RCP 2.6)	8–18 cm	14–30 cm	20–45 cm	24–60 cm
Low (RCP 4.5)	8–17 cm	14–31 cm	22–49 cm	30–68 cm
Medium (RCP 6)	7–17 cm	14–30 cm	22–48 cm	31–69 cm
High (RCP 8.5)	8–18 cm	17–35 cm	28–59 cm	41–90 cm

²¹ Climate projections for FSM have been derived from up to 26 new GCMs in the CMIP5 database (the exact number is different for each scenario), compared with up to 18 models in the CMIP3 database reported in the previous report from the Australian Bureau of Meteorology and CSIRO (2011) (Source [here](#) p. 76).

²² FSM. Second National Communication to the United Nations Framework Convention on Climate Change. Available [here](#).

²³ Australian Bureau of Meteorology and CSIRO. 2014. Climate Variability, Extremes and Change in the Western Tropical Pacific: New Science and Updated Country Reports. Pacific-Australia Climate Change Science and Adaptation Planning Programme Technical Report, Australian Bureau of Meteorology and Commonwealth Scientific and Industrial Research Organization, Melbourne, Australia

²⁴ Pacific-Australia Climate Change Science and Adaptation Planning Programme – Current and future climate of the Federated States of Micronesia; Available [here](#).

²⁵ FSM. Second National Communication to the United Nations Framework Convention on Climate Change. Available [here](#).

16. Lower-lying atolls are especially vulnerable to inundation events and even losing arable land from projected sea level rise and extreme tide events. With projections of increased sea level rise under all climate scenarios and an increase in extreme high tide events due to climate change, FSM's vulnerability will further increase in the future. Figure 3 illustrates the extent of the flooding hazard caused by sea level rise for the islands of Pohnpei and Yap.

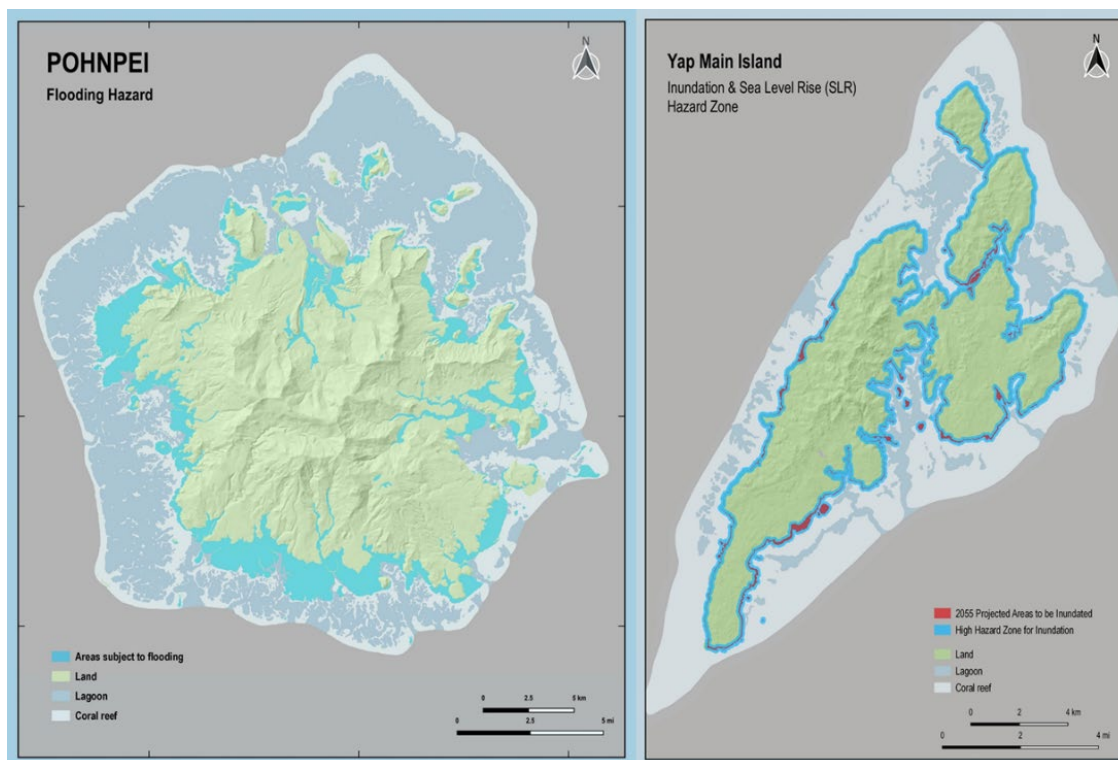


Figure 3. Sea Level Rise and Flood Hazard Maps for Pohnpei and Yap

17. **Extreme climate events:** It is projected that there will be a decrease in the number of typhoons globally by the end of the 21st century. However, these projections also indicate that typhoon intensity will increase, with an increase in average maximum wind speed of typhoons between 2% and 11% as well as an increase in rainfall intensity of 20% within 100 km of a typhoon's centre²⁶. For FSM, the projection for a decrease in frequency of formation of tropical cyclones in the northern basin has only a low confidence level²⁷. Extreme hourly and daily rainfall events, such as Tropical Storm Chataan which resulted in massive landslides and damage across Chuuk State are also projected to increase in frequency, particularly in Pohnpei and Kosrae²⁸. The frequency and intensity of extreme rainfall events are projected to increase. This conclusion is based on analysis of daily rainfall data from a subset of CMIP5 models using a similar method to that in Australian Bureau of Meteorology and CSIRO (2011) with some improvements (Chapter 1), so the results are slightly different to those in Australian Bureau of Meteorology and CSIRO (2011). Projections also show that temperatures on "extremely hot days" in FSM will increase in line with increases in average temperatures; the frequency of such days is also expected to increase²⁹.
18. **Drought:** El Niño years in FSM tend to cause droughts which have resulted in water and food shortages (including staples such as taro, coconut, breadfruit, banana, yam, sweet potato, citrus and cash crops), and had impacts on terrestrial habitats, wildfires, and invasive species³⁰. ENSO influences the minimum air temperatures in both Yap and Pohnpei in the wet season, but in the dry season there is a weak but significant impact on air minimum temperatures in Pohnpei and maximum air temperatures in Yap (all being warmer in El Niño years and colder in La Niña years). The incidence of drought is expected to decrease over the 21st century (except during ENSO

²⁶ Pacific-Australia Climate Change Science and Adaptation Planning Programme – Current and future climate of the Federated States of Micronesia; Available [here](#).

²⁷ Pacific-Australia Climate Change Science and Adaptation Planning Program; Available [here](#).

²⁸ FSM. Second National Communication to the United Nations Framework Convention on Climate Change. Available [here](#).

²⁹ Pacific-Australia Climate Change Science and Adaptation Planning Programme – Current and future climate of the Federated States of Micronesia; Available [here](#).

³⁰ FSM. Second National Communication to the United Nations Framework Convention on Climate Change; Available [here](#).

conditions as outlined above), consistent with a projected overall increase in rainfall for FSM. Recent projections suggest that:

- Mild drought will occur approximately seven to eight times every 20 years by 2090 under the B1 (low) emissions scenario and six to seven times under the A1B (medium) and A2 (high) scenarios approximately eight to nine times every 20 years in 2030.
- Moderate drought will occur approximately once to twice every 20 years in 2030 once to twice every 20 years in 2090 and once every 20 years in 2090 for all emissions scenarios moderate drought will occur.
- Severe drought will occur approximately once every 20 years across all time periods and scenarios³¹.

19. Ocean acidification and sea surface warming: Ocean acidification, as measured by the decrease in aragonite saturation, has risen in the region of Micronesia since measurements began in the late 18th century³². Studies³³ have indicated that a level above 4 is optimal for coral growth in the Pacific. Projections indicate that levels will fall below 3.5 by approximately 2030, indicating an increase in ocean acidification which would severely negatively affect coral reefs in FSM. Under all emissions scenarios³⁴ for FSM, sea surface temperatures are expected to increase in the coming decades. Rising sea surface temperatures as well as a projected increase in ocean acidification in the coming decades due to climate change will cause increased occurrences of coral bleaching, a reduction in migratory fish stocks, and overall decrease the health of the marine environment^{35,36,37,38}. A decrease in the health of these habitats could result in less catch for households that utilize fisheries and marine resources and result in a rise in food insecurity throughout FSM.

Vulnerability of the Programme area

- 20.** As explained above, all FSM States are susceptible to acute climate change risks such as extreme rainfall events, drought, high sea levels, strong winds and extreme high air temperatures. FSM is particularly vulnerable to climate change and likely to suffer serious, adverse environmental, social and economic consequences. Limited infrastructure, geographic remoteness and the fact that FSM remains heavily reliant on the economic assistance under the Compact of Free Association (COFA), the economic outlook beyond 2023 is uncertain and fragile which exacerbate the country's vulnerability.
- 21.** Approximately 60% of households in FSM live within 180 meters³⁹ of the shoreline, with the State of Kosrae having the greatest proportion of coastal-dwelling households (80%) and Chuuk having the least (38%). 94% of the FSM population lives within at least 1km of the coastal strip and 100% within 5km.⁴⁰ Additionally, the majority of structures in FSM are located near or along the coast (see Figure 4). Almost all outer island islets lie within the 2-meter zone of potential sea level rise, and all lie within a 5-meter zone of storm surge. This poses a significant disaster risk to the majority of households in the project area.

³¹ Pacific-Australia Climate Change Science and Adaptation Planning Program; Available [here](#).

³² FSM. Second National Communication to the United Nations Framework Convention on Climate Change; Available [here](#).

³³ Johnson et al. 2015. Pacific Islands Ocean Acidification Vulnerability Assessment; Available [here](#).

³⁴ Ibid.

³⁵ FSM Chuuk Joint State Action Plan for Disaster Risk Management and Climate Change; Available [here](#).

³⁶ FSM Pohnpei Joint State Action Plan for Disaster Risk Management and Climate Change; Available [here](#).

³⁷ FSM Yap Joint State Action Plan for Disaster Risk Management and Climate Change; Available [here](#).

³⁸ FSM Kosrae Joint State Action Plan for Disaster Risk Management and Climate Change; Available [here](#).

³⁹ 200 yards.

⁴⁰ For an interactive map of population concentration along the coastline, see: [here](#).

22. In terms of terrestrial agriculture, the majority of agricultural production within FSM occurs in the low-lying areas of the high, volcanic islands. 92% of agricultural workers surveyed in the Integrated Agriculture Census ⁴¹ (IAC) were unpaid, demonstrating the subsistence nature of agricultural production in FSM. The livelihoods of these communities are increasingly subject to lowland flooding as well as seawater inundation from sea level rise⁴². For most staple food crops, extreme weather events including storm surges and king tides (and the resulting salinization) will have the greatest impact in the short- to medium-term timescale (2030–2050), compared to changes in mean temperature where significant impacts are not expected before 2050. The projected increase in the frequency and intensity of extreme weather events due to climate change poses the greatest risk to agricultural production over the next few decades.

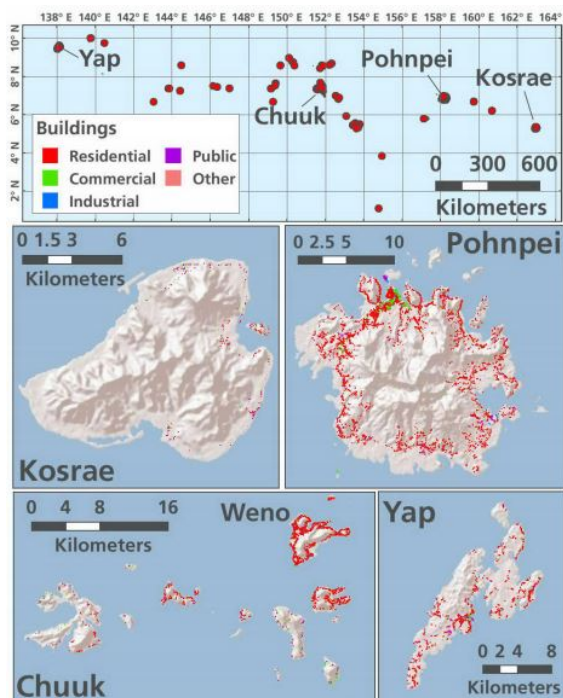
23. With regards to fisheries, the small-scale fisheries underpinning food and livelihoods across the region have a moderate to high vulnerability to climate change because: (i) increases in SST will progressively drive many target species to higher latitudes; (ii) degradation of coral reefs is expected to reduce the productivity of those fish species able to remain on reefs; and (iii) the majority of the small-scale catch is derived from coral reefs whose habitats are expected to be severely impacted by ocean acidification.

24. There are no comprehensive studies on freshwater resources and climate change in FSM, and large data gaps remain especially for hydraulic modelling of atoll aquifer systems⁴³. However, with the continued projections for sea level rise, the increased occurrence of storm surges and inundation events coupled with unpredictable seasonal variations in rainfall and ENSO, freshwater availability in FSM will continue to be negatively impacted by climate change in the coming decades. Additionally, 20% of all households surveyed in the IAC in 2016 reported drought as being the main barrier to agricultural production⁴⁴. Therefore, there is the need for improved water storage and distribution systems as an adaptation measure to address climate change issues on the water stressed islands.

25. The combination of the factors and climate vulnerabilities described above requires the implementation of locally led adaptation measures and demonstrates the relevance of the proposed EDA Programme. More detail on the sectoral vulnerabilities and potential impacts (including impacts on crops and freshwater resources) of climate change in FSM can be found in Section 4 of the Feasibility Study.

26. The following table provides a summary overview of climatic and non-climatic drivers and their associated impacts for the FSM islands, and the potential adaptation interventions proposed by the EDA Programme.

Type of drivers	Drivers	Impacts	EDA Programme potential sub-grant interventions
Climate change drivers	Sea level rise and storm surges ⁴⁵	Approximately 60% of households in FSM live within 180 m of the shoreline, with Kosrae	Small-scale coastal infrastructure constructed that will reduce the risk of



⁴¹ FAO, SPC and GoFSM. 2016. Federated States of Micronesia Integrated Agriculture Census 2016; Available [here](#).

⁴² GCF Country Programme – Federated States of Micronesia; Available [here](#).

⁴³ SPC. Federated States of Micronesia – IWRM Outlook Summary and NWTF Report; Available [here](#).

⁴⁴ Calculated using average for all four FSM states: Share of households reporting drought as the main barrier to agricultural production: Yap (45%), Chuuk (21%), Pohnpei (9%), Kosrae (3%).

⁴⁵ Sea level rise analysis was conducted for the main islands for the States of Yap, Chuuk, Pohnpei and Kosrae. This analysis utilized projections of 0.3 meters of sea level rise by 2055 and 0.62 meters of sea level rise by 2090. The projected sea level rise for Yap indicates that there will be inundation of large parts of existing coastline and low-lying areas of the main island. The main island of Pohnpei will experience coastal changes due to sea level rise by 2055 as well as saltwater inundation of low-lying areas, including the Pohnpei airport. The main island of Chuuk and the other islands located in the

		having the greatest proportion of coastal-dwelling households (80%) and Chuuk having the least (38%).⁴⁶ Additionally, the majority of structures located in FSM are located near or along the coast. Almost all outer island islets lie within the 2-metre zone of potential sea level rise, and all lie within a 5-metre zone of storm surge. The projected impacts of the increased magnitude of climate change events and effects – including increased sea level rise⁴⁷ and more intense typhoons⁴⁸ – represents the greatest risk to agricultural production in the FSM over the next decades, with impacts on: • Crop productivity: increased soil salinity after coastal inundation and saltwater intrusion into ground water leading to total loss of key crops (cassava, yam, pawpaw) • Reduced arable land caused by coastal erosion • Reduced agricultural production: food insecurity and reduced income for subsistence farming households • Food insecurity: crop shortages results in malnutrition and health issues for the impacted communities. Sea level rise and saltwater inundation also negatively impact water security: • Low-lying atolls are more susceptible to sea level rise and saltwater inundate from tidal events and storm surge. With enough saltwater inundation, the fragile freshwater lens within an atoll's aquifer can become contaminated and unusable. Additional negative impacts include: • Demographic shift: immigration from low-lying islands to high islands • Biodiversity: watershed health • Freshwater supply and availability	losses and damages caused by climate-induced disaster events (as appropriate, use of endemic species planting, wave breakers, man-made channels) • Restoration, rehabilitation or substitution of ecosystems relevant for adaptation (e.g. mangrove restoration, re-vegetation, sea-grass beds) • Development and use of climate-resilient crop species and varieties (resilient to drought, waterlogging, saltwater, pests), including techniques for their consistent supply (germplasm collections, nurseries) • Farming and land use techniques facilitating soil and water conservation (e.g. mulching, organic farming, mixed cropping, drainage) • Establishment of agroforestry demonstration sites integrated with livestock • Building value chains for crops, fisheries, and livestock⁴⁹
	Precipitation	Increased occurrence of intensifying rainfall exacerbates the impacts of storm surges, resulting in: • Landslides: erosion, loss of arable land • Flooding: surface run-off, loss of arable land, damages to the built environment • On the higher islands, increased extreme weather events and precipitation events could result in damage to watersheds from soil erosion and landslide events and result in a reduction in water security to communities that depend on these watersheds.	• Watershed reforestation for landslide protection and flooding control • Small-scale coastal infrastructure constructed that will reduce the risk of losses and damages caused by climate-induced disaster events (as appropriate, use of endemic species planting, wave breakers, man-made channels) • Restoration, rehabilitation or substitution of ecosystems relevant for adaptation (e.g. mangrove restoration, re-vegetation, sea-grass beds)
	Air temperature	Increased air temperatures are projected to have a moderate impact on agricultural production in FSM (across different emissions scenarios). Projected impacts relate to:	• Development and use of climate-resilient crop species and varieties (resilient to drought, waterlogging, saltwater, pests),

main atoll are also projected to experience coastal changes due to sea level rise by 2055 along with saltwater inundation. The main island of Kosrae is projected to experience sea level inundation of low-lying areas up through 2090.

⁴⁶ [GCF – Federated State of Micronesia Country Programme.](#)

⁴⁷ FSM. Second National Communication to the United Nations Framework Convention on Climate Change; Available [here](#).

⁴⁸ Pacific-Australia Climate Change Science and Adaptation Planning Programme – Current and future climate of the Federated States of Micronesia; Available [here](#).

⁴⁹ E.g. post-harvest and post-catch processing for small-scale and semi-subsistence livelihood practices

		- Specific impacts of temperature increase on crops are difficult to predict based on current knowledge, but temperatures approaching 2°C and beyond will create significant physiological stress for many of the staple crops.⁵⁰ - Negative impacts are projected for rice, swamp taro and yams (high negative impact), and sweet potato and taro (moderate impact) – physiological stress - Projections for changing climate in the Pacific generally improves conditions for pest growth and spreading staple crops specifically, fruit flies, mealybugs, scale insects, and whiteflies.	- including techniques for their consistent supply (germplasm collections, nurseries) - Farming and land use techniques facilitating soil and water conservation (e.g. mulching, organic farming, mixed cropping, drainage) - Water infrastructure (e.g. water tanks, solar water pumps) - Procurement and distribution of rainwater collection tanks - Capturing and storage of rain and groundwater resources (individual household and community storage capacities)
	Ocean acidification (aragonite saturation) and sea surface warming	- Rising sea surface temperatures as well as a projected increase in ocean acidification in the coming decades due to climate change will cause increased occurrences of coral bleaching, damage to migratory fish stocks, and overall decrease the health of the marine environment.^{51, 52, 53, 54} This will be especially impactful to near-shore coral reefs and the fish and other marine species that depend on these coral reefs for habitat. - A decrease in the health of these habitats could result in less catch for households that utilize these resources and result in an overall reduction in food security throughout FSM. The tuna license revenue in 2016 in FSM was approximately USD 63.2 million. Under high emission scenarios it is estimated that up to USD 16.4 million in revenue could be lost by 2050, which is a loss of 14.6% relative to 2016.⁵⁵ - An FAO review in 2013 projected declines in catches of tuna in FSM of about 15% also expected to cause reductions of about 0.8–1% in GDP, and about 1–2% in government revenue.	- Small scale aquaculture - Fisheries and coastal resources management⁵⁶ - Building value chains for crops, fisheries, and livestock⁵⁷
Natural climatic drivers	El Niño/La Niña phenomenon - drought	Although the incidence of drought is expected to decrease over the 21st century in FSM, ENSO conditions are expected to result in drought episodes in the following year, with severe impacts on: - Ground water resources: water shortages and drop in agricultural production due to unavailability of water - Agroecosystems: significant drop in yields for key crops such as coconut, taro and breadfruit - Biodiversity: localized loss of species and occurrence of wildfires - Economy: during drought periods, agricultural losses resulted in the need to import vital food supplies and bottled water - Water security: Groundwater on low-lying atolls is subject to perceptible reductions due to climate driven droughts. Results of an analysis⁵⁸ indicated that of the 105 atoll islands that were studied, only six would retain enough groundwater to sustain an island's community during a drought with similar conditions to the drought experienced in 1998.	

⁵⁰ SPC. 2016. Vulnerability of Pacific Island agriculture and forestry to climate change.

⁵¹ FSM. Chuuk Joint State Action Plan for Disaster Risk Management and Climate Change.

⁵² FSM. Pohnpei Joint State Action Plan for Disaster Risk Management and Climate Change.

⁵³ FSM. Yap Joint State Action Plan for Disaster Risk Management and Climate Change.

⁵⁴ FSM. Kosrae Joint State Action Plan for Disaster Risk Management and Climate Change.

⁵⁵ SPC Policy Brief #32 2019 Implications of climate-driven redistribution of tuna for Pacific Island economies.

⁵⁶ E.g. local marine protected areas and habitat conservation, sustainable fishing programmes, improved post-harvest practices.

⁵⁷ E.g. post-harvest and post-catch processing for small-scale and semi-subsistence livelihood practices

⁵⁸ Bailey et al. Groundwater Resources Analysis of Atoll Islands in the Federated States of Micronesia Using an Algebraic Model.

	El Niño/La Niña phenomenon - Sea level rise	Sea-level rise caused by climate change will combine with natural year-to-year variability resulting from climatic phenomena to accentuate the impact of storm surges and coastal flooding. Extreme high-sea level (tidal surges) for FSM are naturally recurring events but are expected to increase dramatically in frequency as a result of projected climate change. • To date there are no comprehensive studies on freshwater resources and climate change in FSM and there remain large data gaps especially for hydraulic modelling of atoll aquifer systems.⁵⁹ • However, it is clear that with the continued projections for sea level rise, storm surge and inundation events and unpredictable seasonal variations in rainfall and ENSO events outlined above, freshwater availability in FSM will continue to be negatively impacted due to climate change events in the coming decades. • Estimated costs of flooding from extreme rainfall events for a representative village are 15.59 million in 2050 and 23.01 million in 2100 (3% discount rate). • On average, in any one year, FSM is expected to incur USD 8 million in losses due to tropical cyclones and earthquakes. The relative contribution from earthquakes is small as most islands of FSM are situated in a relatively quiet seismic area. In the coming 50 years FSM has a 50% chance of experiencing natural disaster losses exceeding USD 105 million. Additionally, there is at least a 10% chance that FSM will experience a loss greater than USD 450 million and fatalities of more than 600 individuals.⁶⁰	
Non-climatic drivers	Deforestation	Deforestation exacerbates and is in turn exacerbated by the negative impacts of floods and landslides that are caused by climate change effects such as more intense typhoons⁶¹, resulting in: • Loss of arable land • Surface run-off, sedimentation, downstream pollution of waterways	• Watershed reforestation for landslide protection and flooding control • Restoration, rehabilitation or substitution of ecosystems relevant for adaptation (e.g. mangrove restoration, re-vegetation, sea-grass beds)
	High pressure on inshore fisheries	High fishing pressure may result in depletion of fish stocks as well as damage to inshore and coastal ecosystems, further exacerbating the impacts of climate change on inshore fisheries such as reduced production⁶²	• Rehabilitation of ecosystems relevant for adaptation (e.g. mangrove restoration, sea-grass beds) can provide nurseries for fish species
	Environmental pollution	Waste management is listed as a priority adaptation area for municipalities largely because of its impact on water and soil quality when mismanaged. While this can be an important adaptation strategy for Local Authorities, waste management projects will not be funded by this EDA project. Even still it is important to capture the stated priorities of the Local Authorities	

Related projects and interventions

27. There has been a number of past and on-going projects and initiatives in FSM that have sought to overcome some of the key climate change challenges previously mentioned. Specifically, the 'Practical Solutions for Reducing Community Vulnerability to Climate Change in the Federated States of Micronesia' Adaptation Fund project⁶³, the Pacific-American Climate Fund (PACAM)⁶⁴ projects administered through USAID, the recently approved 'Climate Resilient Food Security for Farming Households across FSM' GCF project and the Small Grants Programme (SGP) projects administered by the Global Environment Facility (GEF) have all aimed to increase adaptation capacity and implement sub-grants in FSM through NGOs.

Project / Programme title	Description	Additionality / complementarity with EDA Programme
'Practical Solutions for Reducing Community Vulnerability to Climate Change in the Federated	This is a nationwide Adaptation Fund project that has an overall project goal to build/increase the ecological, social and economic resilience of communities by reducing vulnerability to stressors from climate change.⁶⁵ The project focuses on protecting marine ecosystems in	The present programme proposal will work to leverage the past experience with small grants, particularly utilizing them to support specific local priorities for adaptation as well as the increased capacity of communities that have participated in

⁵⁹ SPC. [Federated States of Micronesia – IWRM Outlook Summary and NWTF Report](#).

⁶⁰ Pacific Catastrophe and Risk Financing Initiative, 2011.

⁶¹ Pacific-Australia Climate Change Science and Adaptation Planning Programme – Current and future climate of the Federated States of Micronesia; Available [here](#).

⁶² Bell et al. 2011. Vulnerability of tropical Pacific fisheries and aquaculture to climate change.

⁶³ Adaptation Fund – Practical Solutions for Reducing Community Vulnerability to Climate Change in FSM; Available [here](#).

⁶⁴ USAID – Pacific-American Climate Fund; Available [here](#).

⁶⁵ [Adaptation Fund – Practical Solutions for Reducing Community Vulnerability to Climate Change in FSM](#).

States of Micronesia' – Adaptation Fund	FSM and increasing their resilience to climate change. Expected outcomes of this project include: • Natural assets or ecosystems under protected area management are adequately protected/rehabilitated through effective legislative, institutional and financial arrangements and support. • Natural assets or ecosystems under protected area management are adequately protected/rehabilitated through effective State-level enforcement of MPA and nearshore fisheries legislation regulations. • Strengthened awareness and ownership of adaptation and climate risk reduction processes at local level. • Improved Knowledge Management for Protected Areas and Ecosystem based adaptation Solutions The project also leveraged an EDA Facility to provide support for 10 communities to implement priority actions identified in their Local Early Action Plans for climate adaptation - demonstrating that the small grants mode of delivery works well in FSM.	this project in regard to water conservation and coastal protection. Opportunities to be leveraged for the proposed EDA Programme: • Increased understanding of climate change risks/adaptation at the local level. • Improved protection of fishing grounds (food security).
Pacific-American Climate Fund – USAID	The PACAM regional programme provides grant support to NGOs operating in Pacific island communities in adapting to climate change.⁶⁶ The programme includes focus on capacity building through various means (technical training, workshops, purchasing equipment through grants, etc.) and projects are both regional and country/community specific. Relevant recent projects that have been implemented in FSM include 'Climate Change Adaptation through Family Gardens, Food, and Health' and 'Improving Community Climate Resilience in Micronesia'. The family gardens project aims at strengthening the capacity of households and school communities to grow food in FSM. The climate resilience project is a regional project that targets remote outer islands and strengthening community resilience to climate change risks and hazards.	The present programme proposal will work to leverage the community knowledge of implementing home gardens and other household level food security projects through the family gardens project and increased capacity for climate change adaptation planning on outer islands through the climate resilience project. The proposed EDA is synergistic with the USAID initiative as it will seek to increase community capacity to implement coastal management projects.
'Climate Resilient Food Security for Farming Households across FSM' – Micronesia Conservation Trust (MCT) Green Climate Fund (GCF)	This additional GCF project is focused on providing a system-wide solution to increasing the resilience of FSM's most vulnerable communities to food insecurity in the face of climate change. Goals of the project include strengthening the enabling environment with the agriculture sector at both the national and State-levels, providing an evidence-base for specific interventions, developing new opportunities for market access and development and targeting climate smart agricultural techniques and opportunities to be used at the household level.	Potential areas for leverage with the present programme include utilizing updated data, mapping, and climate information from the food security project to provide better targeted interventions across all three climate impact areas. The vulnerability assessments conducted as part of Component 1 of the MCT project will inform and guide the elaboration of sub-projects by LAs by supporting the prioritization and decision-making processes. Additionally, as the MCT project does not target outer atoll communities, the proposed EDA Programme will aim to provide sub-grants for climate-resilient agriculture and water security interventions to enhance the resilience of households in more remote communities, in addition to fostering activities undertaken under the MCT project. To ensure there is no duplication of efforts between the MCT project and the proposed Programme, the ECU will assess, using the sub-project screening form, the potential synergies and opportunities to be leveraged.
Small Grants Programme – Global Environment Facility (GEF)	The GEF SGP provides financial and technical support to communities in developing countries for small projects that conserve and restore the environment and enhance community well-being and livelihoods. The programme provides grants up to USD 50,000 to beneficiaries for project implementation.⁶⁷ Various SGP projects have been implemented in FSM and the region, including a climate food security project in the community of	The present programme proposal will work to leverage the increased capacity to implement various types of adaptation projects throughout FSM that has been increased through the SGP.

⁶⁶ [USAID – Pacific-American Climate Fund.](#)

⁶⁷ [GEF SGP.](#)

	Enimwahn and a coastal and land ecosystem rehabilitation project in the community of Satawan.	
ADB/GCF Pacific Islands Renewable Energy Investment Program	The Pacific Islands Renewable Energy Investment Program (the program) will support a paradigm shift from diesel power generation to renewable energy in seven Pacific SIDS and place the SIDS on a sustainable, climate resilient development pathway. Participating SIDS include Cook Islands, Tonga, Republic of Marshall Islands, Federated States of Micronesia, Papua New Guinea, Nauru and Samoa. In terms of adaptation, the project will focus in particular in floating solar panels on water reservoir to minimize evaporation and secure water supply (in Yap State), but also incorporate climate proofing into technical design of infrastructure.	The project is in the early stages of implementation, but it can inform the present programme on implementation of a GCF project in FSM and highlight specific challenges for project development in the individual FSM States. Further, to the extent that the States and Local Authorities have developed prior capacity with distributed renewable systems, particularly solar, the programme can leverage that capacity to support the design, operations, and maintenance of the PV systems envisioned to support adaptation solutions in the EDA sub-projects.
FAO El Niño drought: Food insecurity monitoring, preparedness and support in Micronesia and Melanesia	The project worked to mitigate risks to the food security and nutrition of vulnerable households created by El Niño-induced effects, particularly droughts. Specifically, the project: • Developed and designed a food availability monitoring system for data collection and analysis. • Trained government officials in Solomon Islands, Palau, the Marshall Islands and Micronesia (Federated States of) on the use of tablets populated with the Kobo Toolbox software for data collection, analysis and reporting. • Guided and assisted government departments to prepare implementation plans for data collection and monitoring capability for household food security and nutrition. • Liaised with ministries of agriculture and village leaders/local representatives to ensure regular collection and triangulation of data	The project also trained government officials and guided and assisted government departments to prepare implementation plans for data collection and monitoring capability for household food security and nutrition. This capacity will be helpful in guiding the development and implementation of food security sub-projects.

B.2. Theory of change (max. 1000 words, approximately 2 pages plus diagram)

Barrier analysis

28. A number of barriers continue to hamper the design, planning and implementation of food security, water security and infrastructure adaptation projects as well as the overall adaptive capacity of LAs. These barriers are listed below along with a short description, while the table further below demonstrates how the Programme will address them.

1) Information barriers:

- **Limited scientific and technical knowledge and understanding of climate change and adaptation programming:** There is currently limited availability of data and information on the impacts of climate change in FSM because the mechanisms and processes for producing such data are nascent. Information is this limited at this stage, but mechanisms are now in place (e.g. SPREP environmental portal for FSM⁶⁸, Pacific Data Hub) to improve climate information dissemination. Staff members from the Department of Environment, Climate change & Emergency Management (DECEM) have now been dedicated to maintenance of these portals. States have also been trained to be able to disseminate climate information easily. Specifically, FSM's Second National Communication to the UNFCCC highlighted⁶⁹ the limited information related to climate baseline data, vulnerability and adaptation assessments, and changing environmental, demographic, economic patterns and trends as a key knowledge barrier to adaptation. Further, there remains an insufficient scientific and technical knowledge in-country to effectively utilize climate change information and data.
- **Lack of central mechanism to collect climate change information and disseminate as needed at the state and local level:** There is currently no specific or dedicated mechanism in FSM to collect and disseminate climate

⁶⁸ <https://fsm-data.sprep.org/>

⁶⁹ FSM. Second National Communication to the United Nations Framework Convention on Climate Change; Available [here](#)..

change information; instead, the country relies on regional platforms⁷⁰. Climate change information is also shared in the schools by the Department of Environment, Climate Change and Emergency Management (DECCEM) and the International Organization for Migration (IOM) through projects (PREPARE and CADRE).

- **Limited local awareness of climate change from households and community members which leads to limited buy-in for climate adaptation priorities:** Outcomes of the stakeholder engagement process revealed limited awareness of the linkages between climate change and impacts on DRR and coastal protection, food security and water security.

2) Technical barriers

- **Limited experience in designing, implementing and managing climate change adaptation projects and limited operational capacities:** The Capacity Assessment conducted as part of the development of the Feasibility Study highlighted that although municipality capacity varies within and between States, in general, municipalities were found to have limited scientific and technical knowledge and understanding of climate change and adaptation programming, limited operational capacity and limited experience in designing, implementing, managing and undertaking monitoring, evaluation and learning for climate change adaptation projects. This includes limitations in human resources, equipment, tools, finance and procurement systems, amongst others.
- **Private sector has limited engagement in adaptation planning:** The NDA office has involved the private sector in its consultations for the preparation of the Country Program. The Chamber of Commerce is a member of the FSM Climate Change and Sustainable Development Council to ensure inclusion of the private sector. However, successful engagement of the private sector in climate change investments requires transformative economies of scale. As a small and fragile island economy, FSM doesn't have the capacity, resources and knowledge to fully engage its private sector with regards to mobilisation of capital from the private sector or active collaboration towards achieving the nation's climate change adaptation and mitigation targets.
- **Local climate change adaptation capacity is not sustained effectively:** Past attempts at projects have largely been one-off pilot projects that failed to build system-wide capacities for increasing the resilience of FSM's most vulnerable communities in the face of climate change. While some level of capacity is built during the implementation of such projects, they often lack sustainability. These capacities are thus soon lost. Other limitations or challenges include the brain drain, general level of educational attainment in the various states, the standard of education and available domestic educational opportunities or resources.

3) Financial barrier

- **Insufficient available financing from alternative sources to develop and implement locally relevant adaptation projects:** Climate finance funding has already been leveraged, but the funding amount is still inadequate to meet adaptation needs, considering the magnitude of potential climate change impacts. Further, more than 60% of the funds go "uncoordinated" among national institutions⁷¹ which creates a void for effective and coordinated financing for climate adaptation in FSM communities.

4) Institutional barriers

- **Uncoordinated government adaptation planning and integration into national policy frameworks:** While decision-makers' awareness of climate change is reasonably high; a concrete institutional response is at a very early stage in FSM. States have low adaptive capacity that is further constrained by weak linkages among government institutions nationally and between different levels of government and with communities.

4) Social barriers

- **Traditional social structures and conceptions can create complexities for the implementation of certain adaptation projects:** Micronesian societies (with the exception of Yap and a few atolls in Pohnpei), emphasize matrilineal descent where identities, titles, rights and acquisition to property are traced through female hereditary lines. Through colonization, women's rights to land ownership and their access to resources have changed from traditional matrilineal descent to a system with most decision-making related to land ownership and land use being retained by male members of the family. Key aspects of land ownership in the four FSM states are as follows:
 - **Pohnpei** – Private landowners have final authority on private land. However, any conflict goes through the Department of Land and the Land Commission (land court). The State has the final authority for all state-owned terrestrial land and marine resources. States make final decisions on the use and/or conservation of marine resources or the designated protected areas.

⁷⁰ The [Pacific Climate Change Portal](#) is used to access climate resources, news and events in the Pacific island's region. It is also linked with the [Pacific Environment Portal](#) which provides access to environmental datasets to support environmental planning, forecasting and reporting. Another tool that has recently been created to make datasets available (including climate change information) is the [Pacific Data Hub](#).

⁷¹ FSM Climate Change and Disaster Risk Finance; Available [here](#).

- **Kosrae** – Kosrae has similar laws to Pohnpei regarding land ownership. Kosrae Land Court has procedures to resolve conflict of interests regarding the use of private lands. For public lands, the use of these lands is regulated by state law in the public interest. Any use of the waters, lands, and other natural resources within the marine space of the municipality by the state government is subject to prior consultations between the state and the municipality where the marine space is situated.
 - **Yap** - For Yap, land ownership resides at the community level first (village/municipality) involving the resource owners, titled estates of the place, and traditional leader of the place. On land ownership/resource conflict, if brought to State Court and the issue has not been discussed at the Municipal Court (overseen by the chief of each municipality with appointed judges from the place), the State Court would defer it back to the Municipal Court. Decisions made at municipal court can be appealed to state level.
 - **Chuuk** – Land ownership and near shore marine resources are privately owned. However, Chuuk only issues title of certificate to terrestrial land ownership but not marine ones. As with any other state, any conflict goes through the court system but authority on conservation and natural resource use on privately owned lands lies with the private landowners. The state works with families and communities who owned near shore marine resources for conservation and natural resource use.
- **Socio-cultural and educational barriers coupled with limited representation leads to gender-blind design of climate adaptation policies and projects:** Although women's groups interviewed as part of the stakeholder engagement process reported that times were rapidly changing and that FSM society was heading toward a modern conception of women's roles and responsibilities, there remains gender inequality in some of the most remote LAs. Mainstreaming gender considerations and acknowledging the unique contribution to and knowledge of food security, water security and DRR has been lacking in both climate change adaptation policies and projects. The stakeholder engagement process revealed that women's groups felt they had limited capacity in adaptation project design, proposal development and project implementation and monitoring.

Table 3 below provides an overview of identified barriers and the proposed interventions to address them.

Table 3. Interventions to address the identified barriers to adaptation

	Barriers to adaptation	How the project will address specific barriers
Information barrier	Limited scientific and technical knowledge and understanding of climate change and adaptation programming	The Programme is working directly with LAs to build technical capacity for climate change, particularly climate change adaptation planning through particularly the climate adaptation decision support framework and training (Activity 1.1.1, 1.1.2) and the project preparation trainings (1.2.1, 1.2.2). SPC will develop a framework for LAs to identify and screen for climate change adaptation risks in their communities. The framework will include intensive community engagement to allow for inclusive identification and prioritization of adaptation solutions, as well as develop tools and frameworks which will allow LAs to match needs with potential sources of funding both national and international. Examples of resources which could be used to train the LAs include the Pacific Adaptation Tool ⁷² , the UNDP Toolkit for Practitioners- Designing Climate Change Adaptation Initiatives, the Community Based Risk Screening tool – Adaptation and Livelihoods (CRISTAL) and the USAID's Pacific Islands Development Program Small Grants Guide ⁷³ .
	Lack of central mechanism to collect climate change information and disseminate as needed at the State and local level	At least two (2) representatives per municipality will be trained (approximately 140 persons). At least two (2) representatives from relevant State agencies will also be trained (approximately 80). Areas for training will include but not be limited to (i) Problem Analysis- Defining and identifying the specific climate change related issues, (ii) Identifying key possible adaptation responses or preferred solutions, (iii) Barrier Analysis and Potential Solutions, (iv) Cost-Benefit Analysis (CBA), and (v) Stakeholder Consultation Techniques.
		There is no single and central mechanism to collect and disseminate climate change information, but there are some platforms regularly used in FSM to disseminate climate change information. Under the EU GCCA project, a climate change portal was created ⁷⁴ that has been used by the Government of FSM and others. It has also been linked with the INFORM portal ⁷⁵ , overseen by DECEM. Further strengthening of the climate change portal will be undertaken

⁷² <https://apt.pacificclimatechange.net/>

⁷³ USAID Pacific Islands Development Program "Small Grants Guide"; Available [here](#).

⁷⁴ <https://fsm-data.sprep.org/dataset/fsm-national-climate-change-data-portal>

⁷⁵ <https://www.sprep.org/inform/data-portals>

			under the EU GCCA SUPA project. The Government of FSM – and in particular DECEM – is thus in the process of strengthening information dissemination on climate change. This EDA project will contribute to the dissemination of information through these initiatives.
Technical barriers	Limited local awareness of climate change from households and community members which leads to limited buy-in for climate adaptation priorities		LAs and community stakeholders have been engaged throughout the initial project design to build awareness of climate change and identify key adaptation priorities. The Stakeholder Engagement Plan (Annex 7) details the ongoing stakeholder engagement and risk mitigation strategies, particularly awareness of climate change and integration of all community concerns into sub-grant design.
	Limited operational capacities (e.g., human resources, equipment, tools, finance and procurement systems, etc.)		To address the limited operational capacities, all of the LAs are receiving direct technical training and capacity building for project development and operations, as well as continued technical assistance through trainings on service delivery and project management/financial management support from SPC.
	Constrained project monitoring at the State and national level, which results in discordant climate financing		The direct training for the LAs specifically includes capacity building for designing, implementing, managing, and monitoring climate adaptation projects. The Programme will also be deploying specific support capacity to continue to guide the LAs throughout the sub-grant implementation. Strengthening of capacities and systems for monitoring and evaluation of adaptation measures will support informed decision-making, prioritisation and resource allocation on climate change at the national and sub-national levels. While this will mostly be at the municipal government and state level, this will be a strong foundation for building national level experience.
	Limited experience in designing, implementing and managing climate change adaptation projects		
	Private sector has limited engagement in adaptation planning		
	Local climate change adaptation capacity is not sustained effectively		The private sector is fully engaged in terms of consultations on climate change in FSM. For example, the private sector was extensively consulted for the development of the States Joint State Action Plans (JSAPs) for disaster risk management and climate change. The private sector is generally supportive of government decisions and initiatives on climate change. However, the limited capacity and scale/fragmentation of local private sectors in Pacific countries present challenges. LAs will be able to include the private sector and academia as part of their sub-grant applications as stipulated in the RCGF application process and relevant forms. The private sector can be included within the sub-grants from the RCGF as participants in an application. Similarly, academia can be included where there is a requirement for technical expertise within bids. The RCGF application and evaluation process has been modified to allow for the provision of more explicit information on the extent to which private sector and other actors are included in applications for sub-grants under the RCGF. The EOI form and Grant Application Form (Appendices I and II to the Operations Manual) have been modified to explicitly request information on private sector and other actors' involvement in sub-grants. Moreover, the Sub-Grant Review Checklist (Appendix VII of the Operations Manual) includes a specific evaluation question on the inclusion of private sector and other actors in the sub-grant applications. Likewise, academia will be encouraged to contribute to and support the development of the various capacity building materials. There is also potential for academia to serve as facilitating agents, where the expertise within FSM's academia matches the requirements for the facilitating agents. Finally, lessons learned and other information from the project will be shared with COM.
Financial barriers	Cost estimations for implementing adaptation measures/projects at the State level outstrips current department budgets		The Programme provides an influx of critical financing opportunities for state agencies and municipal governments to accelerate the addressing adaptation priorities that currently cannot be financed by existing budgets or alternative sources of financing. The direct access mechanism also ensures that the new financing is directly supporting adaptation priorities rather than more general development outcomes.
	Insufficient available financing from alternative sources to develop and implement locally relevant adaptation projects		
Social barriers	Land ownership and other social structures can create complexities for the implementation of certain adaptation projects		As explained in the barrier analysis above, individual communities will have differing structures and systems, but since private land ownership is varied, but mostly limited in much of FSM, the Programme will be focused on conducting

		Socio-cultural and educational barriers coupled with limited representation leads to gender-blind design of climate adaptation policies and projects	extensive community engagement and co-development of sub-grant proposals to ensure that any potential barriers that can arise for activities like siting/distribution of resources and interventions are managed proactively with communities. The Programme will comply with FSM government legislation with regard to land ownership/land tenure for sub-grants implemented in public locations. The Programme is deliberately working to address issues of gender equity and gender mainstreaming by providing for balanced representation and empowered decision making/training for women in project design and implementation and ensuring effective screening and technical expertise is in place to effectively support positive gender outcomes both in project design and throughout its implementation.
	Institutional barriers	A deficit in government coordination regarding integrating adaptation in FSM's national policy framework	The Programme's bottom-up approach to mainstreaming climate adaptation priorities as well as the direct LA financing through the EDA mechanism create a strong foundation for state and local level coordination of climate finance and adaptation priorities and addresses the current deficit in the national policy framework. GCF Focal points at the State level and the central government are currently working on improving coordination between entities through the Readiness II project. The proposed programme will support this coordination effort by leveraging the GCF State Focal Points to support the ECU and the NDA in the dissemination of information on the results of the programme. Specifically, under Component 1, the training activities (Output 1.1) along with the adaptation decision support framework and tools will help streamlining adaptation priorities.
		Climate finance and adaptation priorities are not coordinated at the State and national levels	

Theory of change

29. The proposed EDA Programme's Theory of Change (ToC) builds on the principle that reducing the vulnerability of local communities FSM depends on their empowerment and increased capacity to identify and understand climate change impacts on their livelihoods, and subsequently to design and implement climate adaptation solutions relating to food security, water security and DRR. Figure 5 presents the ToC of this Programme and demonstrates how the current barriers will be addressed through the Programme activities to achieve transformational change.
30. Component 1 supports a variety of capacity assessment and capacity building activities to ensure that LAs are able to access EDA resources and implement identified priority sub-projects⁷⁶. This will enable LAs to develop and implement effective projects tailored to their communities' local adaptation priorities. The key adaptation results delivered will include number of people trained in resilience planning and development of priority adaptation projects. Component 2 leverages this foundation to support the implementation of priority adaptation projects by the LAs. These projects will be tailored to local needs to build adaptive, anticipatory, and absorptive capacity in these communities in three critical sectors based on the prioritization process (more details on the prioritization process can be found in Section 5 of the Feasibility Study). Adaptation outcomes will vary from project to project, but are likely to include uptake of diversified, climate resilient livelihood options, improved food security and water security for vulnerable households, enhanced local coordination mechanisms, reduced economic and human costs from disasters/climate change, and overall increased resilience of target communities.

⁷⁶ During the programme design phase, a survey was conducted with LAs to assess their absorption capacity in light of the current and programmed funding received. Generally, municipalities have budgets ranging from USD 10,000 up to USD 500,000, while State agencies have handled grant amounts up to USD 1m. For more information on the survey conducted, please see Annex 4 of the Feasibility Study.

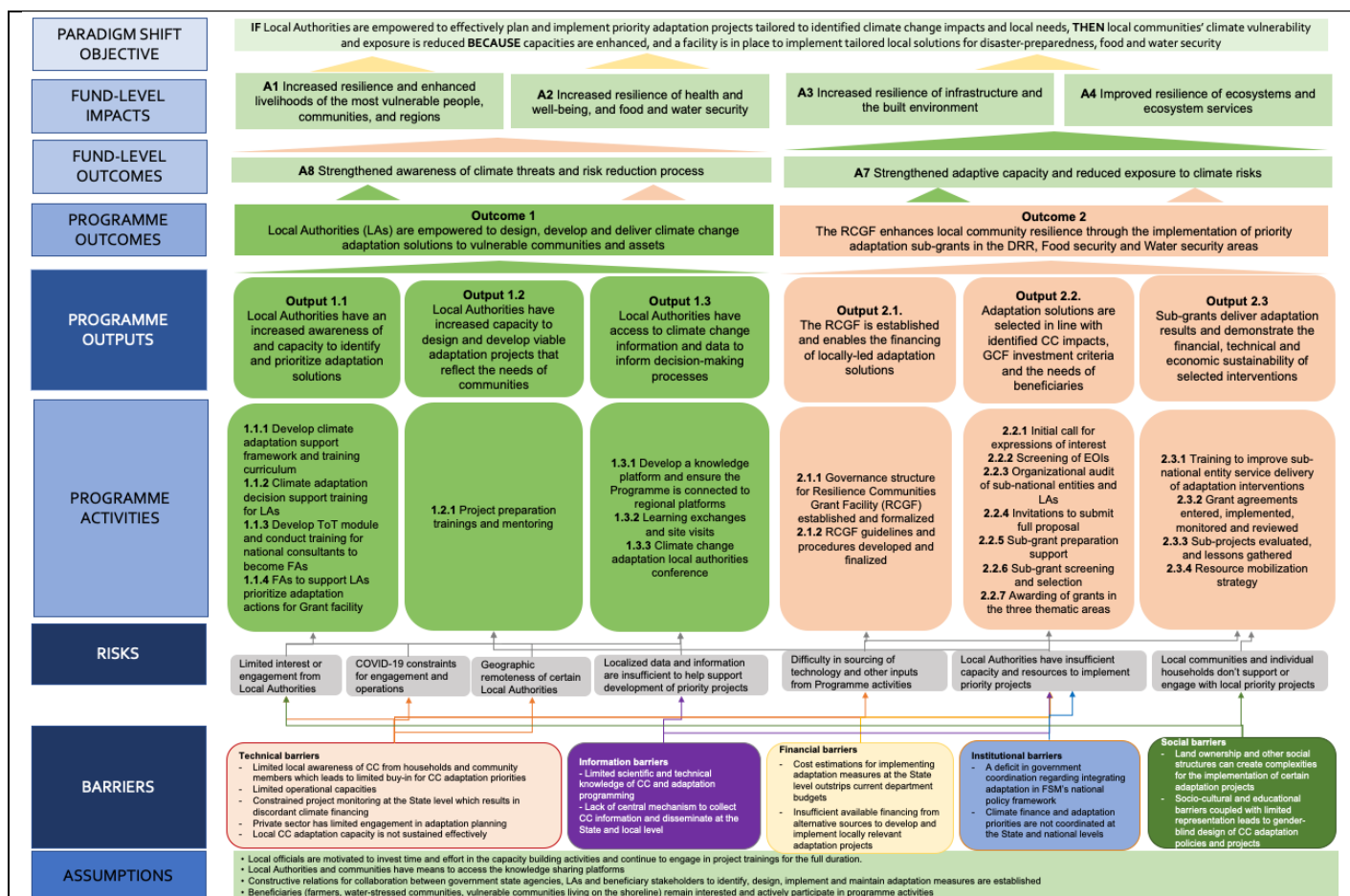


Figure 5. EDA Programme Theory of Change

31. Table 3 below summarizes the identified climate risks and impacts, and how the Programme's Theory of Change addresses these climate change impacts through adaptation interventions in the three thematic areas.

Table 4. Contribution of the EDA Programme Theory of Change to identified climate change impacts

Climate Risk	GCF Result Area	Thematic area	Evidence of Impact	Adaptation Intervention	Adaptation Benefit
Increased temperature	Health and well-being, and food and water security	Food security	Temperature increases of 2°C and beyond create significant physiological stress for most staple crops Reduced agricultural production results in food insecurity and reduced income for subsistence farming households	Promotion and dissemination of climate-resilient crop species and varieties ⁷⁷ (resilient to drought and pest) including techniques for their consistent supply and conservation (germplasm collections, nurseries)	Increased agricultural productivity and increased number of food-secure households in areas/periods at risk of climate change impacts e.g. droughts
Sea level rise		Food security	Saltwater intrusion contaminates the soil which results in decreased crop	Promotion and dissemination of saltwater resistant crop varieties ⁷⁸ , including	

⁷⁷ Varieties likely to include: salt- and drought-tolerant banana (Miri et al. 2009; Vanhove et al. 2012); salt-tolerant breadfruit (Ragone 1997); salt-tolerant swamp taro (Webb 2007; Rao 2010); and salt-tolerant sweet potato (van Kien et al. 2013; Carretero et al. 2007).

⁷⁸ Ibid.

			productivity and/or crop loss	techniques for their consistent supply and conservation (germplasm collections, nurseries)	
		Water security	Saltwater intrusion in freshwater sources and watersheds reduces the availability and quality of freshwater supply	Establishment of small-scale water storage infrastructure for capturing and storing rainwater	Increased freshwater availability and reduced frequency of water-borne diseases Increased number of water-secure households in periods at risk of climate change impacts e.g. sea surges
		Disaster Risk Reduction	Damage or destruction of coastal buildings and infrastructure, undermining community livelihoods	Small-scale coastal infrastructure	Decreased expected loss of economic assets due to the impact of sea level rise in the geographic area of intervention
Rainfall variability		Water security	Results in soil erosion, landslides and down-stream water pollution around watersheds, lowering water quality	Establishment of small-scale run-off catchments and/or rainwater harvesting	Increased number of people with year-round and off-season access to reliable and safe ⁷⁹ water supply despite climate shocks and stresses
Increased magnitude and frequency of extreme climate events such as storms and typhoons	<i>Most vulnerable people, communities, and regions</i>	Disaster Risk Reduction	Results in casualties and loss of lives	Early warning systems, emergency plans and shelters	Decreased expected loss of lives and economic assets due to the impact of extreme climate-related disasters in the geographic area of intervention
	<i>Infrastructure and built environment</i>	Disaster Risk Reduction	Results in loss of lives and economic assets such as buildings and community infrastructure	Rock revetment, sea walls, retrofitting of buildings	Physical assets made more resilient to climate variability and change, considering human benefits (reported where applicable)
	<i>Ecosystem and ecosystem services</i>	Disaster Risk Reduction	Reduced capacity of ecosystems to act as a natural protective barrier against extreme climate change events	Ecosystem restoration, rehabilitation (mangrove restoration, re-vegetation, sea-grass beds), planting of endemic species, wave breakers etc.	Increased coverage/scale of ecosystems protected and strengthened in response to climate variability and change
B.3. Project/Programme description (max. 2000 words, approximately 4 pages)					

⁷⁹ According to the Joint Monitoring Programme (JMP), “access to safe drinking water” is defined as the “availability of at least 20 l per person per day from an improved source within 1 km of the user’s dwelling”. “Improved source” includes household connections, public standpipes, boreholes, protected dug wells, protected springs and rainwater collections.

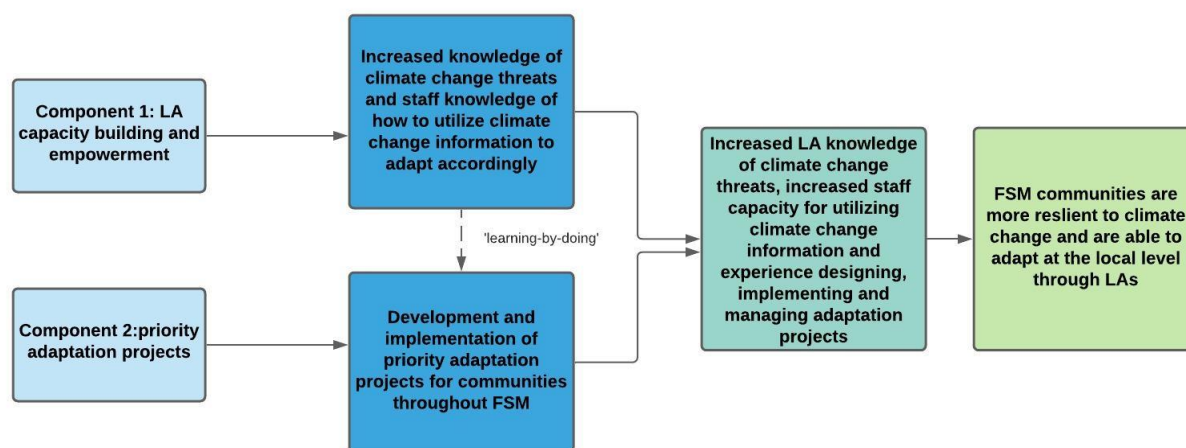


Figure 6 Process for delivery of climate resilient communities in FSM

Component 1. Local authorities empowered to deliver climate change adaptation services to their populations

GCF: USD 1,724,637

GoFSM: USD 70,000

Outcome 1: Local authorities are empowered to deliver climate change adaptation services to their populations

32. Across FSM, LAs (municipalities and the State-level governments) are well-situated to coordinate and develop local responses to climate change, to enable participatory decision-making, and to ensure financial and technical assistance resources reach beneficiary communities. The beneficiary assessment (See Annex 2, section 5) identified that capacity of LAs to respond to climate change in FSM is limited along a number of dimensions, which can be categorized by the availability of different forms of human, financial, and environmental capital⁸⁰. Component 1 is structured to address barriers to increased human capital to respond to projected climate impacts outlined in B.1, while the financial flows and access supported under Component 2 support the protection and resilience of the environmental capital of vulnerable communities.

33. Component 1 delivers three outputs to strengthen the capacities of LAs across FSM:

- Output 1.1 will directly address barriers such as the limited scientific and technical knowledge and understanding of climate change vulnerability and insufficient knowledge to effectively utilize climate change and adaptation information for adaptation programming;
- Output 1.2 will provide direct technical support on how to prepare climate change adaptation projects targeting the project's Resilient Communities Grant Facility (RCGF) to improve access to climate financing;
- Finally, Output 1.3 will create a knowledge management network for cooperation and sharing among different LAs (municipalities and State-government agencies) to share experience and develop solutions to local adaptation problems.

34. Component 1 activities will be implemented by a dedicated ECU that will be established under component 2 and hosted within SPC regional office in FSM. The ECU will have the dual responsibility to run the day-to-day operations of the EDA Programme and manage the RCGF under component 2 under the responsibility of SPC as the Executing Entity.

Output 1.1 Build technical expertise to identify and prioritize adaptation solutions

35. Activities under output 1.1 will deliver climate adaptation decision support tools and training to LAs empowering them with the scientific and technical knowledge and understanding of climate change vulnerability and adaptation options to identify and prioritize adaptation actions.

Activity 1.1.1 Develop climate adaptation decision support framework and training curriculum including interactive case studies targeting government officials

Implementing party(ies): ECU

36. To ensure a transformation in the way LA's and state agencies identify and prioritize appropriate local adaptation measures, SPC will develop an adaptation measure prioritization framework, climate risk screening tools and a

⁸⁰ A Method for Enhancing Capacity of Local Governance for Climate Change Adaptation (May 2020); Available [here](#).

training curriculum informed by scientific data and analysis that will support LAs to identify and screen for climate change adaptation risks and identify appropriate adaptation measures. Intensive LA and community engagement will present approaches from existing and successful toolkits that be adapted into a national “FSM Adaptation Measure Prioritization Framework” which will then be presented to the Climate Change and Sustainable Development Council for potential endorsement. Existing toolkits that will be adapted include the Pacific Adaptation Tool⁸¹, the UNDP Toolkit for Practitioners- Designing Climate Change Adaptation Initiatives⁸², the CRISTAL tool⁸³ and the USAID’s Pacific Islands Development Program Small Grants Guide⁸⁴. This will incorporate the following gender-responsive sub-activity from the Gender Action Plan⁸⁵:

- Activity 1.1.1. Gender Responsive design incorporated into sub-grant development training; localized strategies for gender mainstreaming, gender criteria, and implementation are developed

Activity 1.1.2 Climate adaptation decision support training for local authorities (2 trainings per State)

Implementing party(ies): ECU

37. SPC will train LAs on the framework and resources identified and provide an introduction to the EDA Facility to familiarize local government officials with the objectives of the facility, the process, eligibility criteria, and details of the three thematic areas for adaptation sub-grants. At least two (2) representatives per municipality will be trained (approximately 140 persons). At least two (2) representatives from relevant State agencies will also be trained (approximately 80). Each State will have two trainings, one for municipalities and one for State agencies. The NDA will make recommendations on the invitation of representatives from municipality and state agencies. Based on these invitations, the municipality and state agencies would nominate their preferred representative.

38. Areas for training will include but not be limited to (i) Problem Analysis- Defining and identifying the specific climate change related issues, (ii) Identifying key possible adaptation responses or preferred solutions, (iii) Barrier Analysis and Potential Solutions, (iv) CBA, and (v) Stakeholder Consultation Techniques. This will incorporate the following gender-responsive sub-activity from the Gender Action Plan⁸⁶:

- Activity 1.1.2. Resilience training, includes training on gender-mainstreaming for climate resilience, for local authorities’ staff and elected and appointed officials

Activity 1.1.3 Develop train-the-trainer’s module and conduct training for national consultants and/or local NGOs in each State to become Facilitating Agents

Implementing party(ies): ECU

39. NGOs and national consultants from all four states will be selected and procured by SPC through a competitive process to serve as technical support Facilitating Agents (FAs) and will provide capacity and project implementation support. The selection criteria for the national consultants and/or local NGOs will be based on individual fields of expertise, job titles or track record delivering on projects or initiatives in food security, water security, DRR and coastal protection in relation to climate change adaptation. SPC will develop and deliver a train-the-trainer’s module to ensure FAs can support LAs in the prioritization and development of climate change projects, particularly for the EDA Facility. FAs will be added to a roster of experts and paired with LAs by SPC based on FAs’ expertise and experience.

Activity 1.1.4 Facilitating Agents to support LAs prioritize adaptation actions for Grant Facility

Implementing party(ies): ECU, FAs, State GCF Focal Points

40. Based on the beneficiary assessment, municipalities and State government agencies will need tailored support to catalyse relevant project ideas that will be channelled through the EDA Facility in component 2. FA’s will conduct site-visits to State agencies and individual municipalities (approximately 70–80 site visits will be conducted) to provide support to LAs for consultations with communities and to prioritize adaptation actions under the FSM Adaptation Measure Prioritization Framework. All LAs will be eligible for technical assistance under this activity, although priority will be given to municipalities or state agencies showing the highest level of vulnerability as well

⁸¹ See: <https://apt.pacificclimatechange.net/>

⁸² See: <https://www.adaptation-undp.org/resources/training-tools/designing-climate-change-adaptation-initiatives-toolkit-practitioners>

⁸³ See: <https://www.iisd.org/cristaltool/>

⁸⁴ USAID Pacific Islands Development Program “Small Grants Guide”; Available [here](#).

⁸⁵ See Table 7 in Annex 4: GCF Gender Assessment and Action Plan GAAP

⁸⁶ See Table 7 in Annex 4: GCF Gender Assessment and Action Plan GAAP

as the lowest level of adaptive capacity to implement resilience-building activities. This will incorporate the following gender-responsive sub-activity from the Gender Action Plan⁸⁷:

- Activity 1.1.4 Integration of gender considerations into the development of sharing mechanisms and a community of learning and practice

Output 1.2. Technical support on project preparation

41. Once project priorities have been identified under output 1.1, training will be provided by FAs (locally) and international experts (remotely) to LAs on how to develop adaptation sub-grants targeting the EDA Facility. This will be done through deploying FAs directly to municipalities and State governments to conduct targeted training.

Activity 1.2.1 Project Preparation Trainings and Mentoring

Implementing party(ies): ECU, FAs, State GCF Focal Points

42. Two to three (2-3) workshops per State will be held on eligible sub-grant activities (under the food security, water security and DRR/coastal protection themes), project preparation and development, targeting around five (5) FAs per State for a total of twenty (20).⁸⁸ Training will support municipalities and State-government agencies to submit an expression of interest (EOI) through activity 2.2.2 and a full sub-grant proposal through activity 2.2.6. A guideline will be developed to explain how GCF investment criteria and results management framework, gender and environmental and social safeguards is to be incorporated into the sub-grant design. The guide will also incorporate USAID's Guide to Climate Change Adaptation Project Preparation.⁸⁹ Areas of training will include: (i) Elements of project design and formats; (ii) Community Engagement Processes (ii) Budgeting and Economic and Financial Aspects, (iii) Implementation and management arrangements and (iv) Monitoring, Evaluation and Reporting. This will incorporate the following gender-responsive sub-activities from the Gender Action Plan⁹⁰:

- Activity 1.2.1a Capacity support to local authorities to strengthen ability of staff to integrate gender considerations into project design and gender-responsive project design in local authorities based on audits
- Activity 1.2.1b Ensure inclusive stakeholder consultations for identifying adaptation priorities

Output 1.3. Knowledge sharing mechanisms to develop and foster a network of local government authorities

Activity 1.3.1 Develop a knowledge platform and ensure the Programme is connected to regional platforms across the Pacific

Implementing party(ies): ECU

43. A web portal will be developed to host all materials developed as part of the project including the guide (activity 1.2.1) and FSM Adaptation Measure Prioritization Framework (activity 1.1.1) all training materials, webinars, and communication tools and information on FSM adaptation approaches, methods and tools that facilitate the planning and implementation of adaptation actions, as well as the municipal-level and sub-project level data collected (activities 2.2.3 and 2.3.2). The platform will also host the knowledge portal including monitoring and reporting results (activity 2.3.2) and lessons learned collated (activity 2.3.3). Additionally, to encourage remote working where possible, the platform will connect users via relevant and appropriate social media accounts and cross-platform messaging and teleconference services. Learning exchanges and a national FSM conference on adaptation action (activity 1.3.3) will support integration of the knowledge platform. The web portal will also connect to the data portals and knowledge communities that already exist in the Pacific such as SPC's [Pacific Data Hub](#), the [Pacific Climate Change Portal](#), and SPREP's [Pacific Environment Portal](#). This will include the following sub-activity from the Gender Action Plan:

- Activity 1.3.1 The programme web portal and database include sex-disaggregated data at the municipal and sub-project level on the three thematic areas and on key socioeconomic indicators to inform the design of future adaptation interventions.

Activity 1.3.2 Learning exchanges and site visits

Implementing party(ies): ECU, NDA office, State GCF Focal Points

44. To promote cross-learning and create a network of climate change advocates and practitioners among local government officials across FSM, this activity will support learning exchanges between LAs as well as site visits to ongoing projects funded through the EDA Facility. SPC hosted learning exchanges (in years 3 and 5 of the project)

⁸⁷ See Table 7 in Annex 4: GCF Gender Assessment and Action Plan GAAP

⁸⁸ The number will vary depending on the breakdown of individual consultants versus non-governmental organizations that are selected. For example, an NGO may be able to support a greater number of LAs than an individual and the number of individual consultants would therefore be less).

⁸⁹ https://www.weadapt.org/sites/weadapt.org/files/2017/august/guide_to_climate_change_low_re.pdf

⁹⁰ See Table 7 in Annex 4: GCF Gender Assessment and Action Plan GAAP

allow for regional dissemination and lessons sharing between Pacific island officials regarding similar issues through site visits by local government officials to other countries and relevant workshops and conferences. To foster the engagement of the private sector in future sub-projects and the overall grant facility, private sector actors will be identified and invited to participate in the learning exchanges and workshops. Initial criteria to be used for the selection of private sector participants will include:

- Businesses that can be directly (hardware stores that supplies water catchment tanks) or indirectly (restaurants or food retailers through the food security sub-projects) impacted by the sub-projects
- Businesses that are capable or can contribute to the provision of resilience-oriented goods, finance or services.

45. Additionally, the criteria will include the following gender-responsive target from the Gender Action Plan:

- Activity 1.3.2 Learning exchanges and site visits promote gender-sensitive cross-learning between climate change practitioners, local officials and private sector actors: At least 25% of private sector actors invited will be women and/or women owned businesses

Activity 1.3.3 Climate change adaptation local authorities conference

Implementing party(ies): ECU, NDA office, State GCF Focal Points

46. One conference will be organized toward the end of the overall EDA Programme implementation to allow LA officials to showcase implemented projects and reflect on challenges, successes and lessons learned and to revisit the Programme's exit and sustainability strategy as well as progress on the recapitalization of the EDA Facility. As above, private sector actors will be invited to join in the conference to learn on the successes and opportunities generated by the EDA Programme. This will include the following sub-activity from the Gender Action Plan:

- Activity 1.3.3 Climate change adaptation local authorities conference promotes the inclusion of women and women-owned businesses as key agents for adaptation planning: a minimum of 25% of private sector actors invited will be comprised of women and/or women-owned businesses.

Component 2. Priority project implementation-Grant Facility for Enhancing local community resilience

GCF: USD 13,943,717

SPC: USD 91,750

GoFSM: USD 2,807,571

Outcome 2: Grant Facility for Enhancing local community resilience through priority adaptation projects implementation

47. Under Component 2, SPC (via the ECU) will establish a Resilient Communities Grants Facility (RCGF) (output 2.1) to address the long-term vulnerabilities identified in the feasibility study (annex 2). The RCGF will provide sub-grants for sub-grants prioritized under Component 1. The RCGF will award grants and provide targeted technical assistance to LAs and State governments across all four FSM States including outer atolls (output 2.2). It will support 30–40 sub-grants in the range of USD 75,000–1,000,000. An estimated breakdown of size of projects is provided in Table 3 below:

Table 4. Indicative Breakdown of Sub-grants by grant size

Number of Projects	Sub-grant Range (USD per project)	Total Average Amount*	Municipal/State Implemented
15-20	75,000-250,000	2,550,000	Municipal
10-15	250,000-500,000	4,500,000	Municipal and State
5	500,000-1,000,000	3,750,000	State
Totals: 30-40	75,000-1,000,000	12,000,000	

*Taking average of the range x the average of the number of projects within the sub-grant range

48. The stakeholder consultation process, climate change vulnerability analysis and other studies conducted and presented in the project feasibility study (see: Annex 2, section 12) identified three priority thematic areas and a list of indicative intervention prototypes across DRR and coastal protection, food security and water security (see: Annex 2, appendix 7).

49. In addition to building climate resiliency, the EDA Facility, through the awarded grants, will assist in strengthening the local managerial and financial as well as monitoring, evaluation and learning (MEL) capacities so that the recipient LAs develop sufficient capability to implement adaptation sub-grants and sustain the country's climate-resilient development in the long term.

50. Sub-projects will be informed and selected based on past viability of similar projects and interventions in FSM and other Pacific communities. Modelling, feasibility analysis and design of sub-grants will ultimately be driven by the context and needs of the LAs requesting sub-grants as **prescriptive preselection of sub-projects ex-ante weakens the EDA approach of building the capacity of LAs to identify, prioritize and develop projects**

themselves. As such, the EDA Programme provides FAs and specialized consultants support to technical assessment and design of sub-grant activities (e.g., engineering design for solar water pumping, planting environmental management plans for mangrove restoration). Alignment with GCF funding requirements will be ensured through stringent approval criteria of sub-grant proposals and screening processes conducted by the ECU (activities 2.2.2, 2.2.7). The three thematic areas, which can be cross cutting, and their sub-grant interventions are outlined below (for detailed description including examples refer to Annex 2, section 11).⁹¹

Table 5. Thematic areas and adaptation interventions for the EDA Programme

Thematic area description	Adaptation interventions
Climate-induced DRR and Coastal Protection:	
Climate impacts: Including interrelated coastal erosion, sea level rise, storm surges associated with typhoons and tropical storms as well as flooding and landslides due to extreme rainfall and storm events. DRR sub-projects: Community-led, that can safeguard lives, livelihoods and infrastructure. Depending on the climate change projections for the area, such projects could prepare for extremes ranging from flash floods to typhoons. Coastal protection sub-projects: Ecological infrastructure can in some cases play a role in buffering extremes, and as such be incorporated as part of climate-proof small infrastructure projects. Such interventions will need to be linked to projected climate change related impacts on communities being reduced or prevented as a result of healthy and functioning ecosystems.	- Retrofitting existing buildings to climate-proof against increased storm incidents (e.g., cyclone proofing, solar panels, rainwater tanks) - Watershed reforestation for landslide protection and flooding control - Small-scale coastal infrastructure constructed that will reduce the risk of losses and damages caused by climate-induced disaster events (as appropriate, use of endemic species planting, wave breakers, man-made channels) - Restoration, rehabilitation or substitution of ecosystems relevant for adaptation (e.g., mangrove restoration, re-vegetation, sea-grass beds) - Equipping municipalities with necessary tools to respond to climate-induced disaster, including emergency plans, building shelter, medical and other supplies
Food Security⁹²	
Climate impacts: Climate change-induced extreme weather events and sea-level as well as the projected impacts of warmer atmospheric and open water temperatures, erratic rainfall intensity and distribution, more frequent and more intense tropical cyclones etc and their effect on land, soil and water resources, agricultural production systems (including those of livestock and fisheries), infrastructure, and social (community) systems. Food security sub-projects: Address the management of cropland, livestock, forests and fisheries. Sub-projects that aim to support food security under the new realities of climate change through sustainable and equitable transitions for agricultural systems and livelihoods as well as access to markets and value chains. Specifically, to target increased productivity (i.e., produce more food and boost local incomes) and enhanced ability of communities to adapt to climate change and weather extremes. In FSM, it is important to also support benefits to coastal ecosystem (e.g., by reducing sediment into the coastal zone through taro swamps, reducing pressure on wild-caught fisheries, reducing pollutants from fertilizers).	- Development and use of climate-resilient crop species and varieties (resilient to drought, waterlogging, saltwater, pests), including techniques for their consistent supply (germplasm collections, nurseries) - Farming and land use techniques facilitating soil and water conservation (e.g., mulching, organic farming, mixed cropping, drainage) - Small scale aquaculture - Fisheries and coastal resources management - Livestock management - Watershed management - Establishment of agroforestry demonstration sites integrated with livestock - Building value chains for crops, fisheries, and livestock
Water Security	
Climate impacts: Climate-induced disturbances in water supply and security including reduced aquifer recharge from hydrological disturbances, salinization and contamination of aquifers from sea-level rise and flooding Water security sub-projects: interventions that address increased impacts of droughts in Yap and Chuuk; shortages in freshwater supplies, especially in the outer islands; increased incidence of lowland flooding and seawater inundation, especially in the steep topographies of Chuuk, Pohnpei and Kosrae.	- Water distribution infrastructure (e.g., solar water pumps) - Procurement and distribution of rainwater collection tanks - Reducing leakage of reticulated systems and water storage facilities - Water saving (e.g., introducing compost toilets, demand management through awareness raising) - Water quality enhancement and assurance - Solar water purifiers

Output 2.1 Establishment of Resilient Communities Grant Facility (RCGF)

Under this output, SPC will establish the EDA Facility that will openly and competitively fund applications for adaptation measures. The output will put in place the relevant requirements, rules, and regulations for the RCGF. It will be established and function as a grants funding mechanism to be governed as set out in this funding proposal and in accordance with the Operations Manual, operating in the legal name of SPC as the sole executing entity for this project.

⁹¹ The indicative list of interventions for each thematic area will be refined by the governing bodies at the outset of the Programme.

⁹² This EDA programme proposal has been developed in constant communication with the proponents of the GCF project "Climate resilient food security for farming households across the Federated States of Micronesia". It will be implemented in a complementary manner to ensure that any food security action taken does not result in duplication of efforts.

Activity 2.1.1. Governance structure for RCGF established and formalized

Implementing party(ies): ECU, NDA office, State GCF Focal Points

51. SPC Micronesia Regional Office (MRO), in partnership with FSM Department of Finance and Administration (the GCF NDA) will establish all committees, review panels (including expertise for E&S and gender assessment reviews) during the first six months of Programme implementation. SPC and the NDA will identify and recruit personnel for committees from relevant organizations and plan steering committee meetings (see B.4 for detailed structure). As the Executing Entity, SPC will bear responsibility for the overall governance of the RCGF as well as provide quality assurance, oversight and monitoring functions for the EPB and ECU. This includes mediation and final decision-making by the SPC Representative in cases where consensus cannot be reached within the Board, in accordance with SPC's role as the Executing Entity for the project (please see Section B.4 and Annex 21: Operations Manual). This function for final investment decision-making will ensure compliance of the on-granting mechanism of the EDA Programme with GCF and SPC's relevant policies, but all decisions made will be based on and with the full involvement of the government and non-governmental members of the EPB.
52. The stakeholder engagement during the project preparation phase indicated willingness on the part of various stakeholders – including the government of FSM – to participate in the governance structure for the EDA programme, but formalization of this structure was not possible without an active project under which such formalization could take place. Consequently, this will take place during the inception phase of the project implementation. This will incorporate the following gender-responsive sub-activity from the Gender Action Plan⁹³:
 - Activity 2.1.1 Establishment of inclusive and representative EDA Programme Board and Grants Technical Evaluation sub-committee

Activity 2.1.2 RCGF guidelines and procedures endorsed and adopted by EDA Programme Board

Implementing party(ies): ECU

53. Based on Annex 21: Operations Manual, the guidelines and procedures of the RCGF will be updated (if necessary) by the ECU. This will include any necessary further detailing of the overall procedures of the RCGF and refinement of guidance documents and forms for LAs to access the RCGF (based on Appendices I, II, III, IV and VII of Annex 21: Operations Manual). These will then be presented for endorsement and adoption as the procedures by which the RCGF will function by the EPB, as the governance mechanism responsible for overall guidance and direction to the EDA Programme. Figure 7 below and output 2.2 provide an overview of the RCGF, sub-grant review criteria, and details eligibility criteria. This will incorporate the following gender-responsive sub-activities from the Gender Action Plan⁹⁴:
 - Activity 2.1.2.a Development of tender documents for the technical support to ensure adequate gender expertise for EDA programme and EDA Facility
 - Activity 2.1.2.b Refinement of gender review criteria for sub-grant selection

Output 2.2 Grant award selection

54. Under this output, the ECU (a unit to be established within SPC as the Executing Entity for the project) will operate the RCGF. Calls for expressions of interest (activity 2.2.1) and full proposals will be launched (activity 2.2.5). Grants for adaptation investments will be screened (activities 2.2.2 and 2.2.7) and awarded (activity 2.2.8) to LAs (either State or municipal-level entities) for priority adaptation sub-projects worth USD 75,000–1,000,000 across DRR and coastal protection, food security, and water security thematic areas. The EDA facility will also support LAs through technical assistance activities. An organizational audit (2.2.3) will determine whether the applicant has the necessary capacity to implement the proposed sub-grant. Based on the audit and sub grant screening selection, targeted technical assistance will then be provided to a) improve LA's service delivery of adaptation interventions (activity 2.2.4), and b) prepare subgrants, to ensure sufficient capacity to identify, prioritize and design a range of adaptation investments. To ensure no LA is left behind, additional targeted technical assistance will be provided by FAs appointed by ECU to support LAs who fail to meet RCGF funding criteria.

⁹³ See Table 7 in Annex 4: GCF Gender Assessment and Action Plan GAAP

⁹⁴ See Table 7 in Annex 4: GCF Gender Assessment and Action Plan GAAP

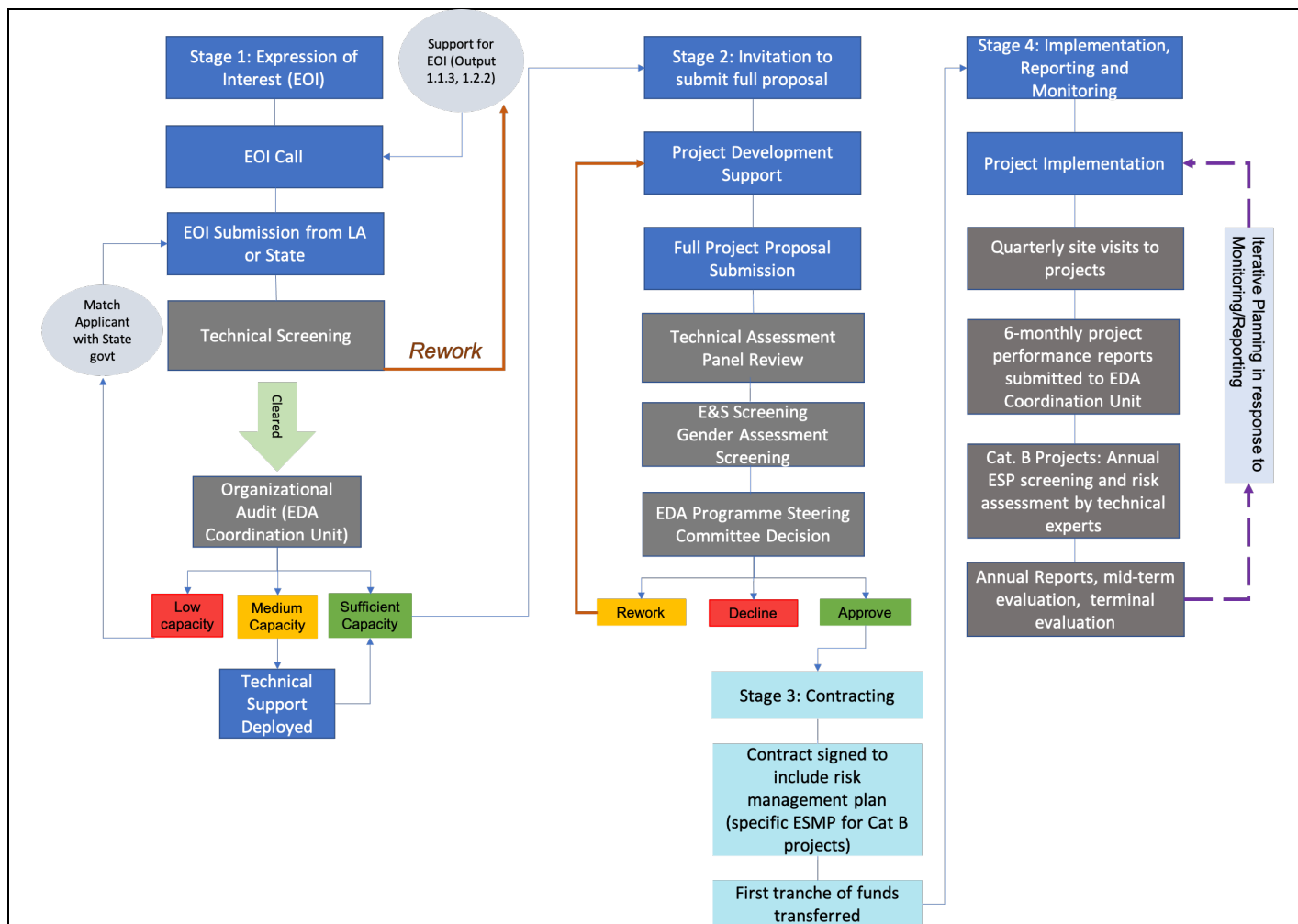


Figure 7 EDA Facility grant award procedure overview

55. The Programme also prioritizes funding for LAs that are considered the most vulnerable to climate change based on an assessment of 1. potential climate impacts and 2. adaptive capacity assessment. As such, the ECU will ensure that at least 40–50% of the grants will go to LAs with a capacity rating of less than 3.6 (for prioritization see: Annex 2, section 5). Details on the types of eligible projects under these three thematic windows is detailed in Annex 2, section 11. The Sub-Grant Review, EOI, and Intake Form are in Appendix 4 of Annex 2.

Activity 2.2.1 Initial call for expressions of interest

Implementing party(ies): ECU, FAs,

Based on priority adaptation solutions identified under Activity 1.1.2 and Activity 1.1.3, ECU will release an initial call for EOI for all LAs in Q3 year 2. Four (4) further calls for EOI will occur, with one call per annum in year 3, 4 5 and 6. If any EOIs are issued in Q3 Y7, they would be expected to proceed under the auspices of the RCGF itself upon its recapitalisation after successful resource mobilisation (see Activity 2.3.4) rather than under the project, i.e. using non-GCF finances. Additional technical assistance to improve EOI applications will be provided by FAs to encourage LAs that did not submit an EOI to submit in the next round. This will incorporate the following gender-responsive sub-activity from the Gender Action Plan⁹⁵:

- Activity 2.2.1 Inclusive sub-grant design process

Activity 2.2.2 Screening of Expressions of Interest

Implementing party(ies): ECU

56. The EOI process will allow the ECU to pre-screen sub-grants against the GCF investment criteria, eligibility under the EDA Facility's three thematic areas, E&S risk level, climate reasoning and rationale and level of community input/engagement (the sub-grant review checklist can be found in Annex 4 of the Feasibility Study). Additionally,

⁹⁵ See Table 7 in Annex 4: GCF Gender Assessment and Action Plan GAAP

the ECU will ensure that the financing needs of the applicant cover the total cost of the chosen adaptation measure. If an applicant fails to submit an application that meets the eligibility criteria, ECU will allocate targeted technical assistance support to LAs to align their EOIs application with pre-screening criteria. Sub-grant alignment with GCF investment criteria is outlined in the table below. This activity will incorporate the following gender-responsive sub-activity from the Gender Action Plan⁹⁶:

- Activity 2.2.2 Sub-grants reviewed and directed technical assistance provided for sub-grants, to ensure appropriate gender mainstreaming as needed

Table 6. Sub-grant Alignment Matrix for GCF Investment Criteria

GCF Investment Criteria	Description	Intake Form
Impact Potential	Overall adaptation potential; Results based on GCF Impact Indicators	"Potential for Impact" section addresses overall climate adaptation potential and impact across selected GCF adaptation metrics
Paradigm Shift	Potential for transformative change from the status quo including the specific innovations leveraged, learning potential, sustainability and replicability of results	"Innovation, Change, and Sustainability" section addresses shift from status quo, innovation, learning potential, and project sustainability
Sustainable Development	Environmental, Social, Economic, and Gender-Sensitive development co-benefits	"Other Benefits" section includes expected benefits for environment, social systems, and economic systems. The "Gender" section assesses gender-sensitive development impact.
Needs of Recipients	Alignment with the specific community/beneficiary needs and priorities	"Community Needs and Priorities" section assesses community needs/priorities and the specific community engagement processes that have been utilized
Country Ownership	Alignment with relevant FSM, State, and local policies and plans	"Community Needs and Priorities" section includes question on alignment with specific plans/policies
Efficiency and Effectiveness	Financial and operational efficiency and effectiveness of grant resources	"Efficiency" section assesses the sub-grant's approach to using grant resources effectively and utilizing best available technologies.

57. Additional considerations to be taken by the ECU in the conduct of the screening of sub-grants will include the complementarity or additionality of the proposed sub-project with existing and ongoing initiatives, particularly with that of the MCT project "Climate resilient food security for farming households across the Federated States of Micronesia", approved by GCF as SAP020. The ECU will prioritise interventions relating to food security in outer atoll communities, and will seek to address gaps to ensure potential beneficiaries in the most vulnerable and remote locations can access the RCGF.

Activity 2.2.3 Organizational audit of sub-national entities/LAs undertaken

Implementing party(ies): ECU

58. Once the EOI is cleared by ECU, the ECU will initiate an organizational audit under activity 2.2.3 to determine the capability of the LA to manage and implement the proposed sub-grant and initial E&S risk level. If the LA is evaluated as "medium-capacity", it will mean that technical training (2.3.1) and support from FAs will be considered sufficient to develop and implement the sub-project. In addition to training under 2.3.1, municipalities who are evaluated as "low capacity" will be able to choose to receive additional support either from a State agency or from SPC as outlined below:

- Option 1 - The lower capacity LA (in this case, usually a municipality) would be matched with a higher capacity LA (usually a State agency) to collaborate on the sub-grant and resubmit the EOI in the next call with the higher capacity LA as the lead agency.
- Option 2 - The ECU would serve as the financial and procurement provider and directly support project implementation in collaboration with the LA (in this case, usually a municipality).

59. As detailed in the Sub-Grant Review Checklist (Appendix VII to Annex 21 Operations Manual), applicants will be assessed according to their abilities to comply with GCF requirements including management of E&S risks, alignment with GCF investment criteria, mainstreaming of gender considerations and other relevant aspects.

60. Specific conditions will apply to the LAs that are State agencies to make sure local communities, through municipalities, will remain the target beneficiaries of sub-grants and further capacity building/skills transfer will be provided to municipalities during project implementation.

61. A summarized audit report will inform a training manual to improve sub-national entity service delivery of climate adaptation interventions under activity 2.3.1. The report will also inform the training manual and training conducted

⁹⁶ See Table 7 in Annex 4: GCF Gender Assessment and Action Plan GAAP

for project management, reporting, finance and procurement where appropriate for applicant entities under activity 2.3.1.

62. In parallel to the organizational audits, a data collection exercise will be carried out in order to address the lack of municipal-level data available for the design of gender-responsive adaptation measures at the local-level. This exercise will include the collection and compilation of gender-disaggregated data pertaining to governance, civil society, food security, water security and disaster risk reduction. Types of data collected will include number of women and men involved in governance processes, number of food (in)secure households, number of water (un)safe households, number of assets at high risk of climate impacts, number of women-owned businesses, cooperatives and land, and women's groups.

Activity 2.2.4 Invitations to submit full proposal

Implementing party(ies): ECU

63. The ECU will issue invitations to the LAs to submit project proposals if an EOI passes screening and there is no duplication with other ongoing support in FSM. The ECU will prepare and share invitation documents for LAs including full proposal document templates and guidelines (based on those presented in the feasibility study (Annex 2)).

Activity 2.2.5 Sub-grant preparation support provided

Implementing party(ies): ECU

64. Applicants invited to submit a full proposal may request support for full project preparation. SPC and the ECU will deploy Consultants and NGOs trained under activity 1.2.1 as FAs to support applicants in their preparation of full proposals. Support can be provided, among others, to develop the proposal further, sub-grant climate rationale, logical framework, conduct further stakeholder engagement processes with target communities, undertaking a gender analysis, conduct an E&S screening. If the sub-grant is deemed to be a medium risk project (Category B) SPC will deploy an independent contractor to conduct an Environmental Impact Assessment (EIA) and associated E&S Management Plan (ESMP) for the project based on the proposal received. This will incorporate the following gender-responsive sub-activity from the Gender Action Plan⁹⁷:

- Activity 2.2.5. Technical assistance support to local authorities to strengthen gender in sub-grant design

Activity 2.2.6 Sub-grant screening and selection

Implementing party(ies): ECU, EPB

65. Following training, LAs will be invited by the ECU to submit their full proposal and will have 3-4 weeks to prepare it, with potential support from FAs (activity 2.2.5). Under this activity, full proposals will undergo a three-stage review process:

- Proposals pre-screened by the ECU against a set of review criteria* (see EDA Facility section below) and an E&S screening will be done by the SER (social and environmental responsibility) support from SPC. If necessary, applicants will be invited to improve their proposal with further support from FAs. Potential areas for support may include E&S safeguard screening and strengthening, gender mainstreaming, and monitoring and evaluation frameworks.
- Proposals reviewed by the SPC procurement committee.* A Grants Technical Evaluation sub-committee will firstly provide an advisory report on both technical and financial sides of the proposals. Then, this report and the organizational audit (Activity 2.2.3) will be used by the procurement committee to assess if the proposal needs to be reworked or can be sent to the Board. FAs will be made available for additional project development support at various stages where necessary.
- Proposals reviewed by the EPB* who will make the final decision of the approval process⁹⁸. As the Executing Entity, SPC will hold a position on the EPB and be legally responsible for the EPB's actions and decisions. To this end, SPC will have the right to veto the approval of applications that are in non-compliance with policies of SPC and of GCF on the basis of due diligence evaluations.

This will incorporate the following gender-responsive sub-activity from the Gender Action Plan⁹⁹:

- Activity 2.2.6 Screening of sub-grant proposals for effective gender considerations and design

Activity 2.2.7 Awarding of grants in the three thematic areas, of food security, climate-induced disaster risk reduction and coastal protection, and water security

⁹⁷ See Table 7 in Annex 4: GCF Gender Assessment and Action Plan GAAP

⁹⁸ Further information on the composition of bodies is provided in the Implementation Arrangements section (Section 12).

⁹⁹ See Table 7 in Annex 4: GCF Gender Assessment and Action Plan GAAP

Implementing party(ies): ECU, NDA office, State GCF Focal Points, EPB

66. The final step will be to award grants to applicants. All awarded grants will be announced publicly, and successful proposals will be posted on the Programme web portal (1.3.1). An initial catalogue of tailored and gender-sensitive adaptation measures in the three thematic areas will be developed and uploaded to the web portal. This will incorporate the following gender-responsive sub-activity from the Gender Action Plan¹⁰⁰:

- Activity 2.2.7 Portfolio of gender-responsive sub-grants funded by granting mechanism. It is anticipated that 25% of sub-grants will be awarded to women-run businesses, cooperatives, or women's groups (totalling 10 sub-grants) by the end of programme implementation.

Output 2.3 Sub-project/grant award implementation

67. Under this output, awarded grants will be implemented, monitored and evaluated. To ensure LAs have the required project management skills necessary for the implementation of sub-grants, targeted project management training (2.3.1) will be provided. A sub-grant agreement will be entered into between LA applicants and SPC for the sub-projects to be implemented (2.3.2). During the implementation of sub-projects will be monitored and reviewed, evaluated and lessons learned gathered (2.3.3). During execution, SPC will engage with development partners to identify resources for re-capitalization of the EDA fund, preparing a resource mobilization strategy and preparing and securing application funding requests.

Activity 2.3.1 Training to improve sub-national entity service delivery of adaptation interventions

Implementing party(ies): ECU, FAs

68. Based on the organizational audit (activity 2.2.3), if it is determined that the applicant requires additional training in order to enhance their capacity to implement the proposed sub-grant, training tailored to specific gaps will be provided to strengthen governance structures including areas such as improving the effectiveness of risk management, control, and governance processes. "Fit for purpose" coaching and potential reorganization recommendations will be provided to LAs to address the allocation of tasks and responsibilities, coordination and control mechanisms, rules and procedures, and financial management. This would require specialized expertise that would be outside of the scope of FAs and would be procured separately. Once training on these issues is complete, a grant agreement can be entered (2.3.2). Based on the capacity assessment, it is estimated that 10-15 municipalities may be eligible for training under this activity with an additional 2-3 State agencies per State (total targeted training estimate 18-27).

Activity 2.3.2 Grant agreements entered, implemented, monitored and reviewed

Implementing party(ies): ECU, FAs, EPB

69. Under this activity, SPC will sign a grant agreement with the applicants for the implementation of selected projects. The Programme will target issuing 30–40 grants across FSM. Sub-grants will be implemented and actively monitored by the ECU through the support of FAs. For Category B projects, an E&S specialist will be assigned by SPC to undertake E&S risk monitoring. A FA will be assigned to each project to undertake quarterly site-visits, support reporting processes, and flag any risks or implementation issues to the ECU. During the monitoring process, gender-disaggregated data will be collected to complete the data previously collected at the municipal-level. The database created will help inform the design of future adaptation projects and measures by providing up to date data and information on the three thematic areas (food security, water security and disaster risk reduction) in addition to key socioeconomic indicators. Monitoring will include: i) overall project progress towards the project objective; ii) detailed progress of project activities; iii) benefits realised and delivered to intended beneficiaries¹⁰¹; iv) realised impact achieved in terms of supporting adaptation and improving resilience to climate change¹⁰²; v) achievements in terms of innovation, change, sustainability and other co-benefits; vi) management of environmental and social risks; vii) how the sub-grant has integrated gender issues; viii) what challenges have arisen and how they have been addressed; ix) how support from FAs has been accessed; and x) budget.

Activity 2.3.3 Sub-projects evaluated, and lessons gathered

Implementing party(ies): ECU and EPB

¹⁰⁰ See Table 7 in Annex 4: GCF Gender Assessment and Action Plan GAAP

¹⁰¹ Including information on locations, gender, young people, older persons, persons living with disability, socioeconomic conditions, etc.

¹⁰² E.g. number of people with improved resilience to climate change (direct and indirect beneficiaries, gender disaggregated), savings from avoided disasters, households with improved food or water security, areas of land under improved management, number of people trained (gender disaggregated), etc.

70. At the conclusion of implementation, all grant awards will be evaluated, and lessons gathered and codified into a catalogue format with tailored and gender-sensitive adaptation measures, completed lessons learned reports and design documents of projects located uploaded to project knowledge portal (1.3.1) and other regional portals/websites. As detailed in Section 6 – Financial and progress reporting of the Operations Manual, the evaluation of sub-projects may be carried out either by the ECU or through as a service from a Facilitating Agent.
71. Lessons learned will be gathered through the reporting on the sub-grants by LAs and FAs. This will be supported and systematized by the ECU. Information will be disseminated through a range of climate change and other information platforms available including the FSM climate change portal¹⁰³, the INFORM portal, the FSM DECEM Geoportal, the Pacific Data Hub¹⁰⁴, etc. This will be undertaken by the ECU in partnership and coordination with DECEM and FSM's NDA office.
72. This will incorporate the following gender-responsive sub-activity from the Gender Action Plan¹⁰⁵:
 - Activity 2.3.3 Implementation, monitoring, and evaluation of priority adaptation sub-grants to track gender elements

Activity 2.3.4 Continued resource mobilization

Implementing party(ies): ECU, NDA office, State GCF Focal Points, EPB

73. As expressed in letters of support, SPC will continue to engage with development partners throughout the project cycle to re-capitalize the RCGF fund. Engagement will include site visits, meetings with bi-lateral and multilateral donors. The mid-term review evaluation report will include a clear and costed action plan for the resource mobilization strategy (including GCF exit strategy), and the identification and confirmation of funding commitments. The plan will build on the initial results and lessons learned from the Programme facility. In the last two years of the project, SPC will prepare funding application requests with the aim for acceptance before or during the final year of implementation to ensure the smooth transition to new sources of climate finance.
74. The Micronesia Conservation Trust (MCT) and various sources of bilateral and other development assistance already provide funds for on-granting in FSM, including for climate change adaptation and resilience-building measures at the local level. As part of the resource mobilization activities, discussions will be held with such partners to solicit the re-direction of a proportion of such funds into the RCGF – they might be able to commit to the facility. Once the RCGF has demonstrated its value in terms of delivering efficient and effective climate action, it is expected that crowding in of such sources of funds would be possible.
75. In addition, the resource mobilization activities will include assessing the extent to which regular government expenditure for resilience building activities might be re-directed into the RCGF. For example, this would allow for funds from the Department of Environment, Climate Change and Emergency Management to be funnelled through the RCGF to achieve the objectives of the Department's annual workplans. Similar engagement with State-level governments will be undertaken. Other activities for resource mobilisation will include undertaking analyses to determine the minimum amount of capitalization needed for the viability of phase 2 of the RCGF based on projects under implementation as well as scenario planning based on future needs and a capacity assessment to determine the optimal extent of funding to scale up the RCGF.

B.4. Implementation arrangements (max. 1500 words, approximately 3 pages plus diagrams)

Overall EDA Programme

Accredited Entity

76. **SPC's Climate Change and Environmental Sustainability Division:** As the Accredited Entity, SPC's CFU within the CCES Division (also GCF focal point) will oversee and supervise the project implementation, providing technical guidance as necessary, with a GCF Programme Manager, GCF Programme Officer and GCF Finance and Administrative Assistant supported by additional SPC staff from the Operations and Management Directorate (such as procurement, finance, human resources, legal, MEL, SPL and other staff) as well as technical staff from SPC's technical divisions (including the Geoscience, Energy and Maritime, Fisheries, Aquaculture & Marine Ecosystems, Land Resources, and Public Health Divisions as well as the Climate Change and Environmental Sustainability programme). In this capacity as Accredited Entity, SPC will be in charge of overall reporting to the GCF, ensuring alignment with SPC's procurement processes and requirements, oversight of financial management and ensuring monitoring, evaluation and learning (MEL) activities are undertaken. MEL will be supported by a specialist local consultant. A full-time position at the NDA office will be financed by GCF resources. Office equipment, telecommunication, transportation etc. will be provided as co-financing from the NDA office.

¹⁰³ <https://fsm-data.sprep.org/dataset/fsm-national-climate-change-data-portal>

¹⁰⁴ <https://pacificdata.org/data/organization/fsm-data>

¹⁰⁵ See Table 7 in Annex 4: GCF Gender Assessment and Action Plan GAAP

Executing Entity and Other Implementing Partners

77. **SPC will be the sole Executing Entity for the proposed programme.** A number of units, government departments and other stakeholders will contribute the operational management of the EDA Programme as well as the RCGF facility as additional implementing partners under the overall management by SPC as the executing entity. These additional implementing partners have been selected in collaboration with the Government of FSM through stakeholder consultation processes (see Annex 7 for detailed consultation processes) and include:

- **EDA Programme Coordination Unit:** A dedicated ECU will be hosted within the SPC regional office in FSM, including a Programme Coordinator, Programme Administrative Assistant, Finance and Procurement Officer and supported by other part time staff including a Grants Officer, MEL expert, gender expert and a communication expert. SPC as the Executing Entity will be legally responsible for the acts and decisions of the ECU. The ECU will have the dual responsibility to run the day-to-day operations of the EDA Programme and manage the RCGF. The ECU will coordinate and implement the programme activities, budget, and provide the necessary technical and financial reports. The ECU will thus function as the Executing Entity, separately and with differentiated responsibilities from but under the oversight of SPC's CCES programme as the Accredited Entity.
- **FSM Department of Finance and Administration:** Recruitment of one support staff (using GCF resources) at the NDA office to support the States GCF focal points and to serve as liaison between LAs, the NDA and SPC. The NDA works alongside SPC's CCES and ECU to establish the EDA Programme's governing bodies and will also assist in the supervision of sub-grant design and implementation. In-kind co-financing from the Government of FSM will support the functions carried out by this staff.
- **State GCF Focal Points:** Each State's GCF Focal Points will support the ECU and NDA to disseminate information about the Programme to local government officials and to support organizing of meetings, trainings and workshops.
- **EDA Programme Board:** The EPB will be a national body chaired by the NDA and responsible for taking corrective action as needed to ensure the EDA Programme achieves the desired results. The Board members will include representatives from the NDA (Chair), each State GCF Focal Point, the Department of Environment, Climate Change and Emergency Management and NGO representatives. The FSM National Women's Council has agreed to be part of the EPB as a representative of FSM's civil society organisations. SPC will serve in a quality assurance and advisory role and will support the EPB and ECU by carrying out objective and independent Programme oversight and monitoring functions. This role ensures appropriate project management milestones are monitored and completed. The Programme assurance role is entirely independent of the Programme coordination function. SPC as the Executing Entity will be responsible for the acts and decisions of the EPB.

78. The EPB will meet once a year with the possibility to hold virtual meetings for final sub-grant approvals every 6 months or as needed. Specific responsibilities of the EPB include:

- Overall guidance and direction to the Programme, ensuring it remains within any specified constraints and advise on or address project amendments, issues raised and grievances
- Provide guidance on new project risks, and agree on possible mitigation and management actions
- Ensure coordination between various donor, government-funded projects and government agencies
- Track and review the Programme progress, assess performance, co-finance, ensure that the agreed deliverables are produced satisfactorily according to plans, and appraise the Annual Work Plan
- Approve the project Inception Report, Mid-term Review and Terminal Evaluation reports and corresponding management responses and discuss lesson learned and opportunities for scaling up
- Receipt and oversight of addressing of grievances raised through the grievance redress mechanism.

79. In case consensus cannot be reached within the Board, the SPC Representative (or their designate) will mediate to find consensus and, if this cannot be found, will take the final decision to ensure project implementation is not unduly delayed. This is in accordance with the role of SPC as the sole executing entity for the project.

80. SPC-CCES will serve in the quality assurance role and will support the EPB and ECU by carrying out objective and independent Programme oversight and monitoring functions. This role ensures appropriate project management milestones are managed and completed. The Programme assurance role is totally independent of the Programme

coordination function. Figure 8 below presents an overview of the Programme implementation arrangements described.

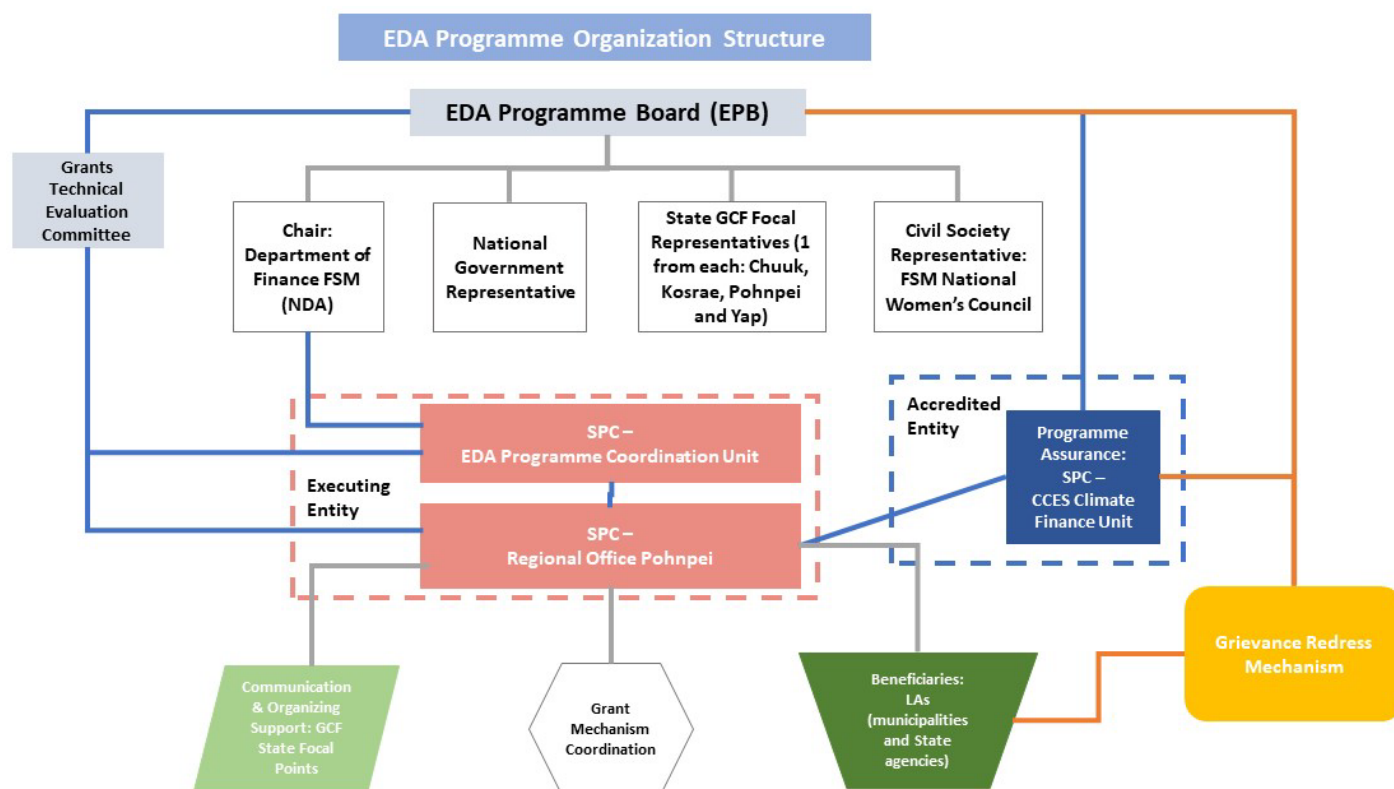


Figure 8 Overall EDA Programme Organization Structure

EDA Programme Flow of Funds

81. The funding flows for the EDA Programme are illustrated in Figure 9. As the Accredited Entity, SPC's CCES Division – through its CFU – will receive funds from the GCF. These funds, along with the in-kind co-financing from GoFSM and SPC will in turn flow to the ECU, in which capacity SPC as the Executing Entity for the EDA Programme has the responsibility for managing the RCGF. Based on the grants applications received and the capacities of the applicants to administer those grants, the ECU will either enter into grants agreements with the LAs submitting the applications or else contract support organizations to deliver the goods and services outlined in the proposal. Funds will be thus be transferred by the ECU to the grantees on the basis of the grant applications following the procedures on disbursement.
82. The disbursement of funds to successful grantees will proceed according to SPC's Finance Regulations (2018), Finance Policy: Procurement (2020), Finance Policy: Grants and Sub-delegations (2020) and Finance Policy: Anti-Money Laundering and Counter-Terrorism Financing (2020). These policies ensure considerable internal controls and due diligence so that funds provided grantees are properly disbursed and managed.

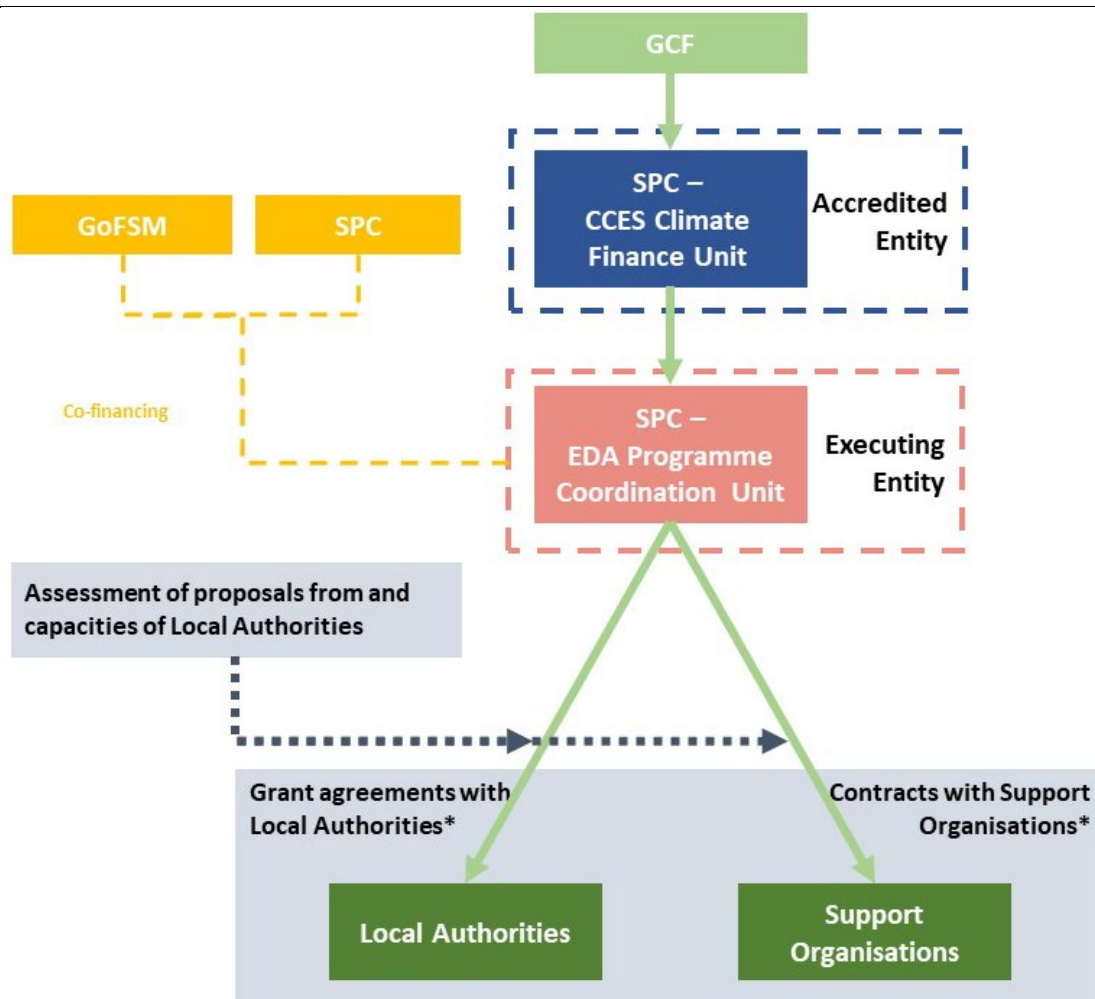


Figure 9: Flow of Funds diagram [* agreements directly with LAs that have capacity to implement sub-grants or with FAs if the LA doesn't have the requisite capacities]

EDA Facility Mechanism

83. In addition to the overall Programme structure, the grant facility (Component 2) will have a separate implementation structure to review, screen and approve sub-grant proposals. The proposed structure will include the SPC ECU, EPB, the SPC Procurement Committee (which includes a Grants Technical Evaluation sub-committee) and FAs.

84. **EDA Programme Coordination Unit:** The ECU will be responsible for putting out the annual call for EOIs to initiate proposal submissions to the RCGF. EOI's will be screened by the ECU to determine project eligibility. The ECU (and potentially external consultants) will be responsible for undertaking organizational audits of LAs. See Figure 10. below for the ECU's role in the EOI process.

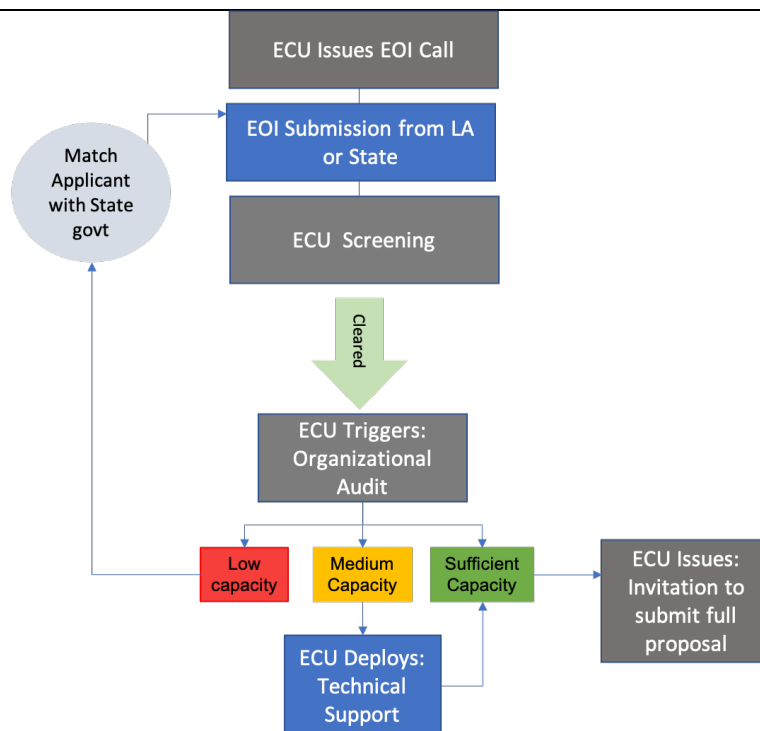


Figure 10. ECU Role EOI Process

85. **EDA Programme Board:** The EPB will be chaired by the NDA and will include State-level representation as well as national departments that reflect the different themes the RCGF will fund (disaster risk and coastal protection, food security and water security). Based on stakeholder consultations, the dedicated body would be composed of a climate expert from DECEM, the NDA, State GCF focal points, and a representative from FSM's Women's Council.
86. **Grants Technical Evaluation sub-committee** (under SPC Procurement Committee): An independent technical sub-committee of at least five individual experts will be appointed through a competitive bidding process launched by SPC to be carried out under activity 2.1.1 Governance structure for RCGF established and formalized. One external expert from each of the thematic areas, an E&S and gender expert and a national community engagement expert will be selected to join the technical sub-committee along with a representative from the ECU and a representative from the SPC Procurement team. The Committee will undertake a full technical and financial review of full proposals and provide recommendations to the SPC Procurement Committee to approve, reject or modify. The final decision will be made by the EPB. The eligibility criteria to be applied for the selection of the Grants Technical Evaluation sub-committee members have been detailed in Annex 21: Operations Manual and include appropriate qualifications and experience as well as no conflict of interest with any parties to the EDA Programme or sub-grant applicants.
87. **SPC Procurement Committee (PC):** The SPC Procurement Committee is composed of an SPC Division Director (Chair), a Procurement Team representative who will provide secretariat support to the PC, a representative from the ECU who will act as the Submitting Officer and provide any clarification or information relevant to the procurement action, and two other representatives from other SPC divisions. The PC members are responsible for carrying out evaluations of proposals, ensuring that SPC's procurement policy is duly followed and making recommendations if necessary.
88. **Facilitating Agents:** A cohort of FAs will be selected through a call for tenders. FAs will be national organizations (NGOs/CSOs) or individual national consultants. FAs will be trained through Component 1 to provide sub-grant development and implementation support. FAs will be assigned to each sub-grant and will conduct a site visit once each quarter to support the reporting and monitoring processes. Figure below outlines the ECU, EPB, Grants Technical Evaluation sub-committee and FAs decision roles in the full proposal process.

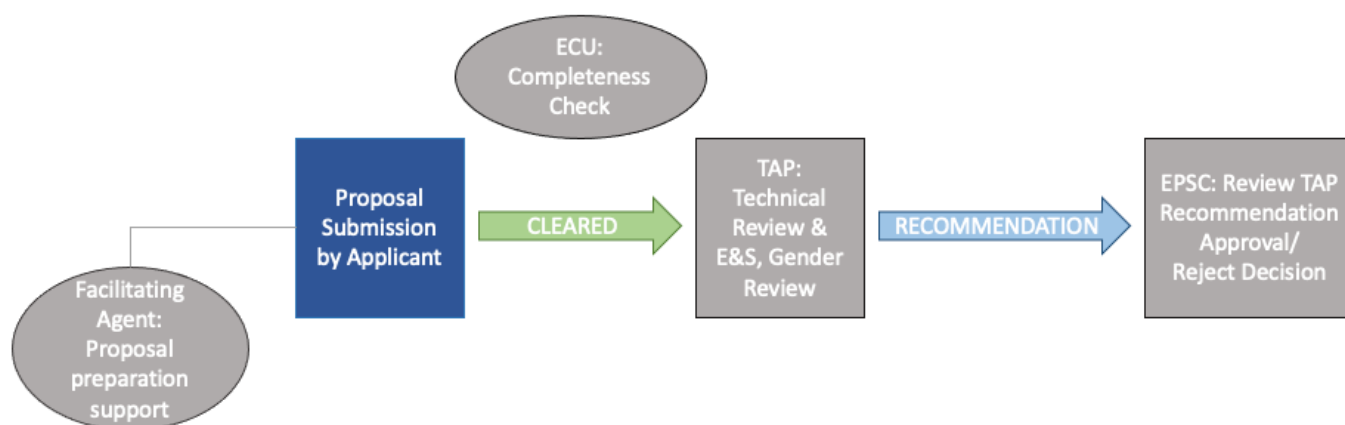


Figure 11. RCGF Governing Bodies Roles

89. The entire EDA Facility will have a grievance mechanism that is aligned with SPC's policies and frameworks¹⁰⁶. Further details of the specific grievance mechanism process for E&S issues are outlined in Annex 6. Additional detail for processes is included in the Operations Manual for the EDA Programme.

90. Table 6 below provides an overview of responsible executing entity and implementing partners for each activity under the proposed Programme.

Table 7. Summary of executing entity and other implementing partners responsible for the delivery of Programme activities

Activities	Executing Entity	Other implementing partners
1.1.1 Develop climate adaptation decision support framework and training curriculum including interactive case studies targeting government officials	SPC–ECU	
1.1.2 Climate adaptation decision support training for local authorities	SPC–ECU	
1.1.3 Develop train-the-trainer's module and conduct training for national consultants and/or local NGOs in each State to become Facilitating Agents	SPC–ECU	
1.1.4 Facilitating Agents to support LAs prioritize adaptation actions for Grant Facility	SPC–ECU	FAs, State GCF Focal Points
1.2.1 Project Preparation Trainings and Mentoring	SPC–ECU	FAs, State GCF Focal Points
1.3.1 Develop a knowledge platform and ensure the Programme is connected to regional platforms across the Pacific	SPC–ECU	
1.3.2 Learning exchanges and site visits	SPC–ECU	NDA office, State GCF Focal Points
1.3.3 Climate change adaptation local authorities conference	SPC–ECU	NDA office, State GCF Focal Points
2.1.1 RCGF established and formalized	SPC–ECU	NDA office, State GCF Focal Points
2.1.2 RCGF guidelines and procedures developed and finalized	SPC–ECU	
2.2.1 Initial call for expressions of interest	SPC–ECU	FAs
2.2.2 Screening of Expressions of Interest	SPC–ECU	
2.2.3 Organizational audit of sub-national entities/LAs undertaken	SPC–ECU	
2.2.4 Invitations to submit full proposal	SPC–ECU	
2.2.5 Sub-grant preparation support provided	SPC–ECU	
2.2.6 Sub-grant screening and selection	SPC–ECU	EPB

¹⁰⁶ SPC Policy on Accountability; Available [here](#).

2.2.7 Awarding of grants in the three thematic areas, of food security, climate-induced disaster risk reduction and coastal protection, and water security	SPC–ECU	NDA office, State GCF Focal Points, EPB
2.3.1 Training to improve sub-national entity service delivery of adaptation interventions	SPC–ECU	FAs
2.3.2 Grant agreements entered, implemented, monitored and reviewed	SPC–ECU	FAs, EPB
2.3.3 Sub-projects evaluated, and lessons gathered	SPC–ECU	EPB
2.3.4 Resource mobilization strategy	SPC–ECU	NDA office, State GCF Focal Points, EPB

Track record of the AE and EEs

91. **The Pacific Community** has been supporting development and environmental protection in the Pacific region since 1947. Headquartered in Noumea, New Caledonia, and comprising 26 governing territory member states, SPC as an international organization works for the effective and innovative application of science and knowledge to the fulfilment of Development Goals promoting sustainable economic development, the empowerment and resilience of local communities and ecosystems. SPC's track record in the elaboration, implementation and management of climate change, food security, water security and DRR projects and Programmes is extensive, and the pipeline and strategic direction of projects is identified in the Pacific Community Strategic Plan 2016-2020¹⁰⁷.
92. **SPC's Micronesia Regional Office**, situated in Kolonia, Pohnpei, FSM, is the main hub for SPC's projects and partnerships in the Micronesian countries of the FSM, the Republic of the Marshall Islands (RMI) and the Republic of Palau and territories of the Northern Mariana Islands (CNMI) and Guam. The regional office has supported a number of climate change adaptation projects in FSM including: The Global Climate Change Alliance Plus - Scaling up Pacific Adaptation (GCCA+ SUPA), EU - Ready for El Nino (RENI) and Global Climate Change Alliance Pacific Small Island States (GCCA: PSIS) Project.
93. **FSM Department of Finance and Administration (GCF NDA)** has been the recipient of two rounds of GCF readiness funding including the development of the Country Programme and the development of two gap assessments for DAEs. It is experienced in the development of GCF proposals, including FP036 and more recently an SAP Food security proposal, and an SAP concept note on increasing the resilience to the health risks of climate change.

B.5. Justification for GCF funding request (max. 1000 words, approximately 2 pages)

94. The project will overcome critical barriers to strengthen the resilience of the most vulnerable population to the impacts of extreme climatic events as well as long term water and food insecurity as a result of predicted climate change. GCF resources will be critical in strengthening climate resilience to improve DRR and coastal management, food and water security for FSM's most vulnerable populations.
95. LAs are able to respond to climate change impacts that are specific to their geography, natural environment and socio-political context. Further, LAs are also in a position that enables them the responsibility to manage and regulate land use planning, infrastructure and construction regulation and the management of natural resources. These authorities are ideally positioned to efficiently coordinate between on-the-ground stakeholders and key sectors in the area. Sustainable Development Goal 13 on climate action indicates that local governments are critical to strengthening resilience and adaptive capacity to climate-related hazards and natural disasters in all countries. The recent IPCC special report also emphasizes the important role that subnational governments play in developing and reinforcing measures for reducing weather- and climate-related risks¹⁰⁸.
96. GCF funding is required because of the limited availability of public and private funding to support transformation in FSM's DRR capacity and agricultural and water sectors. GCF funds will be used specifically to address critical information and capacity gaps of LAs as well as cover the additional cost of climate change adaptation. Indeed, the current costs estimates for climate change adaptation solutions far exceed allocated budgets for both LAs and States. This highlights the necessity of the proposed GCF grant structure and concessionally to directly support local communities.
97. GCF grant support is required to address a number of key market failures in FSM. Firstly, the majority of outputs and outcomes under this project meet the classical definition of non-rivalrous and non-excludable public goods for which benefits accrue to many beneficiaries and are often un-monetized or it is difficult to distinguish intrinsic

¹⁰⁷ SPC. 2016. Pacific Community Strategic Plan 2016-2020; Available [here](#).

¹⁰⁸ IPCC. 2019: Climate Change and Land: an IPCC special report on climate change, desertification, land degradation, sustainable land management, food security, and greenhouse gas fluxes in terrestrial ecosystems.

financial value and financial returns are unattractive. While some adaptation options may ultimately result in increased revenue generation for individuals, it is often difficult to quantify specific returns on grant investments ex-ante particularly since sub-grants are unknown. Such adaptation investments are currently not attractive to private investors because (i) return on investment is difficult to predict and (ii) attractive and affordable debt finance is unavailable.

98. Secondly, FSM local, State and national financial and technical capacity is extremely constrained, particularly when considering the magnitude of potential climate change impacts. Specifically, a previous capacity assessment for FSM from USAID highlighted that estimated costing for operationalizing climate change policies and action at the State and local level currently far outweighs department budgets and that there is limited capacity in national and State governments to effectively coordinate climate finance and adaptation priorities. Outside funding has been leveraged in this space, but the funding amount is still inadequate to meet adaptation needs and furthermore than 60% of the funds go “uncoordinated” by national decision makers which further creates a void for effective and coordinated financing for climate adaptation in FSM communities. All of this highlights the important need for GCF grant financing in order to unlock adaptation outcomes for FSM communities.

Concessionality

99. The project seeks the maximum possible level of concessionality in accordance with FSM's economic, institutional and fiscal constraints and specificities. Although the Government of FSM is taking actions to build a policy and legal framework to enable climate change action, structural barriers to accessing finance remain. Public resources, which are largely dependent on ODA, are currently insufficient to achieve the meaningful reductions in climate change vulnerability and to improve resilience of LAs and beneficiary populations. FSM's spending on climate change has thus far been tilted towards mitigation. FSM's public debt, all of which is external, is currently low at around 20% of GDP, with the fiscal cliff expected to put public debt on an upward trajectory from 2024, FSM is assessed as high-risk of debt distress. Compounding the high risk of debt distress, potential extreme climate events could have a significant negative impact on growth and debt sustainability. Damages to public infrastructure and private capital as well as drops in total factor productivity would cause a loss to GDP, while higher spending on post-disaster rehabilitation and reconstruction of damaged infrastructure would lead to higher fiscal deficit and public debt.¹⁰⁹ Modelling suggest that a cyclone causing damages of around 50% of GDP is to be expected once every 100 years. The Pacific Catastrophe and Risk Financing Initiative (PCRAFI) estimates that it is likely that FSM will incur on average USD 8 million per year in losses from earthquakes and tropical cyclones.¹¹⁰ In the coming 50 years, FSM has a 50% chance of experiencing natural disaster losses exceeding USD 105 million and casualties larger than 220 people. In addition, there is a 10% chance of experiencing a loss exceeding USD 470 million and casualties larger than 600 people.¹¹¹
100. Due to the nature and extent of the climate change risks, the government is not able to build resilience of FSM at scale without grant support from the GCF. The IMF-World Bank Debt Sustainability Analysis confirms that natural disaster shocks pose major risks to FSM's debt sustainability and assesses FSM's risk of debt distress to be high¹¹². Growth impacts could be worse given spill overs from FSM-specific impacts such as El Niño and La Niña events will continue to occur in future, raising uncertainty and volatility in the fishery sector and fisheries-related government revenue. In addition, rising temperature and sea-level rise will dampen the authorities' efforts to revive sustainable agriculture growth in FSM. Agriculture contributes significantly to the livelihoods and food security of a large proportion of FSM's population and is identified as a key productive sector for sustainable economic growth. Impacts on these sectors mean that the economy barely produces and sells enough goods and services to pay off its debts without incurring more debt.
101. Given the national debt trajectory from 2024, financial instruments such as loans and guarantees are not appropriate financial instruments for this project, as this would increase the country's public debt burden even further. The IMF concludes that “Further mobilizing external grant financing is therefore crucial to implement the climate change strategy while maintaining fiscal sustainability” and strongly recommends speeding up implementation of adaptation investment projects.¹¹³ Reimbursable grants are not an appropriate financial instrument for the project because sub-grants focus on LAs who have no recourse for repayment of grants, and

¹⁰⁹ International Monetary Fund. 2019. FSM Climate Change Policy Assessment

¹¹⁰ Pacific Catastrophe and Risk Financing Initiative. 2011. Federated States of Micronesia, Country Risk Profile.

¹¹¹ Lee et al. 2018. The Economic Impact of Natural Disasters in Pacific Island Countries: Adaptation and Preparedness. IMF Working Papers, 18/108.

¹¹² International Monetary Fund. 2019. FSM Climate Change Policy Assessment

¹¹³ International Monetary Fund. 2019. FSM Climate Change Policy Assessment

interventions will have limited income generation, particularly for LAs. While the benefits of the project will mainly fall to the general population, farmers, fisherfolk and businesses dependent on water and food security, the benefits gained would generate insufficient cash surpluses for these beneficiaries to build their own resilience while reimbursing the cost of GCF support. **The urgent need for adaptation investments to support disaster risk reduction, coastal protection and food and water security coupled with the inability of national Government, LAs and the population to afford debt finance for the proposed activities, justifies grant funding, which is not available at the scale needed from sources other than the GCF.**¹¹⁴

B.6. Exit strategy and sustainability (max. 500 words, approximately 1 page)

Capacity building and developing a track record of project execution and financial management

102. The GCF financial exit strategy is a key factor that is at the centre of resource mobilization and capacity enhancement efforts from the project inception. Each sub-grant will have to include an exit strategy, to demonstrate the long-term sustainability of the proposed project intervention and how the project will provide long-term resilience in the specific LAs. GCF financial exit is achieved through identification and mobilization of additional resources during implementation and well before project closure through activity 2.3.4 which will not only include the development of a resource mobilization strategy and action plan to ensure recapitalization of the EDA facility but also establishes responsibilities within government at the LA and national scale to ensure continued mobilization of resources for climate adaptation investment activities.
103. The EDA model from this Programme has the strong potential to catalyse additional financing for FSM and its LAs, particularly through its focus on capacity building for LAs to develop and implement projects, developing a fundable track record of project execution, and crucial capacity/experience showcasing effective project and financial management. All of this can help build donor/investor confidence, reduce investment risk, and ultimately unlock future projects and investment for FSM and the LAs.
104. The sub-projects are characterized by high social and environmental returns but low cash returns. These investments are not likely to attract significant flows of private finance during the implementation of the proposed EDA programme because of perceived high risks and the limited cashflow generated. However, private sector actors will be invited to engage in consultations and workshops to learn about the opportunities and successes generated by the programme and the implementation of sub-grants. Indeed, resilient livelihoods, infrastructure and ecosystems will reduce the risks for complementary private investments, for example loans for farm improvements, increased trading activity, agriculture processing, fisheries etc. The improvement of ecosystem services will directly contribute to the increased attractiveness of sectors such as agricultural processing and fisheries. As the programme matures, emphasis will be placed on the mobilization of additional domestic and external resources and the ownership of processes by national and local governments, communities and the private sector to secure sustainability.

Recapitalization of the EDA facility

105. The primary source of revenue for the government of FSM is financial assistance provided under the terms of the Compact of Free Association between FSM and the United States. This Compact will be re-negotiated in 2023. Given the level of uncertainty and the highly political nature of the decision, it is impossible for the government of FSM to make a quantifiable commitment to recapitalization of the RCGF from such revenue at this stage. Moreover, there is limited potential for allocation of tax or other revenues to the RCGF at this stage, particularly with the extremely low tax rates in FSM. Given the federal nature of FSM's government and the decentralized decision-making, State and municipal governments may be in a position to later agree on allocating local revenues to the RCGF, but such agreement is challenging with the nascent and innovative nature of the EDA pilot globally.
106. Further and as acknowledged in the GCF Country Programme, the extent of private sector engagement in the context of FSM is currently limited to projects or programmes which have a private sector development component, rather than for projects or programmes that are generated or co-financed by private sector actors. As detailed in the CP and in the Funding Proposal and its annexes, the private sector in FSM is relatively small and under-developed, generally comprised of micro or small businesses in the agriculture or fisheries sectors. External private sector actors face important constraints such as high operational and transport costs, which limits their ability to engage in climate resilience initiatives.
107. Given these constraints, the project will seek opportunities to build awareness within the private sector of opportunities for adapting to climate change. For example, private sector actors will continue to be engaged in consultations and workshops – as is already happening under climate change projects in FSM – to learn about the

¹¹⁴ The cap for funding is USD 10 million per project for the GEF and USD 10 million per country for the Adaptation Fund. Therefore, the proposed project cannot be funded by these funds.

opportunities and successes generated by the programme and the implementation of sub-grants (e.g. Activities 1.1.2, 1.3.2 and 1.3.3). Private sector actors will thus be better informed on opportunities for resilience building. Moreover, such actors may be engaged through participation in bids as well as procurement for sub-grants under the RCGF. Bidders will be encouraged to involve local companies, as the EOI assessment and sub-grants assessment criteria include consideration of the involvement of local private sector entities in bids. As the programme matures, emphasis will be placed on the mobilization of additional domestic and external resources and the ownership of processes by national and local governments, communities and the private sector to secure sustainability. This is expected to have a catalytic effect in unlocking potential future investment from the private sector into resilience-building activities. Public funds from the RCGF will de-risk such investments by bridging viability gaps and covering risks that can't be borne by private sector actors.

108. After the completion of the GCF funding period for the EDA programme, the RCGF will be handed over from SPC to the Government of FSM. By this time, the EDA programme will have established the practices, processes, guidelines and other regulations necessary for the ongoing functioning of the RCGF. Moreover, the relevant capacities for management of the RCGF will have been established through the capacity development activities of the EDA programme.
109. Upon handover of the EDA programme, the ECU will be absorbed into a relevant FSM government institution – provisionally identified as the Department of Finance and Administration and within the remit of the NDA's office. SPC will thus step back from its role within the ECU as well as the EPB, with these functions being taken on by the Government of FSM. Any future role that SPC may have in ongoing support to the RCGF will be considered based on a request from the Government of FSM to that effect.

Effective knowledge transfer and dissemination of information on benefits

110. Capacity development of LAs focusses on the technical, financial and managerial capacity to prioritize, plan for and implement climate-risk informed local DRR and coastal protection, water management solutions, adopt technologies and systems for climate resilient agricultural production and sustain climate resilience infrastructures and ensure their viability post-project. LAs are key to ongoing operations and maintenance of project infrastructure after project implementation ends. A request for further detail on this has been included in the *Innovation, Change and Sustainability* section of the Grant Application Form (Appendix II to Annex 21 Operations Manual). Institutional arrangements have been defined to facilitate political processes between the central government, local governments and the sub-grant in order to establish the roles and responsibilities of each stakeholder, in particular in relation to operations and maintenance of project infrastructure beyond the GCF project lifetime. At project implementation stage, criteria would be developed to ensure maintenance is included before funds are disbursed and assets are delivered. The O&M costs during the project implementation period should be included in the sub-grant proposals and it will be mandatory to request funds allocated to the operation and maintenance of financed assets and equipment. At the end of the 7 years' implementation period, legal owners of the assets and equipment will bear the maintenance costs.
111. Under component 2, the project will strengthen knowledge management at the local and national levels and systematize and disseminate the results of sub-grant investments. Knowledge and learning will be promoted, at the conclusion of implementation, all grant awards will be evaluated, and lessons gathered and codified into a catalogue format with tailored and gender-sensitive adaptation measures, completed lessons learned reports and design documents of projects located uploaded to project knowledge portal (1.3.1) and other regional portals/websites. The project will adopt a systemic approach demonstration of project successes and engagement of public and private sector in efforts to replicate and scale-up results which will contribute to reinforce its paradigm shift potential. The food and water security sub-grants will create conditions for investments by public and private sector actors. Farmers will see concrete benefits in a variety of ways, for example through better allocation of resources and increased productivity, and protection of productive assets. By delivering tangible economic benefit to beneficiaries that adopt climate-resilient agriculture and efficient water management practices, the project will stimulate economic activity across FSM even under conditions of climate change. The effect of knowledge, experience of implementation and lessons learned during implementation will allow LAs to continue to apply these results beyond GCF financial exit and create conditions for investments by public and private sector actors.

C. FINANCING INFORMATION							
C.1. Total financing							
(a) Requested GCF funding (i + ii + iii + iv + v + vi + vii)		Total amount			Currency		
		16,591,556			million USD (\$)		
GCF financial instrument		Amount	Tenor	Grace period	Pricing		
(i)	Senior loans	Enter amount	Enter years	Enter years	Enter %		
(ii)	Subordinated loans	Enter amount	Enter years	Enter years	Enter %		
(iii)	Equity	Enter amount	Enter years		Enter % equity return		
(iv)	Guarantees	Enter amount					
(v)	Reimbursable grants	Enter amount					
(vi)	Grants	16,591,556					
(vii)	Results-based payments	Enter amount					
(b) Co-financing information		Total amount			Currency		
		3,119,081			million USD (\$)		
Name of institution		Financial instrument	Amount	Currency	Tenor & grace	Pricing	Seniority
Government of the Federated States of Micronesia		In kind	2,916,571	million USD (\$)	Enter years Enter years	Enter%	Options
SPC		In kind	202,510	million USD (\$)	Enter years Enter years	Enter%	Options
Click here to enter text.		Options	Enter amount	Options	Enter years Enter years	Enter%	Options
Click here to enter text.		Options	Enter amount	Options	Enter years Enter years	Enter%	Options
(c) Total financing (c) = (a)+(b)		Amount			Currency		
		19,710,637			million USD (\$)		
(d) Other financing arrangements and contributions (max. 250 words, approximately 0.5 page)		Please explain if any of the financing parties including the AE would benefit from any type of guarantee (e.g. sovereign guarantee, MIGA guarantee). Please also explain other contributions such as in-kind contributions including tax exemptions and contributions of assets. Please also include parallel financing associated with this project or Programme.					
C.2. Financing by component							
Please provide an estimate of the total cost per component and output as outlined in section B.3. above and disaggregate by source of financing. More than one co-financing institution can fund a single component or output. Provide the summarised cost estimates in the table below and the detailed budget plan as annex 4.							
Component	Output	Indicative cost Options	GCF financing		Co-financing		
			Amount Options	Financial Instrument	Amount Options	Financial Instrument	Name of Institutions
Component 1: Local authorities empowered to deliver climate change adaptation services to their populations	Output 1.1 Build technical expertise to identify and prioritize adaptation solutions	1,262,364	1,232,364	Grants	30,000	In kind	GoFSM

	Output 1.2. Technical support on project preparation	183,208	151,208	Grants	32,000	In kind	GoFSM
	Output 1.3. Knowledge sharing mechanisms to develop and foster a network of local government authorities	349,064	341,064	Grants	8,000	In kind	GoFSM
Component 2: Priority project implementation-EDA Facility for strengthening local community resilience	Output 2.1 Establishment of Resilient Communities Grant Facility (RCGF)	130,508	120,508	Grants	10,000	In kind	GoFSM
	Output 2.2 Grant award selection	1,256,374	1,076,624	Grants	179,750	In kind	GoFSM and SPC
	Output 2.3 Sub-grant award implementation	15,456,155	12,746,584	Grants	2,709,571	In kind	GoFSM and SPC
Monitoring and Evaluation		168,364	168,364	Grants			
Project Management Costs		904,598	754,838	Grants	149,760	In kind	GoFSM and SPC
Indicative total cost (USD)		19,710,637	16,591,556		3,119,081		

This table should match the one presented in the term sheet and be consistent with information presented in other annexes including the detailed budget plan and implementation timetable.

C.3 Capacity building and technology development/transfer (max. 250 words, approximately 0.5 page)

C.3.1 Does GCF funding finance capacity building activities?	Yes ☒ No ☐
C.3.2. Does GCF funding finance technology development/transfer?	Yes ☒ No ☐

112. GCF financing will be used to invest in building capacity for DRR, food security and water security adaptation solutions for some of the most pressing needs of vulnerable communities. Component 1 will support three main outputs to strengthen the technical capacity of sub-national institutions and LAs across FSM. In particular, the activities that will fund capacity building are conducted in stages to support local climate governance: The first will build technical expertise to support climate adaptation decision making to help LAs identify and inform decisions for prioritizing adaptation solutions (Activity 1.1.1 and 1.1.2) reinforced through practical hands on support to prioritize actions. A train-the-trainer session (Activity 1.2.2) will be provided to national consultants and/or local NGOs in each state to become FAs to support sub-national entities/LAs to prepare sub-grant adaptation projects. While a knowledge sharing mechanism hosted on the project's web-portal will ensure a network of local government authorities across FSM and will be linked with regional knowledge platforms. In the second stage, organizational audits of sub-national entities and LAs will be undertaken to determine whether the applicant has the necessary capacity to implement the proposed sub-grant projects and a tailored training Programme will be developed and implemented through training to strengthen areas such as financial management, risk management, control (2.2.4), and governance processes as well as project management, MEL, reporting, finance and procurement (2.3.1).

113. The project will both develop, as well as transfer a set of nationally appropriate DRR, food and water security adaptation technologies and practices that would ensure the resilience of FSMs most vulnerable populations. Detailed description of potential technologies and practice prototypes are presented in Appendix 7 of Annex 2 and will provide gender-sensitive impact including:

- Solar water pumping to address water insecurity and promote climate-resilient agriculture (not widely practiced in FSM).
- Rainwater harvesting to address water insecurity (practiced at the household level in some areas of FSM).
- ITTA-ALLEY farming system to address food insecurity (while mixed-tree gardening and other forms of agro-forestry are practiced in FSM, the ITTA-ALLEY technique has not been introduced).
- Salt-water tolerant varieties of food crops to address food insecurity (being practiced in some areas of FSM).
- Drip and micro-irrigation to address water insecurity and promote climate-resilient agriculture (not widely practiced in FSM).
- Rock revetments for DRR (being practiced in some areas of FSM).
- Offshore structures for DRR (not widely practiced in FSM).
- Mangrove rehabilitation and protection for DRR (being practiced in some areas of FSM).

D. EXPECTED PERFORMANCE AGAINST INVESTMENT CRITERIA

This section refers to the performance of the project/ against the investment criteria as set out in the GCF's [Initial Investment Framework](#).

D.1. Impact potential (max. 500 words, approximately 1 page)

114. The proposed EDA Programme contributes to enabling climate-resilient sustainable development by improving the resilience of vulnerable people and communities, infrastructure and the built environment as well as ecosystems at LA levels. It does so by empowering municipalities and States in FSM to foster climate change adaptation at their operating scale, and by addressing top-priority vulnerabilities through the implementation of local projects in target sectors.
115. As the exact nature and scale of the sub-grants to be supported by the EDA Grant Facility is unknown, the estimates for the number of direct beneficiaries to be targeted by the Programme were built on the assumptions below. As a whole, it is anticipated that the Programme will indirectly benefit 80% of FSM LAs through the increased capacity of Local Authorities to effectively plan, develop and implement community-led adaptation measures.
116. For food security, the share of the total population depending on agricultural occupations for their livelihoods was derived using the share unpaid agricultural workers from the 2016 IAC. Adaptation measures would aim to address impacts related to increased temperatures, rainfall variability and sea level rise. Based on this assumption, the number of potential beneficiaries for food security adaptation interventions is **19,819 people** (of which 10,077 males and 9,742 females)
117. For water security, beneficiaries' estimates were derived using the share of surveyed households who had reported drought as the main barrier to agricultural production. Based on this assumption, the potential number of direct beneficiaries for water security adaptation interventions is **20,679 people** (of which 10,514 males and 10,165 females).
118. For DRR and coastal protection adaptation measures, aiming at addressing impacts from sea-level rise and extreme climate events, direct beneficiaries were derived by considering the share of the total FSM population living within 180 meters¹¹⁵ from the shoreline. In line with the share of beneficiaries compared to the total FSM population to be targeted under the water security and food security interventions, and assuming that 20% of people living within 180 meters of the shoreline will benefit from DRR interventions, the potential number of direct beneficiaries for DRR interventions is **13,803 people** (of which 7,018 males and 6,785 females).
119. **The sum of the potential number of direct beneficiaries is 54,301, accounting for 47.2% of the total FSM population. For indirect beneficiaries, the proposed EDA Programme will indirectly benefit 80% of the total FSM population¹¹⁶.**
120. All 75 municipalities, including those with councils of chiefs primarily in smaller municipalities, will be targeted by the proposed EDA Programme. The EDA Facility has been structured and designed to enable all municipalities, even those without formal governance structures which are the most vulnerable, to benefit from technical and financial support from State agencies or SPC directly to implement adaptation solutions targeting the most vulnerable communities and assets¹¹⁷. The sub-grant screening form will support the assessment of eligible sub-projects by ensuring expected benefits and co-benefits are delivered to the most vulnerable groups by addressing identified climate impacts and vulnerabilities. By delivering on these adaptation sub-grants the EDA Programme will make a direct and transformative contribution to the climate resilience of FSM communities in line with GCF investment criteria through:
- Reduced vulnerability of Local Authorities through enhanced adaptive capacity to identify climate change impacts, and to design, plan and implement adaptation solutions to address them

¹¹⁵ 200 yards.

¹¹⁶ The assumption used to estimate the number of indirect beneficiaries is that 80% of FSM municipalities will indirectly benefit from improved ecosystem services, avoided loss and damage, improved adaptive capacity of local authorities, enhanced resilience of agroecosystems generated by the implementation of sub-grants (see Annex 2, Section 14).

¹¹⁷ The beneficiary selection criteria are based on GCF's criteria. This will be assessed as part of the Sub-Grant Review process. Questions 11, 13–20 and 24–28 all deal with various aspects of beneficiary selection (see Appendix VII to Annex 21 Operations Manual).

- Increased awareness and utilization of climate information in decision-making at the local and state level
- Strengthened institutional systems for climate-responsive planning and development
- Avoidance of economic losses and loss of infrastructure assets
- Strengthened adaptive capacity and reduced exposure to climate threats of communities through improved delivery of ecosystem services

121. Ultimately, the Programme will work to shift the status quo from a pathway of climate vulnerability, elevated health risks and limited socioeconomic development for vulnerable communities in FSM to one of improved food/water security, enhanced DRR and recovery, and improved socioeconomic development by building local capacity to respond to climate change. The EDA Programme has been designed to deliver on the adaptation goals set out in the FSM National Climate Change Strategy and contribute to four of the GCF's adaptation results areas:

- **GCF adaptation results area 1 (A1) – Increased resilience and enhanced livelihoods of the most vulnerable people, communities and regions:** Through the provision of technical assistance and capacity building, the EDA Programme will provide LAs with the required tools and knowledge to identify gaps in their adaptive capacity, and to prepare viable project proposals which will directly contribute to increasing the resilience of communities by developing local solutions delivering adaptation benefits over the short, medium and long term. All of the EDA Programme's thematic areas and proposed adaption interventions aim to alleviate the impacts of identified climate drivers and strengthen the sustainability of livelihoods and ecosystems.
- **GCF adaptation results area 2 (A2) – Increased resilience of health and well-being, and food and water security:** The delivery of sub-grants to be financed by the EDA Grant Facility will directly contribute to increasing the adaptive capacity of communities who depend on agriculture for their livelihoods, and to alleviate the impacts of drought on agricultural production and water access. Under the food security thematic area, sub-grants relating to the implementation of sustainable and conservation agriculture techniques will mitigate the impacts of surface run-off and erosion caused by flooding, by improving soil structure and water retention capacity.
- **GCF adaptation results area 4 (A3) – Increased resilience of infrastructure and the built environment to climate change threats:** DRR adaptation interventions will make a considerable impact on the capacity of critical infrastructure to sustain extreme climate hazards, safeguarding communities' livelihoods and the delivery of basic services. For example, the implementation of rock revetment structures under the DRR thematic area will contribute to protecting people and assets from the damages caused by tidal surges.
- **GCF adaptation results area 4 (A4) – Increased resilience of ecosystem and ecosystem services:** By implementing sub-grants pertaining to mangrove restoration, coastal protection and reforestation, the EDA Facility will alleviate pressure on key ecosystems and strengthen the delivery of ecosystem services which are critical for communities who depend on agriculture and for the protection of water resources. For instance, mangrove reforestation activities will mitigate the impacts of storm surges while contributing to ecosystem health and biodiversity.

122. Although the risk of maladaptation exists in all adaptation solutions, adaptation actions that seek to increase adaptive capacity (as in Component 1 of the proposed EDA programme) are generally least likely to be maladaptive. Adaption actions that aim to decrease sensitivity (as in Component 2 of the EDA Programme) can carry medium risk. In this light, the sub-grant screening form include several provisions designed to mitigate the risk of maladaptation (please see Annex 2 – Feasibility Study, Annex 4 for more information). Additionally, a list of Special Risk activities has been included (Addendum 1 of Appendix 2 in FS) to exclude potential sub-grants with associated risks relating to the displacement of environmental pressures as well as the displacement of people.

D.2. Paradigm shift potential (max. 500 words, approximately 1 page)

123. The entire focus of the EDA Programme and its sub-grants is centred on empowering local communities and States to develop and tailor climate change projects based on their specific needs and priorities. The implementation of the proposed Programme will lead to a paradigm shift away from systemic limits in capacity and resources to reduce communities' vulnerability to climate change impacts, to an increased availability of knowledge and technical ability to translate communities' identified needs into viable climate adaptation projects. By addressing the identified knowledge, technical, financial, institutional and gender barriers, the GCF funding will enable the execution of innovative climate adaptation projects that adequately address impacts identified at the local level, therefore guaranteeing the sustainability of the GCF investment and its potential to generate long-lasting

benefits. Further, by creating a pipeline of sub-projects aiming to reduce economic losses and improve the delivery of ecosystem services, the EDA Programme goes beyond one-off project investments and creates an enabling environment for LAs and sustained climate action. Securing the delivery of ecosystem services will enable the uptake of value chains and markets, especially in the agricultural processing and fisheries sectors.

Potential for scale-up and replication

124. The Programme will adopt a systemic approach to the dissemination, replication and scaling-up of results which will contribute to reinforce its paradigm shift potential. First, the relevance of the Programme's results to other SIDS in the Pacific region and beyond is of particular relevance as the implementation of the sub-grants will improve the delivery of ecosystem services and in doing so demonstrate the technical adequateness and financial viability of these investments by de-risking them, which will have the potential to crowd in private sector finance in the second phase of the RCGF. Second, the methodology applied, and processes followed for the design, planning and execution of these local-scale adaptation sub-grants will be able to be utilized in other FSM communities and replicated across other Pacific Island States. All of the Programme outputs and results will be collected and centralized in existing data portals, and workshop events have been planned to be regularly organised to gather momentum on the successes of sub-grant implementation and disseminate them to public and private sector actors. Indeed, Activity 2.3. will focus on finalising the resource mobilization strategy to secure funding sources to recapitalize the EDA Facility and handover its management. There is confidence that additional funding from public and private bodies can be secured and that the operating capacity of the EDA Facility could be expanded in a second phase in which the number of countries and LAs could be scaled-up.

Potential for knowledge sharing and learning

125. The sub-grants will focus on leveraging best available technology and approaches for the disaster risk reduction, water security, and food security activities including, but not limited to cyclone proofing, rainwater catchment systems, endemic species and ecosystem services, MPAs, livestock and fisheries development, etc. Further, given the focused effort to tailor technologies and approaches to the priorities and needs of the LAs and communities that the programme is focused on, it is expected that additional innovation and contributions to the fields will be learned through the programme applications. The Programme has been specifically designed to create pathways and channels to facilitate the generation and dissemination of knowledge through the learning exchanges, notably under Component 1. Lessons learned in the design and implementation of the capacity building activities and the delivery of trainings can help inform development of future EDA and local capacity building projects. The sub-grant development, review, and implementation process can likewise help enhance both the other sub-grants within this EDA as well as priority adaptation projects in other communities. Technical knowledge will be generated during the execution of the sub-grants through the implementation of innovative technology solutions to identified local constraints. This knowledge will be tapped and utilized for selecting appropriate technologies and approaches in other Pacific communities and will help tailor them to specific community needs. SPC will also be aggregating and synthesizing these lessons learned to help drive other projects in their portfolio and operations across the Pacific. Finally, the Programme will also connect to the data portals and knowledge communities that already exist in the Pacific such as SPC's [Pacific Data Hub](#), the [Pacific Climate Change Portal](#), and SPREP's [Pacific Environment Portal](#) and support staff and DECEM through strengthening their engagement with these portals.

Contribution to the creation of an enabling environment

126. The Programme will seek to catalyse local and national policy change by demonstrating the effectiveness of small-scale, locally designed adaptation projects, and provide incentives for a greater budget allocation to climate change adaptation. At its core, the Programme aims to build the capacity of LAs to understand climate change impacts to develop and implement their own priority adaptation projects. These efforts will drive community ownership and buy-in while demonstrating the long-term sustainability of these investments, particularly as it relates to long-term maintenance (i.e., green/blue/grey coastal infrastructure, rainwater systems, etc.) and behaviour change (i.e., fisheries and livestock practices). By empowering LAs to build their capacity and implement priority projects, the EDA Programme will also help to develop local frameworks and strategic plans for DRR, recovery, and response as well as new local frameworks supporting food and water security, particularly the deployment of both tested and innovative technologies and approaches to increase the resilience of communities. All of these frameworks can support bottom-up advocacy at the national and State level, particularly for DRR. Lastly, the EDA

Programme will place on strong emphasis on engaging with private sector actors throughout implementation, by inviting private actors to conferences, workshops and consultations to demonstrate the operational and financial sustainability of investments implemented as part of the sub-grants.

Overall contribution to climate-resilient pathways

127. Overall, the Programme helps to build the adaptive capacity of LAs and communities in FSM to climate change by developing new capacity, plans, and infrastructure (green, grey, and blue) for improving DRR and recovery, improving water security and access for vulnerable households, and improving livelihoods and food security. All of the activities and approaches are also highly replicable and scalable, as identified above, which builds the magnitude of impact that this Programme can have on influencing future climate-resilient pathways. Further, the pathways envisioned by the Programme and sub-grants help to advance the critical idea of local co-development and engagement for effective response to climate change which is a significant contribution to future climate-resilient development in FSM and is in accordance with identified national strategic goals set by the GoFSM.

D.3. Sustainable development (max. 500 words, approximately 1 page)

128. The proposed EDA Programme will contribute to the achievement of several Sustainable Development Goals, presented in the table below.

Table 7. Contribution of the EDA Programme to SDGs

SDG 1: No Poverty	SDG 6: Clean Water and Sanitation	SDG 11: Sustainable Cities and Communities
SDG 2: Zero Hunger	SDG 8: Decent Work and Economic Growth	SDG 13: Climate Action
SDG 3: Good Health and Well-Being	SDG 10: Reducing inequalities	SDG 14: Life Below Water
SDG 5: Gender Equality		SDG 15: Life on Land

129. Additionally, the Programme will deliver the following co-benefits to both direct and indirect beneficiaries, disaggregated by sectoral focus.

Table 8. Expected co-benefits of the EDA Programme

GCF Category	DRR	Water Security	Food Security
Economic co-benefits	Economic co-benefits from DRR activities mostly centre on avoided economic losses from enhanced disaster resilience and improved recovery timelines. Specifically, the sub-grants will be supporting new grey and green coastal infrastructure, watershed rehabilitation, and flooding control to help limit economic damage to LAs and communities. Further the sub-grants will also be training and equipping LAs for improved emergency preparedness. Sub-grants required small constructions and/or maintenance will generate co-benefits through increased employment opportunities.	Water security activities will help to lower costs of water for households and communities by improving access and availability through new catchment systems and distribution.	By targeting livestock and fisheries as well as some specific crop value chains, the sub-grant activities will be helping to improve financial inclusion, income streams and income security for farmers in FSM by improving efficiency and output, but also developing and scaling market value chains and support for households.
Social co-benefits	The DRR activities are expected to lead to improved health outcomes from reduced disaster risk, particularly flooding. Further by reducing disaster risk and improving response times, social/community recovery can be improved. Finally, DRR activities can also help to preserve cultural sites and resources.	The principal social co-benefit from the water activities in the sub-grants will be improved access to and quality of water for vulnerable households through new catchment, pumping and distribution assets, as well as reduced morbidity related to water borne disease and unsafe drinking water.	Social co-benefits from food security activities focus on improved nutritional outcomes, especially for young children, and food security for vulnerable households.
Environmental co-benefits	To the extent that sub-grants utilize watershed management/restoration and green and blue infrastructure for climate resiliency and DRR, additional co-benefits for reforestation (particularly coastal mangroves), coastal/marine resource conservation, and	Watershed management and restoration activities will help to improve water quality, ecosystem biodiversity, integrity and coastal resources. Reforestation activities and solar water pumping will	The activities focused on supporting improved coastal resource conservation and sustainable utilization will help to sustain biodiversity and improve habitat area. Depending on the

	biodiversity co-benefits will be realized. Activities implemented to mitigate the impacts of flooding will result in avoided soil loss, improved soil structure and improved recharge rate of groundwater reserves, overall enhancing ecosystem functions and services across agroecological zones.	potentially lead to marginal GHG/air quality benefits as well depending on the baselines for pumping.	activities improved agro-forestry and livestock management can also lead to improvements in ecosystem conservation and water quality. Improved livestock management and agroforestry may also lead to marginal GHG benefits.
Gender-Sensitive Development Impact	By supporting specific DRR activities implemented within the gender mainstreaming framework outlined in the Gender Action Plan (Annex 4) the sub-grants will help to identify and integrate key considerations for differing skills and capacity for DRR between men and women, improve access to resources for women, improve gender-responsive leadership by both men and women at the community and national level for disaster response, increase coordination and consultation with women stakeholders in planning and implementing effective gender-balanced strategies for disaster response, etc.	The sub-grants will be directly addressing identified gender barriers by supporting improved participation and decision-making for women in watershed management as well as access to, ownership, and maintenance of new assets like solar water pumps, rainwater harvesting and other catchment systems which can increase water security and decrease collection times and associated risks for women. All of the activities will be conducted within the gender mainstreaming framework outlined in the Gender Action Plan (Annex 4).	The Programme will support improved participation in decision making, control over financial resources, asset ownership, etc. for women on a variety of food security issues mostly related to fisheries and livestock.

D.4. Needs of recipient (max. 500 words, approximately 1 page)

Vulnerability of the country

130. According to the Notre Dame Global Adaptation Initiative (ND-GAIN), FSM is the fourth most vulnerable country to climate change and the 78th least ready country in the world (FSM scored 0.640 on the vulnerability scale and 0.360 on the readiness scale).¹¹⁸ The FSM GCF Country Programme¹¹⁹ concluded that at present, none of the FSM States have a 'high' level of adaptive capacity required to ensure adaptation to the effects of climate change. As highlighted in Section B.1 above, climate change impacts are expected to severely threaten FSM across all sectors of its economy, particularly through increased sea level rise, increased variability of rainfall, increased severe weather events and king tides, and increased temperature. Past inundation, surge and storm events have caused significant damage to communities, including through lasting impacts to community-built infrastructure, coastal resources and fisheries, agriculture and water resources. Currently, approximately 60% of households in FSM live within 200 yards of the shoreline with millions of dollars' worth of agriculture, buildings, etc. exposed to climate threats. Further, the vast majority of FSM is reliant on underdeveloped agriculture, livestock, and fisheries value streams both for subsistence consumption as well as for primary income streams, and climate change is expected to limit these systems further constraining livelihoods and threatening community food security. Water security is likewise constrained due to insufficient technology like catchment systems and mismanaged watershed resources both of which are made more difficult due to future climate change. All these elements demonstrate the acute vulnerability of FSM to the effects of climate change and the need to urgently address the limited local capacity to design and implement climate adaptation projects, which is the core focus of the proposed EDA Programme.

Economic and social development level of the country

131. In FSM in 2013/2014, meeting essential caloric needs required an average of USD 1.84 per adult per day; meeting both food and non-food basic needs required on average USD 4.34 per day. At the national level, about 10% of people in FSM are below the food poverty line and 41% are below the total poverty line. The poverty gap index, which indicates the extent to which average adult equivalent expenditures fall short of the poverty lines, is estimated at 3.6% at the food poverty line and 15.1% at the total poverty line. In addition to this, FSM is an under-resourced country that is highly dependent on COFA funding. The COFA currently funds 80% of State budgets and over 90% of its funding is allocated for health and education. After 2023 when the current phase of financial support is due to expire, and if not renewed this funding source will be severely curtailed leading to an estimated annual financing gap of about USD 41 million (35–45% of current national government expenditures). Negotiations for renewal of the COFA are underway, but it is uncertain what amounts will be available for what purposes at this stage. This level of socioeconomic development highlights a key need for outside funding to support projects to address impacts from climate change.

¹¹⁸ ND GAIN Country Index; Available [here](#).

¹¹⁹ FSM GCF Country Programme; Available [here](#).

Absence of alternative sources of financing

132. FSM local, State and national financial and technical capacity is extremely constrained, particularly when considering the magnitude of potential climate change impacts. Specifically, a previous capacity assessment for FSM from USAID¹²⁰ highlighted that estimated costing for operationalizing climate change policies and action at the State and local level currently far outweighs department budgets and that there is limited capacity in national and State governments to effectively coordinate climate finance and adaptation priorities. Outside funding has been leveraged in this space, but the funding amount is still inadequate to meet adaptation needs and further, more than 60% of the funds go “uncoordinated” by national decision makers which creates a void for effective and coordinated financing for climate adaptation in FSM communities. It is worth noting that the total financing required for the identified pipeline of projects and programmes (est. USD 1.4 billion¹²¹) exceeds FSM’s national GDP five-fold¹²².

Need for strengthening institutions

133. The barrier analysis highlighted a number of capacity constraints for FSM. As concluded in the GCF Country Programme, at present none of the FSM States has the required level of adaptive capacity to adapt to the effects of climate change. Despite some variation in their adaptive capacities, all States are highly vulnerable due mainly to an inability to respond to climate impacts in a timely manner and the wide dispersion of the islands in the FSM which poses transportation, communication and development challenges for the nation, particularly for costs of goods and services, costs of energy and transportation, and scalability and connectivity of markets¹²³. Further, institutional capacity to secure sufficient funds and implement coordinated adaptation and mitigation projects is also inadequate, making progress slow and challenging. While decision-makers’ awareness of climate change is reasonably high, a concrete institutional response is at a very early stage in FSM. All of this highlights the need to improve capacities for climate adaptation particularly at the local level of governance which is the primary focus of Component 1 of the Programme, which will aim to foster the transfer, receipt and integration of knowledge across LAs, and ultimately building long-term collaborative problem-solving capacity in FSM.

Needs of local communities

134. GCF financing will support building capacity and undertaking on-the-ground interventions for DRR, food security and water security to address the most pressing needs of FSM’s most vulnerable communities. The sub-grant facility will empower LAs to implement climate change projects based on the specific needs and priorities of vulnerable communities within their jurisdictions. This will be achieved by addressing technical, financial, institutional and capacity barriers that currently prevent the implementation of locally led climate action to address climate change impacts at the local level and generate long-lasting adaptation benefits. The sub-grants will focus on three thematic areas that are most severely felt by vulnerable communities in FSM, namely DRR, food security and water security.

D.5. Country ownership (max. 500 words, approximately 1 page)

Existing national climate strategy

135. The proposed EDA Programme is aligned with climate change policy frameworks at the national, state and municipal level. At the national level, the Programme complies with the Climate Change Policy (2013), the Climate Change Act (2014), and feeds into the objectives of the Nationwide Integrated Disaster Risk Management and Climate Change Policy (2013)¹²⁴, specifically with Strategic Objective #2 “Promote, facilitate and develop training programs focused on disaster risk management and climate change for scientific, technical, managerial personnel and policy makers” and Strategic Objective 7: “Reduce and manage the risks associated with more frequent, severe and unpredictable extreme weather events”. Additionally, the Second National Communication identifies risks to food and water security and coastal flooding from climate change impacts (sea level rise, saltwater inundation, extreme weather events) as key adaptation initiatives and highlights the need to support community-based adaptation projects to institute locally effective adaptation measures.

¹²⁰ FSM Climate Change and Disaster Risk Finance. Available [here](#).

¹²¹ FSM GCF Country Programme. Available [here](#).

¹²² Ibid.

¹²³ World Bank. 2017. Pacific Possible: Long-term Economic Opportunities and Challenges for Pacific Island Countries. Available [here](#).

¹²⁴ FSM Nation Wide Integrated Disaster Risk Management and Climate Change Policy; Available [here](#).

136. At the State level, the Joint State Action Plans for Disaster Risk Management and Climate Change all also identify strategic objectives aligned with the proposed EDA Programme, as follows:

- **Pohnpei** – *Objective 4.1*: Strengthen food security in Pohnpei, *Objective 5.2*: Ensure water security of Pohnpei and *Objective 6.1*: Improve critical infrastructure in Pohnpei to withstand disasters and climate change¹²⁵.
- **Kosrae** – *Objective 6.3*: Improve critical infrastructure in Kosrae to withstand disasters and climate change and *Objective 6.8*: Strengthen management of freshwater resources¹²⁶.
- **Chuuk** – *Objective 1.2*: Improve infrastructure in Chuuk State to withstand disaster risk and climate change, *Objective 2.4*: Sustain productive agriculture and *Objective 4.1*: Ensure water security for Chuuk¹²⁷.
- **Yap** – *Objective 3.1*: Improve data and knowledge management to better support disaster risk management and climate change adaptation and *Objective 3.5*: Address food security issues in Yap and the risks provided by climate change and other events and *Objective 6.3*: Improve critical infrastructure in Yap to withstand disasters and climate change¹²⁸.

137. Lastly, at the municipal level, Local Early Action Plans (LEAPs), which were developed as part of the International Climate Initiative, provide essential information on the vulnerability and adaptive capacity of local communities. Priority adaption actions to be implemented as part of Component 2 of the proposed Programme were directly inspired from the LEAPs, in alignment with both the national climate change framework and the needs of local populations.

Existing GCF country Programme

138. The GCF Country Programme also specifically identifies the need for food and water security projects, disaster risk management projects, and resilient infrastructure/roads projects¹²⁹. Building on identified priorities, and given the centrality of climate change considerations, the GCF Country Programme endorses the sectoral focus of the JSAPs – food and water security, health and education, and infrastructure climate proofing. Further, the Country Programme acknowledges the difficulty in leveraging private sector financing for climate adaptation projects in FSM, due to the limited capabilities of national private sector actors. As recommended in the Country Programme, the EDA grant facility will streamline local-level, priority adaptation projects relating to the food and water security sectors and DRR. Additionally, this Programme will build LA technical capacity, so that LAs can utilize climate change information, implement an informed adaptation response, which will strengthen their overall capacity to implement climate finance projects.

Alignment with existing policies such as NDCs, NAMAs, and NAPs

139. Although FSM's contribution to greenhouse gas emissions has always been marginal, the INDC states the need to implement priority adaption actions as laid out in the Nationwide Integrated Disaster Risk Management and Climate Change Policy (2013) and the FSM Climate Change Act (2014). The INDC emphasizes the urgency to enhance the local capacity to plan, design, implement, manage and operate adaptation projects and installed technologies, further demonstrating the relevance of the proposed EDA Programme. At time of writing, FSM's National Adaptation Plan is currently under development. A detailed list of regional, national, state and municipal policy frameworks of relevance to and aligned with the proposed EDA Programme can be found in Section 7 of the Feasibility Study.

Capacity of Accredited Entities or Executing Entities to deliver

140. SPC is the principal scientific and technical organization in the Pacific region, supporting development since 1947. SPC is an international organization owned and governed by 26 member countries and territories. SPC applies science, knowledge and innovation in support of sustainable development, with a focus on critical cross-

¹²⁵ Federated States of Micronesia – Pohnpei Joint State Action Plan for Disaster Risk Management and Climate Change; Available [here](#).

¹²⁶ Federated States of Micronesia – Kosrae Joint State Action Plan for Disaster Risk Management and Climate Change; Available [here](#).

¹²⁷ Federated States of Micronesia – Chuuk Joint State Action Plan for Disaster Risk Management and Climate Change; Available [here](#).

¹²⁸ Federated States of Micronesia – Yap Joint State Action Plan for Disaster Risk Management and Climate Change; Available [here](#).

¹²⁹ GCF – Federated State of Micronesia Country Programme; Available [here](#).

cutting issues such as climate change, disaster risk management, food security, gender equality, human rights, non-communicable diseases and youth employment. Drawing on a multi-sectoral integrated approach, SPC aims to support the empowerment of Pacific communities through the generation and sharing of locally owned knowledge¹³⁰. SPC gained GCF accreditation in February 2019, and is authorized to perform all financial, administrative and managerial processes for the execution of climate finance projects. The capacity of the AE to deliver is further strengthened by the presence of an SPC Regional Office in FSM. Located in Pohnpei, SPC's RO will be a key implementing partner in the delivery of the proposed EDA Programme.

Role of National Designated Authority and Engagement with civil society organizations and other relevant stakeholders, including indigenous peoples, women and other vulnerable groups

141. In addition to this strategic alignment, the EDA Programme has been co-developed by SPC and the NDA, with strong support and inputs from other FSM stakeholders, including all four States, civil society organizations and women's groups. Even despite difficulties caused by the global COVID-19 pandemic, initial needs assessments were conducted for a number of FSM municipalities and through this specific adaptation priorities were identified through direct stakeholder meetings. The NDA, which will also be the official focal point, and the four States will be fully involved and play a key strategic role in the Programme implementation. Resources will be provided to the NDA and LAs to guarantee ownership by developing key strategic partnerships between SPC, the NDA and LAs. Further, a national decision-making body made up of representatives from key stakeholders will endorse key milestones and lead key Programme implementation including the selection of sub-grants.

D.6. Efficiency and effectiveness (max. 500 words, approximately 1 page)

142. The envisaged GCF budget for the implementation of prioritized and identified pipeline of sub-grant projects is USD 12,000,000 while USD 4,591,556 is expected to fund TA support for the implementation of these sub-grants. The total project budget is USD 16,591,556, all of which is to be provided by the GCF in the form of a grant. The programme includes USD 3,119,081 in co-finance, of which USD 2,916,571 is from the FSM Government and USD 202,510 from SPC.

143. The GCF support in form of grant is crucial to address substantial adaptation needs of the FSM communities. The proposed programme aims to build the adaptive capacity of vulnerable LAs and to implement a variety of adaptation interventions for the increased climate resilience of communities and livelihoods. The aim is to initiate an overarching approach that would support the identification of locally led, most suitable interventions and in doing so lay the foundations for further scaling-up beyond the programme lifetime. The programme will support local public sector.

144. Furthermore, the request for grant financing is justified by (i) the needs of the recipients, who are local communities whose livelihoods are extremely vulnerable to climate change, (ii) the limited capacity of FSM LAs and States to leverage other sources of financing. Section B.1 of this Funding Proposal and Section 2 of the Feasibility Study provide more detail on the socioeconomic conditions of FSM communities. The current cost estimates for climate change adaptation solutions far exceed allocated budgets for both LAs and States. This highlights the necessity of the proposed GCF grant structure and concessionally to directly support local communities. Further, similar mechanisms from other donors including the Adaptation Fund¹³¹, GEF Small Grants Programme¹³² and USAID PACAM¹³³ that have been shown to be both effective and efficient at supporting LAs and community groups in developing projects and delivering local climate change outcomes, including in DRR, ecosystem-based adaptation, food security, and water security.

145. Given that most of the interventions planned are public sector projects that use grant funding and therefore do not generate any revenues, a financial analysis is largely infeasible. Given this, a focus has been put on the economic analysis of the project. Generally, these types of investments produce outputs and outcomes that meet the classical definition of public goods (non-rivalrous and non-excludable).

146. The project has the potential to generate a broad range of environmental, social, and economic benefits and co-benefits, some of which include:

- Increased capacity of relevant stakeholders to identify, develop, and implement tailored and focused adaptation measures and needs;

¹³⁰ Pacific Community. 2019. SPC Results Report 2019; Available [here](#).

¹³¹ Adaptation Fund – Practical Solutions for Reducing Community Vulnerability to Climate Change in FSM; Available [here](#).

¹³² GEF Small Grants Programme – Micronesia OP 5 Strategy; Available [here](#).

¹³³ USAID PACAM Performance Evaluation Report. 2017. Available [here](#).

- Increased resilience of buildings and infrastructure to severe climate impacts, especially those resulting from climate extremes;
- Reduced flooding and seawater intrusion due to coastal management interventions;
- Reduced erosion and loss of coast, and loss of infrastructure such as roads;
- Avoided loss of biodiversity due to, for example, mangrove planting;
- Avoided crop losses and overall increased food security due to implementation of climate resilient crops/varieties such as saltwater resistant yam;
- Avoided cost resulting from erosion and soil damage due to implementation of soil and water conservation techniques;
- Increased water security and water subsistence due to implementation of water infrastructure such as rainwater harvesters;
- Increased productivity and avoided crop losses as a result of investing into water storage and irrigation systems; and
- Health benefits resulting from increased water security.

Efficiency and effectiveness of the project

147. An economic analysis of the project has been performed to assess the incremental adaptation benefits to climate change for communities. The economic cost-benefit analysis uses a cash flow model over a 20-year period, and a 50-year period for coastal management. These periods include all investment and operational costs of the project, as well as the monetized revenues from resulting externalities such as avoided losses. The approach undertaken was based on identifying the most probable interventions that would reflect the most pressing adaptation needs.
148. The results of economic analysis clearly show that the programme-level ENPV is positive at **USD 39,268,625** and the programme-level **EIRR is 11%**. The programme level EIRR is above 6% discount rate and therefore the conclusion is that the proposed programme is economically viable and can be justified on economic grounds, even with 30% of non-investment budget costs for which no direct benefits are envisaged. It is also noteworthy that the analysis included conservative assumptions and not all benefits have been included in the economic calculations since it was not possible to estimate their monetary values, but these benefits would nonetheless occur under the proposed interventions. Some of benefits would include avoided coastal erosion, avoided crops damage due to availability of water for irrigation, increased capacity of relevant stakeholders to identify, develop, and implement tailored and focused adaptation measures and needs, and health benefits resulting from increased water security. For more details, please see Annex 3.
149. **Accordingly, the EDA Programme will demonstrate a strong cost effectiveness and economic soundness.** The proposed financial structure of the facility is deemed adequate and reasonable in order to achieve the Programme's objectives while minimizing transaction costs, in particular given the high complexity of targeting all municipalities in each of the States to include particularly vulnerable populations living in rural areas and outer islands. Indeed, the long distances, at times unfavourable weather, logistics and high-cost challenges of inter-island transportation in FSM make it particularly difficult to deliver assistance.
150. Summarizing the comparable costs per beneficiary for sub-projects of the PACC grant mechanism presents the following:
- Cook Islands: cost per direct beneficiary: USD 4,000
 - FSM: cost per direct beneficiary: USD 8,415
 - Samoa: cost per direct beneficiary: USD 436
 - Vanuatu: cost per direct beneficiary: USD 2,291
151. Based on an estimate of 54,301 direct beneficiaries through the implementation of sub-grants through this EDA Programme with a total Programme cost of USD 19,710,637, **the cost per direct beneficiary is approximately USD 363**. The EDA Programme compares favourably against these benchmarks and is well below comparable sub-grant costs per direct beneficiaries.

Application of best practices

152. The programme has identified number of potential interventions that would most effectively and efficiently respond to adaptation needs (See table 4). The interventions were identified and prioritized based on stakeholder consultations. Interventions include proven sound technologies and practices completely aligned with the FSM context.

153. The sub-grants will focus on leveraging best available technology and approaches for the DRR, water security, and food security activities including, but not limited to cyclone proofing, rainwater catchment systems, endemic species and ecosystem services, MPAs, livestock and fisheries development, and other as defined within table 4 of this proposal. Further, given the focused effort to tailor technologies and approaches to the priorities and needs of the LAs and communities that the Programme is focused on, it is expected that additional innovation and contributions to the fields will be learned through the Programme applications.
154. The EDA model from this Programme has the strong potential to catalyse additional financing for FSM and its LAs, particularly through its focus on capacity building for LAs to develop and implement projects, developing a fundable track record of project execution, and crucial capacity/experience showcasing effective project and financial management. All of this can help build donor/investor confidence, reduce investment risk, and ultimately unlock future projects and investment for FSM and the LAs.

E. LOGICAL FRAMEWORK

This section refers to the project/Programme's logical framework in accordance with the GCF's [Performance Measurement Frameworks](#) under the [Results Management Framework](#) to which the project/Programme contributes as a whole, including in respect of any co-financing.

E.1. Paradigm shift objectives

Please select the appropriated expected result. For cross-cutting proposals, tick both.

- ☐ Shift to low-emission sustainable development pathways
- ☒ Increased climate resilient sustainable development

E.2. Core indicator targets

Provide specific numerical values for the GCF core indicators to be achieved by the project/Programme. Methodologies for the calculations should be provided. This should be consistent with the information provided in section A.

E.2.1. Expected tonnes of carbon dioxide equivalent (t CO ₂ eq) to be reduced or avoided (mitigation and cross-cutting only)	Annual	Click here to enter text. t CO ₂ eq
	Lifetime	Click here to enter text. t CO ₂ eq
E.2.2. Estimated cost per t CO ₂ eq, defined as total investment cost / expected lifetime emission reductions (mitigation and cross-cutting only)	(a) Total project financing	___ USDUSD
	(b) Requested GCF amount	___ USDUSD
	(c) Expected lifetime emission reductions	N/A t CO ₂ eq
	(d) Estimated cost per t CO₂eq (d = a / c)	N/A Choose an item. / t CO ₂ eq
	(e) Estimated GCF cost per t CO₂eq removed (e = b / c)	N/A Choose an item. / t CO ₂ eq
E.2.3. Expected volume of finance to be leveraged by the proposed project/Programme as a result of the Fund's financing, disaggregated by public and private sources (mitigation and cross-cutting only)	(f) Total finance leveraged	___ USDUSD
	(g) Public source co-financed	___ USDUSD
	(h) Private source finance leveraged	None Choose an item.
	(i) Total Leverage ratio (i = f / b)	
	(j) Public source co-financing ratio (j = g / b)	
	(k) Private source leverage ratio (k = h / b)	0
E.2.4. Expected total number of direct and indirect beneficiaries, (disaggregated by sex)	Direct	54,301 ¹³⁴ 49.2% of female
	Indirect	92,016 49.2% of female
	For a multi-country proposal, indicate the aggregate amount here and provide the data per country in annex 17.	
E.2.5. Number of beneficiaries relative to total population (disaggregated by sex)	Direct	47.2% (Expressed as %) of country(ies)
	Indirect	80% (Expressed as %) of country(ies)
	For a multi-country proposal, leave blank and provide the data per country in annex 17.	

¹³⁴ The details on the rationale and calculations for direct and indirect beneficiaries can be found in Annex 2, Section 14.

E.3. Fund-level impacts

Expected Results	Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions
				Mid-term	Final	
A1.0 Increased resilience and enhanced livelihoods of the most vulnerable people, communities and regions	A1.1 Change in expected losses of lives and economic assets (US\$) due to the impact of extreme climate-related disasters	Post Disaster Assessments	196 housing buildings and 33 public infrastructure buildings damaged or destroyed during the 2019 Typhoon Wutip			For mid-term target, assuming 2 interventions on housing or private buildings, 1 on public buildings and 1 on infrastructures, 4 sub-projects in total.
		National census, Household Income Survey (HIES) and Multiple Indicator Cluster Surveys (MICS) ¹³⁵ Progress reports on the implementation of the sub projects	Estimated costs to repair housing buildings damaged or destroyed: 3.6 million USD Estimated costs to repair public infrastructure buildings damaged or destroyed: 2.6 million USD Estimated costs to repair damaged or destroyed utilities infrastructure: 330,000 USD ^{136 137} 4 casualties caused by Typhoon Maysak ¹³⁸	Total avoided damage costs of DRR sub-projects = USD 445,100 8 avoided casualties in the project area	Total avoided damage costs of DRR sub-projects = USD 735,500 12 avoided casualties in the project area	For final target, assuming 5 interventions on housing or private buildings, 4 on public buildings and 1 on infrastructure, 10 sub-projects in total. For mid-term and final targets, assuming the average cost to repair one housing building is approximately 18,300 USD, and the average cost to repair one public infrastructure building is 78,500 USD. These figures were derived by dividing the total cost to replace all housing or public buildings damaged or destroyed by the number of buildings of each category. For average number of casualties, assuming one major climate-linked disaster similar to Typhoon Maysak occurs every four years. For the value of buildings, a proxy was used (cost estimate to replace assets) due to the unavailability of data. Absence of major natural disasters in the target area. No new buildings or infrastructure is established in exposed areas unprotected by the adaptation interventions. Selected adaptation interventions (rock revetment, sea walls etc.) effectively protect buildings and infrastructure on the coastline from extreme climate events.

¹³⁵ National census, HIES and MICS are being conducted in late 2021 and 2022 and will inform the baseline and progress towards targets now and during project inception.

¹³⁶ USAID and FEMA (2019) Typhoon Wutip Joint Damage Assessment Summary – Federated States of Micronesia (FSM)

¹³⁷ USAID/OFDA (2020) Program Summary Federated States of Micronesia and Republic of the Marshall Islands

¹³⁸ USAID (2015) Typhoon Maysak – Micronesia Fact Sheet. Available here.

<i>A2.0 Increased resilience of health and well-being, and food and water security</i>	<i>A2.2 Number of food secure households (in areas/periods at risk of climate change impacts)</i>	National census, HIES, and MICS National surveys Progress reports on the implementation of the sub projects Independent surveys and interviews carried out as part of the evaluation process	13,584¹³⁹ households at risk of food insecurity and income loss caused by the impacts of sea level rise, extreme climate events and salinization (84,223 people)	1,598¹⁴⁰ households (9,909 people) with increased food security	3,196 households (19,819 people) with increased food security 10,077 males 9,742 females	Assuming 4 food security sub-projects will be implemented by LAs by mid-term, and 10 by the end of the programme. “Food security” and “food secure” in this programme will be understood according to the FAO four pillars framework to measure food security namely availability, accessibility, usability, and stability. Availability relates to the amount, type and quality of food that is available for consumption. This pillar also means that food can be produced, distributed and exchanged. Accessibility is the ability to access the type, quality and quantity of food required. Usability is the capacity to consume and benefit from. Stability is the resilience of availability and accessibility when there are changes in circumstances. Beneficiaries of food security sub-projects will be interviewed according to the four pillars described above. Beneficiary communities remain engaged and apply the proposed adaptation measures (climate resilient seeds, sustainable farming practices etc.) Absence of major natural disasters in the target area.
<i>A2.0 Increased resilience of health and well-being, and food and water security</i>	<i>A2.3 Number of males and females with yearround access to reliable and safe water supply despite climate shocks and stresses</i>	National census, HIES, and MICS Agricultural census National surveys Progress reports on the implementation of the sub projects	20,162 people reported being affected by drought^{141, 142} 10,242 males 9,920 females	10,340 people with access to reliable and safe water supply for consumption and irrigation 5,257 males 5,083 females	20,679 people with access to reliable and safe water supply for consumption and irrigation 10,514 males 10,165 females	Assuming 4 water security sub-projects will be implemented by LAs by mid-term, and 10 sub-projects by the end of the programme. Water safety will be measured against national and international standards. Monitoring of water quality will be carried out as part of the evaluation process of sub-projects by independent surveyors. Absence of major natural disasters in the target area.

¹³⁹ Number of people at risk of food insecurity derived by assuming 74% of the total population is growing crops for self-consumption (Integrated Agricultural Census, 2016), with 6.2 average household size (HIES 2013/2014).

¹⁴⁰ Share of population depending on agricultural occupations for their livelihoods derived using the share of unpaid agricultural workers (IAC, 2016) = 19,819.

¹⁴¹ 45% of households in Yap, 21% in Chuuk, 9% in Pohnpei and 3% in Kosrae reported drought as being the main concern and affected their use of agricultural land, resulting in an average 20% of households nationally.

¹⁴² Integrated Agriculture Census – Federated States of Micronesia (2016). Available [here](#).

<i>A3.0 Increased resilience of infrastructure and the built environment to climate change</i>	<i>A3.1 Number and value of physical assets made more resilient to climate variability and change, considering human benefits</i>	Government damage reports Progress reports on the implementation of the sub projects	196 housing buildings and 33 public infrastructure buildings damaged or destroyed during the 2019 Typhoon Wutip Total cost to restore, replace or repair damaged or destroyed buildings and infrastructure: 13 million USD^{143 144}	4 physical assets climate-proofed (buildings and / or infrastructure)¹⁴⁵ Total avoided damage costs of DRR sub-projects = USD 445,100	10 physical assets climate-proofed (buildings and / or infrastructure) Total avoided damage costs of DRR sub-projects = USD 735,500	Absence of major natural disasters in the target area. No new buildings or infrastructure is established in exposed areas unprotected by the adaptation interventions. Selected adaptation interventions (rock revetment, sea walls etc.) effectively protect buildings and infrastructure on the coastline from extreme climate events. Within the context of this Programme, physical assets will be considered “more resilient” to climate variability and change when, as a result of DRR interventions, they can withstand damage caused by climate change impacts and maintain their function in the face of climate stresses
<i>A4.0 Improved resilience of ecosystems and ecosystem services</i>	<i>A4.1 Coverage/scale of ecosystems protected and strengthened in response to climate variability and change</i>	Government damage reports GIS Data/Remote Sensing Progress reports on the implementation of the sub projects	7,123 ha¹⁴⁶ of mangroves and 6,432 ha¹⁴⁷ of seagrass insufficiently protected and at risk of degradation	1,068 ha of mangroves and 964 ha of seagrass restored and/or protected	2,136 ha of mangroves and 1,929 ha of seagrass restored and/or protected	Assumptions for target setting have been derived from the Micronesia Challenge targets for Protected Areas (PAs) for the States of Pohnpei, Kosrae and Yap. There was no assessment of the mangrove and seagrass surface area for the State of Chuuk in the Protected Area Network reports¹⁴⁸ A 30% target for the restoration and protection of mangroves and seagrass areas was set in line with the targets set by the Micronesia Challenge. The target may be updated in the first year of implementation based on potential areas of interventions. Absence of major natural disasters in the target area. No perverse incentives (policies, prices, monoculture industries that affect natural capital) are introduced in the project area

¹⁴³ USAID and FEMA (2019) Typhoon Wutip Joint Damage Assessment Summary – Federated States of Micronesia (FSM)

¹⁴⁴ USAID/OFDA (2020) Program Summary Federated States of Micronesia and Republic of the Marshall Islands

¹⁴⁵ Including: community buildings (individual homes, schools, clinics, community halls, churches, cultural sites); roads and bridges; developed water resources and supply infrastructure.

¹⁴⁶ Total mangrove surface area (in hectares) for the States of Pohnpei, Yap and Kosrae.

¹⁴⁷ Total sea grass surface area (in hectares) for the States of Pohnpei, Yap and Kosrae.

¹⁴⁸ The Nature Conservancy – Gap analysis and Spatial Prioritization Reports: [Pohnpei](#), [Yap](#), [Kosrae](#) and [Chuuk](#)

E.4. Fund-level outcomes

Select the appropriate outcome(s) to be reported for the project/Programme. Select key expected outcomes and corresponding indicators from GCF RMF and PMFs as appropriate. Note that more than one indicator may be selected per expected outcome. Add rows as needed.

Expected Outcomes	Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions
				Mid-term)	Final	
A7.0 Strengthened adaptive capacity and reduced exposure to climate risks	A7.1 Use by vulnerable households, communities, businesses and public-sector services of Fund supported tools, instruments, strategies and activities to respond to climate change and variability	Capacity assessment and scoring system National census, HIES, and MICS Household surveys Vulnerability assessments Training and workshop reports	Scores from LAs (municipalities and State agencies) Capacity assessments carried out at project design phase Communities who benefitted from the adaptation sub-projects report having increased capacity and means to face climate stresses and shocks	Self-assessment using scoring system ¹⁴⁹ where 40% of extremely low, low and moderate capacity LAs report higher scores and capacity to plan, manage and implement adaptation sub-projects and interventions 40% of communities/individuals who benefitted from the sub-projects report having increased capacity and means to face climate stresses and shocks (21,455 people)	Self-assessment using scoring system where 80% of extremely low, low and moderate capacity LAs report higher scores and capacity to plan, manage and implement adaptation sub-projects and interventions 80% of communities/individuals who benefitted from the sub-projects report having increased capacity and means to face climate stresses and shocks (43,441 people)	Constructive relations for collaboration between Government state agencies, LAs and beneficiary stakeholders to identify, design, implement and maintain adaptation measures. The Fund-supported tools and activities are the training materials developed for LAs and the sub-projects financed by the RCGF Beneficiaries have access to and are willing to use the information provided to implement adaptation interventions A self-assessment questionnaire will be administered to assess the communities' increased adaptive capacity

¹⁴⁹ As described in Annex 2 – Feasibility Study and Annex 23 – Operations Manual.

E.5. Project/Programme performance indicators

The performance indicators for progress reporting during implementation should seek to measure pre-existing conditions, progress and results at the most relevant level for ease of GCF monitoring and AE reporting. Add rows as needed.

Expected Results	Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions
				Mid-term	Final	
Output 1.1 Local Authorities have an increased awareness of and capacity to identify and prioritize adaptation solutions	No. of adaptation planning support tools developed	Local Authorities websites/offices	0	At least 1 (Climate adaptation support framework)	4 support tools (Climate adaptation support framework, prioritization tool, training curriculum and interactive case studies)	Absence of economic, political or health issues that would hamper the programme's progress
	No. of Local Authorities who integrate the adaptation planning support tools in their decision-making processes	LAs meeting minutes and official statements	0	At least 20 municipalities and/or State authorities	At least 40 municipalities/State authorities	LAs understand the added value and benefits of the tools for adaptation planning.
Output 1.2 Local Authorities have increased capacity to design and develop viable adaptation projects that reflect the needs of communities	Number of private sector actors with increased knowledge of challenges and opportunities in local adaptation planning	Independent surveys Workshop reports	0	At least 10 entities	At least 20 entities	Absence of economic, political or health issues that would prevent the participation of a representative cohort of private sector actors
	Number of roadmaps / action plans developed for the recapitalization of the RCGF	Workshop report from Climate change adaptation local authorities conference	0	Implementation partners identified and committed	1 roadmap or action plan developed and implemented	There are sufficient participants in the conference and workshops with interest and capacity to recapitalize the RCGF The number of implementation partners will be determined within the first year of implementation
Output 1.3 Local Authorities have access to climate change information and data to inform decision-making processes	Number of climate information products developed in line with identified local needs and priorities	Knowledge platform and partnering knowledge platforms (SREP, Pacific Datahub etc.) Assessment questionnaire	0	1 climate information product established (knowledge platform)	1 climate information product (knowledge platform) compiles all sub-project level lessons learned, data and results, along with relevant linkages with partnering platforms	Local Authorities have been successfully incentivized to use the climate information products

Output 2.1 The RCGF is established and enables the financing of locally-led adaptation solutions	Recapitalized funding volume for the RCGF	Co-financing letters Officials statements and press reports	0	USD 0	USD 12 million	It is assumed that securing capital for the RCGF by mid-term will be difficult until there is sufficient data and dissemination done on the results and benefits of the sub-projects implemented The targets may be revised by mid-term of programme implementation There is sufficient engagement and interest from private sector actors, development partners to recapitalize the RCGF
Output 2.2 Adaptation solutions are selected in with identified CC impacts, GCF investment criteria and the needs of beneficiaries	Number of beneficiaries with enhanced knowledge and capacity to adapt to climate change, including vulnerable groups	Self-assessment of sub-projects Vulnerability assessments Annual monitoring reports	0	27,150 people	54,301 people	This indicator will be assessed using the data collected pre- and post- sub-project implementation
	Number of municipalities and State authorities' officials who report increased knowledge and capacity to prioritize adaptation solutions and implement them	Organisational audit Capacity self-assessment Annual monitoring reports	0	70 (35 men and 35 women)	140 (75 men and 75 women)	There will be effective participation in the workshop from the LAs and other relevant stakeholders Absence of economic, political or health issues that would hamper the programme's progress
Output 2.3 Sub-grants deliver adaptation results and demonstrate the financial, technical and economic sustainability of selected interventions	Number of protected (climate-proofed) wells	Hydrological assessments, water balance reports Expert assessments carried out for evaluation of sub-projects National water supply monitoring	0	1 climate-proofed freshwater source	2 climate-proofed freshwater sources	The freshwater sources will be considered to be climate-proofed if hydrological assessments reveal overall safe drinking water levels according to national and international standards, and the source(s) are protected from contamination resulting from climate-induced sea level rise or storm surge.

						The targets may be revised based on assessments and data to be collected at project implementation phase.
	Number of hectares of agricultural land with salinity levels >1g/l	Expert assessments carried out for evaluation of sub-projects	0	Reduced salinity levels in 20% of ha targeted by food security sub-projects	Reduced salinity levels in 40% of ha targeted by food security sub-projects	This indicator will be assessed using the data collected pre- and post- sub-project implementation The targets for the number of hectares to be rehabilitated (i.e. with decreased salinity levels below 1g/l) will be established using the latest available data incl. census from the MCT SAP project Targets will be revised if necessary within the first year of implementation with latest available data
	Number of people who benefitted from food security sub-projects reporting increased food security	Reports from evaluation of sub-projects Agricultural Census HIES, MICS and Household surveys	0	7,927 people (40% of estimated food security thematic area beneficiaries) report increased food security	11,891 people (60% of estimated food security thematic area beneficiaries) report increased food security	This indicator will be assessed using the data collected pre- and post- sub-project implementation. Targets will be revised if necessary within the first year of implementation with latest available data

E.6. Activities

All project activities should be listed here with a description and sub-activities. Significant deliverables should be reflected in the implementation timetable. Add rows as needed.

Activity	Description	Sub-activities	Deliverables
Component 1: Local authorities empowered to deliver climate change adaptation services to their populations			
Output 1.1 Build technical expertise to identify and prioritize adaptation solutions			
1.1.1 Develop climate adaptation decision support framework and training curriculum including interactive case studies targeting government officials	An interactive, targeted training curriculum will be developed to support LA to identify/screen for climate change risks and impacts Tools and frameworks developed to prioritize adaptation solutions	Capacity gap assessment of LAs and target government officials Review of climate change risk tools and documents Identification of case studies Development of tools and frameworks	Capacity gap analysis Training manual on climate adaptation with case studies Adaptation measure prioritization and risk screening tools and national framework
1.1.2 Climate adaptation decision support training for local authorities	Training for LAs based on the curriculum developed under activity 1.1.1. Including awareness raising of the EDA Grant Facility to familiarize local government officials with the objectives of the facility, the process, eligibility	Development of training materials for awareness raising of the EDA Grant Facility Training workshops for local government officials of state agencies (80), municipalities (140)	Training materials on the EDA Grant Facility and thematic areas for funding uploaded onto portal

	criteria, and thematic areas for funding	and private sector actors (to be identified)	
1.1.3 Develop train-the-trainer's module and conduct training for national consultants and/or local NGOs in each State to become Facilitating Agents	The train-the-trainer's model will be utilized to ensure FSM nationals are well trained in the development of climate change projects and in particular as it relates to the Programme's Grant Facility.	Development of training of the trainer's manual and training materials Training of the trainers (20 people) in the development of climate change projects	Training of the trainer's manual
1.1.4 Facilitating Agents to support LAs prioritize adaptation actions for Grant Facility	Tailored support to catalyse relevant project ideas that will be channelled through the Grant Facility. NGOs and national consultants will be identified to undertake the follow-up with agencies	Site visits and workshops by facilitating agents with government officials and private sector actors	Report on recommendations for sub-grants and necessary support for LAs
Output 1.2. Technical support on project preparation			
1.2.1 Project Preparation Trainings and Mentoring	Trainers to be paired with LAs to provide training on eligible activities, assessment criteria., and other factors related to the EDA Programme.	Preparation of training manuals Training workshops and meetings with trainers, LAs and States	Training manuals
Output 1.3. Knowledge sharing mechanisms to develop and foster a network of local government authorities			
1.3.1 Develop a knowledge platform and ensure the Programme is connected to regional platforms across the Pacific	Development of web portal to provide space for information specific to FSM on applying approaches, methods and tools that facilitate the planning and implementation of adaptation actions.	Procurement of service providers to develop platform. Training workshop and webinars	Web portal with linkage to other relevant platforms
1.3.2 Learning exchanges and site visits	A network of climate change advocates and practitioners created among local government officials across FSM	Plan workshops and site visits. Sensitize key stakeholders	Directory of climate change experts, advocates, practitioners and expert facilitators
1.3.3 Climate change adaptation local authorities conference	A conference will be organized to allow LAs and State government officials to showcase implemented projects to donors and the private sector	Plan workshop and preparation of materials on the climate change projects for the Micronesia adaptation project workshop	Workshop report and recommendations for funding, scaling up and replication of project interventions and results
Component 2: Priority project implementation-EDA Facility for strengthening local community resilience			
Output 2.1 Establishment of Resilient Communities Grant Facility (RCGF)			
2.1.1 Governance structure for Resilient Communities Grant Facility (RCGF) established and formalized	Establishment of an ECU, EPB, Grants Technical Evaluation sub-committee and FAs.	Identify and recruit personnel for committees from relevant organizations and plan steering committee meetings.	Manual on operations and contractual agreements for ECU, EPB, GTESC and FAs.
2.1.2 RCGF guidelines and procedures developed and finalized	Develop guidance documents and forms for LAs to access (based on feasibility study and operations manual).	Review of guidelines of similar type projects which provide grants for climate change activities. Develop guidance documents and forms for LAs	Procedures, guidelines and templates for operation of RCGF
Output 2.2 Grant award selection			
2.2.1 Initial call for expressions of interest	Launch an initial call of expression of interest for LAs and state agencies (and 4 annual calls hereafter)	Direct engagement with LAs and state agencies to discuss the EOI. Information on the expression of interest disseminated in local media: newspapers, internet (social media), radio	Advertisements with the launch of expression of interest
2.2.2 Screening of Expressions of Interest	Pre-screen sub-grants against the GCF investment criteria, eligibility under the EDA Facility's three thematic areas and development of report for recommendations on	Pre-screen of sub-grants EOI against set investment and eligibility criteria	Pre-screening report identifying possible adaptation interventions, how they meet investment and how they can be improved in the next round

	improvements of EOIs to meet criteria	Support to failed EOIs to improve design against set investment and eligibility criteria	
2.2.3 Organizational audit of sub-national entities/LAs undertaken	Organizational audit of applicants to determine whether the applicant has the necessary capacity to implement the proposed sub-grant. Includes meetings and discussions with applicant, review of sub-grant EOI as well as applicant capacity assessment for financial management, risk management, control, and governance processes	Conduct organizational audit Summarize audit reports to inform training of sub-national entities/LAs	Summarized audit reports to inform training manual to improve sub-national entity service delivery of climate adaptation interventions under 2.2.4 and 2.3.1
2.2.4 Invitations to submit full proposal	Selection committee to issue invitations to the LAs to submit project proposals.	Prepare and share invitation documents for LAs including full proposal document templates and guidelines	Full proposal document templates and guidelines for sub-grant project proposals addressing gender sensitive adaptation measures
2.2.5 Sub-grant preparation support provided	Project preparation support provided to applicants to prepare full project.	Selection of consultants to work with applicants to prepare projects Delivery of sub-grant preparation support	Sub-grant full project proposals addressing gender sensitive adaptation measures
2.2.6 Sub-grant screening and selection	Screening of project proposals against review criteria by the Review committee	Pre-screened by the ECU against a set of review criteria E&S screening will be done by the social and environmental responsibility (SER) team from SPC Further support from FAs to strengthen proposals where necessary Secondary review and selection of sub-grants by SPC Final review and selection by the EDA Programme Board	Screening reports of sub-grant project proposals addressing gender sensitive adaptation measures
2.2.7 Awarding of grants in the three thematic areas, of food security, climate-induced disaster risk reduction and coastal protection, and water security	Inform applicant grant has been awarded and announce publicly the successful proposals.	Posting of grant award winners in portal and dissemination in local media Development of initial catalogue of tailored and gender-sensitive adaptation measures	Initial catalogue of tailored and gender-sensitive adaptation measures in the in the three thematic areas, of food security, climate-induced DRR and coastal protection, and water security uploaded to portal
Output 2.3 Sub-grant award implementation			
2.3.1 Training to improve sub-national entity service delivery of adaptation interventions	Training of organizations as required to strengthen governance structures including areas such as improving the effectiveness of risk management, control, and governance processes. Project management training, including reporting, finance, procurement where appropriate for applicant entities	Development of training material for financial management, risk management, control, project management including reporting, finance, procurement and governance processes Organization and delivery of training workshops and meetings	Training manual for improved sub-national entity/LA service delivery of climate adaptation interventions
2.3.2 Grant agreements entered, implemented, monitored and reviewed	Grant agreements signed for successful applicants and dispersal of grants. Monitoring and Evaluation of projects and progress	Prepare grant agreements Transfer of grants Quarterly site visits and meetings with project implementation team For category B projects, an E&S risk monitoring Monitoring reports	Signed grant agreements M&E reports Data on effectiveness and efficiency of adaptation intervention
2.3.3 Sub-projects evaluated, and lessons gathered	Lessons learned and project completion reports	Evaluation of projects Updated catalogue of adaptation measures	Catalogue with tailored and gender-sensitive adaptation measures, completed lessons learned reports and design documents of projects located on

		Development of lessons learned materials/reports	project portal and other regional portals/websites
2.3.4 Resource mobilization strategy	SPC will develop a resource mobilization strategy that includes an action plan and funding sources to recapitalize the EDA Facility, including assessing the extent to which government expenditure for resilience building activities might be re-directed into the RCGF. In the last two years of the project, SPC will prepare funding application requests with the aim for acceptance from public and/or private actors before or during the final year of implementation. The plan will build on the initial results and lessons learned from the Programme Facility.	Site visits, meetings with bi-lateral and multilateral donors, and with identified private sector entities Development of resource mobilization strategy and action plan Development of funding application requests for climate finance	Resource mobilization strategy including action plan and funding streams for re-capitalization Funding application requests for climate finance

E.7. Monitoring, reporting and evaluation arrangements (max. 500 words, approximately 1 page)

Programme Monitoring

155. In its role as Accredited Entity, SPC will oversee and supervise the implementation of this project in accordance with the agreement signed between SPC and the GCF. SPC will be responsible for project-level MEL and reporting in compliance with approved SPC policies through coordination between its CFU, Strategy, Performance and Learning (SPL) Team and the ECU to implement tools and methods to monitor, evaluate and learn from the project activities. The logical framework contains performance indicators by component and sub-component, which will be jointly monitored by the NDA, ECU and SPC during program implementation via two six-monthly supervision missions per year (or as needed) and via regular monitoring and evaluation procedures that will be established during the project's inception phase.
156. A Monitoring and Evaluation advisor (a part time independent national consultant) will be based in the ECU to support MEL across the programme. This will include establishing M&E systems that are aligned with GCF, NDA and SPC policies and results framework. This advisor will work together with the ECU and FAs to develop a set of MEL tools, approaches and reporting arrangements for each of the sub-grants. This will include annual performance reports and project closure reports. The training, coaching and support provided to grant recipients will include capacity development in MEL, with a focus on how this can be used to maximize grant outcomes while building the evidence base for the results and impact of the initiative.
157. Results and outcomes that result from Programme activities will be monitored in accordance with SPC's Planning, Evaluation, Accountability, Reflection and Learning (PEARL) policy (See Annex 4 of the ESMP). The PEARL policy provides a framework for MEL. It is managed by the SPL team who oversees all MEL activities at SPC's corporate level. Monitoring results shall be recorded in the SPC Results Matrix and will be used to learn from Programme implementation towards a continuous improvement of the design, assessment, approval, administration and implementation within SPC and the EDA Programme itself. Monitoring will enable SPC to make adjustments to respond to unexpected events during the implementation phase as well as to build trust and respond to stakeholders and affected communities. The scope, robustness, frequency of Programme monitoring, and reporting will vary depending on the type of activities and the significance of risks/impacts identified through the screening process and, eventually, assessed before project approval. In addition, monitoring requirements will take into consideration the circumstances in which the project takes place and is implemented.
158. For the individual sub-grants awarded through the EDA Facility, regular M&E will be the responsibility of SPC in coordination with the grantees. Annual performance reports and end of project closure reports will include updated information on E&S risks, and this information will be reported to SPC and GCF. M&E of sub-grants will be supported by FAs and undertaken in accordance with SPC's PEARL policy.
159. For Category B sub-grants, an updated ESMP should be submitted annually and certified by SPC to ensure identified risks have been mitigated and that the ESMP is being followed appropriately. As per SPC's SER screening policies, the overall Programme results shall be monitored by SPC to verify if the Programme is effectively implemented as approved.

Programme Evaluation

160. The following evaluation exercises will be carried out as part of the MEL Framework under the proposed Programme (please see Annex 11 for cost information):

- Continuous evaluation of the sub-projects as they are completed (to be carried out by ECU and SPC CFU as a self-assessment) as part of activity 2.3.2
- A National MEL expert will conduct evaluations of sub-projects with a view to update the catalogue of adaptation measures and interventions and develop knowledge products based on the lessons learned. The MEL expert will be joined by a national ESS and GESI expert to report on environmental, social and gender indicators, as part of activity 2.3.3.
- An external pool of thematic experts will carry out expert analyses and assessments as relevant to the sub-project (CBAs, economic analysis, hydrology studies, ecosystem assessments, social assessments etc.) to ensure the adequacy and efficacy of adaptation interventions, as part of activity 2.3.3.
- A Mid-Term Evaluation to be carried out by an independent consultant four years after the start of the project implementation
- Final or Terminal Evaluation to be carried out by an independent consultant and to be completed within 6 months after the end of project implementation

161. The CFU and SPL Team will be jointly responsible for coordinating the independent interim and final evaluations. The evaluations will be conducted using a question-driven approach, and may include assessments against the criteria of relevance, effectiveness and sustainability, among others. The Mid-Term Evaluation will be instrumental in contributing – through operational and strategic recommendations – to improve implementation, setting out any necessary corrective and adaptive management measures for the remaining period of the project, and identifying relevant lessons learned for stakeholders in FSM as well as the broader Pacific region. The final evaluation will assess the relevance of the intervention, its overall performance, as well as sustainability and scalability of results, differential impacts and lessons learned. The evaluation should also assess the extent to which the intervention has contributed to the Fund's higher-level goal of achieving a paradigm shift in adaptation to climate change in FSM. Both evaluations will contribute to the evidence base for adaptation to climate change in FSM and across the Pacific region, and will be published on the SPC website and other relevant platforms.

F. RISK ASSESSMENT AND MANAGEMENT

F.1. Risk factors and mitigations measures (max. 3 pages)

Limited interest or engagement from Local Authorities

Category	Probability	Impact
Governance	Low	High

Description

Limited interest of engagement from LAs leads to underdeveloped project pipeline and limited impact for the EDA Facility and EDA Programme.

Mitigation Measure(s)

LAs have been directly included in the development of the Programme proposal to date, and through participatory governance, focused outreach, engagement, and delivered benefits through trainings and project development the Programme will build key leadership and buy-in from LAs and communities.

Geographic remoteness of certain Local Authorities

Category	Probability	Impact
Technical and operational	High	High

Description

Some LAs are located in outer atolls that are very far from main islands/atolls. Transportation to these remote LAs is a significant challenge. Under the Programme, LAs will be engaged in the development of sub-grants for their respective communities. This engagement will include communicating project needs based on the relative geographic isolation of their community. SPC has well established and efficient procurement protocols and teams that will adjust to transportation needs accordingly.

Mitigation Measure(s)

Under the Programme, LAs will be engaged in the development of sub-grants for their respective communities. This engagement will include communicating project needs based on the relative geographic isolation of their community. SPC has well established and efficient procurement protocols and teams that will adjust to transportation needs accordingly.

Local Authorities have insufficient capacity and resources to implement priority projects

Category	Probability	Impact
Technical and operational	Medium	High

Description

LAs have insufficient capacity and resources to implement priority projects which results in stranded or underperforming projects and limited results for local communities.

Mitigation Measure(s)

Existing capacity for LAs is quite limited which is why the EDA Programme deliberately builds multi-stage training for LAs on climate change, project development, and project management as well as sustained technical support, guidance, and oversight from project support bodies. In the event LAs need additional support beyond this in order to successfully implement a sub-grant, the LA will either (i) be paired with a State agency that will assist the LA in sub-grant development/implementation, or (ii) the ECU would serve as the financial and procurement provider and directly support project implementation in collaboration with the LA.

Local communities and individual households don't support or engage with local priority projects

Category	Probability	Impact
Governance	Low	Low

Description

Local communities and individual households don't support or engage with local priority projects stemming from misaligned project objectives and priorities and limited stakeholder engagement and co-development.

Mitigation Measure(s)		
The core principle of the EDA Programme is co-development of adaptation projects tailored to local needs and priorities. As part of sub-grant development, the Programme will be working through locally elected officials and leaders to engage with the target communities and identify priority project needs. Community engagement and buy-in is a primary focus of the sub-grant application and review processes, so extensive due diligence will be undertaken to hedge against this risk. Further, the Programme will enlist formal/informal civil society organizations and other groups to help support Programme outreach and development.		
Localized data and information are insufficient to help support development of priority projects		
Category	Probability	Impact
Technical and operational	Medium	Medium
Description		
Localized data and information are insufficient to help support development of priority projects leading to underdeveloped projects, sub-optimal design, siting, and implementation of sub-grant activities, and ultimately limited climate adaptation outcomes.		
Mitigation Measure(s)		
The EDA Programme works directly with national and State agencies to catalogue existing climate, vulnerability, and other data to help engage LAs to develop projects and importantly identify gaps that need to be sourced.		
Difficulty in sourcing of technology and other inputs for Programme activities		
Category	Probability	Impact
Technical and operational	Medium	Medium
Description		
Procurement for the EDA Programme in FSM is complicated given the diverse, dispersed geographies of FSM as well as constrained supply chains from COVID-19 aftermath.		
Mitigation Measure(s)		
Existing capacity for LAs is quite limited which is why the EDA Programme deliberately builds multi-stage training for LAs on climate change, project development, and project management as well as sustained technical support, guidance, and oversight from project support bodies. In the event LAs need additional support beyond this in order to successfully implement a sub-grant, the LA will either (i) be paired with a State agency that will assist the LA in sub-grant development/implementation, or (ii) the ECU would serve as the financial and procurement provider and directly support project implementation in collaboration with the LA.		
COVID-19 constraints for engagement and operations		
Category	Probability	Impact
Technical and operational	Medium	Medium
Description		
Depending on the timeline of the Programme, stakeholder engagement could still be constrained by COVID-19 and the resulting shifts in staff and protocols.		
Mitigation Measure(s)		
The EDA Programme has been adaptive and proactive in finding pathways to engage with needed stakeholders at the local level during the COVID-19 pandemic by leveraging highly effective national consultants and local networks. This foundation will help the Programme to proactively plan for alternative pathways for stakeholder engagement.		

G. GCF POLICIES AND STANDARDS

G.1. Environmental and social risk assessment (max. 750 words, approximately 1.5 pages)

162. In the development of this funding proposal and its accompanying feasibility study, an initial risk assessment for the potential priority adaptation measures has been conducted. In general, all of the sub-grant activities are expected to be limited both in scale and risk given the size of projects developed, resulting in the **overall Programme being classified as Category I-2 according to GCF's Environmental and Social Policy.**
163. Potential environmental impacts include:
- Overdrawing of aquifers due to insufficient recharge time
 - Impacts on freshwater resources quantity and quality due to pumping
 - Impact on local and migratory fish stocks and marine environment due to infrastructure projects
 - Erosion and soil degradation due to new building constructions
 - Noise and air pollution
 - Creation of electronic and hazardous waste
164. Potential social impacts include:
- Community aversion of sub-grants
 - Exacerbation of gender inequalities in newly created income opportunities and decision-making processes
 - Risks relating to working conditions (construction)
 - Impacts on cultural resources and heritage
165. To ensure the compliance of sub-grants with best practices in environmental and social protection and risk mitigation, SPC developed and adopted in 2020 its [SER Policy](#) which lays out all policies and procedures relating to the environmental and social management of SPC's interventions in the implementation of its projects and Programmes. The document contains guidelines, procedures and SPC's Environmental and Social Management System (ESMS) to be used to screen and appraise its activities.
166. Risks will be mitigated through the provision of technical support to LAs to enable them to undertake the required EIA and develop ESMP if required. Annex 6 of this Funding Proposal lays out a list of proposed mitigation measures for the potential E&S risks identified above, including provisions to assess adaptation measures using the Sub-Grant intake form.
167. The Sub-Grant intake form includes exclusionary provisions for special risk activities, which lists all activities which the EDA Facility will not fund either directly or indirectly, in accordance with FSM's Environmental Impact Assessment Regulations and SPC's [SER Policy](#). The combination of small-scale interventions, tight controls and trainings for LAs and sub-grants, as well as the overarching gender-inclusive and risk management approach suggests that the Programme can be effectively implemented in a socially and environmentally responsible manner.

DISCLOSURE

168. As part of the commitment to inclusive decision-making, SPC recognises the right of people to seek, receive and impart information about SPC's Programmes that have the potential to affect their livelihoods and ways of living. As part of the screening process, SPC will determine whether a report needs to be undertaken of the SER risks for a project. Where SPC commissions such a report, and where not restricted by its partners' or development partners' confidentiality requirements, SPC will:
- publish the relevant report on SPC's website;
 - ensure that copies of the report are accessible to affected peoples; and
 - provide the report to the development partner in line with their requirements under any funding agreement.
169. In the case of projects that are considered to be medium or higher risk for environmental or social impact, SPC will make the report publicly available at least 30 days before SPC or any relevant development partner makes a decision that may have an impact.

GRIEVANCE REDRESS MECHANISM

170. SPC is committed to receiving any concerns or grievances from any affected community, about the environmental and social plans or performance of any SPC project. At any time, an affected member of a community may raise their concerns by lodging a complaint through SPC's website or to the EDA Programme Board. In addition, SPC will develop specific mechanisms for Programmes or projects to allow members of an affected community to provide feedback, or raise potential concerns or grievances, where the ESMS screening process determines it is appropriate. These mechanisms will be accessible and relevant to the affected communities.

Communities and stakeholders will be able to access the [grievance complaint form](#). Such grievances will be raised to SPC as the Accredited Entity as well as to the EPB.

STAKEHOLDER ENGAGEMENT

171. An initial stakeholder workshop took place in October 2019. The workshop was conducted between SPC and representatives from key stakeholder agencies including the FSM NDA, FSM DECEM, the FSM Overseas Development Assistance (ODA) office, the FSM Department of Resources and Development, GCF focal points representing each state, the Micronesia Conservation Trust, the IOM office, representatives from the municipalities, as well as other relevant organizations (e.g., local NGOs) (please see Annex I of the SEP for the full report).
172. Following this workshop, the proposal was developed in close coordination with the FSM NDA and continuous consultations have taken place from June to November 2020. Due to precautionary measures and preventive practices that were in place to prevent the spread of COVID-19 such as travel restrictions and mandates prohibiting group gatherings, these consultations took place either virtually or with one or two people at a time.
173. During project development, key women's groups were also consulted to ensure appropriate gender mainstreaming and to validate the gender action plan. The Gender Analysis and Action Plan Annex 4 includes a summary of the outcomes of these consultations and how they were integrated into project design.

G.2. Gender assessment and action plan (max. 500 words, approximately 1 page)

174. SPC facilitated extensive stakeholder consultations and data analysis to comprehensively assess the baseline in terms of gender gaps and opportunities for gender-inclusive sub-grants preparation and implementation. The context for each of the sectoral focuses of the EDA Programme was assessed to identify women's roles and responsibilities along with the challenges that they face.
175. With regards to DRR and coastal protection, the assessment found that both men and women play a critical role in the preparation and recovery process, but women may not have the same capacity to influence decision-making. Men, particularly those with greater levels of power and authority, are usually the ones informed and consulted by response agencies, including governments, and they directly participate in the decision-making and management processes for disaster risk management. This could mean that women's needs, and priorities are not properly addressed in early warning systems, preparedness, and during the recovery process. Further, there is evidence of increased violence against women during disaster recovery such as flooding from climate change and extreme events.
176. In terms of water security, results suggest that there is often a clear division of labour between men and women in water resources management. These different roles and responsibilities vary, but in general women are tasked with managing household water for drinking, cooking and other uses as well as making sure catchments are clean.
177. Lastly, with regards to food security, women play a critical role in food production both through subsistence farming to feed their families as well as growing cash crops for income and cultural ceremonies. Despite this, women often face barriers to accessing agricultural land, training, credit and services. The agricultural production that women and girls perform also tends to be considered part of "women's household responsibilities". Alongside these challenges, climate change will make it more difficult to make a living from agriculture and women may also struggle more than men to find alternative livelihoods, enter the formal employment sector, or migrate due to cultural barriers and limited opportunities and education.
178. To integrate gender-sensitive planning and considerations, the EDA Programme will integrate gender dimensions into all training and capacity building activities, while targeting at least 50% women in training attendees. To address the information gap on gender-sensitive adaptation measures, the EDA Programme will collect and centralise information and data on the integration of gender-responsiveness in sub-grant design. As a result, locally adapted baselines will be developed to promote gender mainstreaming to participating LAs. Additionally, SPC will recruit at least two women for the development of tender documents as part of Activity 2.1.2. Lastly, sub-grants will be evaluated using a dedicated Initial Sub-grant Gender Assessment form, which can be found in Annex 4.

G.3. Financial management and procurement (max. 500 words, approximately 1 page)

179. Financial control and procurement processes will be implemented as per SPC rules and regulations, which were certified as acceptable to the GCF in the SPC accreditation process. SPC has specific policies for financial management including "Finance Regulations", "Anti-money laundering and counter-terrorism financing", "Procurement" and "Grants and sub-delegation" as well as its "Staff Regulations and Manual of Staff Policies" that govern HR and other relevant processes and procedures. These and other policies are available on the SPC

Intranet and are adhered to in the implementation of all SPC projects. All entities involved in the Programme's implementation will comply with those aforementioned policies.

180. When under implementation, financial management will also remain in compliance with the FSM Financial Management Regulations. This will support the ongoing sustainability of the programme as it will already be operating within the framework of the rules and regulations that will govern the management of the programme and implementation of activities after the GCF-funded period.
181. SPC's Financial Management Information System (FMIS) is a Microsoft Dynamics NAV-based enterprise resource planning system that has been deployed to all of its regional offices, which provides SPC employees with financial management functionalities. Using FMIS improves the flow of financial information, supports financial monitoring and reporting, increases transparency and visibility, and strengthens internal control. SPC maintains organization-wide separation of income and expenditure by donor and project so that financial and other data can be recorded, classified and summarized to facilitate internal management and external reporting requirements.
182. As mentioned in Section B.4., SPC as the Accredited Entity to the GCF will have overall responsibility for quality assurance and oversight of co-executing entities. In addition to this, as the sole executing entity for the project, SPC will be responsible for the financial execution of GCF funds according to SPC rules and regulations mainly contained and detailed in the SPC Handbook (including those referred to financial monitoring, audit and procurement).
183. During implementation, SPC will provide oversight and quality assurance in accordance with its policies and procedures. This may include monitoring missions, spot checks and participation at relevant meetings. The project will be subject to SPC's audit regime, including the external audit and internal audit functions with oversight provided by SPC's independent Audit and Review Committee.
184. SPC's CFU will be responsible for oversight of project management and financial monitoring, comprising a GCF Programme Manager, GCF Programme Officer and GCF Finance and Administrative Assistant. This team will interact with and support the work of the ECU (based within SPC's MRO), which includes a Programme Coordinator, Programme Administrative Assistant, Finance and Procurement Officer and other part time support staff.
185. The financial and operational management of the sub-grants provided through the RCGF will be undertaken in line with the provisions of the Operations Manual (please see Annex 21). Disbursement of funds to successful grantees will proceed according to SPC's Finance Regulations (2018), Finance Policy: Procurement (2020), Finance Policy: Grants and Sub-delegations (2020) and Finance Policy: Anti-Money Laundering and Counter-Terrorism Financing (2020). These policies contain controls and due diligence to ensure that funds provided to grantees are properly disbursed and managed. Disbursements will be conditional on the achievement of milestones as outlined in the grants agreements between the ECU and the grantees. Verification of milestones and approval of payment requests will be undertaken by the Grants Officer based on compliance with grant agreement conditions. Annual financial reports will be submitted by grantees for the review of the ECU concerning all activities implemented under the EDA facility for the grantees' financial years. All reports will be reviewed and formally approved by the ECU. Grantees are also required to keep supporting documentation detailing expenses incurred in achievement of the grant milestones. Specific audits of grants will be undertaken based on requests made by the ECU, with grantees also expected to share details of their regular audits¹⁵⁰.

G.4. Disclosure of funding proposal

Note: The Information Disclosure Policy (IDP) provides that the GCF will apply a presumption in favour of disclosure for all information and documents relating to the GCF and its funding activities. Under the IDP, project and Programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Information provided in confidence is one of the exceptions, but this exception should not be applied broadly to an entire document if the document contains specific, segregable portions that can be disclosed without prejudice or harm.

Indicate below whether or not the funding proposal includes confidential information.

☒ **No confidential information:** The accredited entity confirms that the funding proposal, including its annexes, may be disclosed in full by the GCF, as no information is being provided in confidence.

¹⁵⁰ Noting that inclusion of regular audit details required in the grants application process as outlined in Annex 21: Operations Manual.

☐ With confidential information: The accredited entity declares that the funding proposal, including its annexes, may not be disclosed in full by the GCF, as certain information is being provided in confidence. Accordingly, the accredited entity is providing to the Secretariat the following two copies of the funding proposal, including all annexes:

- ☐ full copy for internal use of the GCF in which the confidential portions are marked accordingly, together with an explanatory note regarding the said portions and the corresponding reason for confidentiality under the accredited entity's disclosure policy, and
- ☐ redacted copy for disclosure on the GCF website.

The funding proposal can only be processed upon receipt of the two copies above, if containing confidential information.

H. ANNEXES

H.1. Mandatory annexes

- ☒ **ANNEX 1** NDA no-objection letter
- ☒ **ANNEX 2** Feasibility study
- ☒ **ANNEX 3A** Economic analysis in spreadsheet format
- ☒ **ANNEX 3B** Economic analysis narrative
- ☒ **ANNEX 4** Detailed budget plan
- ☒ **ANNEX 5** Implementation timetable including key programme milestones
- ☒ **ANNEX 6** E&S document corresponding to the E&S category (I2):
 - ☒ Environmental and Social Management System (ESMS)
- ☒ **ANNEX 7** Summary of consultations and stakeholder engagement plan
- ☒ **ANNEX 8** Gender assessment and programme-level action plan
- ☒ **ANNEX 9** Legal due diligence (regulation, taxation and insurance)
- ☒ **ANNEX 10** Procurement plan
- ☒ **ANNEX 11** Monitoring and evaluation plan
- ☒ **ANNEX 12** AE fee request
- ☒ **ANNEX 13A** Co-financing commitment letter: Chuuk State
- ☒ **ANNEX 13B** Co-financing commitment letter: Kosrae State
- ☒ **ANNEX 13C** Co-financing commitment letter: Pohnpei State
- ☒ **ANNEX 13D** Co-financing commitment letter: Yap State
- ☒ **ANNEX 13E** Co-financing commitment letter: FSM Government
- ☒ **ANNEX 13F** Co-financing commitment letter: SPC
- ☒ **ANNEX 14** Term sheet including a detailed disbursement schedule

H.2. Other annexes as applicable

- ☒ **ANNEX 16** Map indicating the location of proposed interventions
- ☒ **ANNEX 21** Operations manual
- ☒ **ANNEX 22** iTAP questions and responses – first round
- ☒ **ANNEX 23** iTAP questions and responses – second round
- ☒ **ANNEX 24** iTAP assessment

** Please note that a funding proposal will be considered complete only upon receipt of all the applicable supporting documents.*

No-objection letter issued by the national designated authority(ies) or focal point(s)



Office of the Secretary

Government of the Federated States of Micronesia
Department of Finance & Administration
PO Box PS 158 Palikir, Pohnpei FM 96941

Date: September 07, 2021

To: The Green Climate Fund ("GCF")
Songdo Business District
175 Art center-daero
Yeonsu-gu, Incheon 22004
Republic of Korea

Re: Funding proposal for the GCF by SPC regarding the "Climate change adaptation solutions for local authorities in the Federated States of Micronesia" programme

Dear Executive Director Yannick Glemarec,

We refer to the programme titled *Climate change adaptation solutions for local authorities in the Federated States of Micronesia* in the Federated States of Micronesia (FSM) as included in the funding proposal submitted by the Pacific Community (SPC) to us on 7 September 2021.

The undersigned is the duly authorized representative, the Honourable Secretary Eugene Amor, the National Designated Authority of FSM.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of FSM has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of FSM;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

A handwritten signature in black ink, appearing to be "E. Amor", written over a horizontal line.

Eugene Amor
Secretary/National Designated Authority
Federated States of Micronesia

Environmental and social safeguards report form pursuant to para. 17 of the IDP

Basic project or programme information	
Project or programme title	Climate change adaptation solutions for Local Authorities in the Federated States of Micronesia
Existence of subproject(s) to be identified after GCF Board approval	Yes
Sector (public or private)	Public
Accredited entity	The Pacific Community (SPC)
Environmental and social safeguards (ESS) category	Category I-2
Location - specific location(s) of project or target country or location(s) of programme	Federated States of Micronesia
Environmental and Social Impact Assessment (ESIA) (if applicable)	
Date of disclosure on accredited entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Environmental and Social Management Plan (ESMP) (if applicable)	
Date of disclosure on accredited entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Environmental and Social Management (ESMS) (if applicable)	
Date of disclosure on accredited entity's website	Friday, September 3, 2021
Language(s) of disclosure	English
Explanation on language	English is the official language of the Federated States of Micronesia.
Link to disclosure	https://www.spc.int/accountability/spcs-disclosure-of-relevant-ess-measures
Other link(s)	N/A
Remarks	An ESMS consistent with the requirements for a Category I-2 programme is contained in "Annex 6: Environmental and Social Management System (ESMS) for the GCF Enhanced Direct Access Programme 'Climate change adaptation solutions for local authorities in the Federated States of Micronesia'". This ESMS contains further detailed guidance for environmental and social risk screening and impact assessments for sub-projects.

Any other relevant ESS reports, e.g. Resettlement Action Plan (RAP), Resettlement Policy Framework (RPF), Indigenous Peoples Plan (IPP), IPP Framework (if applicable)	
Description of report/disclosure on accredited entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Disclosure in locations convenient to affected peoples (stakeholders)	
Date	Friday, September 3, 2021
Place	https://fsm-data.sprep.org/ FSM Department of Finance and Administration / National Designated Authority, PS 158, Palikir, Pohnpei 96941, Federated States of Micronesia Pacific Community Micronesia Regional Office, Suite 301, One World Plaza, Kapwaresou Street, Kolonia, Pohnpei 96941, Federated States of Micronesia Pacific Community Headquarters, 95 Promenade Roger Laroque, BP D5, 98848 Noumea, New Caledonia
Date of Board meeting in which the FP is intended to be considered	
Date of accredited entity's Board meeting	N/A
Date of GCF's Board meeting	Monday, October 4, 2021

Note: This form was prepared by the accredited entity stated above.

Secretariat's assessment of FP169

Proposal name:	Climate change adaptation solutions for Local Authorities in the Federated States of Micronesia
Accredited entity:	Pacific Community (SPC)
Country/(ies):	Federated States of Micronesia
Programme/programme size:	Small

I. Overall assessment of the Secretariat

1. The funding proposal is presented to the Board for consideration with the following remarks:

Strengths	Points of caution
The proposed enhancing direct access (EDA) pilot will operate in the Federated States of Micronesia (FSM), a priority country under the EDA request for proposals (small island developing States - SIDS) and is the first EDA project in the Pacific region.	The project pipeline is yet to be developed based on the needs identified by the local communities with the list of activities being indicative only; this is fully compliant with the EDA approach, nonetheless it might pose additional operational risks that cannot be assessed at the EDA funding proposal appraisal stage.
Fully compliant with the EDA requirements regarding: (a) A robust governance system with detailed project selection, review and implementation arrangements; (b) Empowerment and devolution of decision-making to subnational actors and clear adaptation focus at the community level; and (c) A clearly presented Operations Manual for the proposed Resilient Communities Grant Facility, (RCGF) which EDA will capitalize (component 2).	Component 1 is crucial to ensure the necessary capacity of the local authorities and stakeholders that will be involved in the preparation of the subprojects. While an in-depth institutional capacity assessment of the local institutions was presented in the feasibility study, there is uncertainty about how rapidly all local actors could achieve sufficient capacity to deliver the expected pipeline of subprojects, and this could potentially cause delays in implementation.
Strong country ownership and long-term vision from the FSM state and local institutions to maintain the RCGF as an open-ended facility serving beyond GCF exit.	

2. The Board may wish to consider approving this funding proposal with the terms and conditions listed in the term sheet and addendum XVIII, titled "List of proposed conditions and recommendations", respectively.

II. Summary of the Secretariat's assessment

2.1 Programme background

3. The Federated States of Micronesia (FSM) is a widely dispersed archipelago located in the North Pacific Ocean. FSM is formed by four states (Chuuk, Kosrae, Pohnpei and Yap) and comprises 607 islands, of which 74 are inhabited. The distance between the eastern-most State (Kosrae) and the western-most State (Yap) is 2,700 kilometres. Under the 1979 Constitution, FSM has three levels of government: national, state, and municipal. The four State Governments of Chuuk, Kosrae Pohnpei, and Yap are relatively autonomous. Each State has its own governor, judiciary and legislative bodies, along with relevant government departments. As of 2019, FSM's estimated population is 113,815, with an annual GDP of USD 329 million and a GDP per capita of USD 3,400. The majority of the country's population live in the coastal regions of the high islands, with more than half the population living in rural areas.

4. The Pacific Catastrophe and Risk Financing Initiative (PCRAFI) estimates that it is likely that FSM will incur on average USD 8 million per year in losses from earthquakes and tropical cyclones.¹ In the coming 50 years, FSM has a 50 per cent chance of experiencing natural disaster losses exceeding USD 105 million and casualties greater than 220 people. In addition, there is a 10 per cent chance of experiencing a loss exceeding USD 470 million and casualties of more than 600 people.² Damages to public infrastructure and private capital as well as drops in total factor productivity would cause a loss to GDP, while higher spending on post-disaster rehabilitation and reconstruction of damaged infrastructure would lead to higher fiscal deficit and public debt.

5. This project will overcome critical barriers to strengthen the resilience of vulnerable communities to the impacts of extreme climatic events as well as long-term water and food insecurity as a result of predicted climate change. GCF resources will be critical in strengthening the adaptive capacity of local authorities and communities to improve disaster risk reduction (DRR) and coastal management as well as food and water security for the most vulnerable populations of FSM located in the main islands and outer atolls.

6. The EDA grant facility created under this project and named the Resilient Communities Grant Facility (RCGF) will directly contribute to increasing the adaptive capacity of local communities and is expected to deliver a number of economic, social, environmental and gender co-benefits. The project is anticipated to directly benefit 45,019 people, accounting for 40 per cent of the total population of FSM. Indirect beneficiaries of the proposed project are gauged to be 100 per cent of the population.³

7. **Climate objective:** According to the Notre Dame Global Adaptation Initiative, FSM is the fourth most vulnerable country to climate change and the seventy-eighth in terms of climate change readiness in the world (FSM scored 0.640 on the vulnerability scale and 0.360 on the readiness scale). The FSM GCF Country Programme concluded that at present, none of the FSM States have the 'high' level of adaptive capacity required to ensure adaptation to the effects of climate change. The climate of FSM displays considerable year-on-year variability due to the El Niño-Southern Oscillation (ENSO). The country has two seasons – a dry season from November to April and a wet season from May to October. Rainfall throughout the country and region is affected by the movement of the Intertropical Convergence Zone.⁴

¹ Federated States of Micronesia, Country Risk Profile (2011), Pacific Catastrophe and Risk Financing Initiative.

² Lee, D., Zhang, H., and Nguyen, C. 2018. The Economic Impact of Natural Disasters in Pacific Island Countries: Adaptation and Preparedness. *IMF Working Papers*, 18/108, International Monetary Fund, Washington.

³ The numbers provided represent conservative estimates to be understood as the minimum number of beneficiaries across all three thematic areas, although some areas have an estimated higher number of beneficiaries than the weighted average. This methodological choice was made to prevent the possibility of double counting as beneficiaries of projects in each state may overlap.

⁴ There are no comprehensive studies on freshwater resources and climate change in FSM, and large data gaps remain, especially for hydraulic modelling of atoll aquifer systems.

8. Approximately 60 per cent of households in FSM live within 180 metres of the shoreline, with the State of Kosrae having the greatest proportion of coastal-dwelling households (80 per cent) and Chuuk having the smallest (38 per cent). Of the FSM population 94 per cent live within at least 1 kilometre of the coastal strip and 100 per cent live within 5 kilometres. Additionally, the majority of structures in FSM are located near or along the coast, almost all outer island islets lie within the 2-metre zone of potential sea level rise, and all lie within a 5-metre zone of storm surge. This poses a significant disaster risk to the majority of households in the project area. Due to the diversity of environmental conditions between States and their respective islands and atolls, climate trends tend to differ from one island State to another, and between island States and atolls.

9. The climate hazards that this project seeks to address are mostly sea level rise, increase in temperatures and variability in the precipitation levels, as well as extreme weather events.⁵

10. There is variation in air temperature trends within FSM. For the state of Pohnpei, the greatest trends involve minimum air temperature, whereas for Yap, the greater trends are observed in maximum air temperature. Annual maximum and minimum temperatures in FSM have increased since records began in 1952, with annual maximum temperatures having increased at a rate of 0.18°C per decade in Pohnpei (eastern FSM) and 0.23°C per decade in Yap (western FSM).

11. The ENSO phenomenon has a profound effect on the distribution of tropical cyclones in FSM. The anomalous ocean-atmosphere conditions during ENSO can induce changes in the intensity, frequency and tracks of storms, thereby affecting the generation of extremes such as tides and storm surges. These events cause marine inundation that damages groundwater resources, taro beds, soil, and agroforestry resources in coastal settings, especially on low atoll islets. On high islands, coastal communities that experience both intensifying storm runoff and rising ocean waters are experiencing increased flooding and other drainage problems.

12. **Financing information and environmental and social safeguards (ESS) category:** The total programme cost is USD 19,790,637 comprising USD 16,591,556 of GCF funding in the form of grants and USD 3,199,081 co-finance from the Government of FSM and SPC in the form of in-kind contributions, and the ESS category of this project is levelled at B.

2.2 Component-by-component analysis

13. Component 1 is structured to address barriers to respond to projected climate impacts by the local communities and municipalities, as well as identify and prepare the project pipeline, while Component 2 is aimed at establishing the financial flows and access through the creation of the Resilient Communities Grant Facility (RCGF) to support the protection and resilience of vulnerable communities.

Component 1: Local authorities empowered to deliver climate change adaptation services to their population (GCF: USD 1,724,637; FSM: USD 70,000)

14. Under this component, the accredited entity (AE) will develop an adaptation measure prioritization framework, climate risk screening tools and a training curriculum informed by scientific data and analysis that will support LAs to identify and screen for climate change adaptation risks and identify appropriate adaptation measures. In addition, activities under this component will include development of a climate adaptation decision support framework and training curriculum targeting mostly government officials at the local level. SPC will train local authorities (LAs) on the framework and resources identified and provide an introduction to the

⁵ This conclusion is based on analysis of daily rainfall data from a subset of Coupled Model Intercomparison Project 5 models using a similar method to that of the Australian Bureau of Meteorology and Commonwealth Scientific and Industrial Research Organisation (CSIRO) (2011).

enhancing direct access (EDA) facility to familiarize local government officials with the objectives of the facility, the process, eligibility criteria, and details of the three thematic areas for adaptation sub-grants. The AE will develop a train-the-trainer's module and conduct training for national consultants and/or local non-governmental organizations (NGOs) in each State to become Facilitating Agents, who will then be responsible for supporting the LAs to prioritize adaptation actions for the facility and train LAs on how to develop adaptation sub-grants.

15. Lastly, knowledge-sharing mechanisms to develop and foster a network of local government authorities will also be supported under this component, and will include learning exchanges and site visits. A web portal will be developed together with the database and will include sex-disaggregated data at the municipal and subproject level on the three thematic areas and on key socioeconomic indicators to inform the design of future adaptation interventions.

Component 2: Priority project implementation: Establishment of the Resilient Communities Grant Facility for enhancing local community resilience. (GCF: USD 13,943,717; SPC: USD 91,750; FSM: USD 2,887,571)

16. Under this component, the AE will establish a Resilient Communities Grants Facility (RCGF) to address the long-term vulnerabilities identified in the funding proposal. Under this output, the Facility will openly and competitively fund applications for adaptation measures to be submitted by the LAs. It will be established and function as a grants funding mechanism to be governed as set out in the Operations Manual developed by the AE and included in this funding proposal. The RCGF will provide sub-grants for prioritized activities identified under Component 1. The RCGF will award grants and provide targeted technical assistance to LAs and State Governments across all four FSM States, including outer atolls. It will support 30–40 sub-grants in the range of USD 75,000–USD 1,000,000. An estimated breakdown of size of projects is provided in table 1 below:

Table 1: Estimated breakdown of size of projects

Number of Projects	Sub-grant range (USD per project)	Total average amount (USD)	Municipal/State-implemented
15–20	75,000–250,000	2,550,000	Municipal
10–15	250,000–500,000	4,500,000	Municipal and State
5	500,000–1,000,000	3,750,000	State
Totals: 30–40	75,000–1,000,000	12,000,000	

17. In addition to building climate resiliency, the EDA facility, through the awarded grants, will assist in strengthening the local managerial and financial as well as monitoring, evaluation and learning capacities so that the recipient LAs develop sufficient capability to implement adaptation sub-grants and sustain the country's climate-resilient development in the long term.

18. The robust governance of this project, which includes a set of steps for proposal selection, review and approval, ensures that the projects that are most technically sound and well aligned with the GCF investment criteria will be financed by the facility. The project selection will be based on the following steps: (i) submitting the expression of interest; (ii) reviewing and shortlisting the projects by the SPC Implementation Unit; (iii) invitations to the LAs to submit project proposals, which may also result in technical support provided for project preparation; (iv) screening of the funding proposals by the Grants Technical Evaluation committee, which will provide an advisory report on both technical and financial sides of the proposals; and (v) presenting the projects to the Board for approval. The expression of interest process will allow the project management unit to pre-screen sub-grants against the GCF investment criteria, eligibility under the EDA facility's three thematic areas, environmental and social risk level, climate reasoning and rationale, and level of community input/engagement.

19. Awarded grants will be implemented, monitored and evaluated. To ensure LAs have the required project management skills necessary for the implementation of sub-grants, targeted project management training will be provided.
20. Lastly, during this implementation phase, the AE will engage with development partners to identify resources for re-capitalization of the EDA fund, preparing a resource mobilization strategy and preparing and securing application funding requests. The resource mobilization activities will include assessing the extent to which regular government expenditure for resilience-building activities might be redirected into the RCGF. For example, this would allow for funds from the Department of Environment, Climate Change and Emergency Management to be funnelled through the RCGF to achieve the objectives of the Department's annual workplans. Similar engagement with State-level governments will be undertaken. Other activities for resource mobilization will include undertaking analyses to determine the minimum amount of capitalization needed for the viability of phase 2 of the RCGF based on projects under implementation as well as scenario planning based on future needs and a capacity assessment to determine the optimal extent of funding to scale up the RCGF.
21. One of the innovative aspects of this proposal is that under Component 2, the project will also work with local communities. The involvement of the local communities, such as NGOs or other society organizations, in this project is ensured through their participation and involvement as Facilitating Agents for project preparation and support. Facilitating Agents will be selected through the competitive bidding process and will be assigned to each sub-grant, whereby they will conduct a site visit once each quarter to support the reporting and monitoring processes.

III. Assessment of performance against investment criteria

3.1 Impact potential

Scale: N/A

22. In terms of the adaptation core indicator, the project has significant potential at national level, as the total number of direct beneficiaries envisaged stands at around 40 per cent of the entire country population. Moreover, the intervention has a widespread scope: all of the country's 75 municipalities will be targeted by the RCGF-supported subprojects, including those located in the remote outer islands. As the exact nature and scale of the sub-grants to be supported by the RCGF will be determined at the implementation stage, estimates for the number of direct beneficiaries to be targeted by the programme rest on the assumption that at least 80 per cent of the local communities and local authorities (LAs) will be targeted for different climate adaptation impact areas (DRR, ecosystems, food security and water). This assumption looks realistic based on the experience of SPC and FSM in this type of locally-focused adaptation intervention.
23. The RCGF will provide grants to subprojects that address at the local level DRR and coastal protection adaptation measures. These activities aim at addressing the impacts of a changing climate on the livelihoods of the coastal vulnerable population. The specific climate relevance of the subprojects financed by the RCGF will be appraised by the SPC project management unit (ECU) which will administer the RCGF, ensuring that the GCF EDA financing will support the total or incremental cost of climate interventions and that the financial resources provided focus on cost-efficiency in achieving climate impacts at the local level.
24. One of the strong points of the project is the emphasis on ensuring technical assistance to the local authorities and subproject proponents, to ensure that the locally-led intervention supported by the RCGF are designed through (i) specific stakeholders' consultation, including the involvement of women, girls and vulnerable groups; (ii) the information provided by locally-focused vulnerability assessments; (iii) attention to the avoidance of a lock-in effect and

maladaptation; and (iv) a focus on empowering local institutions and actors to unleash their full involvement as the first driver of transformational changes.

25. Overall, the capacity of the project to deliver the outputs under Component 1 (capacity-building and empowerment of local stakeholders) will greatly influence the full extent of the impact of this EDA intervention.

3.2 Paradigm shift potential

Scale: N/A

26. The feasibility study presents a theory of change for the intervention which is logically connected to the GCF Results Impact Areas. The theory of change reflects the focus of this EDA pilot and its sub-grants are centred on empowering local communities and States to develop and tailor climate change projects based on their specific needs and priorities. The three macro impact areas of intervention – DRR, food security and water security – are identified by the needs assessments carried out by the stakeholder consultations and the prioritization sectors identified in the FSM national adaptation plans. These are linked with the strengths, weaknesses, opportunities and threats analysis that identified barriers and the opportunities that the proposed EDA pilot intends to build upon. This is well explained, but the role of the private sector and academia could have emerged more clearly, as well as their involvement as active actors to be encompassed during the implementation.

27. Moreover, in terms of paradigm shift potential the proposed EDA pilot can:

- (a) Catalyse long-term climate impact and resources beyond the GCF implementation stage. The RCGF is designed as a potential open-ended facility with a handover plan for the FSM Government. As part of the sustainability plan, there is a resource mobilization strategy which intends to coordinate long-term climate donor efforts (beyond the GCF) into a coordinated space provided by the RCGF;
- (b) Build long-term sustainability: the FSM Government is strongly supporting the project, and it clearly emerged that they intend to sustain the RCGF beyond the GCF initial implementation stage, both as the ultimate owner of the RCGF at the handover phase and as coordinator of a potential donors' pool, constituting an open-ended facility, once the GCF implementation stage approaches phase-out;
- (c) Scale up the proposed approach, to build adaptation, resilience and climate prosperity at community level, through a bottom-up approach guided by the local authorities within FSM. Also, the overall approach proposed can be meaningfully replicated in other Pacific SIDS, that present similar social, economic and geographical conditions and the presence of climate vulnerable communities residing in outer islands;
- (d) Create an enabling environment: Component 1 of the intervention hinges significantly on empowering the local authorities and actors that will be involved in the design and implementation of the project and in the transfer of knowledge and skills which will be pivotal in the design and implementation of the subprojects; and
- (e) Support the behavioural change of the local institutions and communities involved in the project, given the strong bottom-up approach and focus in transferring skills and knowledge.

28. From the point of view of technological innovation, the solutions described in the feasibility study (DRR measures, rainwater catchment systems, use of endemic species, etc.) are known to be effective in producing local-level adaptation results, and some activities, such as those that are proposed for agriculture and ecosystem management (mangroves) will build on indigenous knowledge. Overall, it is expected that technical knowledge will be generated during execution of the sub-grants through the implementation of innovative technology solutions to identified local constraints. This knowledge will be utilized for selecting appropriate

technologies and approaches in other Pacific communities and will help tailor them to specific community needs. SPC will also aggregate and synthesize the lessons learned to help drive other projects in their portfolio and operations across the Pacific.

29. In terms of knowledge-generation it is positively noted that this EDA pilot aims to build the capacity of local actors to understand climate change impacts to develop and implement their own priority adaptation projects. These efforts will drive community ownership and buy-in while demonstrating the long-term sustainability of these investments, particularly as it relates to long-term maintenance (i.e. green/blue/grey coastal infrastructure, rainwater systems, etc.) and behaviour change (i.e. fisheries and livestock practices).

3.3 Sustainable development potential

Scale: N/A

30. The proposed EDA pilot will contribute to the achievement of several Sustainable Development Goals, in particular Goals 1,2, 3 and 5. There are potential economic, social and environmental co-benefits. As the facility will implement a broad range of activities at the subproject level, a large range of co-benefits are related to DRR, water and food security. From DRR activities, co-benefits will mostly include avoided economic losses through enhanced disaster resilience and improved recovery timelines. In addition, the DRR activities are expected to lead to improved health outcomes from reduced disaster risk, particularly flooding. Further by reducing disaster risk and improving response times, economic and social community recovery can be improved and recovery from the impact of the Covid19 pandemic can be supported. Finally, DRR activities can also help to preserve cultural sites and resources. Watershed management and restoration activities will help to improve water quality, ecosystem biodiversity, integrity and coastal resources.

31. Social co-benefits from food security activities will focus on improved nutritional outcomes, especially for young children, and food security for vulnerable households. The activities focused on supporting improved coastal resource conservation and sustainable utilization will help to sustain biodiversity and improve local habitat.

32. Economic co-benefits are expected from the enhanced agricultural productivity and reduced disaster losses arising from climate hazards, as well as the creation of jobs from several of the subprojects that deal with small-scale infrastructures and local services.

33. The intervention has a strong emphasis on gender equality and the inclusion in the intervention of the vulnerable segment of the population.

3.4 Needs of the recipient

Scale: N/A

34. FSM is classified by as low to middle income SIDS,⁶ with over 40 per cent of the population below the nationally determined poverty line.⁷ It is noted that the EDA pilot intend to prioritize the local authorities whose populations are the most vulnerable economically and most exposed to the effects of climate change.

35. The type of activities that the RCGF can finance are non-revenue generating and the fiscal capacity of the Government to support the vulnerable population by providing essential public goods to support climate adaptation is inherently limited.

36. The barrier analysis presented in the funding proposal highlighted a number of capacity constraints for FSM. FSM local, State and national financial and technical capacity is extremely

⁶ UN Department of Economic and Social Affairs. Available at: <<https://publicadministration.un.org/egovkb/en-us/Data/Country-Information/id/111-Micronesia-Federated-States-of>>

⁷ World Bank. Available at <https://databank.worldbank.org/data/download/poverty/95142451-550D-4C1B-A389-26FD74C6B018QA-2019/Global_POVEQ_FSM.pdf>

constrained, particularly when considering the magnitude of potential climate change impacts. Despite some variation in their adaptive capacities, all States are highly vulnerable due mainly to an inability to respond to climate impacts in a timely manner and the wide dispersion of the islands in FSM which poses transportation, communication and development challenges for the nation, particularly for costs of goods and services, costs of energy and transportation, and scalability and connectivity of markets.⁸ Specifically, a previous capacity assessment for FSM by USAID⁹ highlighted that estimated costing for operationalizing climate change policies and action at the State and local levels currently far outweighs department budgets and that there is limited capacity in national and State Governments to effectively coordinate climate finance and adaptation priorities. The total financing required for the identified pipeline of projects and programmes is estimated at USD 1.4 billion which exceeds FSM's national GDP five-fold.

37. Furthermore, the activities proposed are relevant to overcome the financial and capacity barriers identified by SPC and FSM in the funding proposal, and the EDA approach proposed will further tailor the activities based on the involvement of local actors in the design stage of each subproject. This approach can further increase the relevance of the proposed intervention for the individuals and households that will be involved in the subprojects.

3.5 Country ownership

Scale: N/A

38. The intended nationally determined contribution of FSM emphasizes the urgency of enhancing local capacity to plan, design, implement, manage and operate adaptation projects and installed technologies, further demonstrating the relevance of the proposed EDA pilot.

39. The programme will work to shift the status quo from a pathway of climate vulnerability, elevated health risks and limited socioeconomic development for vulnerable communities in FSM to one of improved food/water security, enhanced DRR and recovery, and improved socioeconomic development by building local capacity to respond to climate change. The EDA pilot has been designed to deliver on the adaptation goals set out in the FSM National Climate Change Strategy and contribute to four of the GCF adaptation results areas.

40. The GCF Country Programme also specifically identifies the need for food and water security projects, disaster risk management projects, and resilient infrastructure/road projects.¹⁰ Building on identified priorities, and given the centrality of climate change considerations, the GCF Country Programme endorses the sectoral focus of the Joint State Action Plan – food and water security, health and education, and infrastructure climate proofing. Further, the Country Programme acknowledges the difficulty in leveraging private sector financing for climate adaptation projects in FSM, due to the limited capabilities of national private sector actors.

41. The accredited entity, SPC, have a relevant track record in implementing community-driven climate projects in FSM, and has partnered with the relevant actors involved in the implementation of this EDA pilot at national and local level.

42. The FSM national designated authority has been strongly involved in the design of the project and will have a pivotal role as the Chair of the EDA Programme Board.

⁸ World Bank. 2017. Pacific Possible: Long-term Economic Opportunities and Challenges for Pacific Island Countries. World Bank, Washington, DC. Available at: <<https://documents.worldbank.org/en/publication/documents-reports/documentdetail/168951503668157320/pacific-possible-long-term-economic-opportunities-and-challenges-for-pacific-island-countries>>.

⁹ Federated States of Micronesia. 2019. Climate Change and Disaster Risk Finance; https://fsm-data.sprep.org/system/files/Federated-States-of-Micronesia-Climate-Change-and-Disaster-Risk-Finance-Assessment_FW.pdf

¹⁰ Green Climate Fund. 2017. Federated States of Micronesia Country Programme. Available at <<https://www.greenclimate.fund/sites/default/files/document/micronesia-country-programme.pdf>>.

3.6 Efficiency and effectiveness

Scale: N/A

43. The project seeks the maximum possible level of concessionality in accordance with FSM's economic, institutional and fiscal constraints and specificities. Although the Government of FSM is taking actions to build a policy and legal framework to enable climate change action, structural barriers to accessing finance remain. Public resources, which are largely dependent on external development assistance support, are currently insufficient to achieve the meaningful reductions in climate change vulnerability and to improve resilience of LAs and beneficiary populations. Therefore the concessionality requested is gauged as appropriate.

44. An overall economic analysis of the EDA pilot has been performed and it presents a positive net present value and economic internal rate of return.

45. This proposed EDA model has the potential to catalyse long-term additional financing for FSM and its LAs, and a resource mobilization strategy has been developed as an output of Component 2. Furthermore, the Government has also submitted commitment letters outlining its intention to hand over the facility post project closure, and continue its efforts to secure funding for the facility after its initial capitalization is over. Through its focus on capacity-building for LAs to develop and implement projects, developing a fundable track record of project execution, and crucial capacity/experience in effective project and financial management, the likelihood of new financial sources coming into the facility is potentially high. This can help build donor/investor confidence, reduce investment risk, and ultimately unlock future projects and investment for FSM and the LAs.

46. There are no specific risks to crowd-out private sector investments, given the intrinsically public-good nature of the activities that the RCGF will finance. By improving the overall economic conditions and livelihoods of a significant part of the FSM population, the project has the potential to favour market creation and local entrepreneurs.

IV. Assessment of consistency with GCF safeguards and policies

4.1 Environmental and social safeguards

47. **Programme background.** This EDA programme intends to strengthen the resilience of populations that are vulnerable to the impacts of extreme climate events through empowering local authorities in delivering climate change adaptation services to strengthen the resilience of their respective constituents and establishing a grant facility to support the implementation of adaptation projects. Activities implemented under the programme aim to mitigate the impacts of flooding that will result in environmental co-benefits of avoided soil loss, improved soil structure, improved recharge rate of groundwater reserves, and overall enhanced ecosystem functions and services across various agroecological zones. Social co-benefits include improved access to and quality of water for vulnerable households through new catchment, pumping and distribution assets, as well as reduced morbidity related to waterborne disease and unsafe drinking water.

48. **Environmental and social risk category and safeguard instruments.** The project is categorized as medium level of intermediation (I-2) as it involves financing to sub-grant activities of local authorities for DRR and food and water security adaptation technologies and practices. These are expected to have mostly minimal environmental and social (E&S) risks with some having potential limited adverse E&S risks and impacts. The Secretariat confirms this categorization and that it is within the E&S risk accreditation level of the AE. The programme has prepared an environmental and social management system (ESMS) as the safeguards instrument for this proposal.

49. **Compliance with GCF environmental and social safeguards (ESS) standards.** The discussions below describe how the project complies with GCF ESS standards:

- (a) **ESS 1: assessment and management of environmental and social risks and impacts.** The AE conducted an initial risk assessment on the potential priority adaptation measures that will be implemented under the programme and has assessed them to be generally expected to have limited adverse E&S risks and/or impacts. The potential environmental impacts include the possibility for excessive drawdown from aquifers due to insufficient recharge time that could lead to negative impacts on the quantity and quality of freshwater due to overpumping; impact on local and migratory fish stocks and marine environment; erosion and soil degradation due to excavations as a result of construction activities; nuisance noise and air pollution; and generation of electronic and hazardous waste. Potential social impacts resulting from programme implementation may include the exacerbation of gender inequalities as a result of income opportunities that will be created; and impacts on cultural resources and heritage as well as on health and safety of workers. The ESMS provides guidance and procedures that can be used to assess and mitigate these potential impacts. Specific sub-projects will likewise be required to undergo a detailed environmental and social impact assessment (ESIA) and develop an environmental and social management plan (ESMP) to mitigate site-specific E&S risks and impacts that will be identified.
- (b) **ESS 2: labour and working conditions.** Activities under the programme are expected to be small-scale and the physical works are not expected to have major occupational health and safety concerns. Furthermore, the programme aims to promote non-discrimination and equal opportunity for work and would comply with national labour requirements and hiring practices including promoting protection of the fundamental rights of workers as guided by the International Labour Organization (ILO) conventions.
- (c) **ESS 3: resource efficiency and pollution prevention.** The programme will have some infrastructure-related activities under the climate-induced DRR and coastal protection sub-grants. These include structures such as for cyclone proofing and wave breakers that could potentially have localized and temporary impacts on water, air and land quality during construction phase, which will have appropriate mitigation measures. The programme is expected to utilize natural resources, including water and energy, and promote sustainable use of resources through promoting the implementation of technology solutions like installing solar rooftops and solar water pumps and establishing rainwater harvesting systems, among others.
- (d) **ESS 4: community health, safety and security.** The programme essentially aims to support adaptation interventions that are expected to improve the health, safety and security of local communities. Nevertheless, minor impacts are expected to be experienced by nearby communities during construction of these adaptation interventions. These include potential for nuisance noise and localized air pollution. Establishment of the physical interventions will also be evaluated as regards infrastructure and equipment design and safety following good international industry practices.
- (e) **ESS 5: land acquisition and involuntary resettlement.** The programme categorically excludes supporting any activity that will result in involuntary resettlement. Furthermore, mechanisms and stakeholder engagement processes will be in place to ensure that the sub-grants do not result in involuntary resettlement. These include having committees and subcommittees to identify involuntary resettlement risks and exclude such proposals from being financed under the programme.
- (f) **ESS 6: biodiversity conservation and sustainable management of living natural resources.** Some activities of the programme could potentially lead to loss of marine

and terrestrial habitats as a result of construction of the adaptation infrastructure. However, given the size of the sub-grants, potential negative impacts are expected to be limited. Mitigation measures will likewise be developed in the conduct of the ESIA. Activities could also lead to introduction of invasive species that may affect the biodiversity of the area. However, this risk is considered low and the programme will promote the use of non-invasive species in relation to local environmental context and implement biosecurity protocols. The risk of introduction of invasive species vis-à-vis local biodiversity and environmental conditions will likewise be monitored.

- (g) **ESS 7: indigenous peoples and GCF Indigenous Peoples Policy.** The AE assessment is that there will be low risk of negative impacts to indigenous peoples and local communities and that the proposal is designed to provide funds directly to the most vulnerable. Within the gender action plan (GAP) and stakeholder consultations, the AE demonstrates ways to promote engagement and participation of communities. Consultations undertaken included community chiefs and traditional leaders.
- (h) **ESS 8: cultural heritage.** The programme intends to support traditional cultural practices in its interventions as regards food and water security sub-grants through the conduct of iterative participatory stakeholder consultations. The programme will likewise not directly or indirectly fund activities (as part of its exclusionary criteria) that would disrupt or adversely affect an archaeological site or a property of historic or cultural significance.

50. **Implementation arrangements.** The AE will set up an ECU to implement the ESMS and ensure that the ESIAs and relevant plans and arrangements for safeguards implementation, monitoring, supervision and reporting are complied with. Various bodies and committees will also be established to serve as policy and governing structure for the programme with local authorities and facilitating agents as implementors of the sub-grants. Safeguards specialists will be engaged at various levels and will include a pool of external and national E&S experts to provide guidance on E&S issues including on implementation review and monitoring.

51. **Stakeholder engagement and information disclosure.** The programme has conducted stakeholder workshops with representatives from key stakeholder agencies, including government offices, municipalities and other relevant organizations such as civil society and local NGOs. It has likewise prepared a stakeholder engagement plan where information about the programme will be disclosed to various stakeholders who will be engaged throughout the programme life cycle. Responsible entities for stakeholder engagement activities, methods, timing and reporting are also indicated.

52. **Grievance redress mechanism (GRM).** The programme will establish a programme-level GRM in addition to the already existing GRM of the AE. The GRMs will be established to receive any concerns or grievances from any affected community as regards E&S performance of any of the activities of the programme. These mechanisms will be accessible, and the communities and stakeholders will be able to raise such grievances to the AE as well as to the sub-grant level GRMs that will be established. In line with the Indigenous Peoples Policy, the Secretariat's indigenous peoples' focal point will be available for assistance at all stages, including before a claim has been made.

4.2 Gender policy

53. The AE has provided a gender assessment and GAP and therefore complies with the requirements of the GCF Gender Policy.

54. The gender assessment provides the context of the enabling environment that will enhance gender equality and women's empowerment in FSM. The country ratified the Convention on the Elimination of All Forms of Discrimination against Women in 2004, the

United Nations Convention on the Rights of the Child in 1993 and the United Nations Convention on the Rights of Persons with Disabilities in 2016. In 2019, the FSM States drafted gender-based violence (GBV) action plans under the national “Policy on the Elimination of Violence Against Women and Girls”. The FSM Strategic Development Plan (2004–2023) further highlights seven specific strategic goals for addressing gender and vulnerable groups as part of country-level development. The “National Gender Policy”, endorsed in 2018, aspires to promote gender equity, equality, social justice and sustainable development in the country. The Gender Development Office is a lead institution and is responsible for gender issues in the country. In the agriculture sector, one of the seven guiding principles of the food security and agriculture planning and implementation is “social and gender equity” with one goal of “Improving farm incomes and livelihoods with particular focus on gender and vulnerable groups.”

55. The gender assessment was compiled based on a desk review as well as consultations with women’s groups in each of the four States in FSM. It indicates that despite the existence of the enabling environment, women continue to face significant barriers. Social and cultural barriers that consider women’s primary role as homemakers and caregivers to children, the elderly and people with special needs create lack of alternative livelihoods for women outside of homebased agriculture. This is compounded by barriers to accessing agricultural land, training, credit and social and financial services. Gender-blind design of options and policies for climate adaptation and agriculture continue to disadvantage women due to exclusion of women from decision-making and governance at a number of levels. Around 30 per cent of households live below the basic poverty line, and households that are headed by women are more likely to live in poverty and earn less than male-headed households. Women have less income earning opportunities than men due to hiring preferences in the formal sector, and the difficulties women face in establishing and sustaining micro and small business ventures. Overall, the number of women who earn wages or salary in FSM is less than half that of men, and men have higher rates of employment in all fields, including agroforestry. Economic activities in FSM consist primarily of subsistence farming and fishing and, in these sectors, almost 50 per cent of men in the labour force are considered skilled, compared to less than 20 per cent of women. Women in FSM are absent from the legislative and executive levels of government and continue to be significantly underrepresented in civic affairs. It is also concerning that there is a high prevalence of GBV and the vast majority of women who experience abuse do not access formal support services or authorities and access to services is also difficult.

56. Almost all FSM households grow crops for consumption, barter and sale. Women play a critical role in food production through subsistence farming to feed their families, as well as growing cash crops for income. There are differences between the kinds of crops traditionally grown by women versus men, as well as differences in the location of where women and men farm. Men tend to work on higher ground. This is significant given that the impacts of climate change (i.e. saltwater inundation, flooding and coastal erosion, soil fertility, etc.) are most pronounced in planted areas close to houses, near streams and coastlines. The assessment has demonstrated the differentiated gender relations, roles and responsibilities in FSM and particularly as they relate to the farming households. The assessment has been able to identify the barriers to equal access and benefit from the GCF intended investment. It has on the other hand also identified and included in the assessment existing potentials that will further support the promotion of gender equality and women’s empowerment. This will be done through the identification, assessment and planned engagement of women’s groups and their existing capacity in the four main territories to support the project in mainstreaming gender, engaging with the Women Development Office and leveraging the support of the United Nations Entity for Gender Equality and the Empowerment of Women (UN Women) to address GBV issues.

57. The GAP provides activities that address the challenges faced by women and includes baseline (0), indicators, targets (30 per cent), timelines, budgets and gender expertise (gender expert and ESS/gender equity and social inclusion expert). The project includes sex disaggregated collection of key indicators, inclusive consultations of women and other

traditionally marginalized groups, equitable targets for capacity-building with 50 per cent targets for women's participation, and outputs that include the development and implementation of a gender mainstreaming training module. Activities included are aimed at increasing women's leadership and decision-making in the agriculture sector; increasing economic opportunities and monitoring increases in income; strengthening women's representation in institutional decision-making and coordination; developing gender-responsive and inclusive agriculture and climate change policy; and ensuring gender-responsive and gender-balanced capacity-building and training are conducted. In addition, activities include measures to enhance the food security of vulnerable households (with a focus on female-headed households) by leveraging men and women farmers' knowledge of inputs and production systems to better develop climate-smart agriculture practices and seeds, while ensuring men and women have equal access to project benefits and participation in decision-making.

58. The GAP also includes measures to strengthen climate-resilient value chains and market linkages across the agriculture sector and ensure market development takes into account differentiated access and availability for men and women farmers, particularly with regards to social barriers for access. Activities are designed to empower communities, particularly through women's groups, to promote local consumption of food and ensure food processing and preservation techniques are reflective of time, capacity and technological constraints of household farmers particularly women. Since GBV has been identified as a critical challenge, the partnership and utilization of already existing tools of UN Women will contribute to a better understanding of violence against women and equip personnel working on the project with ways to reduce GBV. The project has developed measures to ensure that women have equal access to the grievance mechanism that will provide all female beneficiaries with a clear process for providing comment and raising grievances and ensure women can report grievances anonymously through the establishment of focal points for the project within the four State-level umbrella women's groups.

59. In general, the GAP includes measures designed to respond to gender issues, reduce gender gaps and support progress towards more gender equality. Women's access to land is an issue that is identified in the gender analysis and the AE is recommended to explore potential opportunities to address the issue of land access and land tenure and incorporate into the GAP as appropriate.

4.3 Risks

4.3.1. Overall programme assessment (medium risk)

60. The project aims to improve food and water security, disaster risk reduction and socioeconomic development by strengthening the adaptive capacity of local authorities (LAs) to respond to climate change. GCF is requested to provide a grant of USD 16.5 million. The Government of FSM and the AE are providing in-kind contribution of USD 2.9 million and USD 0.2 million, respectively. With GCF grant, the AE will provide sub-grants to LAs through the EDA programme, to implement climate change adaptation activities.

61. The FSM is a SIDS. The project activities have high socio-environmental benefits but low cash returns and limited potential to attract private sector financing. Therefore, the AE is requesting a full grant for this project as little potential for revenue generation is envisioned.

4.3.2. Accredited entity/executing entity capability to execute (low risk)

62. SPC, as a direct access AE, will serve as both AE and executing entity for this project. Headquartered in New Caledonia, it has been operating in the Pacific over 70 years. Its regional

office in FSM has been implementing a number of climate change adaptation projects financed by external donors.

4.3.3. Programme-specific risks (medium risk)

63. **Duplication with other project activities:** There have been a number of past and ongoing projects including a GCF-financed project (“Climate resilient food security for farming households across the Federated States of Micronesia” – SAP020) which tried to address similar climate change challenges in FSM. Given the small size of the country, it is important to coordinate among implementing agencies to avoid the overlapping of activities and outputs. The analysis of complementarity and additionality of this project has been provided in the FP. In addition, the eligibility criteria for investments should be included in the term sheet to ensure the clear focus of the project.

64. **Implementation in remote locations:** The AE identified the geographic remoteness of certain LAs as one of the risks as some are very far from main islands and in remote locations. This also often associates with the high cost of travel and logistics. Some comfort can be derived from the AE’s established procurement protocol and experiences that will adjust the transportation needs according to the situation. The AE could serve as a financial and procurement service provider and directly support project implementation in collaboration with the LAs.

65. **Land ownership:** The project identified traditional social structures related to land ownership as one of the implementation barriers. As some project interventions may limit access to resources, a conflict of interest may arise during the project implementation. The AE clarified that the land ownership issue will be addressed differently in different States of FSM, providing descriptions about the final authority and established procedures to deal with the issue in each State. In addition, the programme will comply with FSM government legislation and established practices with regard to land ownership and tenure for sub-grants.

66. **Economic analysis and viability of the project:** Given the nature of the EDA programme, the economic analysis is based on the most probable interventions that would reflect the imminent adaptation needs such as water management, agriculture and coastal protection. The economic benefits are expected from the saved cost of water, increased yields from climate resilient crops and avoided loss from coastal management. The analysis results in the economic internal rate of return of 8 per cent. The project is planning to hand over the EDA facility to the Government of FSM after completion of the GCF funding period. It will include a resource mobilization strategy and action plan for the recapitalization of the EDA facility. However, the Government of FSM is unable to make a commitment to recapitalization of the facility due to the country’s dependency on the United States Compact of Free Association funding. There is limited potential for allocation of taxes and engaging the private sector given the public nature of the project activities.

4.3.4. Compliance risk (medium risk)

67. The Federated States of Micronesia (FSM) are not subject to targeted United Nations Security Council (UNSC) resolutions.

68. The Pacific Community (SPC), as accredited entity (AE), confirms that no individual or entity that is listed on any UNSC sanctions list, including the UN Consolidated Sanctions list, will be involved in any manner with the project or its activities, either as a counterparty, implementer, or beneficiary. Furthermore, no project activities will be undertaken in any jurisdiction which is subject to or affected by UNSC resolutions.

69. SPC advises that, at this stage, there has been no due diligence assessment of counterparties as they have not yet been identified. SPC has deemed it more appropriate to

follow a fair, competitive and transparent bidding process to select counterparties rather than to follow a pre-selection process. However, as part of this competitive bidding process, due diligence and other assessments will take place to ensure the counterparties have adequate financial, management, reporting and other capacities that are well established and functioning. The procurement of counterparties will proceed according to various finance policies, including controls and due diligence processes to ensure entities have the capacity to deliver.

70. SPC confirms that it has conducted a formal assessment of its procurement, grants, risk and assets for the project, complemented by an informal review of the status of FSM according to the Financial Action Task Force. Risk factors and mitigation measures utilized are based on SPC's Procurement Capacity Assessment for Grant Recipients or Sub-delegates for FSM.

71. SPC's assessment ascertained that FSM has not been identified by the Financial Action Task Force as having strategic deficiencies regarding anti-money laundering (AML) or countering the financing of terrorism (CFT), and has a low risk for money laundering, terrorist financing, or smuggling. Acceptable international principles are being followed, and formal guidelines and procedures exist to identify, monitor and address conflicts of interest.

72. Procedures are non-discriminatory, provide transparency, equitability, and public access to relevant information. There are anti-fraud and corruption policies in place, with finances subject to periodic reviews, inspections and audits. Rules and regulations include fair and impartial mechanisms to address protests and policy violations, and there are formal guidelines and procedures to identify, monitor and address conflicts of interest. Ultimately, SPC's assessment concluded that the severity for risks and vulnerabilities in the project was 'low'.

73. SPC advises that it has an AML/CFT policy that prevents the funding of prohibited activities through any of SPC's projects and initiatives, namely the "Finance Policy: Anti-Money Laundering and Countering the Financing of Terrorism" (effective July 2020). Moreover, SPC's procurement team maintains a full set of documentation for every procurement process including purchase orders, contracts, solicitation documents, records of evaluations and communications with participants. This is consistent with SPC's "Finance Policies: Procurement Policy" (effective July 2020), which includes assessment and mitigation of risks in all procurement processes.

74. Due diligence requirements for vendors are established in the "AML/CTF Policy, Procurement Policy" and "Grants and Sub-delegations Policy". SPC undertakes due diligence when engaging any entity in activities to ensure the identity of the entity, enabling SPC to assess and evaluate risks accordingly. This is further supported by the "Fraud and Corruption Policy" as outlined in SPC's "Manual of Staff Policies".

75. SPC demonstrates its commitment to excluding access to funding for entities that engage in certain activities, by exercising general conditions for contracts and grants that permit termination of such agreements with immediate effect where the other entity is involved in:

- (a) fraud or corruption;
- (b) money-laundering;
- (c) terrorism financing;
- (d) activities non-compliant with child protection;
- (e) activities undermining human rights; and/or
- (f) sexual harassment, sexual abuse or sexual exploitation.

76. SPC confirms that it does not have any intention to distribute any items of value directly to any beneficiaries. The grants disbursed by the RCGF will be exclusively for goods and services provided directly by local authorities, facilitating agents or contractors, as per the provisions of

their *Operations Manual*. This will proceed in accordance with the SPC policies that will be followed throughout to prevent prohibited practices, including the:

- (a) Finance Regulations (2018);
- (b) Finance Policy: Procurement (2020);
- (c) Finance Policy: Grants and Sub-delegations (2020); and
- (d) Finance Policy: Anti-Money Laundering and Countering the Financing of Terrorism g (2020).

77. SPC advises that the disbursement of funds to successful grantees, as well as payments to Facilitating Agents and any other entities, will proceed according to the abovementioned policies. These policies ensure considerable internal controls and due diligence so that funds are properly disbursed and managed, and that funds are not used for prohibited or illicit activities. All entities receiving funds under the project will be compelled to comply with these policies.

78. SPC has established a grievance and redress mechanism to ensure that complaints are addressed. Concerns about conflicts of interest would be received by SPC's Legal Team who will direct them to the Social and Environmental Responsibility Helpdesk to initiate a conflict resolution process and develop an action plan or appropriate redress mechanism. If this is not effective, other processes may be followed according to SPC's "Social and Environmental Responsibility Policy" (2020). The EDA programme will also have a dedicated grievance redress mechanism.

79. Allegations of breaches of contract, violation of AML/CFT policies or involvement in illicit or unauthorized activities would be a breach of the Code of Conduct and will be investigated under SPC's Staff Regulations and Manual of Staff Policies. Outcomes may result in summary dismissal, other action being taken against staff, or termination of contracts with cause for grantees, with other actions being taken as required.

80. **Recommended risk rating:** The Office of Risk Management and Compliance (ORMC)/Compliance Team has conducted a review of the project in accordance with relevant GCF Board approved policies and does not find any material issue or deviation with respect to compliance issues. Based on available information for this funding proposal, the ORMC/Compliance Team have determined a risk rating of 'medium' and has no objection to this request proceeding to the next steps at this time.

81. ORMC/Compliance would like to remind SPC, as the AE, of its continuing obligations and responsibilities with regard to monitoring and reporting any risks for money laundering, financing of terrorism, or prohibited practices among the intended counterparties, executing entities, beneficiaries, persons involved, or any of the proposed activities.

4.3.5. GCF portfolio concentration risk (low risk)

82. In the case of approval, the impact of this proposal on the GCF portfolio concentration in terms of results area and single proposal is not material.

4.3.6. Recommendation

83. It is recommended that the Board consider the above factors in its decision.

Summary risk assessment		Rationale
Overall programme	Medium	The AE's capacity to deal with land ownership issues and implement activities in remote locations is key to successful project implementation.
Accredited entity/executing entity capability to implement this programme	Low	

Programme-specific execution	Medium	
GCF portfolio concentration	Low	
Compliance		

4.4 Fiduciary

84. Pacific Community (SPC) will be the accredited entity and the executing entity for the project through a dedicated EDA Programme Coordination Unit (ECU), hosted within the SPC regional office in FSM.

85. SPC's Climate Change and Environmental Sustainability Division will receive funds from the GCF. These funds will in turn flow to the ECU as the executing entity (EE) for the EDA programme. The EE in its capacity, and based on the grant applications received, will enter into grants agreements with the LAs following the procedures on disbursement.

86. SPC will be responsible for financial monitoring and for the financial execution of GCF funds according to SPC rules and regulations. As the accredited entity, SPC's CFU within the Climate Change and Environmental Sustainability Division will be responsible for the overall project management.

87. Results and outcomes from programme activities will be monitored in accordance with SPC's Planning, Evaluation, Accountability, Reflection and Learning (PEARL) policy. SPC policies on financial management including "Finance Regulations", "Anti-money Laundering and Countering the Financing of Terrorism", "Procurement" and "Grants and Sub-delegation" as well as its "Staff Regulations and Manual of Staff Policies" that govern human resources and other relevant processes and procedures will be followed in the implementation of this project.

4.5 Results monitoring and reporting

88. As an adaptation programme, the intervention expects to benefit about 54,000 direct and 92,000 indirect beneficiaries, of which women comprise 49 per cent of both direct and indirect beneficiaries across the three targeted sectors of food security, water security and disaster risk reduction.

89. The programme aims at supporting different types of adaptation activities which are expected to generate impact across the four adaptation result areas. This is clearly demonstrated in the theory of change diagram as well as in the annexed table 4, which, as per guidance provided by the Secretariat, details the specific types of interventions supported by the programme as well as how they are foreseen to achieve measurable adaptation benefits.

90. The revised logical framework integrates most of the comments and suggestions provided by the Secretariat and it is assessed to have applied results measurements against the GCF Results Management Framework (RMF) and Performance Management Framework (PMF) sufficiently for quality at entry considerations. More robust methods of verification (MoVs) for a few outcome and programme performance indicators have been provided as per guidance shared with the AE.

91. The implementation timetable in annex 5 is not aligned with the Programme Calendar under section 11 of the term sheet, while the monitoring and evaluation plan in annex 11 does not include the full list of the logical framework indicators as requested by the Secretariat. Both annexes shall be updated at the FAA negotiation stage.

4.6 Legal assessment

92. The accreditation master agreement (AMA) was signed with the accredited entity on 08 November 2019, and it became effective on 10 April 2020.
93. The accredited entity has not provided a legal opinion/certificate confirming that it has obtained all internal approvals and it has the capacity and authority to implement the programme.
94. It is recommended that, prior to submission of the funding proposal to the Board:
- (a) The accredited entity has obtained all its internal approvals; and
 - (b) GCF has received a certificate or legal opinion from the accredited entity in a form and substance satisfactory to GCF confirming that all final internal approvals by the accredited entity have been obtained and that it has the authority and capacity to implement the programme.

4.7 List of proposed conditions (including legal)

95. The proposed programme will be implemented in the Federated States of Micronesia. GCF has signed a bilateral agreement on privileges and immunities with the Federated States of Micronesia on 27 April 2016 and the agreement entered into force upon signature.
96. In order to mitigate risk, it is recommended that any approval by the Board is made subject to the following conditions:
- (a) Submission by the accredited entity to the Fund of a certificate or legal opinion, in form and substance satisfactory to the GCF Secretariat, within 120 days after Board approval, confirming that the accredited entity has obtained all final internal approvals needed by it and has the capacity and authority to implement the proposed programme;
 - (b) Signature of the funded activity agreement in a form and substance satisfactory to the GCF Secretariat within 180 days from the date of Board approval, or the date the accredited entity has provided a certificate or legal opinion confirming that it has obtained all final internal approvals, whichever is later; and
 - (c) Completion of the legal due diligence to the satisfaction of the GCF Secretariat.

Independent Technical Advisory Panel's assessment of FP169

Proposal name:	Climate change adaptation solutions for Local Authorities in the Federated States of Micronesia
Accredited entity:	Pacific Community (SPC)
Country/(ies):	Federated States of Micronesia
Programme/programme size:	Small

I. Assessment of the independent Technical Advisory Panel

1.1 Impact potential *Scale: High*

1. The Federated States of Micronesia (FSM) is an archipelago located in the North Pacific Ocean. There are four States (Chuuk, Kosrae, Pohnpei and Yap), which are widely dispersed in an east-west orientation. The four States are comprised of 607 islands, although habitation is found in only 74 of these islands. The eastern-most State (Kosrae) is located at a distance of 2,700 kilometres from the western-most State (Yap). The estimated population of FSM was 113,815 in 2019. The per capita gross domestic product (GDP) was USD 3,400. It is found that approximately 10 per cent of the population across FSM falls below the food poverty line, while 41 per cent of the population falls below the total basic needs poverty line. The majority of the population is engaged in the subsistence production system involving fisheries, agriculture and livestock rearing.
2. The climatology of FSM exhibits strong seasonality and inter-annual variability. While El Niño Southern Oscillation (ENSO) has a strong influence on overall climate in the nation, the total inter-annual rainfall is significantly affected by the two phases of ENSO, namely El Niño and La Niña. There are two seasons with the rainy season occurring from May to October. The general climatology is also influenced by the presence of the Indian Ocean Dipole and Inter-tropical Convergence Zone. While the average monthly temperature hardly changes throughout the year, the monthly average rainfall amount exhibits significant changes. The mean annual rainfall is around 4,826 mm. In general, the eastern States are much drier than the western States, where high intensity rainfall episodes are common. In sharp contrast, the eastern States are more affected due to higher levels of wave interactions along the shorelines, owing to much greater influence of sea surface temperature (SST) and SST anomalies.
3. The climatological data density in FSM is commendable. The analysis of historical observational data exhibits nominal inter-decadal as well as inter-seasonal temperature change since 1950 across the four States. The decadal rate of change in mean temperature is in the order of 0.0 to 0.15°C across seasonal and spatial scales. An exception is found in the western State of Yap during the wet season, when a gradual decrease (i.e. withdrawal) of annual mean as well as seasonal rainfall amount is found, with a considerably higher rate of withdrawal of rainfall during the dry season. Based on evidences and thorough analyses of available data, it is claimed that the combination of warming and withdrawal of dry season as well as annual rainfall has resulted in greater loss of moisture from the top soils leading to higher evapotranspiration and droughts. The intensity of drought is further compounded by the La Niña phase of ENSO. Currently scientific opinion foresees that ENSO-related influences on seasonality will worsen in a warming world, with a much greater influence on adverse climate-

induced hazards and disasters. Climate change-influenced drought is therefore a great concern for FSM.

4. The rainfall variability is found to be greater in the western State of Yap and its islets compared to eastern States. The western State is experiencing an increase in extreme rainfall leading to greater susceptibility of floods. Moreover, higher intensity rainfall events tend to erode top-soils and increased sedimentation in the downstream areas of the catchment, which chokes the available ponds and reduces water availability for irrigation purposes and for livestock rearing.

5. However, a much-pronounced flooding effect is found in the eastern States due to increasing wave interactions that are caused by a combination of SST and sea level rise (SLR). Between 1993 and 2010, FSM has experienced a disproportionate amount of SLR, ranging from 8 to 12 mm per year, compared to other areas in the Western Pacific. Brunn's equation of 1962 suggests that increased sensitivity of cyclonic speed with increasing temperature translates into an asymptotic increase in storm surge height with increasing SST. As a result of all these, there has been higher intensity of cyclonic events and associated coastal floodings across FSM. There is firm proof that the northern Pacific Ocean region is experiencing high SST and anecdotal evidence suggests that there have been increased levels of inundation, particularly in the eastern islets.

6. The compounding effects of rising SST and increasing sea level have resulted in much greater vulnerability of the coastal zones due to increased flooding and inundation. Infrastructure including road networks, standing crops and water supply systems are heavily impacted. Transportation and communication between islands become increasingly difficult, while transportation of goods and services are severely constrained during such events. The destruction of road networks prevents transfer of patients to health-care facilities. Saline inundation is often found to affect aquifer systems, making it difficult to collect non-saline potable water. Loss of income from fishing, cropping and livestock management increases food insecurity, especially among food impoverished households.

7. Future climate change projection has used models that are validated with observational data. Even considering results based on a low climate change scenario (applying the Representative Climate Pathway 4.5 scenario, as defined by the Inter-governmental Panel on Climate Change), the frequency analyses of very high intensity hazardous events, such as droughts, floods and storm surges, exhibit significant increase while extreme events will become increasingly frequent with time. The projection results clearly highlight that under climate change, even during a 2011–2040 time frame, adverse impacts will be much aggravated. Due to an increase in rainfall, floods will occur more frequently. Despite a general increase in projected rainfall, the seasonal withdrawal of rainfall in the dry seasons will aggravate seasonal drought. The continued rise in sea levels and ENSO-induced effects will have much aggravated impacts in relation to high intensity cyclonic storm surge. Such impacts warrant a portfolio of location-specific projects and adaptive activities primarily in the inhabited islets, if not in all the islands and atolls.

8. The project does not present a portfolio of location-specific projects. Rather it takes advantage of the enhanced direct access (EDA) option to mobilize a significant amount under a proposed EDA Grant Facility for the creation of a portfolio of locally relevant adaptation projects to be administered by local authorities (LAs). However, the project took note of a barrier analysis and simultaneously focused on institutional capacity-building so that State governments and municipalities can enhance their capacities to design and deliver on-the-ground adaptation activities.

9. The project has two components. Component 1 deals with empowerment of LAs to deliver climate change adaptation services to their population, while Component 2 focuses on priority project implementation by creating an EDA facility for strengthening local community

resilience. The majority of the proposed fund (i.e. USD 12 million out of a total of USD 19.71 million) is earmarked for the proposed EDA grant facility. The project, including a host of EDA grant sub-projects, will be implemented within seven years after inception at a total estimated cost of about USD 19.71 million.

10. Coverage of the project in terms of reaching direct beneficiaries is commendable. About 47 per cent of the FSM population (53,639 people) will benefit directly. Indirect benefits are likely to reach up to 80 per cent of the population (91,052 people) across the four States of FSM. Based on the initial screening and triangulation through stakeholder consultations, the vulnerable islands are identified. However, the list of vulnerable islands thus created will not be the only criterion for the mobilization of EDA grants. The capacity of LAs will also be considered in awarding EDA grants. Efforts will be made to build capacity of the weak but highly vulnerable municipalities so that they will also have a fair opportunity to participate in the grant application processes and utilize the EDA grant support.

11. The available information clearly suggests that the impact potential of the proposed project is high.

1.2 Paradigm shift potential

Scale: High

12. The project identifies the following two components to deliver the intended benefits: (a) Component 1: Local Authorities (LAs) are empowered to deliver climate change adaptation services to their population; and (b) Component 2: priority project implementation – EDA facility to be created for strengthening local community resilience. While the focus of Component 1 is to strengthen local-level capacities, including that of local institutions, through capacity-building, Component 2 is aimed at disbursement of financial resources to LAs with capacity and the need to address local-level climate change adaptation challenges. The project was conceived under the EDA window and therefore its central activities will be supported through delivery of EDA grants to LAs.

13. The LAs seeking EDA grants are primarily at municipal level and will be selected on the basis of willingness to participate in the EDA grant programme. Higher preference will be given to LAs that have proven capacity to deliver local-level activities and to those that exhibit high fiduciary standards in disbursing resources. Vulnerability to climate change at local level will not be the primary criteria for selecting likely grant-recipient LAs. However, clear preference will be given to those LAs that can exhibit capacity to deliver and willingness to develop a climate change adaptation project according to specific criteria and following GCF investment criteria. It may be apprehended that LAs with relatively weaker capacity and higher climate vulnerability could fall behind in accessing adaptation finance under such selection approaches. To address this, the project management unit will offer institutional and technical support to LAs with proven high climate change vulnerabilities in order to enhance their capacities and enable them to deliver adaptation services to the most vulnerable islets and people.

14. Implementing a combination of the above two components will not only create demand-driven access to adaptation finance, but will also build the capacity of weak but climate-vulnerable LAs to have greater access to much needed finance to administer local level adaptation. The approach is innovative and will lead to a paradigm shift away from constrained institutional and technical capacities to increased knowledge and technical ability. This will enable local communities to translate their needs into viable climate adaptation sub-projects based on local-level vulnerabilities. The strengthening of institutions' and communities' capacity to discuss, document and plan for climate change adaptation will pave the way to a systematic approach to adaptation actions at local levels, representing a shift from an ad hoc approach to sustainable delivery of community-based adaptation processes.

15. The EDA grant sub-project delivery is innovative at local level, because it draws on the good practices of GCF and aims to customize them to suit local realities. There are parallels between the proposed grant endorsing body and the GCF Board; the proposed programme management unit and the GCF Secretariat; and the establishment of a non-biased body, similar to the independent Technical Advisory Panel (TAP) to apply the customized criteria for EDA sub-projects to assist with judicious selection based on technical merit. These approaches are innovative at the national level, providing ample opportunities to learn from and replicate in other countries.
16. In addition to the replication potential of sub-project delivery processes, the proposed combination of institutional capacity-building and subsequent assistance with applications for much-needed dedicated funds also has replication potential in other small island developing States (SIDS). The demand-driven structure for accessing financial support, on the basis of a clear understanding of local-level vulnerabilities and clear identification of adaptation measures, can be replicated in many countries. It is expected that all programme outputs and results will be collated and archived in centralized data portals, which will be a source of updated information on climate change vulnerability and adaptation involving multiple islets and atolls located across the four Federated States of Micronesia. The information database is expected to be open source to guide scaling up of adaptation activities in municipalities that will remain outside the EDA grants programme.
17. Under Component 2, dedicated activity 2.3 is expected to focus on finalizing a resource mobilization strategy to secure funding sources to recapitalize the EDA facility and prepare handover of its management. It is also anticipated that additional funding from both public and private bodies will be secured to encourage the extension of the EDA facility to a second phase in which a number of LAs could be engaged.
18. It is perceived that EDA grant-seeking efforts will be based on local-level understanding of three aspects: disaster risk reduction, water security and food security. The local-level responses will be based on these aspects, taking into consideration understanding and knowledge of issues such as rainwater catchment management and storage of water to address drought; cyclone proofing through mangrove enhancement and the creation of breakwaters; ecosystem services and management of endemic species; marine protected areas; and management of small-scale livestock and fisheries, etc. Knowledge of the causes of vulnerabilities and of targeted responses is key to identifying specific response measures, which will be central in justifying grant for sub-projects. The project, therefore, is focused on knowledge, while leaving ample opportunity for learning.
19. Component 1 of the project has been specifically designed to create pathways to facilitate the generation and subsequent dissemination of knowledge through the learning exchanges. There are opportunities for local actors, including communities and institutional actors, to engage in trainings. Lessons learned in the design and implementation of the capacity-building activities as well as trainings, is likely to help inform the development of future EDA and local-level capacity-building projects. The cross-learning opportunities are likely to help the development of EDA grant sub-projects in other atolls and islets through replication of processes and methodologies. The targeted capacity enhancement support from the project delivery side to relatively weak LAs will have lasting impacts in conceiving local adaptive actions and delivering responses upon receipt of EDA grants. The proposed data hub, web portals and periodically organized workshops will further enable cross-learning involving actors representing various municipalities and state governments across FSM.
20. Based on the effective implementation of small-scale, locally relevant and community-centric adaptation projects, the budgetary allocation for such activities will be incentivised and simultaneously it is expected to catalyse local and national policy change in view of institutional integration of adaptation. The processes of highlighting local adaptive actions and needs for

budgetary allocations will feed into national policies, eventually contributing to the creation of an enabling environment.

21. Under Component 1, the capacity of LAs will be built towards a greater understanding of climate change impacts to develop and implement their local-level priority adaptive activities. The integration of local communities into the planning process and prioritization of adaptive actions will also contribute to an enabling environment by incentivising community ownership, which will in turn leverage local contributions and supervision of operation and maintenance (O&M) activities – these aspects being vital for long-term sustainability of the adaptive actions.

22. Analyses on local (participatory) vulnerability assessments and updated analyses of adaptation actions including their local-level effectiveness, are expected to enable local institutions to incrementally extend adaptive actions. This knowledge will enable institutions to serve the population under their jurisdiction. The service delivery frameworks envisaged within the project purview are likely to support bottom-up advocacy at both state and national levels, thereby further strengthening local enabling capacities.

23. The overall objective of the project is to build local adaptive capacities by strengthening stakeholders' capacities, plans and adaptive infrastructure involving green, grey and blue small-scale infrastructure. Most of these deliverables are locally suited, tested for their effectiveness, and generally are no regret options. As a result, they are likely to contribute to incrementally building adaptive capacities that are easy to replicate at micro-scale. If finances are streamlined, and O&M procedures are not complicated they will therefore be sustainable in the long run. The simplicity of approaches and people-centric execution of measures are expected to enable the local institutions to deliver climate-resilient pathways for the island nation.

24. In view of the above discussions, the independent TAP is of the opinion that the paradigm shift potential of the proposed project is high.

1.3 Sustainable development potential

Scale: High

25. The project relies heavily on EDA grant sub-projects, which are awaiting development. It is therefore premature to decisively forecast the potential contribution of the project to single Sustainable Development Goals (SDGs). Since the project has gone through an initial scoping of potential vulnerable municipalities and their climate change-related adaptation needs, there exists a rough understanding regarding potential adaptive capacity-building and interventions. This understanding on adaptation responses may be organized under three broad categories: (1) disaster risk reduction (DRR); (2) water security including provision for drinking water; and (3) food security. There will be adaptive responses involving mangrove enrichment, natural resources management involving terrestrial and marine environments, and biodiversity conservation. Based on these responses, it may be inferred that the proposed project will contribute to a number of SDGs, the most notable being: (a) SDG 1: No poverty; (b) SDG 2: Zero hunger; (c) SDG 3: Good health and well-being; (d) SDG 6: Clean water and sanitation; and (e) SDG 14: Life below water. In addition, contributions to two other SDGs are most likely in terms of SDG 5: Gender equality; and SDG 13: Enhanced climate actions.

1.3.1. Environmental co-benefits

26. Blue and green infrastructure for achieving disaster risk reduction by means of establishing marine safe havens through breakwaters and mangrove protective belts, respectively, have potentials for providing significant environmental co-benefits in terms of biodiversity refuge and conservation. Slope protection in undulated terrains will tend to reduce soil erosion, thereby enhancing soil conservation. Potential infiltration of water in irrigated lands will tend to strengthen the recharge potential of aquifers. Watershed management and restoration activities are likely to improve water quality and reduce pollution load in the marine

environment. Micro-scale air quality improvement may be envisaged from the use of solar water pumps. On a similar note, miniscule mitigation benefits (not estimated as such) may be accrued through agroforestry activities, pumping water using solar pumps instead of using fossil fuel-based technologies and by sequestering carbon in the mangroves.

1.3.2. Economic co-benefits

27. Reducing the loss and damage burdens that are arising from climate change-induced extreme weather events and strengthening livelihoods will offer the most significant economic co-benefit. The protection infrastructure will help avoid direct damages that occur during high intensity adverse weather events. The small-scale ponds will tend to ameliorate drought impacts by replenishing top soil moisture during the critical growth stage of crops, thus helping to maintain crop productivity. The investments in micro-scale community roads will help maintain physical communication during cyclonic storms and floods, thereby contributing to smooth mobilization of goods and services. The micro-scale livestock and fisheries activities will help to create employment through a robust production system, while the assistance in establishing a value chain for local products will help producers to gain economically from their activities.

1.3.3. Social co-benefits

28. Reducing the risks that emanate from invigorated weather events is already beneficial to communities in any country. The structures to be put in place will reduce disaster risks. The restoration of road networks will help speedy mobilization of goods and services in the aftermath of disastrous events, allowing patients to be taken to health care facilities and restoring social cohesion following disasters. The increased income from productive activities will have positive social outcomes in terms of enhanced employment and reduction of poverty.

29. The water tanks will directly serve potable water, which will have significant health care benefits. The livestock and fisheries sub-programme, in conjunction with enhanced availability of marine fisheries due to mangrove conservation and refuge protection through breakwater creation will have significant positive outcomes in terms of availability of protein. Meanwhile, the micro-scale water retention ponds to reduce drought effects will tend to contribute directly to attain greater food security, which will have social co-benefit potential.

1.3.4. Gender-related co-benefits

30. In any society where community-based DRR efforts are judiciously considered, it is often observed that women almost automatically benefit from such activities. Such benefits are generally optimized when women's voice are duly included in project design. The gender action plan of the project indicates that women's particular concerns are embraced and provisions for advancing the cause of women are included. The project envisages that sub-grants will consider gender-focused activities, while giving priority to voices in favour of gender equity during sub-project design. Women and men will benefit equally from many of the outcomes highlighted above, especially where social co-benefits are significant. Integration of women in local-level production systems and value chains, and inclusion of women in various committees and decision-making bodies will help advance gender concerns.

31. Based on the various attributes that bring different types of co-benefits, the independent TAP finds the sustainable development potential of the project is high.

1.4 Needs of the recipient

Scale: High

32. As discussed under the section on impact potential, FSM is a country vulnerable to climate change. A combination of highly variable rainfall, the influence of ENSO, the ever-increasing surface, as well as sea surface, temperature and rising amplitude of extreme tides that are compounded by rising sea levels, have resulted in more intense incidents of high intensity extreme weather events such as cyclonic storm surges, droughts and floods. The low-lying islets and atoll system and the high density of inhabitants living within metres of the sea make the system highly vulnerable to climate change-induced hazards. FSM's poor state of readiness to deal with climatic hazards is also noteworthy. In terms of climate change preparedness FSM is currently ranked 78th least ready country the Notre Dame Global Adaptation Initiative identifies it as the fourth most vulnerable country to climate change. These rankings demonstrate that the country is indeed highly vulnerable and therefore the need for an early response is critically important.

33. Even when island economies are integrated with the global economy, such integration often comes at a high cost. The vast majority of the population in FSM is reliant on underdeveloped as well as subsistence agriculture, livestock and fisheries value systems. Consequently, 41 per cent of the population lives below the poverty line, where an average of USD 1.84 per adult per day is needed to meet essential calorific requirements.¹ The subsistence production system results in 10 per cent of the population below the food poverty line in the FSM. The economy of FSM is not self-reliant and is highly dependent on Compact of Free Association (COFA) financing. The COFA currently funds 80 per cent of the States' budgets and over 90 per cent of its funding is allocated for health and education. The overall financial outlook against the backdrop of uncertainties regarding COFA financing appears bleak, especially after 2023 when the current COFA financing phase will expire. This indicates that FSM is in dire need of international support to finance its much-needed adaptation-related activities in the wake of climate change-induced vulnerabilities.

34. The current technical and financial capacities of FSM at local, State and national levels are severely constrained in view of growing vulnerabilities to climate change. A study financed by USAID highlights that the estimated costs for operationalizing climate change policies and actions at State and local levels far outweigh the budgetary provisions of relevant organizations operating at various tiers. Financial support from development partners is found to be inadequate compared to the overall financing gap. Moreover, over 60 per cent of the funds are uncoordinatedly mobilized by national decision-makers, which results in widening the financing gap for climate adaptation. It is found that the financial requirement for advancing adaptation in FSM is in the order of USD 1.4 billion, which exceeds FSM's national gross domestic product (GDP) five-fold. Moreover, there is a significant capacity gap in terms of human resources to understand and assess climate change-related vulnerabilities and to devise plans at different governance tiers to address such vulnerabilities. All these have left a significant capacity void as regards making any headway towards climate resilience in FSM.

35. The project proposal is supported by a barrier analysis, which highlights a number of capacity barriers including institutional barriers. It is found that the FSM State and municipal authorities generally do not have institutional capacities to respond to the adverse effects of climate change. In fact, the generic inability to analyse vulnerabilities and respond to them, compounded by lack of coordination, information and adequate human resources, severely constrain delivery of adaptation services through institutional approaches. The proposal claims that the level of climate-related understanding among decision-makers is generally high. Yet, due to the inability of institutions to deliver adaptation services they remain inaccessible to the population. Component 1 of the proposed project aims at fostering the transfer, receipt and integration of knowledge across LAs thus recognising the need to strengthen institutions which have a mandate at the national and State levels to deliver adaptation-related services.

¹ Based on 2013–2014 estimation.

36. Adaptation responses at community level work better if incremental fit-for-purpose steps are designed and gradually delivered by involving the community-level stakeholders. However, if there is a capacity constraint at community level, generally adaptation at the grassroots becomes ineffective. The project rightly acknowledges the capacity gaps prevailing at community level and focuses on building capacities to implement local-level adaptations in cooperation with local institutions. Not only will the financial needs be addressed, but the project will also enhance knowledge and technical know-how through trainings, including for women and institutional actors. Since the sub-grant selection processes will follow GCF-style investment criteria with an emphasis on training, learning opportunities and capacity-building, it is expected that the sub-grant proposals will highlight these aspects, recognising the importance of community capacity needs. It is anticipated that such capacity-building efforts at community levels will revolve around DRR, water provisioning and water security and also sustainable agriculture and food security.

37. Although the project focuses on EDA grant support to LAs and communities, it exhibits high sensitivity to various needs of the recipients at both institutional and community levels across the four States of FSM. The independent TAP therefore rates the needs of the recipients as high.

1.5 Country ownership

Scale: High

38. The project, along with its deliverables, is in full conformity with climate change policy (2013), and the specific objectives are in alignment with the nationwide integrated disaster risk management and climate change policy (2013) of FSM. Two of the strategic objectives of the latter policy should be highlighted: 1) strategic objective #2 aims to “Promote, facilitate and develop training programs focused on disaster risk management and climate change for scientific, technical, managerial personnel and policy makers” and strategic objective #7 aims to “Reduce and manage the risks associated with more frequent, severe and unpredictable extreme weather events”. The climate change adaptation objectives are in alignment with the second national communication of FSM to the United Nations Framework Convention on Climate Change, where emphasis is placed on achieving food and water security and protection against coastal flooding, both of which are aggravated by climate change. The approach of mobilizing institutional stakeholders and communities also finds conformity with the community-based adaptation approach of both the climate change policy and second national communication of FSM.

39. The nationally determined contribution to achieve objectives of the Paris Protocol highlights priority adaptation actions that are in line with the project deliverables. The document emphasizes the urgency of enhancing local capacity to plan, design, implement, manage and operate adaptation projects, which are at the core of the proposed project. The FSM Climate Change Act (2014) provides for the regulatory functions and directives on climate change in FSM, whereas the project finds great overlaps in approach and delivery.

40. In addition to having national-level policy alignment, the project is also exhibiting good alignment with State-level Joint State Action Plans for disaster risk management and climate change that refer to Chuuk, Kosrae, Pohnpei and Yap States. These State-level action plans are focused on regional differences and needs in terms of DRR, food and water security, and take into consideration the spatial dynamics of vulnerability to climate change-induced hazards and disasters.

41. The municipalities of FSM have developed local early action plans (LEAPs) as part of the International Climate Initiative where causes of specific vulnerabilities and adaptation needs are highlighted. It is expected that the EDA grant sub-projects will find inputs from respective LEAPs, verify them through stakeholder engagement and be integrated into EDA sub-projects.

This will ensure integration of existing policies while also devising and delivering adaptation in all tiers of governance in FSM.

42. The FSM country programme submitted to GCF identifies the need for achieving food and water security, initiatives on DRR and resilient infrastructure and ecosystem strengthening. Therefore, it may be inferred that the project builds on identified priorities that are already shared with GCF. The same country programme recognizes the difficulties in leveraging private sector financing for climate change adaptation projects, while highlighting the general need for financing assistance to advance adaptation activities in FSM. The EDA Grant Facility has already been identified as one of the key mechanisms to mobilize finance for implementation of adaptation projects. The involvement of LAs in the delivery of adaptation and for providing leadership for O&M in the continuous monitoring and mentorship of adaptive infrastructure has been part of the country programme, and is the central consideration of the proposed project.

43. The Pacific Community (SPC)² is a regional inter-governmental body operating in the Pacific region to foster scientific and technical cooperation for regional development. The SPC has been operational since 1947 and has strongly influenced the Pacific islands' development. The SPC embraces 26 member countries and advances sustainable development through the application of its knowledge base, science and technology in addressing cross-cutting issues such as DRR, climate change adaptation, food security, gender equality, management of non-communicable diseases, human rights and employment of youth. The SPC is an accredited entity (AE) to GCF and has already implemented a few small-scale adaptation projects by mobilizing finance received from international development partners. In the context of adaptation delivery, even beyond the regional scale in the Pacific, SPC has the right exposure and experiences to deliver adaptation at community levels involving national and State actors in FSM. The SPC has a regional office based in Pohnpei, which has administered a number of adaptation projects in FSM including the Global Climate Change Alliance Plus project for scaling up adaptation in the Pacific and small island developing States.

44. The FSM Department of Finance and Administration is the executing entity (EE) and also the national designated authority (NDA) for FSM. The NDA has received two readiness supports from GCF and successfully implemented the support projects. The NDA has been instrumental in designing a previous GCF approved project, the Pacific Islands Renewable Energy Investment Programme (FP036). It is expected that the NDA will remain the focal point in providing guidance and decisions on EDA grant awards, while the four States will be fully involved and are expected to play key strategic roles in the programmatic implementation. It is expected that a national decision-making body consisting of representatives from key stakeholders will endorse key milestones and lead key programme implementation including the selection of sub-grants. As already planned, resources will be mobilized through the NDA and LAs to foster the partnerships between the SPC and the channels mobilizing funds and to ensure ownership.

45. The SPC has taken the lead to devise the EDA project in cooperation with the NDA. The SPC mobilized strong support from the NDA to engage stakeholders across FSM, including all four States, which have also engaged civil society organizations and women's groups. This has allowed the NDA and SPC to combine scientific knowledge and awareness of climate change adaptation with social adaptation priorities. These factors played a significant part in the planning of the EDA grant sub-project together with the expected institutional capacity-building.

46. In view of the above discussions, it appears to the independent TAP that country ownership of the project is high.

² Previously known as the South Pacific Commission. It has retained its acronym.

1.6 Efficiency and effectiveness

Scale: High

47. The project will be implemented over seven years at an estimated cost of USD 19.71 million. The project proposes a total of USD 16.59 million in the form of grants. Considering the nation's status as small island developing State, the request for full concessionality is justified. The greater share of the finance for the project will be dedicated to providing grant support to LAs under an EDA grant window, which accounts for about 71 per cent of the total budget. The co-financing amount is about USD 3.12 million, most of which is provided by the FSM Government. The co-financing ratio with respect to GCF financing is about 0.19:1.

48. As indicated in the earlier sections, there is a dearth of financing for climate change adaptation in FSM. Neither national budgetary allocations nor private sector financing are available for building resilience in FSM. Since the majority of financing is earmarked for community-driven, small-scale, and incrementally contributing no regret adaptation actions, there will not be any interest from the private sector to leverage adaptation financing. Therefore, the need to mobilize GCF grant financing through the involvement of public sector institutions is critically important.

49. The project presents budgetary allocation that identifies high value for money, as the estimated transaction cost in an island setting is comparable to projects financed by GCF in other countries where actual unit costs for various adaptation services do not require significant transportation and other costs. Since many of the activities will be accomplished by local communities and will be directed by LAs, there is very little requirement for engaging expatriate support and consultants compared to most GCF financed projects.

50. The long distances between islands, at times unfavourable weather, logistics and high-cost challenges of inter-island transportation in FSM make it particularly difficult to deliver goods and services. Any analysis of economic performance must take into consideration the context of project delivery in FSM. Yet the proposed financial structure of the EDA grant facility is deemed adequate and reasonable in order to achieve the project's objectives while minimizing transaction costs, in particular given the high complexity of targeting all municipalities in each of the States in order to include particularly vulnerable populations living in rural areas and outer islands. It is found that the cost of delivery of similar grant programmes in other Pacific islands per direct beneficiary is far above the proposed cost of delivery per beneficiary under the proposed project (ranging from USD 436 to USD 8,415 as against USD 370 for the proposed project).

51. The incremental adaptation benefits present the basis for conducting the economic analysis of the project. The economic benefit-cost analysis considers a cash flow model over a 20-year period as well as the accrual of DRR benefits from coastal infrastructure for a period of 50 years. However, the analyses assume most probable adaptive responses under EDA grant sub-projects, on the basis of past interventions in various atolls and islets as well as best practices from past projects. Since actual activities for the EDA grant window cannot be ascertained upfront, resorting to such analytical methodology is justified.

52. The overall economic performance of the proposed project under the above assumptions appears effective and economically highly desirable. The economic net present value (ENPV) appears to be not only positive, but the estimated ENPV is almost twice the amount to be spent in FSM. Moreover, the economic internal rate of return appears to be 11 per cent, which indicates that the project's economic performance is likely to be attractive. The economic soundness looks even more attractive with the realization that about 30 per cent of the budgetary allocation is earmarked for non-investment budget costs for which no direct benefits may be accrued. However, the inputs for institutional and community-wide capacity-building will eventually result in non-tangible benefits, which are expected to contribute to long-term sustainability as well as replication of adaptation actions on the ground.

53. The micro- and small-scale adaptive responses are yet to be defined in an EDA financing arrangement. However, the broad categories of responses against most known hazards are identified, and will form the basis for developing atoll- and islet-specific adaptations under EDA grant sub-projects. Since the responses will be evaluated against a set of criteria, as in the case of GCF investment criteria, it is anticipated that small-scale responses are most likely to be designed involving industry best practices. Moreover, the nature of small grants under the EDA grant facility does not allow for the choice of over-sophisticated technologies at exorbitant prices, but instead encourages the adoption of industry best practices.
54. Based on the above findings, the independent TAP is of the opinion that the effectiveness and efficiency of the project are high.

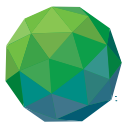
II. Overall remarks from the independent Technical Advisory Panel

55. The proposed EDA project is a good example of this kind of project and the independent TAP recommends the Board to approve the project.

Response from the accredited entity to the independent Technical Advisory Panel's assessment (FP169)

Proposal name:	Climate change adaptation solutions for Local Authorities in the Federated States of Micronesia
Accredited entity:	The Pacific Community (SPC)
Country:	Federated States of Micronesia
Programme size:	Small

Impact potential
SPC is glad to note that the iTAP is in agreement that the project has “High” impact potential.
Paradigm shift potential
SPC is glad to note that the iTAP is in agreement that the project has “High” paradigm shift potential.
Sustainable development potential
SPC is glad to note that the iTAP is in agreement that the project has “High” sustainable development potential.
Needs of the recipient
SPC is glad to note that the iTAP is in agreement that the needs of the recipients are “High”.
Country ownership
SPC is glad to note that the iTAP is in agreement that there is “High” country ownership.
Efficiency and effectiveness
SPC is glad to note that the iTAP is in agreement that the efficiency and effectiveness of the project are “High”.
Overall remarks from the independent Technical Advisory Panel:
SPC is glad to note that the iTAP is in agreement that the proposed EDA programme is a good example of this type of project and recommends that GCF Board approve the proposal.



Furthermore, SPC would like to note that its correct name is the Pacific Community rather than “Pacific Communities” as reflected in the iTAP assessment report.



Annex 4: GCF Gender Assessment and Action Plan (GAAP)

GAAP for GCF Enhanced Direct Access Programme “Climate change adaptation solutions for local authorities in the Federated States of Micronesia”



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Overview

This Gender Analysis and Action Plan (GAAP) provides the overall context and framework for mainstreaming gender into the Green Climate Fund (GCF) project “Climate change adaptation solutions for local authorities in the Federated States of Micronesia.” Accordingly, it has been developed in line with the GCF Gender Policy and the GCF Gender Mainstreaming Guide and includes the following sections:

- Overview of the legal and policy framework related to gender in the Federated States of Micronesia (FSM) including a look at the Gender Stocktake Report for FSM
- Analysis of population, household, education, and income data from the 2010 Census and 2013/2014 Household Income Survey
- Description of income and employment in the agricultural sectors by gender from the FSM Agricultural Survey
- Overview of violence against women issues in FSM
- Overview of the SDG Voluntary National Review of national priorities and progress assessment for gender equality¹
- Comparison of gender indicators for FSM and other Pacific Island Countries
- Assessment of gender considerations for priority sector areas
- Recommendations for sub-grants mainstreaming gender
- Description of sub-grant implementation roles and responsibilities with regards to gender mainstreaming
- Overall Gender Action Plan for the sub-grant activities
- Framework for gender mainstreaming in sub-grants

Methodology

This GAAP was completed through a desk review of FSM's legal and policy framework and publicly available gender data pertinent to this assessment. Consultations with women's groups for each of the four States in FSM were additionally undertaken through November–December 2020. The women's groups/representatives consulted were the following:

- 1) Pohnpei Women's Council
- 2) Yap State Gender Support Officer representing Yap women's groups
- 3) Kosrae Women's Council and
- 4) Chuuk Women's Council

The consultation for the Pohnpei Women's Council was completed in person; however, due to the ongoing COVID-19 pandemic, the remaining consultations were completed via virtual meetings led by the national consultant.

The consultations focused on how gender vulnerabilities manifest within the three thematic areas covered by the proposed EDA programme (disaster risk reduction and coastal protection, food security and water security) and how the sub-grants could be designed and implemented in a gender sensitive manner. Through the consultations, food security projects and assisting women farmers and gardeners were deemed as priority measures for the EDA programme to reduce gender vulnerabilities in FSM. Please see Annex I for the full summary of women's groups consultations completed.

¹ https://sustainabledevelopment.un.org/content/documents/26668VNR_2020_Micronesia_Report.pdf



Gender Analysis and Assessment

Legal and Policy Framework

International and Bilateral treaties and agreements that FSM is party to and supports:

- Article X of the Federal Programme and Services Agreement between the Government of the Federated States of Micronesia and the Government of the United States where the US Agency for International Development (USAID) is responsible for providing disaster assistance and coordinating the US Government's response to declared disasters in the FSM.
- Chapter 24 of Agenda 21 (United Nations Conference on Environment and Development, 1992).
- Convention on Biodiversity (1992).
- Beijing Declaration and Platform for Action (1995, Fourth World Conference on Women).
- the Johannesburg Plan of Implementation of the 2002 World Summit on Sustainable Development.
- the 2000 Millennium Declaration.
- the 2015 Paris Agreement of the UN Framework Convention on Climate Change (UNFCCC).
- the Agenda 2030 for the Sustainable Development Goals (SDGs).
- Sendai Framework for Disaster Risk Reduction 2018 – 2030.
- Ratification of the UN Convention on the Rights of the Child (CRC) in 1993, UN Convention on the Elimination of All Forms of Discrimination Against Women (CEDAW) in 2004, and the UN Convention on the Rights of Persons with Disabilities (CRPD) in 2016.
- The FSM Government presented its combined Initial & First to Third CEDAW Report in 2018 and the CRC Report in 2020. General observations and recommendations have been tabled to the FSM Government for consideration in follow up actions by the review panel of experts under CEDAW and CRC.
- FSM Government participated in the UN Human Rights Council (HRC) and presented its report and progress in the implementation of human rights obligations and commitments during the 3rd Universal Periodic Review (UPR) process in January 2021. A list of Recommendation had been tabled by the member governments of the HRC on matters pertaining to gender and social inclusion issues including climate change and disaster risk management, food, and water.

Examples of Recommendations include the following:

- The submission to the UN of the initial report on the implementation of the Convention on the Rights of Persons with Disabilities.
- Withdraw of reservations to the UN CEDAW.
- Implement a national development plan to provide a strategic and coordinated framework for informing climate change mitigation efforts and building the country's climate resilience.
- Create a national development plan to mitigate the effects of climate change and increase funding and resources for emergency preparedness and response facilities as part of the ongoing strengthening of its overall climate resilience and mitigation efforts.
- Ensure that the National Climate Change Policy considers efforts to alleviate the disproportionate impact of climate change on women and children.
- Ensure that the National Policy on Climate Change considers the impact of climate change on children and women and the role they should have in the actions implemented in their favour.



- Ensure that women, especially rural women, children, persons with disabilities and indigenous and local communities are meaningfully engaged in the development and implementation of climate change and disaster risk reduction frameworks.
- Allocate sufficient resources to FSM Department of Environment, Climate Change and Emergency Management (DECCEM).
- Consider becoming a member of the International Labour Organization with the view to ratifying its core conventions and bring its labour legislation in line with international standards.
- Improve national data collection by completing a census by 2022 and ensure that disaggregated data supports national programming and decision-making in the field of climate change, domestic violence, gender-based violence, universal health coverage, universal access to sexual and reproductive health and rights, and empowerment of young people.

Sub-Regional and Regional Agreements

- SIDS Accelerated Modalities of Action (S.A.M.O.A.) Pathway (2014).
- Pacific Youth Development framework (2014 – 2024). Key Outcome 4 is on Climate Change.
- In June 2020, the FSM Government endorsed the Pacific Principles of Practice of National Mechanisms for implementation, Reporting and Follow up (NMRIF).
- Pacific Leaders' Gender Equality Declaration (2012).
- *Jined Kiped* Declaration by the Micronesian Women's Conference in Republic of Marshall Islands (2017).
- Pacific Platform for Action for Gender Equality and Women's Human Rights (2017 – 2030) adopted in Suva, Fiji (2017) during the 13th Triennial Conference of Pacific Women and the 6th Ministers for Women's Meeting.
- Boe Declaration (2018).
- Kainaki II Declaration (2019).
- Framework of Resilient Development in the Pacific (FRDP).
- Outcomes and Recommendations of the 14th Triennial Conference of Pacific Women and the 7th Pacific Ministers for Women Meeting (May 4, 2021) focused on Women's Economic Empowerment, Gender Based Violence and Gender Responsive Climate Justice.

National policies and institutional arrangements

According to the Pacific Women FSM gender situation analysis, the country is in the early stages of implementing a legislative and supporting policy framework to promote gender equality and women's human rights, including commitments made under the Convention on the Elimination of All Forms of Discrimination Against Women (CEDAW). It has a National Strategic Plan on Gender Development and Human Rights in place and a National Gender Policy. In 2019, FSM states drafted gender-based violence action plans under the national Elimination of Violence Against Women and Girls policy (with support from the United Nations Population Fund). The Pohnpei State Family Protection Act was passed in November 2017 (although has yet to be enacted), and Kosrae State Family Protection Act was passed in 2014. Chuuk and Yap States have yet to pass family protection legislation.²

² Pacific Women FSM Country Plan Summary; Available at: <https://pacificwomen.org/key-pacific-women-resources/fsm-country-plan-summary/https://pacificwomen.org/key-pacific-women-resources/fsm-country-plan-summary/>



The FSM Strategic Development Plan (2004–2023) further highlights seven specific strategic goals for addressing gender and vulnerable groups as part of country level development:³

- **Strategic Goal 1:** Enhance and promote the cultural, economic, legal, political and social development of women and children throughout their life cycles
- **Strategic Goal 2:** Enhance the leadership capacity and roles of women
- **Strategic Goal 3:** Mainstream gender issues into decision making, policies and strategic development plans
- **Strategic Goal 4:** Maximize women's contribution to and participation in democratic and development processes by creating opportunities for women's active involvement.
- **Strategic Goal 5:** Strengthen the institutional capacity of the women's programs in FSM
- **Strategic Goal 6:** Strengthen the institutional capacity, effectiveness and impact of youth organizations
- **Strategic Goal 7:** Strengthen youth development through social, economic and political participation

The National Gender Policy, endorsed in 2018, has six strategic goals, linked with other gender equality commitments including the Sustainable Development Programme, CEDAW, Pacific Leaders Gender Equality Declaration and the SDGs:

- Goal 1: Better representation of women in decision-making
- Goal 2: Elimination of gender-based violence
- Goal 3: Equitable education outcomes
- Goal 4: Address barriers facing women in the workforce
- Goal 5: Women have better health care and improved choices over their fertility
- Goal 6: FSM and State Governments mainstream gender

The Policy recognizes climate change and disaster risk reduction (DRR) as priority cross-cutting issues, noting that adaptation can avoid exacerbating existing gender inequalities and vulnerabilities by planning for population and cultural impacts. The short-term priorities include gender-based violence (with the FSM Elimination of Violence against Women policy a key outcome of work to date), women in decision making, women's economic empowerment, sexual and reproductive health and rights, (girl) child protection and gender mainstreaming, with links to other development partner initiatives and programs.

The principal driving policy framework for the issue of food security and agriculture in FSM, the National Agriculture Policy, also highlights a specific goal for improving gender equity outcomes, namely to "Improve farm incomes and livelihoods with particular focus on gender and vulnerable groups."

Additional policy frameworks, laws and programmes supported include:

- The FSM Constitution Article IV, section 4 ensures equal protection, which guarantees fundamental rights and freedom regardless of gender, sexual orientation, race, ancestry, national origin, religion, language, and social status.
- FSM Environmental Protection Act (2012).
- Kosrae State passed its Family Protection Act in 2014. Pohnpei State passed its Domestic Violence Act in 2017.
- In 2019, Chuuk State Government raised the Age of Consent from age of 13 to 18 (C.S.L No. 6-66).

³ FSM Strategic Development Plan (2004–2023); Available at: <https://fsm-data.sprep.org/dataset/fsm-strategic-development-plan-2004-2023>.



- In 2019, Pohnpei State Government raised the Age of Consent from age 16 to 18 (S.L. No. 9L-105-19).
- FSM Disability Policy (2009-2016).
- FSM Youth Policy (2017-2023).
- FSM Nationwide Disaster Risk Management and Climate Change Policy (June 2013). At the state level, there are four state action plans (for Chuuk, Kosrae, Pohnpei and Yap States), for Disaster Risk Management and Climate Change. Actions plans and policy are linked to the Sendai Framework and global commitments.
- FSM Agriculture Policy 2012-2016 The results of the 2016 Integrated Agriculture Census are being used to update the Agriculture Policy.
- FSM Government endorsed the National Ending Violence against Women (EVAW) Policy in 2018. State and National implementation plans of the EVAW policy (2018) are being developed.
- The Pohnpei State Law No. 9L-128-19 (Pohnpei Disability Act): Enacted in 2019. In Yap, Yap State Law No. 9-63 was passed for the purpose of addressing the special needs and accessibility provisions for the Yap State building codes. In Kosrae, State Law No. 8-24 was amended to provide persons with disabilities better accesses to government facilities and for other purposes.

The FSM Gender Stocktake⁴ in 2012 highlighted the following key issues for gender governance and mainstreaming gender into policy and legislative frameworks in FSM:

- Budgets for the national and state programs cover only operational costs, including salary, travel and office supplies, but no funds are allocated for development programs. Most development is through funds secured from development partners and the US Federal Funding system.
- Participation of women at the highest levels of decision making remains very limited in FSM. Women continue to be absent or grossly under-represented at the legislative and executive levels of government.
- Historically FSM is a matrilineal society where ancestral descent and land is passed down through maternal tribal lineage. In the modern age however, this historical lineage cannot be generalized. Currently, each family's land agreements are differing from one family to another⁵. Sub-projects will be required to undertake a gender analysis and E&S screening to ensure these issues are embedded in complete risk analysis and community buy-in from both women and men is secured through multiple entryways for stakeholder consultations through the EDA grant mechanism.
- Other barriers to full participation in public decision making and participation at the higher government level include the lack of opportunity to undertake leadership training and the lack of support for women wanting to move into roles that have traditionally been dominated by men.
- Lack of awareness of the issue of gender equality was highlighted by FSM departments as a major barrier to higher political commitment to gender mainstreaming.
- Lack of sex disaggregated data to inform policy developments

The Department of Health and Social Affairs hosts the Gender Development Office (GDO) as the focal point for gender issues in FSM, and the CEDAW Committee, with the FSM Gender Stocktake⁶ highlighted critical challenges, including:

- GDO is not strategically located within the central government structure to influence the integration of gender across the policy, programming and resource allocation spectra.

⁴ Stocktake of the gender mainstreaming capacity of Pacific Island governments – FSM. Available at:

https://www.spc.int/sites/default/files/wordpresscontent/wp-content/uploads/2017/03/web_2-FSM_gender_stocktake.pdf

⁵ Discussions with women's groups – see Annex 1

⁶ Stocktake of the gender mainstreaming capacity of Pacific Island governments – FSM.



- GDO has few resources and no process to facilitate the mainstreaming of gender and women's human rights across the whole of government.
- GDO lacks expertise and experience in gender and human rights analysis and integration, particularly when it comes to research and statistical support, gender-related planning and analysis, sub-grant management, information management and dissemination and evaluation

Further it should be noted that in addition to the GDO, FSM National government funds some gender positions, with Pohnpei and Yap having state-funded 'women's interest officers' (or equivalent), but gender equality work in Chuuk and Kosrae is largely the responsibility of CSOs including the state women's umbrella organizations. These CSOs and women's organizations will be engaged throughout the programme implementation and in particular through the sub-grant process, where community engagement is embedded in each step of the EDA grant facility (see Section 11 of the feasibility study).

Since the publication of the FSM Gender Stocktake, the Department of Health and Social Affairs and GDO have made significant progress including:

- Actively engaging in policy, programming and resourcing spectra to incorporate gender equality considerations in national government processes (for example the SDGs and the Voluntary National Review (VNR)),
- Increased budget allocation for gender equality
- The National Ending Violence Against Women Policy and State Action Plans (action plans not yet endorsed)
- Mobilized resources to support women's economic empowerment, sexual reproductive health rights and ending violence against women

The Pacific Women Country Plan for FSM highlighted some progress in addressing these gaps, but many of them still remain significant barriers for FSM mainstreaming gender.⁷

The FSM Women's Council comprises office bearers from the four State women's councils or associations, umbrella groups for all the women's groups in the state: Chuuk Women's Council (CWC), Kosrae Women's Association (KWA), Pohnpei Women's Council (PWC) and Yap Women's Association (YWA). These women's councils are key players in advocating for gender equality in their own states to support the six strategic goals in the National Gender Policy as well as implementing projects and programs identified by members. At the 2014 National Women's Conference in Pohnpei, the women's councils resolved to form an FSM Women's Council. That body was legally established prior to the 2016 conference in Yap. The Women's Councils completed the process to formally establish the FSM Women's Council in January 2018 and is now the coordinating body or national voice for women; and has received funding support from National Government through the GDO. The 2020 conference in Kosrae has been postponed and a key outcome of that meeting was the endorsement of the FSM Women's Council Strategic Plan.

The VNR notes that "it is in the civil society sector where women have an outsized impact on the collective consciousness and development of the many islands in FSM. More organized support and public-private and private-private partnerships should be sought as a matter of policy".

Women's groups have been consulted in the development of the GAP and will continue to be part of the stakeholder engagement process as they are an integral part of communities across FSM.

⁷ Pacific Women FSM Country Plan Summary.



The EDA programme will include dedicated gender capacity support during programme implementation to ensure the GAP is carried out as well as ensure women's groups and government gender officials are fully incorporated and engaged throughout the life of the EDA programme.

Existing Gender Inequality – Statistical Overview

The poverty profile for FSM highlights that at the national level about one-fifth of the population lives in female-headed households (17.8%-20.7% range across the states). These female-headed households are also on average larger and have more children across all states except Yap. Further, at the national level over half of female-headed households live in poverty compared to 40% of male-headed households (Table 1).⁸

Table 1: Male vs. Female-Headed Households Summary 2013/2014 HIES

Household Type	Percent of Population					Poverty Incidence				
	Yap	Chuuk	Pohnpei	Kosrae	Total	Yap	Chuuk	Pohnpei	Kosrae	Total
Male Headed	79.3	82.2	78.7	81.7	80.6	37.3	43.3	36.7	18.8	38.9
Female Headed	20.7	17.8	21.3	18.3	19.4	47.3	55.9	48.2	31.3	50.5
Overall	100	100	100	100	100	39.4	45.5	39.2	21	41.2
Household Type	Average Household Size					Average No. of Children under 15				
	Yap	Chuuk	Pohnpei	Kosrae	Total	Yap	Chuuk	Pohnpei	Kosrae	Total
Male Headed	7.4	8.5	7.7	6.7	8.5	2.6	3.5	2.7	2.7	3.1
Female Headed	6.3	10.3	8.5	8.8	9	2.1	4	2.9	3.3	3.3
Overall	7.2	9.7	7.9	7.1	8.6	2.5	3.6	2.7	2.8	3.1

In 2013/2014, male-headed households across all states had higher average annual income than female-headed households. At the national level, female-headed households earned 9% less on average than male-headed households, but that differential varied significantly across states with male-headed households in Kosrae earning 2% more than female-headed households compared to a 42% differential in Chuuk. Breaking this down by income groups there isn't much of a difference between male- and female-headed households earning less than USD 5,000 (37.4% of male households and 36.7% of female households), but the distribution of high-income households (>USD 30,000) shows higher percentage of male-headed households (10.2% vs. 6.7%) (Table 2).⁹

Table 2: Average Annual Income Males vs. Females HIES 2013/2014

State	Average annual income			
	Male (USD)	Female (USD)	Difference (USD)	Difference (%)
Yap	16,103	15,085	1,018	7%
Chuuk	8,858	6,197	2,661	43%
Pohnpei	17,033	15,517	1,516	10%
Kosrae	15,190	14,896	2,94	2%
FSM	13,311	12,208	1,103	9%

Source of income across male and female headed households is consistent for the most part, with the major differences being that male-headed households are on average 11% more based on cash income

⁸ HIES Poverty Profile 2013/14; Available at: https://www.fsmstatistics.fm/wp-content/uploads/2019/02/2013_FSM_Poverty_Profile.pdf

⁹ HIES Main Analysis Report 2013/14; Available at: https://www.fsmstatistics.fm/wp-content/uploads/2019/02/2013_FSM_Poverty_Profile.pdf



and female headed households saved 9% more than male headed households.¹⁰ While the expenditures breakdowns for male- and female-headed households is pretty similar with food and non-alcoholic beverages accounting for 34.4% and 34.5% of monthly expenditures, respectively, there is a substantial difference in the level of expenditures with male-headed households spending on average 12% more than female-headed households.¹¹

In the workforce, similar disparities exist. Across the States, 62.7% (Chuuk) to 70.3% (Pohnpei) of the male population 15+ years old were in the workforce with 51% of that labor force engaged in formal work and 48% engaged in home-based work (45% subsistence, 54% market-oriented). For females, only 43.3% (Chuuk) to 65.7% (Yap) of the population 15+ years old were in the workforce with 42% of that labor force engaged in formal work and 57% engaged in home-based work (58% subsistence, 41% market). Roughly a quarter of male and female households were employed in agriculture, but nearly 30% of females were employed in private households compared to just 10% of males. The other major differences are that 14% of males were employed in fishing compared to just 2% of females and 15% of males were employed in public administration compared to 9% of females. These differences highlight that income opportunities for females in FSM are limited compared to those for men, and the income activities available to women tend to be more home-based work, particularly for subsistence.¹²

The gender differentials in labor force preparticipation are further evident in the FSM Social Security Administration statistics. In 2016, women represented 39% of Social Security contributors in FSM, and on average women social security contributors had 11% lower annual average gross earnings than their male counterparts. While this 'gender earnings gap' has reduced substantially over the last 20 years (19% since 1997), it still highlights a significant issue to be addressed for gender equality. At the state level, Chuuk social security contributors were 40% female and the earnings gap was about 14%. For Pohnpei, 38% women and an 8% gap; for Yap, 43% women and an 11% gap; and for Kosrae 36% women and 16% gap. The VNR noted that women are leading transformative change through civil society. In the civil society sector, the FSM Social Security data shows that women's participation is the same as men, and in addition they earn substantially more, on average, than men.

For education, women in FSM have significantly lower educational attainment than men. At the elementary school level 69% of females over 25 years and over in FSM have completed at least elementary school compared to 75% of males, but this differential is more pronounced in Yap and Kosrae where 90.2% and 90.9% of males, respectively have completed elementary school compared to only 68.5% and 78.8% of females, respectively. Overall, about 40% of males have graduate high school compared to just 31% of females, but that differential is also more drastic in Yap and Kosrae where 72.9% and 68.2% of men had graduated high school, respectively compared to 46.1% and 42.1% of women. The proportion of men with bachelor's degrees (5.3%) is also about double the proportion of women with bachelor's degrees (2.8%) at the national level (Table 3).

Further the 2012 Fertility Monograph for FSM further documents issues for gender inequality in FSM. In 2012, about 6% of women aged 15-19 years had given birth, a relatively high rate of teenage fertility. Overall, almost 100 births to women younger than 15 years of age were registered during the period 2000-2010, and another 1,061 births of women aged 15-17 years. The census data show that only a small proportion of teenage women who gave birth attended school which creates additional hardships and lack of income potential in the future for the young women.^{13 14}

¹⁰ HIES Main Analysis Report 2013/14.

¹¹ Census 2010, Basic Tables; Available at: <https://www.fsmstatistics.fm/wp-content/uploads/2019/02/2010-Basic-Tables.xlsx>

¹² Census 2010, Basic Tables.

¹³ Census 2010, Basic Tables.

¹⁴ Fertility Monograph 2012, Available at: https://www.fsmstatistics.fm/wp-content/uploads/2019/02/2012-Fertility_Monograph.pdf



In the 2016 Agricultural Census, most of the people aged 15 and over in households with land used for agriculture had not graduated from high school – 58% of males and 59% of females. Twenty percent of males and 21% of females reported that they had graduated from high school, and 12% of males and 11% of females reported some college education but no degree.¹⁵

The FSM Education indicators Report for 2018/2019 highlights that in 2019, net enrollment in FSM schools is 82% in elementary level, whereas it is only 65% in ECE and 46% Secondary level and while boys' and girls' net enrollment is almost equal in elementary level, boys' NER is higher in ECE and girls' NER is higher in secondary level. In grade 1, gross intake rate is slightly higher for male students compared to female students, whereas in grade 8 female gross intake rate is substantially higher than male gross intake rate. Possible reasons for this variation by gender could be associated with late entry of male in grade 1, whereas higher GIR for females in grade 8 could be associated with repetition in elementary level. Most primary school survival rates throughout FSM are considered low with female students having slightly higher survival rates than male students. The data shows roughly ~45% (39% Male/50% Female) survival rate of cohort starting in Grade 1 and reaching Grade 8 and that same cohort starting and Grade 1 and reaching Grade 12 is very low at about ~20% (17% Male/25% Female).¹⁶ These education gaps lead to less opportunities in the workforce for women as well as limited leadership/politics roles for women. For the specific project, it indicates that stakeholder engagement needs to be actively aware of and addressing these inequities in designing outreach, communications, and other strategies for the project. Further, women's interest groups, community groups, and civil society might require additional support, capacity development and coaching and mentoring to be able to fully and actively engage in the envisioned climate adaptation sub-projects.

Table 3: Comparison of Educational Attainment 2010 Census

Group	Category	Total	Yap	Chuuk	Pohnpei	Kosrae
Male	Percent elementary school graduates	75.7	90.2	70.4	74.7	90.9
	Percent high school graduates	40.6	72.9	30.3	37.8	68.2
	Percent bachelor's degree	5.3	7.3	2.5	7.4	9.2
Female	Percent elementary school graduates	69.6	68.5	65.8	73.1	78.8
	Percent high school graduates	31.4	46.1	25.3	31.6	42.1
	Percent bachelor's degree	2.8	4	1.1	4.4	2.8
Overall	Percent elementary school graduates	72.6	78.9	68.1	73.9	84.8
	Percent high school graduates	36	58.9	27.8	34.7	55.1
	Percent bachelor's degree	4	5.6	1.8	5.9	6

The EDA programme should recognize the prevalence of discrimination and unequal participation of females in technical and vocational education and training, and ensure women and girls are equitably represented in programme activities, and are recognized for their unique perspectives on DRR, food production, and water security. Table 6 below provides a more detailed breakdown of some of the key gender perspectives within the three thematic areas of the EDA programme; DRR, food security and water security.

Women in Public Life and Decision-Making

Until recently, women in FSM have been totally absent from the legislative and executive levels of government, and continue to be significantly under-represented in civic affairs today (see Figure 1). In 2020,

¹⁵ FSM 2016 Agriculture Census; Available at: http://www.fsmrd.fm/wp-content/uploads/2020/06/200120_FSM_IAC_2016.pdf

¹⁶ FSM Education Indicators 2018/2019; <http://national.doe.fm/index.php/ndoe-public/education-statistics/education-indicators/532-fsm-education-indicators-18-19>

there were three women serving as legislators in the Pohnpei State Legislature, and in Chuuk, there were two State female senators.

In the public service, some women have achieved seniority and are able to influence government policies and programs. Statistics show that of all the major formal work sectors (national and state government, private sector and civil society), it is civil society where women actually earn more on average than men.

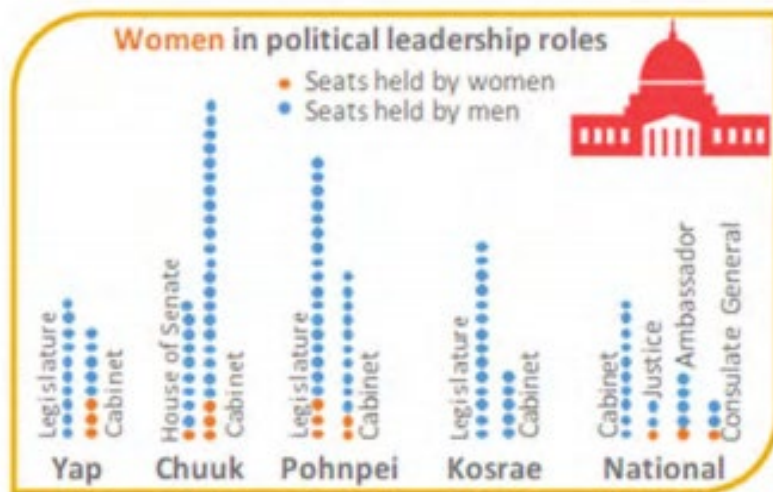


Figure 1. Women in Political Leadership Positions in FSM States, 2020 Data (Source: VNR Report, 2020)

There are no legal barriers to women's representation in government, but there are significant socio-cultural restrictions. Traditionally, matrilineal societies enable women to actively participate in decision-making processes related to family, community and natural resource matters, but for the speaker of the family is male, usually an uncle or brother. The EDA programme will ensure the participation of women in the decision-making process for the selection of adaption solutions within the three thematic areas of the EDA Facility. The active participation of women is embedded in the GAP below as well as in the programme's Stakeholder Engagement Plan (Annex 7).

At the local level, women are involved in small businesses, cooperatives, within traditional structures and within faith-based organisations. Such women's groups are organised and visible at community level. The nature and organization of such groups differ considerably between groups of different types as well as from State to State and from community to community. This is because there is considerable complexity across different islands, communities and ethnic groups within FSM. There is a Women's Council in each of the four States.

Agricultural Income and Participation

The 2016 FSM Agricultural Census provides a more detailed look at jobs and utilization in the agricultural sector (crop raising, livestock, fisheries, forestry, and hunting) which helps provide additional context for gender disparities. These considerations will need to be balanced by the sub-grants, particularly those that are focused on food security.

Just over 90% of households recorded in the Agriculture census had access to land they used for agriculture. Across FSM the householder was male in 80% of households. Yap had the highest proportion of female householders with access to land for agricultural activities (26%), followed by Pohnpei (21%), Chuuk (18%), and Kosrae (17%). In these households, 30% of males and 19% of females 15 years old or



older reported paid employment in these fields, but this varied significantly by state: 44% of males and 28% of females in Yap, 18% of males and 12% of females in Chuuk, 39% of males and 23% of females in Pohnpei, and 41% of males and 24% of females in Kosrae. The farming activity main operators were mostly males (77%) and when the main operator was reported to be female, about 48% were over 55, compared to 32% of male main operators. Where the main operator was female, nearly 60% received no income from agriculture, compared to 48% of households where the main operator was male. It should be noted that subsistence farming tends to be a family enterprise with gendered division of labour, so the earning statistics should be understood in that context. In specific agricultural sectors, the breakdowns are as follows:

- **Crop Raising** - 37% of the people participated with males making up 64.3% of the crop workers and females just 35.7%. However, this was flipped in some states as Yap had an estimated 62.4% of crop workers female and only 37.6% male.
- **Livestock** - Across FSM, 24% of people 15 and over worked on livestock activities. Gender distribution for livestock activities also varied across the states with females accounting for 55% of the workers in Yap, 36% in Chuuk, 31% in Pohnpei, and 14% in Kosrae.
- **Fishing/Aquaculture** - 18% of people over 15 participated in fishing activities with males dominating that industry with over 84% of the fishers. This varied across states. In Yap, 5.5% of fishers were females, 16.5% in Chuuk, 20.2% in Pohnpei and 20.4% in Kosrae. In aquaculture, 77% of the main operators and 70% of those that usually worked were males.
- **Forestry and Hunting** - Across FSM, 29% of males and 13% of females aged 15 and over were reported to be involved in forestry activities. In Yap, 44% of the people reported engaging in hunting activities were female, compared to 21% in Chuuk, 19% in Pohnpei and 24% in Kosrae.

Women are involved in natural resource management, food security, and resilience initiatives as stated above, through this EDA programme, women must be actively engaged throughout the implementation of the programme. The GAP (below) provides specific activities to undertake to ensure active participation by both women and men.

Violence Against Women

In October 2014, FSM conducted a National Family Health and Safety Study¹⁷ which highlighted the major issue of violence against women in FSM including the following significant findings:

- Almost one in three ever-partnered women in the FSM (32.8%) have experienced physical and/or sexual violence by a partner at least once in their life and slightly over 18% of ever-partnered women have experienced sexual violence by a partner in their lifetime.
- Nearly one in four ever-partnered women (24.1%) experienced physical and/or sexual violence by a partner in the 12 months preceding the interview.
- Two in five women who ever experienced partner violence (41%) were injured at least once in their lifetime due to the violence.
- More than one in three ever-abused women (35%) never told anyone about the violence. Those who did disclose it mostly confided in family members and friends. 89% of ever-abused women never went to formal services or authorities, such as health centers or police, for support. The most common reason for not seeking support from formal services or authorities was that respondents thought the violence was normal or not serious.
- Almost 10% of all interviewed women experienced physical violence by a non-partner and the most common perpetrators were parents and other relatives.

¹⁷ FSM National Health and Safety Report; Available at: <https://pacific.unfpa.org/sites/default/files/pub-pdf/FSMFHSSReportweb.pdf>



- Children of women who experienced partner violence were almost three times more likely to have stopped or dropped out of school than children of women who never experienced partner violence

Some key recommendations for FSM included that national and state level actions are implemented to:

- Promote a multi-sectoral coordination between the health system and other public agencies (e.g., legislature, judiciary, public safety, social services) and private organizations (e.g., women's groups, NGOs, private health centers) to address VAW in a comprehensive manner
- Create shelters and other social services institutions with health, counseling, and security staff adequately trained to serve abused women and children. Locate those shelters close by a respected local leader to provide further security to abused women and children from the abusers.
- Develop workshops for parents about parent-children relationships, gender roles, and gender equality
- Promote the passing of the Family Protection Act in Pohnpei, Chuuk, and Yap.
- Give funding priority to existing government programs aimed at addressing violence against women, such as the Domestic Violence Unit and the training program for police officers on domestic violence.



Comparison to the Region

Compared to other nations in the Pacific, FSM is lagging in many gender indicators (as collected by the SPC National Minimum Development Indicator Initiative¹⁸), particularly representation of women in parliament, female participation in the labor force, and proportion of women employed in a non-agriculture sector (Table 4).¹⁹

Table 4: Overview Comparison of Gender Indicators for Pacific Island Countries

Indicator	Cook	FSM	Fiji	Kiribati	RMI	Nauru	Niue	Palau	PNG	Samoa	Solomons	Tokelau	Tonga	Tuvalu	Vanuatu
Women Representation in Parliament HD-GEN-1.1 MDG.3.3	17 2014	0 2016	16 2016	7 2016	9.1 2016	5.3 2016	10 2016	0 2016	2.8 2014	10 2016	2 2016	15 2011	3.6 2016	7 2016	0 2016
Govt Budget Allocated to Women's Department (% Recurrent) HD-GEN-1.4	0.3 2011-12	0 2004	0.1 2014	0.1 2014	0 2015	0.1 2010-11	0.1 2011-12	0 2014		2 2013-14	0.7 2014		0.1 2014-15	0.7 2014	0.7 2010
Tertiary Education Completion Rate HD-GEN-1.7	13.1 2016	9.1 2013		4 2015	2.3 1999	3 2013	3.3 2001	16.2 2015		13.9 2013	6 2015	19.8 2016	17.5 2016	13.7 2016	4.7 2013
Female Labor Participation Rate HD-GEN-1.8	58.4 2016	36.2 2013	37.4 2017	55.8 2015	35.4 1999	52.7 2013	63 2016	74.3 2015	60.5 2011	43.5 2013	71 2013	63.2 2016	41.9 2016	35.4 2016	85.7 2016
Female-Male Labor Participation Ratio HD-GEN-1.9	0.8 2016	0.6 2013	0.5 2017	0.8 2015	0.5 1999	0.7 2013	0.8 2016	0.9 2015	1 2011	0.6 2013	0.9 2013	0.8 2016	0.6 2016	0.5 2016	1 2016
Female-Male Employment Ratio HD-GEN-1.10	0.8 2016	0.5 2013		0.7 2015		0.6 2013	0.8 2016	0.8 2015	1 2011	0.6 2013	0.8 2013	0.7 2016	0.5 2016	0.5 2016	0.6 2016
Women Employed in a Non-Ag Sector HD-GEN-1.11 MDG.3.2	48.8 2016	33.1 2013	34 2007	44.7 2015	36.7 2011	37.4 2013	49.3 2016	48.7 2015	32.1 2000	38.5 2013	65.5 2015	44.5 2016	46.3 2016	36.4 2016	41.3 2009
Prevalence of Violence Against Women HD-GEN-1.12	33 2014	33 2014	64 2013	68 2010	51 2014			25 2014	65 2010	65 2006	64 2009		40 2012	45 2007	60 2011
Attitudes VAW HD-GEN-1.13				76 2010	56.5 2007					55.7 2009	65.8 2015		26.4 2012	71 2007	59.8 2013

Gender Mainstreaming Considerations for Sub-grant Activities

There are three principle sectors for the sub-grants: disaster response/recovery, food security, water security. Each underlying sub-grant will have its own anticipated problem tree, but an overarching one specific to gender for the three principal sectors is included below (Figure 2).

¹⁸ SPC NMDI Initiative; Available at: <http://www.spc.int/nmdi/gender>

¹⁹ Not all of the indicators align with other reported numbers utilized in the baseline for FSM, but the standardized numbers across countries provides a good framework for regional comparison

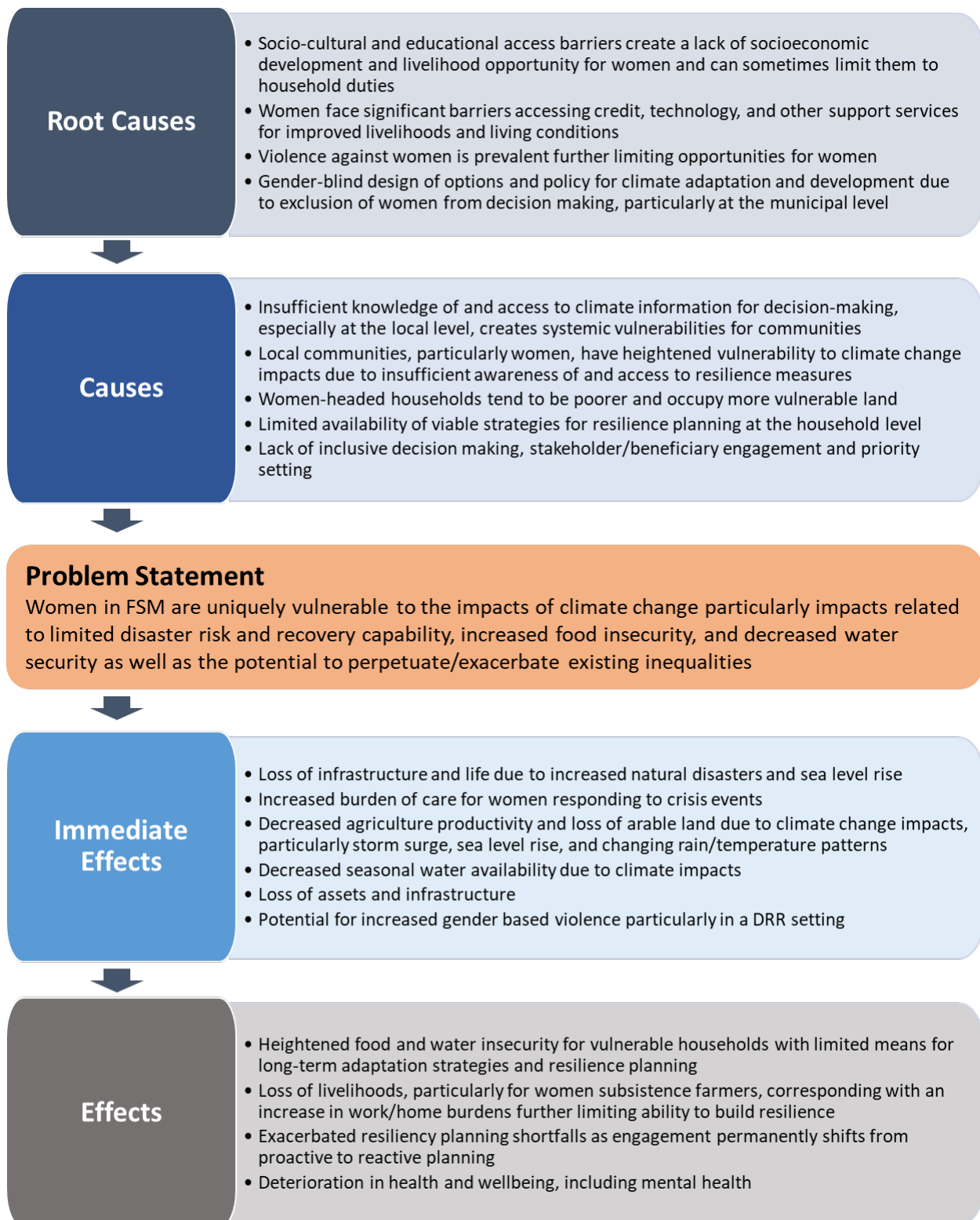


Figure 2: Overarching Problem Tree



While each of the sub-grants will need to be tailored to the specific contexts in the local authorities (Las), the Pacific Climate Change and Gender Toolkit²⁰ highlights the following key considerations for gender in climate change, DRR, food security, and water security in Pacific island states (Table 5).

Table 5: Key Gender Considerations for DRR, Food Security, and Water Security sub-grants

Sub-grant Sector	Context Description ^{21,22,23}	Key Gender Considerations ²⁴
Disaster Risk and Recovery	In FSM, climate change is likely to lead to an increase in the intensity of disasters such as cyclones, floods, droughts and severe storms. Both men and women play a critical role in the preparation and recovery process but women may not have the same capacity to influence decision-making. Men, particularly those with greater levels of power and authority, are usually the ones informed and consulted by response agencies, including governments, and they directly participate in the decision-making and management processes for disaster risk management. This could mean that women's needs and priorities are not properly addressed in early warning systems, preparedness, and during the recovery process. Further, women and girls also experience a number of secondary impacts, including violence and trauma, loss or reduction in economic opportunities, and an increased workload. However, viewing women as victims exacerbates their vulnerability; they have unique knowledge and practical skills that are critical for climate change and disaster adaptation. Women and girls represent half the population and their equal participation and skills will lead to a more effective overall response to climate change	- Disasters happen when a hazard -- such as flood, cyclone or sea level rise -- occurs in a place where people are vulnerable - Men and women have different vulnerabilities and exposure to disasters, due to traditional roles and the specific situation or context, which we must analyze case by case - Men and women also have a range of different capacities for anticipating and reducing the likelihood of disasters occurring - Women's vulnerability is partly due to lack of mobility, as they are often expected to stay close to home to undertake household work and attend to family members - Men tend to have greater access to resources, such as income and vehicles, and due to social roles generally have more mobility which makes them less vulnerable to disasters - To effectively reduce disaster risk programmes and sub-grants must identify and acknowledge the various capacities and skills that both women and men can contribute to risk reduction, such as traditional knowledge and practices - Initiatives for DRR must also build the capacities of both men and women equitably, by training both in the use of new technologies, such as early warning systems - To be successful, investments in DRR, such as local infrastructure sub-grants or community activities and plans, must consult both men and women extensively, to learn about their ideas and preferences - Leadership by both men and women at the community and national level is essential for effective DRR
Food Security	Climate change is expected to have a drastic impact on food security and agriculture in FSM including by decreasing the availability of local food through a reduction in agricultural yields, reducing availability of arable land and fresh water, creating food shortages due to extreme events, and straining existing systems due to population displacement. In FSM, women play a critical role in food production both through subsistence farming to feed their families as well as growing cash crops for income. Despite this, women often face barriers to accessing agricultural land, training, credit and services. The agricultural production that women and girls perform also tends to be considered part	- Women and men are both involved in food security, but have different roles and responsibilities, and therefore also different needs and priorities for managing climate and disaster risks. - Women's contribution to subsistence food production and income generation is critical for food security, and is as important as men's contribution. - Women and men have different and complementary skills and knowledge about food production and food security that can be used to adapt to climate change. - Women are often responsible for food preparation and have traditional knowledge that can contribute to identifying successful adaptation strategies. - Gender inequality -- reflected in participation in decision making, control over financial resources, land ownership, distribution of tasks

²⁰ UN Women Pacific Gender and Climate Change Toolkit; Available at: <https://www.unwomen.org/-/media/headquarters/attachments/sections/library/publications/2015/toolkit%20booklet%20pages.pdf?la=en&vs=4359>

²¹ UN Women Pacific Gender and Climate Change Toolkit.

²² UN Women GENDER EQUALITY, CLIMATE CHANGE AND DISASTER RISK REDUCTION; Available at: https://www2.unwomen.org/-/media/field%20office%20easia/docs/publications/2016/02/ireach_brief_7jan16_email.pdf?la=en&vs=3250

²³ UN Women CLIMATE CHANGE, GENDER AND FOOD SECURITY IN THE PACIFIC; Available at: <https://www.unclearn.org/sites/default/files/inventory/unwomen700.pdf>

²⁴ UN Women Pacific Gender and Climate Change Toolkit.



	of “women’s household responsibilities”. Alongside these challenges, climate change will make it more difficult to make a living from agriculture and women may also struggle more than men to find alternative livelihoods, enter the formal employment sector, or migrate due to cultural barriers and lack of opportunities and education. Further, there is evidence of increased violence against women during disaster recovery such as flooding from climate change and extreme events.	within the household, and access to technology and information – poses a critical obstacle to food security and climate change adaptation. • Women are the traditional landowners and are responsible for agriculture, however men make decisions about land use • Programs that are aimed at strengthening food security and building resilience to climate change must allocate resources that are equitably accessible for women and men, and should be customized to address their respective needs.
Water Security	Water availability, access, and security in FSM is expected to be impacted by changing climate particularly with alterations to rainfall patterns and salinization of groundwater from storm surge and sea level rise. The causes of water scarcity and reduced water quality are not solely climate-related and also include unsustainable use of water, lack of maintenance of equipment, and pollution of underground water because of activities like livestock production and poor sanitation and waste management. There is often a clear division of labour between men and women in water resources management. These different roles and responsibilities vary, but in general women are tasked with water collection and preparation for both household and cooking use as well as for agricultural activities. Understanding the needs and responsibilities of men and women within their specific context is very important in identifying and addressing climate change impacts on all community members. Women have critical skills and knowledge, which, if used effectively, can contribute to the development of more effective water management plans, policies and programmes. Their contributions to developing effective solutions can help governments and other stakeholders improve the social benefits and economic returns from their investments.	• Women and men are both involved in managing and using water resources, but they may have different needs and priorities for managing and using these resources. For example, men are more likely to use and manage water for agriculture and livestock production, while women are often responsible for household water usage and its management. • Water-borne diseases affect everyone, but when a community has an outbreak of diseases, women are usually tasked as caretakers. Therefore, it is vital that women have easy access to information about the timing of water shortages and supply disruptions, and forecasts of drought. To effectively reduce vulnerability to climate change through the improved management of water resources in Pacific island countries programmes should be designed and implemented to meet the needs of all members of the community, including women, men, and people living with disabilities. • Sanitation programmes tend to target women because of their roles in care and household water management. It is important that men are also engaged, so that they understand and actively contribute to ensuring household sanitation practices and appropriate management • Water management policies plans and actions should consider how the proposed interventions provide benefits to different members of society, and the ways in which the different members can contribute to reducing vulnerability. • Information, technology, training and investment in water resources management must be equally accessible for women and men, and customized to address their respective needs and abilities. • Gender inequality is likely to be reflected in the distribution of tasks within the household; in participation in decision-making; in control over financial resources; in land and resource ownership; and in access to technology, training, knowledge, and information. All of these factors are important for water resources management, and should be taken into account when designing policies, plans and programmes.

Recommendations

Given the above context for gender, disaster risk and recovery, food security water security, and climate change in FSM, the following recommendations are provided to help ensure effective gender responsive outcomes for the sub-grants envisioned in this sub-grant:

1. **Gender Expertise for Screening and Review of Sub-Grants:** Given the decentralized nature of the sub-grant and limited existing capacity at the LA level, the sub-grant needs to intentionally ensure that strong gender expertise is included as part of the overall programme. This includes having staff within the EDA Coordination Unit (ECU) who have gender expertise – the ECU will be charged with screening Expressions of Interest (EOI) as well as reviewing sub-projects to



ensure gender has been adequately incorporated into sub-grant design. In addition, the Grants Technical Evaluation sub-committee should include technical expertise on gender mainstreaming as the body for technical reviews and recommendations. Gender-awareness and particularly an eye for identifying key gender challenges and opportunities will be critical to build into sub-grant governance and review structures. Finally, it will also be critical to integrate gender expertise in the roster of technical contractors.

2. **Integration of Gender-Responsive Activities into Sub-Grant Design:** The EDA Facility will need to deliberately integrate modules for gender-responsive sub-grant design, localized strategies for inclusive priority setting, implementation modalities, gender mainstreaming, sub-grant gender selection criteria, and sub-grant implementation into inception design discussions, trainings and workshops for local officials.
3. **Municipal-level Baseline Data:** Baseline data disaggregated by gender at the municipality level, particularly for focused indicators related to food/water security and DRR is limited at the moment, so the EDA Facility has a critical role to play in collecting this information through its stakeholder engagement and collaboration with LAs when developing sub-grants. Establishing more effective baselines for gender inequality will help to better target interventions going forward and support the sustainability of gender-balanced results.
4. Women can provide critical inputs to effectively tailoring of sub-grant interventions for example climate resilient techniques and crop varieties to local community contexts, so it is critical for the sub-grants to actively **promote and facilitate the integration of women's knowledge skills through direct consultation and forums** to ensure their knowledge can be successfully integrated.
5. **Inclusion of Women's Organizations in Sub-grant Design and Implementation:** There is a critical need to engage both formal and informal women's organizations to build awareness and create buy-in for addressing the issue of climate change across LAs. These organizations will be critical partners in designing, implementing and sharing the successes and lessons learned of sub-grants.
6. **Ensure Women Access Information:** The ability to access information and the ways in which information is accessed are likely to be different for women (i.e. access to mobile communication, community gatherings), so in designing dissemination strategies for sub-grants information, the sub-grant will need to ensure that women have an equal pathway to utilizing the available information.
7. **Target Barriers Preventing Women from Participation:** Women are likely to have additional barriers to capitalizing on new markets and opportunities for diversified and improved livelihoods (i.e. transportation, social barriers, etc.). During the design of the sub-grants, attention will need to be paid to ensure that sub-grants are designed to address these barriers as they relate to specific interventions.
8. **Full Participation of Women in Decision Making:** Given the existing issues across FSM with representation in decision-making both at the government and household/community level, the EDA programme will need to proactively work to ensure the full participation of women in decision-making, particularly with regards to sub-project/intervention selection and design at the LA level.



Gender Action Plan

Implementing Roles and Responsibilities for Gender Mainstreaming

The various entities involved in the EDA Facility are all responsible for ensuring gender mainstreaming and the effective execution of the gender action plan, but each have unique and complementary roles and responsibilities as summarized below:

- **EDA Coordination Unit** – SPC through the setting up of an ECU is responsible for overall compliance with the GCF gender policy and the monitoring/reporting to GCF. SPC also supports the creation of the national decision-making body and the Grants Technical Evaluation sub-committee, and will work to ensure that those bodies have gender-balanced representation as well as effective operating procedures that support the mainstreaming of gender considerations into decision-making and review processes, particularly for specific gender criteria used in the review of sub-grants. The ECU will also issue tenders for both the Grants Technical Evaluation sub-committee and the Facilitating Agents and will ensure that both have appropriate gender expertise included. The ECU also supervises the selection and implementation of priority sub-grants and will provide assistance to ensure the sub-grants are successfully aligning with the gender action plan and the GCF gender policy.
- **FSM Department of Finance and Administration (NDA)** – The NDA works alongside SPC to establish the EDA Facility's governing bodies and will also assist in the supervision of sub-grant design and implementation. Both of these roles will require close attention to gender considerations. The NDA also plays a critical role in informing LAs of trainings and workshops and needs to ensure that this communication is effective at bringing the right people to the table.
- **EDA Programme Board (EPB)** – This body is responsible for the final stage review and approval of preselected sub-grant proposals submitted by LAs, and will therefore act as a backstop for the integration of gender into sub-grants. Onboarding and processes activities will include specific provisions to raise awareness on the strategies to prevent sexual harassment and gender-based violence, and detailing grievance redress mechanism procedures to be considered in the evaluation and implementation of sub-grants
- **SPC Procurement Committee (PC)** – The PC is responsible for carrying out evaluations of proposals, ensuring that SPC's procurement policy is duly followed (especially the obligations to act ethically and with due diligence), ensuring that a consistent and equitable method has been used for evaluation and making recommendations if necessary. This will include organizational audits of LAs, including gender data and policies and the capacity to integrate gender into sub-grant design.
- **Local Authorities** – LAs will coordinate with the ECU and receive support from Facilitating Agents to develop and implement priority sub-grants. This will necessarily include identifying and sharing relevant organizations/people, data and policies for gender-responsive sub-grant design. Additionally, they will be key focal points for the collection of gender-disaggregated data as a result of sub-grant interventions.
- **Facilitating Agents** – In their work to provide support for sub-grant development and design, Facilitating Agents will be provided training related to gender mainstreaming and provided with specific requirements for gender-responsive design for sub-grants. Additionally, FAs will be the recipients of specific training modules which will include raising awareness on violence against women, strategies to prevent sexual harassment, equal opportunity policies and detailing grievance mechanisms procedures and processes to ensure women's safety and access to GRM is effectively considered and implemented in the design and implementation of the sub-grants.



The Facilitating Agents will be providing technical assistance for the design and implementation of the sub-grants, including the specific gender mainstreaming actions as directed by the ECU. Lastly, Facilitating Agents, as part of their quarterly site visits to sub-grant project sites, will have the responsibility to record any grievances to be raised by women beneficiaries, including relating to GBV. Grievances will then be passed on to the ECU.



Gender Action Plan

The Gender Action Plan for the overall EDA sub-grant is detailed in Table 6 below. Individual sub-grants may require specific gender action plans as well.

Table 6: Gender Action Plan

Gender Action (related sub-grant log-frame activities)	Gender-Responsive Indicators	Baseline	Targets	Expected Results	Timeline	Responsible Parties and Means of Verification (MoV)	Allocated Budget (UDS)
Impact Statement: Improved resilience FSM communities to climate change by providing local authorities with access to climate finance for priority adaptation sub-grants tailored to the unique needs and priorities of women and men in the communities.							
Component 1 – Local authorities²⁵ empowered to deliver climate change adaptation services to their populations							
Outcome 1.1: Empowerment of local authorities and identification of key gaps and opportunities for gender mainstreaming to support improved gender equality in sub-grant design and implementation							
Activity 1.1.1. Gender Responsive design incorporated into sub-grant development training, localized strategies for gender mainstreaming, gender criteria, and implementation are developed	Number of men and women attending workshops and participating in workshops, training and mentoring activities in each participating State and municipality Number of modules/trainings specifically for gender considerations	N/A	At least 1 representative from each participating municipality/stakeholder is trained on gender-responsive sub-grant design/implementation and the sub-grant specific gender criteria 50% of workshop/training participants are women At least 1 module for gender-responsive sub-grant design and localized strategies for gender mainstreaming, gender criteria, and implementation incorporated into sub-grant development training.	Municipalities and stakeholders are trained on gender-responsive sub-grant design and equipped to design/support EDA sub-grants that promote gender equality	Year 1 for the specific grant training and ongoing for the application of training material and gender mainstreaming	ECU Gender Specialist <u>MoV:</u> Training attendance Pre-post tests for training Sub-project M&E reports	12,000 (design of gender module)

²⁵ Local authorities broadly are an official organization responsible for governing an area of the country. For the purposes of this programme, local authorities encompass both municipal and State-level agencies across FSM.



Activity 1.1.2. Resilience training, includes training on gender-mainstreaming for climate resilience, for local authorities' staff and elected and appointed officials	Number of men and women trained on climate resilience planning in each municipality Number of workshop participants with increased knowledge of gender mainstreaming for climate resiliency Number of women hired as Facilitating Agents	N/A	50% of workshop/training participants are women At least 80% of workshop participants demonstrate understanding of gender mainstreaming for climate resilience post-training At least 25% of the Facilitating Agents corps will be comprised of women / members of women's groups	Local authorities and officials have developed a greater understanding of gender mainstreaming for climate resilience and have increased capacity to integrate gender considerations into their local resilience planning and sub-grant development The training corps comprises women agents to increase representation and capacity in local resilience planning	Year 1 Year 2	ECU Facilitating Agents Gender Specialist <u>MoV:</u> Training materials, Training attendance Training reports	6,000 (Integration into training materials)
Activity 1.1.3 Develop train-the-trainer's module for gender-mainstreaming support to be provided by FAs	Number of men and women trained on climate resilience planning in each municipality Number of workshop participants with increased knowledge of gender mainstreaming for climate resiliency	NA	50% of workshop/training participants are women At least 80% of workshop participants demonstrate understanding of gender mainstreaming for climate resilience post-training	FAs have developed a strong understanding of the gender-mainstreaming needs of local authorities and have the capacity to deliver basic gender support during sub-grant development	Year 1 Year 2	ECU Facilitating Agents Gender Specialist <u>MoV:</u> Training materials, Training attendance Training reports	6,000 (Integration into training materials)
Activity 1.1.4 Integration of gender considerations into support LAs prioritize adaptation actions for Grant Facility and the development of sharing mechanisms and	Number of men and women participating in knowledge sharing mechanisms (e.g. workshops, meetings, information exchanges) per each municipality	N/A	At least 50% of formal workshops participants are female	Community of practice and other dissemination/sharing mechanisms incorporate gender mainstreaming and provide opportunities for effective knowledge	Year 3-6	ECU <u>MoV:</u> Workshop attendance Workshop reports Annual progress reports	6,000 (ensure gender integrated into KM)



a community of learning and practice	Inclusion of gender equality reflections and learnings into forums and workshops		Report on recommendations for integration in sub-grants design	capture and sharing with regards to gender equality. LAs officials demonstrate a clear understanding of gender-sensitive adaptation planning		Report on recommendations for sub-grants Survey of workshop participants	
Activity 1.2.1a Capacity support to local authorities to strengthen ability of staff to integrate gender considerations into project design and gender-responsive project design in local authorities based on audits	Policies, procedures, and new capacity established to help mainstream gender considerations into local sub-grant design	N/A	All grant proponents are equipped with the necessary supporting capacity and procedures to support gender responsive outcomes in individual sub-grants	As a result of the audits, appropriate activities to support gender mainstreaming and gender-responsive sub-grant design targeted and tailored for local authorities.	Ongoing	ECU Facilitating Agents Gender Specialist <u>MoV:</u> Annual progress reports Audit recommendations	6,000 (Targeted gender support for sub-grant design)
Activity 1.2.1b Ensure inclusive stakeholder consultations for identifying adaptation priorities	Number of men and women from local communities engaged in identifying and selecting adaptation priorities for their community Number of women from local communities engaged in identifying and selecting adaptation priorities for their community	N/A	100% of consultations successfully support inclusive decision making 50% of participants in stakeholder consultations will be women, including 25% from most vulnerable groups (such as women-headed households)	Stakeholder consultations for identifying and prioritizing adaptation priorities/solutions include representative participation from the community including women and other vulnerable groups Stakeholder consultations reports and surveys demonstrate all stakeholders have a clear understanding of gender-sensitive adaptation design	Ongoing	ECU Facilitating Agents Gender Specialist <u>MoV:</u> Stakeholder consultation reports Stakeholders surveys (To be assessed against GCF Gender safeguards by the ECU's Gender Specialist and the National Gender Expert)	NA
Activity 1.3.1 The programme web portal and database include	Inclusion of sex-disaggregated data collected at the	N/A	Sex-disaggregated data is compiled on the web portal	The data informs the design of future adaptation interventions	Ongoing	ECU	N/A



sex-disaggregated data at the municipal and sub-project level on the three thematic areas and on key socioeconomic indicators to inform the design of future adaptation interventions.	municipal and sub-project levels in the web portal			to promote gender inclusion by providing sex-disaggregated data in the food security, water security and DRR thematic areas		MoV: Web portal and database	
Activity 1.3.2 Learning exchanges and site visits promote gender-sensitive cross-learning between climate change practitioners, local officials and private sector actors	Number of women-owned businesses invited to participate in the learning exchanges	N/A	At least 25% of private sector participants to the learning exchanges will be women / women-owned businesses	Women and women-owned entities are selected and represented in the learning exchanges to promote gender-sensitive adaptation planning	Year 3 Year 5	ECU NDA GCF Focal Points MoV: Attendance lists Learning exchanges / workshop reports	N/A
Activity 1.3.3 Climate change adaptation local authorities conference promotes the inclusion of women and women-owned businesses as key agents for adaptation planning	Number of women-owned businesses invited to participate in the learning exchanges	N/A	At least 25% of private sector participants to the learning exchanges will be women / women-owned businesses	Women and women-owned entities are selected and represented in the learning exchanges to promote gender-sensitive adaptation planning	Year 3 Year 5	ECU NDA GCF Focal Points MoV: Attendance lists Learning exchanges / workshop reports	N/A
Component 2 – Priority project implementation of EDA Facility for strengthening local community resilience							
Outcome 2.1: Establish a gender-responsive sub-grant governance framework that promotes gender equality throughout sub-grant activities							
Activity 2.1.1 Establishment of inclusive and representative EDA Programme Board (EPB) and Grants Technical Evaluation sub-committee	Number of men and women serving in the EDA Programme Board Existence of gender provisions within bylaws/goals of the EDA Board and the Grants Technical Evaluation sub-committee	N/A	At least 50% representation, and no less than 30%, from women across the different stakeholders Bylaws or other operating frameworks includes provisions for awareness and review of gender considerations in final sub-grant decisions.	EPB and APhave been established with equal representation of women and men, and an effective operating framework for assessing gender equality and gender mainstreaming in the EDA sub-grants	Q1, Year 1	ECU NDA EPB MoV: Roster for EPB and Technical Evaluation Committee	NA



Activity 2.1.2. Refinement of gender review criteria for sub-grant selection	Sub-grant review criteria include specific gender considerations	Initial baseline indicators provided below	Sub-grant review criteria for gender are refined and approved by ECU, EPB and the Grants Technical Evaluation sub-committee and included into training	Review criteria for sub-grant selection effectively support gender-mainstreaming into specific EDA sub-grants in the local authorities	Year 1, Q1	ECU EPB, Grants Technical Evaluation sub-Committee <u>MoV:</u> Review of gender criteria for sub-project selection	6,000
Output 2.2: Gender-responsive sub-grant award selection							
Activity 2.2.1 Inclusive sub-grant design process	Number of men and women from local communities engaged in supporting the design of the sub-grant	N/A	100% of sub-grants include stakeholder consultation process with active participation of women and other vulnerable groups 50% of participants in the sub-grant design process are women, including 25% from most vulnerable groups	Stakeholder consultations for design of sub-projects include representative participation from the community including women and other vulnerable groups	Ongoing	ECU Facilitating Agents Grants Technical Evaluation sub-Committee <u>MoV:</u> Final sub-grant process/guidelines published Stakeholder consultations reports and attendance lists	N/A
Activity 2.2.2 EOI of sub-grants reviewed and directed technical assistance provided for sub-grants, to ensure appropriate gender mainstreaming as needed	Sub-grant review criteria include specific gender considerations	N/A	All sub-grants are reviewed for gender considerations	Based on the review of individual sub-grants, appropriate support and technical assistance allocated to local authorities to improve the design of sub-grants and support gender equality outcomes	Ongoing	ECU EPB Grants Technical Evaluation sub-committee <u>MoV:</u> Sub-grant review documents; gender experts work plans	See 2.2.5 below for budget
Activity 2.2.3 Organizational audits of local authorities including gender data and policies and the capacity to integrate gender into sub-grant design	Number of audits of local authorities' capacity for gender responsive sub-grant design conducted Collection of gender-disaggregated data for	N/A	100% of audits of local authorities include gender data and policies and the capacity to integrate gender into sub-grant design	Local baselines for gender mainstreaming, and particularly capacity/frameworks for supporting gender-mainstreaming, are established for	Year 1, Year 2	ECU, SPC Procurement Committee <u>MoV:</u> Audit reports Data collection reports	6,000 (ensure gender aspects integrated into audit process)



	audit indicators and municipal-level data (e.g. number of men and women actively involved governance processes, number of food insecure households, number of water safe households, number of assets at high risk of climate impacts number of women-owned businesses, cooperatives and women's groups etc.)		N/A (lack of availability of municipal-level data to inform the design of adaptation measures)	participating local authorities. A database on municipal-level data and information disaggregated by gender is established			
Activity 2.2.5 Technical assistance support to local authorities to strengthen gender in sub-grant	Sub-grant review criteria include specific gender considerations	N/A	All sub-grants are reviewed for gender considerations	Based on the review of individual sub-grants, appropriate support and technical assistance allocated to local authorities to improve the design of sub-grants and support gender equality outcomes	Ongoing	ECU EPB Grants Technical Evaluation sub-committee MoV: Sub-grant review documents; gender experts work plans	18,000 (set aside for targeted technical assistance as needed)
Activity 2.2.6 Screening of sub-grant proposals for effective gender considerations and design	Number of funded sub-grants with effective gender considerations and design	0	All sub-grants have effectively integrated gender into their sub-grant design (30-40)	The portfolio EDA sub-grants are effectively supporting gender mainstreaming across FSM	Ongoing	ECU EPB Grants Technical Evaluation sub-committee MoV: Sub-grant portfolio reviews	NA
Activity 2.2.7 Portfolio of gender-responsive sub-grants funded by granting mechanism	Number of funded sub-grants with effective gender considerations and design Number of sub-grants awarded to women-owned businesses,	0	All sub-grants have effectively integrated gender into their sub-grant design (30-40) 25% of sub-grants will be awarded to women-run businesses, cooperatives	The portfolio EDA sub-grants are effectively supporting gender mainstreaming across FSM	Ongoing	ECU EPB Grants Technical Evaluation sub-committee MoV: Sub-grant portfolio reviews	NA



	cooperatives or women's groups and/or applications that target women as primary beneficiaries		or women's groups and/or applications that target women as primary beneficiaries (10 sub-grants in total by the end of programme implementation)				
Output 2.2: Gender-responsive sub-grant award implementation							
Activity 2.3.1 Capacity support to local authorities to strengthen gender governance structures	Support to develop capacity to help mainstream gender considerations into local sub-grant implementation	N/A	All grant proponents are equipped with the necessary supporting capacity and procedures to support gender responsive outcomes in individual sub-grants	Training materials to support gender mainstreaming and gender-responsive sub-grant design targeted and tailored for local authorities.	Ongoing	ECU Facilitating Agents Gender Specialist <u>MoV:</u> Annual progress reports Audit recommendations	6,000 (Targeted gender support for strengthening governance structures)
Activity 2.3.2 Implementation, monitoring, and evaluation of priority adaptation sub-grants to track gender elements	Number of sub-grants implemented and reported on according to gender-sensitive design Collection of gender-disaggregated baseline and post-project data at the sub-project level according to the thematic area covered (e.g number of food (in)secure households, number of water (un)safe households, number, type and value of assets highly exposed to climate change risks etc.)	0	All sub-grants (30-40) have effectively been implemented and their results have been gender-disaggregated and shared along with key lessons learned and best practices for gender mainstreaming The data collected at the sub-project level informs the future design of adaptation measures by providing insights into the baseline, and enables the assessment of results of the relevant adaptation measure	Implementation and M&E of sub-grants highlights effective documentation, compiling and sharing of gender-disaggregated data and lessons learned to support ongoing gender mainstreaming efforts in FSM.	Ongoing	ECU EPB Grants Technical Evaluation sub-committee <u>MoV:</u> <u>Annual sub-grant reports</u> <u>Data collection reports</u>	30,000 (targeted gender support for implementation, monitoring and evaluation)
						Total	102,000



Initial Sub-grant Gender Assessment

The sub-grant selection criteria specific to gender will be refined as part of the gender action plan above, but an initial framework based on a simplified version of the UN Women template combined with the GCF gender mainstreaming guide is provided in Table below. Given the nature of the sub-grant and limited capacity of local authorities in gender mainstreaming, sub-grant gender criteria will need to effectively balance the need for detail to ensure effective gender balanced outcomes that are meeting differentiated needs for men and women with the need for simple, approachable frameworks for potential proponents. Sub-grants that can't initially detail specific gender aspects of the sub-grant will require focused sub-grant support. Ultimately, the local authorities/designated organizations will work closely with SPC and the Consortium of Empowerment Contractors to develop the sub-grant gender components and SPC will ensure that they are aligned with the GCF Gender Policy Requirements.

Table 7: Initial Sub-grant Gender Assessment

Guiding Questions	Response
1. What are the main sources of livelihood and income for men and women? If survey data are available, they should be included; otherwise qualitative descriptions are helpful.	
2. What, if any, policies or plans related to gender are in place in the sub-grant's local authority?	
3. With regards to the specific sub-grant adaptation priority (disaster risk, food security, water security) what are the key vulnerabilities being addressed by the sub-grant? How do these differ for men and women?	
4. How is the sub-grant addressing the gender considerations for the priority sectors provided in Table 5 above?	
5. Based on initial stakeholder engagement, what are the needs and priorities related to the envisioned sub-grant activities? Are men's and women's needs/priorities different?	
6. How are women and men expected to benefit from sub-grant activities?	
7. What specifically will the sub-grant do to ensure that women and men have equal opportunity to benefit from the sub-grant activities?	
8. Are sub-grant outcomes/results gender disaggregated? If so, describe the specific indicators and how they will be monitored	



9. What are the biggest risks for achieving gender-responsive outcomes? How will the sub-grant work to overcome these?	
10. Who within the local authority/designated organization is the focal point for gender in the sub-grant?	
11. What budget is being allocated for sub-grant gender work/capacity?	



Annex I – Women’s Group Consultations Summary

Consultation with Pohnpei Women’s Council

December 04, 2020 - Meeting with Pohnpei Women’s Council Interim President, Ms. Maria Donre.

The meeting started out with a brief introduction followed by an overview of Pacific Community’s (SPC) Green Climate Fund (GCF) program “Climate change adaptation solutions for Local Authorities in the Federated States of Micronesia”.

The overall EDA programme was discussed as well as key points from the draft GAP.

Key takeaways from the discussion included:

1. Historically this is a matrilineal society where ancestral descent and land is passed down through maternal tribal lineage but changed to last name where last name is mostly passed down from males in some families. We cannot generalize it as strictly matrilineal nor patrilineal society as each family’s hereditary agreements are different from one family to another in this modern age.
2. Although there are different roles for males and females at the household level, both males and females make household decisions. Dominant male head of households are not common anymore and most households are now moving towards a more modern family structure where both males and females share the same roles and decision making.
3. Women have rights to own land and property just the same way as men do, and being a woman doesn’t disenfranchise her from owning her own land, property or business.
4. Women still do a lot of the home gardening but so many other opportunities are available to women these days that not many are interested in strictly doing home gardening but something they do in conjunction with other activities.
5. At his point, what she would consider as a priority project small household farms or gardens that can help supplement other sources of household livelihood or income.

December 04, 2020 - Meeting with women group representative from Kosrae, Yap and Chuuk

Conducted a virtual meeting with women group representatives from Kosrae, Yap and Chuuk. Participating in this meeting was the Yap Gender Support Officer representing Yap Women’s groups, President of the Kosrae Women’s Organization representing the Kosrae women’s groups and President of the Chuuk Women’s Council representing the Chuuk women’s groups.

The meeting started out with brief introductions and a brief overview of the SPC’s Green Climate Fund (GCF) program “Climate change adaptation solutions for Local Authorities in the Federated States of Micronesia”. While discussions of the projects outputs and outcomes took place, the representative from Yap lost connection and could not participate in the rest of the call.

Prioritization from Kosrae included the following;

1. Prioritize scaling up food security projects that are ongoing in Kosrae
2. Local organizations and women groups are in need of capacity building involving adaptation project design, proposal development and project implementation and monitoring.
3. Local government and NGO’s to work with state agencies for adaptation projects to prevent project duplication and to collaborate but not compete with each other.



Prioritization for Chuuk: food security projects should be prioritized. Prioritize building upon or scaling up the small-scale security projects that are currently ongoing. She also mentioned that women's groups are also in need of capacity building.

The Chuuk representative also read the GAAP and stated that she supports the action plans and reiterated that rights to land is passed down through maternal so owning land and property is not an issue in Chuuk. Women do most of the gardening and there's nothing that will hinder them from participating in the project activities. However, she recommended that there should be women group representatives in all the stages of this project to make sure that women's interests are not neglected in designing and selecting priority projects.

December 07, 2020 - Meeting with Pohnpei Women's Council newly elected officials and several of its members.

As an the Pohnpei Women's Council interim president, Mrs. Maria Donre opened the meeting with a brief introduction and introduced the background of the SPC's Green Climate Fund (GCF) program "Climate change adaptation solutions for Local Authorities in the Federated States of Micronesia". Winfred went on and presented the projects components, explained in detail the outputs from each of the components including possible activities under each output.

Concerns on the outputs:

1. Where would the Pohnpei Women's Council and its members fit in all these since the primary grantees will be municipal governments and state agencies?
 - a. The national consultant addressed this by explaining that although the executing entities will be State agencies and municipal governments, the primary beneficiaries will be communities that their organizations represent. Their inputs will be beneficial in developing climate change impact mitigation measures that will have a wholistic approach. Pohnpei Women's Council may not directly receive grants under this project, however, the activities and projects that they are supporting within their communities that involve climate change adaptation can benefit directly from this project. At the end of the day, vulnerable communities are the primary beneficiaries, and we all are representatives of these communities.
2. Training and capacity building for municipalities and State agencies should prioritize inclusion of females not only as trainees but trainers and mentors as well. How can we make sure that we these government agencies include females in their selection of those that will be directly supporting this project? They felt that when it comes to government priority projects, women groups are left out in the development and execution of these projects. Even training opportunities that often surfaces neglected the inclusion of women or representatives from women groups.
 - a. Activities related to this have been included in the Gender Action Plan

The group mentioned that while it is customary that the husband or the father of the household is referred to as the head of the household, decisions are made by both the man and woman or the father and mother of the household. They have the same rights to property and land as men and it all depends on each family's preference on who inherits the parents land or property. When it comes to crop raising, livestock and fishing, women are not exempt and play a critical role in every aspect of their households and their communities.



The group mentioned that sometimes what is on paper is not what is actually happening on the ground as times are changing rapidly and most households are trending towards a more modern family structure where both males and females share the same activities, responsibilities and the overall household decisions. They were very excited about the gender action plan and would like to be very much involved in this project moving forward.

When asked what they would consider as priority climate change adaptation projects in relation to the 3 thematic areas, the following were their responses:

1. Water security projects that include water tanks and all its associated equipment to deliver water to individual households. Clean running water in all households.
2. Reliable and safe community or municipal water systems.
3. Support for women farmer groups
4. Water security should be a priority for the outer islands as they are currently suffering from extreme drought.

There is not a lot of ideas on priority projects, but they all agreed that their communities could benefit from food and water security projects. They felt that their groups are often left out or were not included during project scoping and capacity building opportunities, so they were all eager to be involved in all GCF projects and capacity building.

There is a consensus with the group that they would like to be involved in every aspect of this project and they don't foresee anything that could hinder them from participating in this project. Being a woman presents an opportunity and not an hinderance from participating in projects that promote community resilience.
